



CS EXECUTIVE

COMPANY LAW AND PRACTICE

Part-I



Comprehensive Curriculum Coverage

Covers every Concept as per the latest ICSI Syllabus



Strictly Based on ICSI Modules

All chapters aligned topic-wise with the official Module Sequence



Theoretical + Case-based Questions

Includes Past Year Questions & Case-based Questions



Module 1



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PREFACE

The growing focus on good corporate governance has made Company Law a key pillar of India's corporate framework. Governing the structure, management, and conduct of companies, it plays a vital role in today's dynamic economy. The Companies Act, 2013, brought significant reforms aimed at enhancing transparency, strengthening governance, promoting ease of doing business, and aligning Indian corporate law with global standards, while ensuring accountability towards stakeholders.

The attempt throughout this book has been to present the provisions of the Companies Act, 2013, along with allied rules and relevant case law, in a simplified, systematic, and student-friendly manner. Each chapter has been structured to provide conceptual clarity, highlight important sections, and equip the reader with practical insights wherever applicable. Examples, illustrations, and procedural aspects have been included to bridge the gap between theoretical knowledge and its real-world implementation.

The subject is divided into two parts:

Part-I: Company Law – Principles and Concepts

This part outlines the fundamental provisions of Company Law that govern how companies are formed, managed, and regulated. It covers essential concepts relating to raising of capital, allotment of securities, maintenance of records, disclosures, shareholder rights, and protection of stakeholder interests. It also provides insights into the legal and secretarial aspects that ensure transparency, accountability, and compliance with statutory requirements.

Being a professional discipline, Company Secretaryship demands a high standard of legal knowledge, ethical responsibility, and professional conduct. Students are, therefore, expected not only to imbibe the theoretical foundations but also to be adept at applying concepts to practical scenarios.

We are confident that this book will not only serve as a reliable study material for students preparing for the CS Executive examination, but will also act as a valuable reference guide for their future professional journey.

ABOUT THE AUTHOR

CS Shivani Miglani is a highly qualified and dedicated Company Secretary with a passion for teaching.

With a strong academic background in Company Secretaryship, Shivani has excelled in her field, clearing her CS exams at the young age of 19 along with Economics Honours. In addition to her impressive achievement, she also possesses more than 5 years of experience in teaching, having mentored over 5,000 students both online and offline.

Shivani is a firm believer in blended learning and adopts a learner-centric approach to her teaching. She understands that every student is unique and has different learning needs, and therefore aims to cater to those needs by providing a diverse range of teaching methods. With the use of real-life examples and innovative teaching techniques, she seeks to transform traditional pedagogical processes and make learning more accessible and enjoyable for her students.

Throughout her teaching career, Shivani has been committed to providing high-quality education in subjects such as Company Law. Her expertise in these areas has earned her recognition as a trusted and inspiring mentor among students. Her dedication to her students is unwavering, and she strives to create a learning environment that is engaging, interactive, and challenging.

Shivani's success as a teacher is due to her passion for her subject matter, her commitment to her students, and her ability to adapt to new teaching techniques and technologies. Also, She is the visiting Faculty of ICSI. She believes that education is the key to unlocking the potential of young minds and creating a better future for all. Her mission is to inspire and empower her students to achieve their full potential and to make a positive impact on society.

ACKNOWLEDGEMENT

We extend our sincere gratitude to the subject experts, illustrators, and content development team whose dedication and insight have shaped the quality and depth of this book. Their contributions have been instrumental in crafting a resource that balances academic rigor with practical clarity. We also thank our proofreaders, reviewers, and publishing professionals for their meticulous attention to detail, ensuring that the final work upholds the highest standards of accuracy, coherence, and accessibility.

A special word of thanks to **Mr. Ritik Kumar (Content Professor)** for going above and beyond in contributing their subject expertise, which has added immense value to this book.

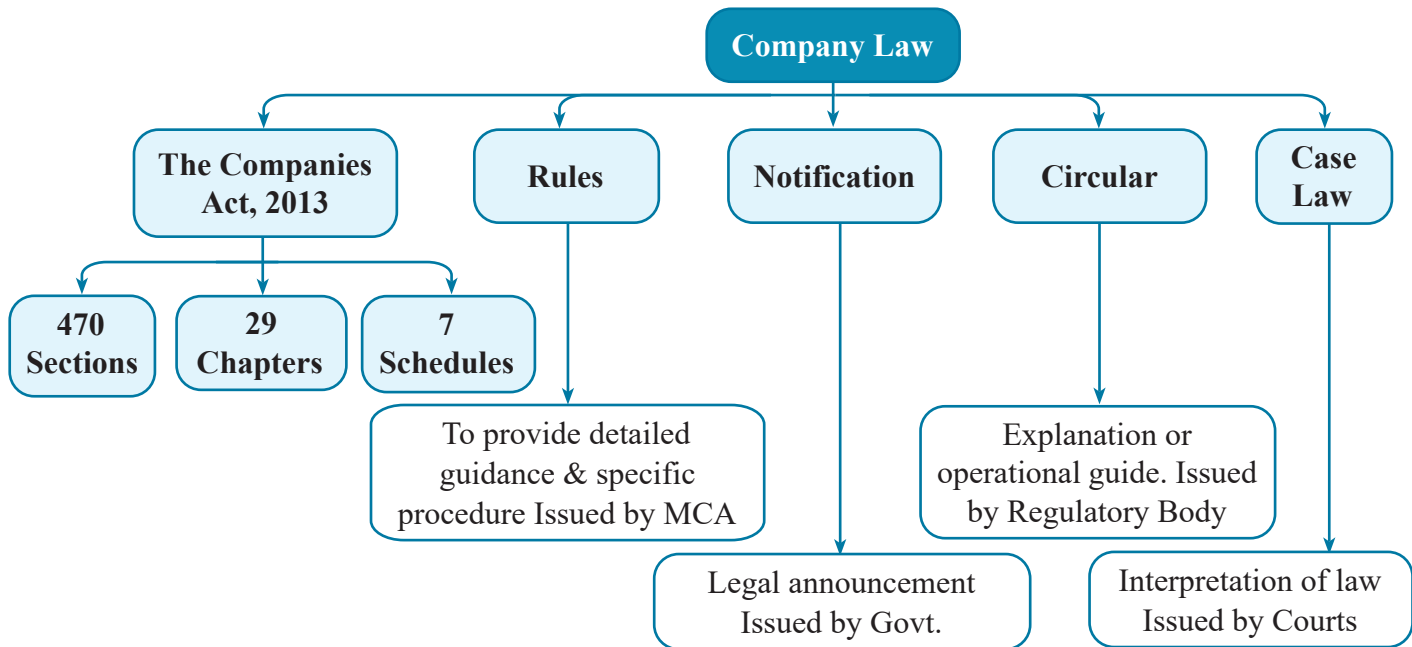
This book is the result of a collaborative effort to empower learners and professionals in their pursuit of legal and compliance excellence. It reflects our shared commitment to supporting aspirants as they navigate complex statutory frameworks with confidence and clarity. May this guide serve as a meaningful step toward your success—not only in examinations and practice, but in shaping a more informed and inclusive legal ecosystem.

**PART I : COMPANY LAW - PRINCIPLES &
CONCEPTS
(60 MARKS)**

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INTRODUCTION



Company Administration

With over 1.5 million registered companies in India, the role of regulatory bodies becomes indispensable in ensuring that corporate entities adhere to legal and ethical norms. Below Mentioned are Regulatory Authorities that are entrusted with power to Regulate the Compliance of the Companies Act,2013:

Authorities	Their Functioning
MCA	◆ The Ministry of Corporate Affairs (MCA) is entrusted with rule making power. ◆ It regulates corporate entities and ensures compliance with corporate laws. ◆ Manages the MCA21 portal, facilitating online company registration and compliance filings.
Regional Director (RD)	◆ The seven Regional Directors (RD) are in-charge of the respective regions, each region comprising a number of States and Union Territories. ◆ They supervise the working of the offices of the Registrars of Companies and the Official Liquidators working in their regions. ◆ They also Review and approve applications related to company name changes, especially in cases of similarity or conflict with existing names or trademarks.
Registrars of Companies (ROC)	◆ Registrars of Companies (ROC) are vested with the primary duty of registering companies floated in the respective states and the Union Territories. ◆ It also ensures that such companies comply with statutory requirements under the Act. ◆ There are 25 ROC offices across India, each responsible for a specific state or union territory.

INTRODUCTION TO COMPANY LAW

BASICS OF COMPANY LAW

Short Title, Extent, Commencement and Application [Section-1]

Title	This Act may be called “The Companies Act, 2013”. Long Title: “An Act to consolidate and amend the law relating to companies”.
Came into force	◆ The Companies Act, 2013 received the assent of the Hon’ble President of India on 29th August 2013 and ◆ Was notified in the Official Gazette on 30th August 2013 for public information stating that different dates may be appointed for enforcement of different provisions of the Companies Act, 2013, through notifications.
Application [Section 1(4)]	The provisions of this Act shall apply to: (a) Companies defined u/s 2(20); (b) Insurance Companies, except if inconsistent with Insurance Act, 1938 or IRDA Act, 1999; (c) Banking Companies, except if inconsistent with Banking Regulation Act, 1949; (d) Companies engaged in the generation or supply of electricity, except if inconsistent with Electricity Act, 2003; (e) Statutory Companies unless inconsistent with its Special Act; (f) Body corporate, incorporated by any Act for the time being in force, as the CG may, by notification, specify on this behalf.
Company	◆ Company means a voluntary organization of persons who are contributing their money in the common stock of the company and who agree to invest the same for a common goal/purpose, and to share the profits & the losses arising therefrom. ◆ Such persons are called as shareholders or members and the common stock is called as the share capital of the company. ◆ The word “Company” is derived from the Latin words ‘Com & Panis’ Com means ‘Together’ and Panis means ‘Bread’. ◆ Company means association of person who took their meal together.
‘Company’ Under [Section 2(20)]	As per Section 2(20) of the Companies Act, 2013 Company means a company incorporated: (a) Under this Act; or (b) Under any previous company law. Note: The word “Company” when used in Companies Act, does NOT include Foreign Companies or Company Incorporated Outside India.

Body Corporate or Corporation [Section 2(11)]	Section 2(11) of the Companies Act, 2013 provides that body corporate or corporation includes a company incorporated outside India, but does not include-
	(i) A co-operative society registered under any law relating to co- operative societies; and (ii) Any other body corporate (not being a company as defined in this Act), which the Central Government may, by notification, specify on this behalf.
	Note: Body Corporate is an entity which has these characteristics: ◆ Incorporated under its own Act ◆ Separate Legal Entity (Artificial Person) ◆ Perpetual Succession. ◆ Can sue or can be sued.

1. REFORMS BROUGHT UNDER THE COMPANIES ACT, 2013 FOR EASE OF DOING BUSINESS

The Companies Act of 2013 introduced several significant reforms over the Companies Act of 1956, aiming to modernize corporate governance and enhance transparency. Here are some concepts incorporated first time under the Companies Act, 2013:

I. Introduction of One Person Company (OPC):

The 2013 Act introduced the concept of OPC, allowing a single individual to form a company with limited liability, promoting entrepreneurship.

II. Mandatory Corporate Social Responsibility (CSR):

Companies meeting certain criteria are required to spend at least 2% of their average net profits from the preceding three years on CSR activities, integrating social responsibility into corporate operations.

III. Enhanced Role of Independent Directors:

The Act mandates the appointment of independent directors in certain companies to improve corporate governance and ensure unbiased decision-making.

IV. Mandatory Appointment of Women Directors:

Specified classes of companies are required to appoint at least one-woman director, promoting gender diversity in corporate leadership.

V. Establishment of National Company Law Tribunal (NCLT):

The NCLT was established to handle corporate disputes, mergers, and acquisitions, streamlining the adjudication process.

VI. Introduction of Class Action Suits:

Shareholders and depositors can collectively sue a company for fraudulent or wrongful acts, enhancing investor protection.

VII. Stricter Auditor Rotation and Independence:

The Act mandates the rotation of auditors and restricts them from providing certain non-audit services to the same client, ensuring auditor independence.

VIII. Simplification of Merger and Amalgamation Processes:

The Act introduced provisions for fast-track mergers and cross-border mergers, making corporate restructuring more efficient.

IX. E-Governance and Digitalization:

The Act facilitates electronic filing of documents, e-voting, and maintenance of records in electronic form, promoting transparency and efficiency.

2. DOCTRINES UNDER COMPANY LAW

In the context of company law, the term ‘**doctrine**’ refers to a set of established legal principles that serve as foundational guidelines for corporate operations and governance. These doctrines have been developed through judicial decisions and legislative enactments to address various aspects of corporate behavior and relationships. Under the Companies Act, 2013, several key doctrines play a crucial role in ensuring transparency, accountability, and fairness in corporate dealings. Understanding these doctrines is essential for comprehending how companies are expected to operate within the legal framework and how stakeholders are protected under the law.

WE ARE GOING TO STUDY 4 DOCTRINES

Doctrine of Ultra Vires

Doctrine of Constructive Notice

Doctrine of Indoor Management

Doctrine of Alter Ego

2.1 DOCTRINE OF ULTRA VIRES

Meaning	Ultra vires is a Latin term made up of two words “ultra” which means beyond and “vires” meaning power or authority. Ultra vires acts are any acts that lie beyond the authority of a company to perform. Any activity done in contrary to or in excess of the scope of activity of the Companies Act, Memorandum of Association or Articles of Association will be ultra vires.
Ultra Vires the companies Act	Section 6 of the Companies Act, 2013 expressly provides that the provisions of the Companies Act, 2013 shall prevail notwithstanding anything to the contrary contained in the memorandum or articles of a company, or in any agreement executed by it, or in any resolution passed by the company in general meeting or by its Board of Directors, whether the same be registered, executed or passed, as the case may be, before or after the commencement of this Act. Any act done contrary to or in excess of the scope of activity of the Companies Act will be ultra vires the Companies Act. Such an act is void and cannot be ratified even by unanimous resolution of all the shareholders. For Example: If board members are appointed or removed without following statutory provisions; payment of dividend out of capital or reduced the share capital of the company without complying with the legal formalities.
Ultra Vires the ‘MOA’	The memorandum of association of a company restricts the powers of the company while defining the object of the company. A company cannot do anything, which is beyond the purview of the object clause. Any act done in contrary to the object clause of the memorandum of association will be ultra vires the memorandum of association. In the case of a company whatever is not stated in the memorandum as the objects or powers is prohibited by the doctrine of ultra vires. As a result, an act which is ultra vires is void, and does not bind the company. Neither the company nor the contracting party can sue on it. Such an act is void and cannot be ratified even by unanimous resolution of all the shareholders

Ultra Vires the 'AOA'	If a company acts which are ultra vires the Articles of Association but intra vires the memorandum of association (i.e. outside the scope of articles but within the powers conferred by the memorandum) will be ultra vires the Articles of Association. That is, payment of interest on 'advance calls' at a rate higher than allowed by articles. These acts are also void, but the company in general meeting may alter the Articles by a special resolution and ratify the unauthorized acts.
Case Law: Ashbury Railway Carriage and Iron Company Ltd. v/s Richie, (1878)	The memorandum of the company in the said case defined its objects thus: "The objects for which the company is established are to make and sell, or lend or hire, railway plants to carry on the business of mechanical engineers and general contractors. The company entered into a contract with M/s. Riche, a firm of railway contractors to finance the construction of a railway line in Belgium. Riche brought a case for damages on the ground of breach of contract, as according to him the words "general contractors" in the objects clause gave power to the company to enter into such a contract and, therefore, it was within the powers of the company. More so because the contract was ratified by a majority of shareholders. The House of Lords held that the contract was ultra vires the company and, therefore, null and void. The term "general contractor" was interpreted to indicate the making generally of such contracts as are connected with the business of mechanical engineers. The Court held that if every shareholder of the company cannot ratify such a contract, as the contract was ultra vires the objects clause, which by Act of Parliament, they were prohibited from doing.

2.2 LOANS, BORROWINGS, GUARANTEES AND ULTRA VIRES RULE

An ultra vires borrowing does not create a relationship of a debtor and creditor. In a case, a company had accepted deposits from outsiders which was outside the scope of the Memorandum. When the company was ordered to be wound up, a question was raised whether the depositors were creditors of the company and whether the contributories could be asked to contribute towards payment of deposits. The Court held that the relationship between the company and the depositors was not that of debtor and creditor. But if the lender had lent the amount for discharging lawful expenses, he may recover the amount.

Whether a transaction is ultra vires the company can be decided on the basis of the following:

- ◆ If a transaction entered into by a company falls within the objects, it is not ultra vires and hence not void;
- ◆ If a transaction is outside the capacity (objects) of the company, it is ultra vires;
- ◆ If a transaction is in excess or abuse of the company's powers, it is ultra vires and such transaction will be set aside by the shareholders or even ratification by the shareholders would not validate the acts done beyond the authority of the company itself.

2.3 IMPLIED POWERS

The powers exercisable by a company are to be confined to the objects specified in the memorandum. While the objects are to be specified, the powers exercisable in respect of them may be express or implied and need not be specified.

Every company may necessarily possess certain powers which are implied, such as, a power to appoint and act through agents, and where it is a trading company, a power to borrow and give security for the purposes of its business, and also a power to sell. Such powers are incidental and can be inferred from the powers expressed in the memorandum. [Oak bank Oil Co. v. Crum (1882) 8 App Cas 65]. The principle underlying the exercise of such powers is that a company, in carrying on the business for which it is constituted, must be able to pursue those things which may be regarded as incidental to or consequential upon that business.

2.4 POWERS WHICH ARE NOT IMPLIED

The following powers have been held not to be implied and it is, therefore, prudent to include them expressly in the objects clauses:

1.	Acquiring any business similar to the company's own business.
2.	Entering into an agreement with other persons or companies for carrying on business in partnership or for sharing profit, joint venture or other arrangements. Very clear powers are necessary to justify such transactions.
3.	Taking shares in other companies having similar objects.
4.	Taking shares of other companies where such investment authorizes the doing indirectly that which will not be intra vires if done directly.
5.	Promoting other companies or helping them financially.
6.	A power to sell and dispose of the whole of a company's undertaking.
7.	A power to use funds for political purposes.
8.	A power to give gifts and make donations or contribution for charities not relating to the objects stated in the memorandum;
9.	Acting as a surety or as a guarantor

2.5 EFFECTS OF ULTRA VIRES TRANSACTIONS

- (i) **Void ab initio:** The ultra vires acts are null and void ab initio. The company is not bound by these acts. Even the company cannot sue or be sued upon. Ultra vires contracts are void ab initio and hence cannot become intra vires by reason of estoppel or ratification.
- (ii) **Injunction:** The members can get an injunction to restrain a company wherein ultra vires act has been or is about to be undertaken.
- (iii) **Personal liability of Directors:** It is one of the duties of directors to ensure that the corporate capital is used only for the legitimate business of the company and hence if such capital is diverted to purposes alien to the company's memorandum, the directors will be personally liable to replace it.

In case of deliberate misapplication, criminal action can also be taken for fraud. **However, a distinction must be drawn between transactions which are ultra vires the company and the transactions which are ultra vires the directors.**

Where the directors exceed their authority the same may be ratified by passing the resolution in the general body meeting of the shareholders. Provided the company has the capacity to do that transaction as per its memorandum of association.

- (iv) Where a company's money has been used ultra vires to acquire some property, the company's right over such property is held secure and the company will be the right party to protect the property.
This is because, though the property has been acquired for some ultra vires object, it represents the money of the company.
- (v) Ultra vires borrowing does not create the relationship of creditor and debtor.
- (vi) A company will not be liable for torts committed outside its objects.
- (vii) Directors cannot make an unauthorized grant unless the object is to promote prosperity of the company or the grant is incidental to carrying out of the object of the company.

A Guarantee for the payment of dividends, which enables the guarantee to bring an action against the company for reimbursement even when there is no profit, is ultra vires and void.

2.6 EXCEPTIONS TO THE DOCTRINE OF ULTRA VIRES

1. Any act which is performed irregularly, but otherwise it is intra-vires the company, can be validated by the shareholders of the company by giving their consent in general meeting.
2. If any act is deemed to be within the authority of the company by the companies Act, 2013 then they will not be considered as ultra-vires even if they are not expressly stated in the MOA
3. Any incidental or consequential effect of the ultra-vires act will not be invalid unless the companies Act, 2013 expressly prohibits such act.
4. Any act which is outside the authority of the directors of the company but otherwise it is intra-vires the company can be ratified by the shareholders of the company.

3. DOCTRINE OF CONSTRUCTIVE NOTICE

Applicability	This doctrine operates in favor of the company , i.e. it creates a presumption in favor of the company. It operates against the persons dealing with the company.
Effect of the doctrine	(i) Once registered the memorandum and articles become public documents (Sec. 399). Therefore, every person dealing with the company is presumed to have read the memorandum and articles. Further, it is presumed that he has understood the provisions of memorandum and articles correctly, i.e. in the right sense (ii) The doctrine prevents any person dealing with the company from alleging that he did not know the provisions contained in the articles or memorandum. (iii) If a person enters into a contract with the company in contravention of the provisions of the memorandum and articles, he cannot enforce such a contract. (iv) Any person entering into a contract with company which is in contravention of provisions of MOA or AOA cannot present a defense later on, that he did not know the provisions in these documents.
Case Law: Kotla Venkataswamy v. Chinta Ramamurthy	In this case, the court emphasized the importance of adhering to a company's internal regulations as outlined in its Articles of Association (AOA). The AOA specified that certain documents required signatures from the Managing Director, Secretary, and Working Director to be valid. In this instance, a mortgage bond was executed without the Managing Director's signature, rendering it invalid. The court held that individuals dealing with a company are presumed to have knowledge of its public documents, such as the AOA, and must ensure compliance with its stipulated procedures.
Example	A common example of Constructive Notice is when a court is unable to directly reach someone and publishes summons in the public newspaper and it is assumed that everybody has read it.

4. DOCTRINE OF INDOOR MANAGEMENT (TURQUAND RULE)

While the doctrine of, “constructive notice” seeks to protect the company against the outsiders, the principal of ‘indoor management’ operates to protect the outsiders against the company. This doctrine emphasizes on the concept that an outsider whose actions are in good faith and has entered into a transaction with a company can have a presumption that there are no irregularities internally and all the procedural requirements have been complied with by the company.

The doctrine of indoor management, also known as the Turquand rule is an around one fifty years old concept, which protects outsiders against the actions done by the company.

The doctrine of indoor management, which protects outsiders against the actions done by the company.

Example of Indoor Management:

Q. Planet Limited received a cheque from Earth Limited. The Articles of Association of Earth Limited provided that cheques issued by the company need to be signed by two directors and countersigned by the secretary. The directors nor the secretary who signed the cheque was appointed properly and thus the cheque issued was not valid. Planet Limited sued the company for the irregularities in the procedure. Is Planet Limited liable for relief?

Ans. Planet Limited is entitled to relief and the company has to pay the amount of the cheque since the appointment of directors is a part of the internal management of the company and a person dealing with the company is not required to enquire about it.

Case Law: Royal British Bank v. Turquand

The directors of a banking company were authorized by the articles to borrow on bonds such sums of money as should from time to time, by resolution of the company in general meeting, be authorized to borrow. The directors gave a bond to Turquand without the authority of any such resolution. It was held that Turquand could sue the company on the strength of the bond, as he was entitled to assume that the necessary resolution had been passed. Lord Hatherly observed: “Outsiders are bound to know the external position of the company but are not bound to know its indoor management.”

4.1 EXCEPTIONS TO THE DOCTRINE OF INDOOR MANAGEMENT

- (i) **Where the outsider had knowledge of irregularity:** The rule does not protect any person who has actual or even an implied notice of the lack of authority of the person acting on behalf of the company. Thus, a person knowing fully well that the directors do not have the authority to make the transaction but still enters into it, cannot seek protection under the rule of indoor management.
- (ii) **No knowledge of Memorandum and Articles:** the rule cannot be invoked in favour of a person who did not consult the memorandum and articles and thus did not rely on them.
- (iii) **Forgery:** The rule of indoor management does not extend to transactions involving forgery or to transactions which are otherwise void or illegal ab initio. In the case of forgery it is not that there is absence of free consent but there is no consent at all.
- (iv) **Negligence:** The ‘doctrine of indoor management’, in no way, rewards those who behave negligently. Thus, where an officer of a company does something which shall not ordinarily be within his powers, the person dealing with him must make proper enquiries and satisfy himself as to the officer’s authority.
- (v) This Doctrine is also not applicable where a pre-condition is required to be fulfilled before the company itself can exercise a particular power.
- (vi) Again, the doctrine of indoor management does not apply where the question is in regard to the very existence of an agency.

LET'S SOLVE A CASE STUDY

Q. Butterfly Limited receives a share certificate of Flower Limited issued under the seal of the company. The company secretary issues the certificate after affixing the seal and forging the signature of the two directors. Butterfly Limited files a lawsuit claiming that the forging of signatures is a part of the internal management of the company. Is the claim by Butterfly Limited valid and is liable to get relief?

Ans. According to the exceptions to the doctrine of indoor management, a transaction involving forgery is null and void. Since the document issued to Butterfly Limited is null and void, the claim made by him is not valid. Thus, he is not entitled to any relief.

5. LIFTING/PIERCING OF CORPORATE VEIL

Where the fraudulent intention to misuse the veil for the benefit of their own or conduct illegal act, such person will not get the benefit of acting behind veil and shall be held personally liable.

To prevent dishonest practice, court, can lift the corporate veil and look behind the corporate face.

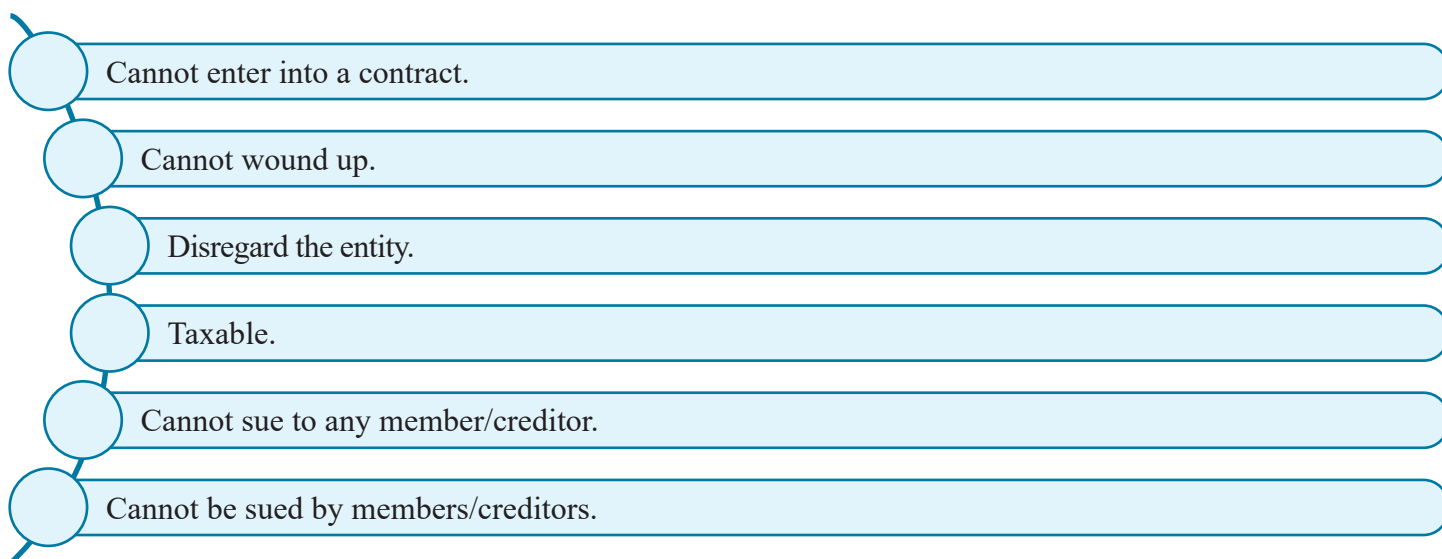
IN FOLLOWING CASES COURT CAN LIFT THE CORPORATE VEIL

- ◆ Fraudulent application for removal of name. Company fraudulently files the application to remove the name of the company so that creditors cannot claim in such situation court can lift the corporate veil.
- ◆ Criminal activity: If company is carrying any criminal activity under the corporate name then court can lift the veil.
- ◆ Conflict of public policy religious sentiments.
- ◆ Company is carrying such activities which is against the public policy or which hurt the religious sentiments.
- ◆ Submission of false information. Company is incorporated by submitting the false information.
- ◆ Avoidance of welfare legislation. Where the sole purpose of the company was to use it as a device to reduce the amount to be paid by way of bonus to workmen, the corporate veil should be pierced to look at the real transaction.
- ◆ Prevention of fraud. The formation of the company is to do fraud then court can lift the corporate veil.
- ◆ Determination of enemy character. To determine the enemy character of the company court can break the corporate veil.
- ◆ Protection of revenue Formation of the company is to evade the taxes then court can lift the veil.

6. SECTION 464 ILLEGAL ASSOCIATION

- ◆ Any unregistered association or partnership having more than 50 persons working for acquisition of gain shall be treated as an illegal association.
- ◆ It does not include
- ◆ Hindu undivided family or partnership firm formed by professionals who are governed by special Act. If a partnership firm formed by HUF having more than 50 major members shall be treated as an illegal association.

6.1 EFFECTS OF ILLEGAL ASSOCIATION



7. DOCTRINE OF ALTER EGO

The term “**Alter Ego**” is a Latin word. Literally translated, it means the “**Other I**”. More idiomatic it can be understood as the **Identical copy or a person’s clone**. It is a common tenet that a company is a separate legal entity from its shareholders and directors. This common law principle **grants immunity to the shareholders and directors** from being held liable for the debts as well as criminal liabilities of the corporation. The doctrine of alter ego, however, provides for an exception to this presumption in law.

Alter ego is the doctrine which **prevents the stakeholders of the corporation, i.e., shareholders and directors from taking the refuge of doctrine of separate legal entity**.

Hence, the Doctrine of **alter ego is based on lifting of the corporate veil** between the directors/ shareholders and the corporation and treating both as one entity.

The doctrine of alter ego is based on the assumption that the company as well as the shareholders and the managing directors are the alter egos of each other, i.e., one is the shadow or reflection of the other or can be understood as two sides of the same coin.

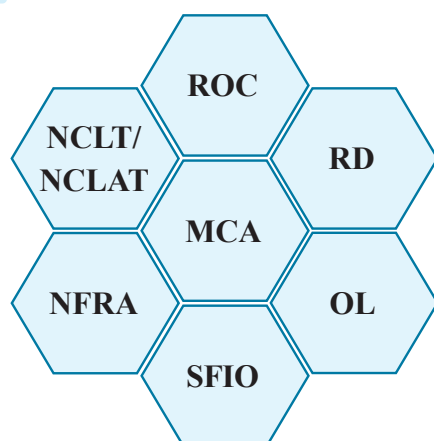
Hence, the courts can rely on alter ego doctrine when they find that there is a very thin line of distinction between the shareholders/directors and the corporation or a limited liability corporation. It is used by the courts to ignore the status of shareholders, officers, and directors of a company in reference to their liability in their respective capacity so that they may be held personally liable for their actions when they have acted fraudulently or unjustly.

Case Law: In Case **Lennard’s Carrying Co. Ltd. v. Asiatic Petroleum Co. Ltd. [1915] AC 705**, Viscount Haldane propounded the “alter ego” theory and distinguished it from vicarious liability. The House of Lords stated that the default of the managing director who is the “directing mind and will” of the company, would be attributed to him and he be held for the wrongdoing of the company.

8. E-GOVERNANCE AND MCA-21

Topic	Details
Definition of e-Governance	Electronic Governance (e-Governance) is the application of Information Technology to the Government functioning in order to bring about Simple, Moral, Accountable, Responsive and Transparent (SMART) Governance. e-Governance is a highly complex process requiring provision of hardware, software, networking and re-engineering of the procedures for better delivery of services. It’s part of the National e-Governance Plan (NeGP).
Need for e-Governance in MCA	Earlier: Manual filing of forms, long queues, risk of non-compliance, penalties & delays.
Initiative Taken	Launch of MCA-21 Project by the Ministry of Corporate Affairs, Government of India.
Objective of MCA-21	Easy & secure access to MCA services. Suitable for companies, professionals & the public.
Benefits of MCA-21	Improved efficiency, transparency, accountability. Shift from administrative work to policymaking.
Scope	Automation of processes under: ◆ Companies Act, 2013 ◆ LLP Act, 2008 ◆ Other allied laws & regulations
Outcome	Better compliance enforcement and service delivery in the corporate sector.

9. AGENCIES UNDER MCA-21



The Ministry of Corporate Affairs (MCA) is primarily concerned with administration of the Companies Act 2013, the Limited Liability Partnership Act, 2008 for regulating the functioning of the corporate sector in accordance with law.

Registrar of Companies (ROC) as defined under Section 2 (75) of the Companies Act, 2013 means a Registrar, having the duty of registering companies and discharging various functions under this Act.

Regional Director (RD) is in-charge of the respective region, each region comprising a number of States and Union Territories. They supervise the working of the offices of the Registrars of Companies and the Official Liquidators working in their regions.

National Company Law Tribunal/National Company Law Appellate Tribunal (NCLT/NCLAT)– The setting up of the NCLT and NCLAT are part of the efforts to move to a regime of faster resolution of corporate disputes, thus improving the ease of doing business in India.

10. IMPORTANT ASPECTS OF MCA-21

Organization of ROC Office under MCA The ROC office working from its present address has virtually become the Back Office of the Ministry. Since the number of companies/entities found it difficult to switch over to e-Filing at the initial stage, Facilitation Centers known as Physical Front Offices (PFOs) were set up throughout the Country to provide requisite comfort for e-Filing to such companies.

The major components involved in this comprehensive e-governance project are front office and back office.

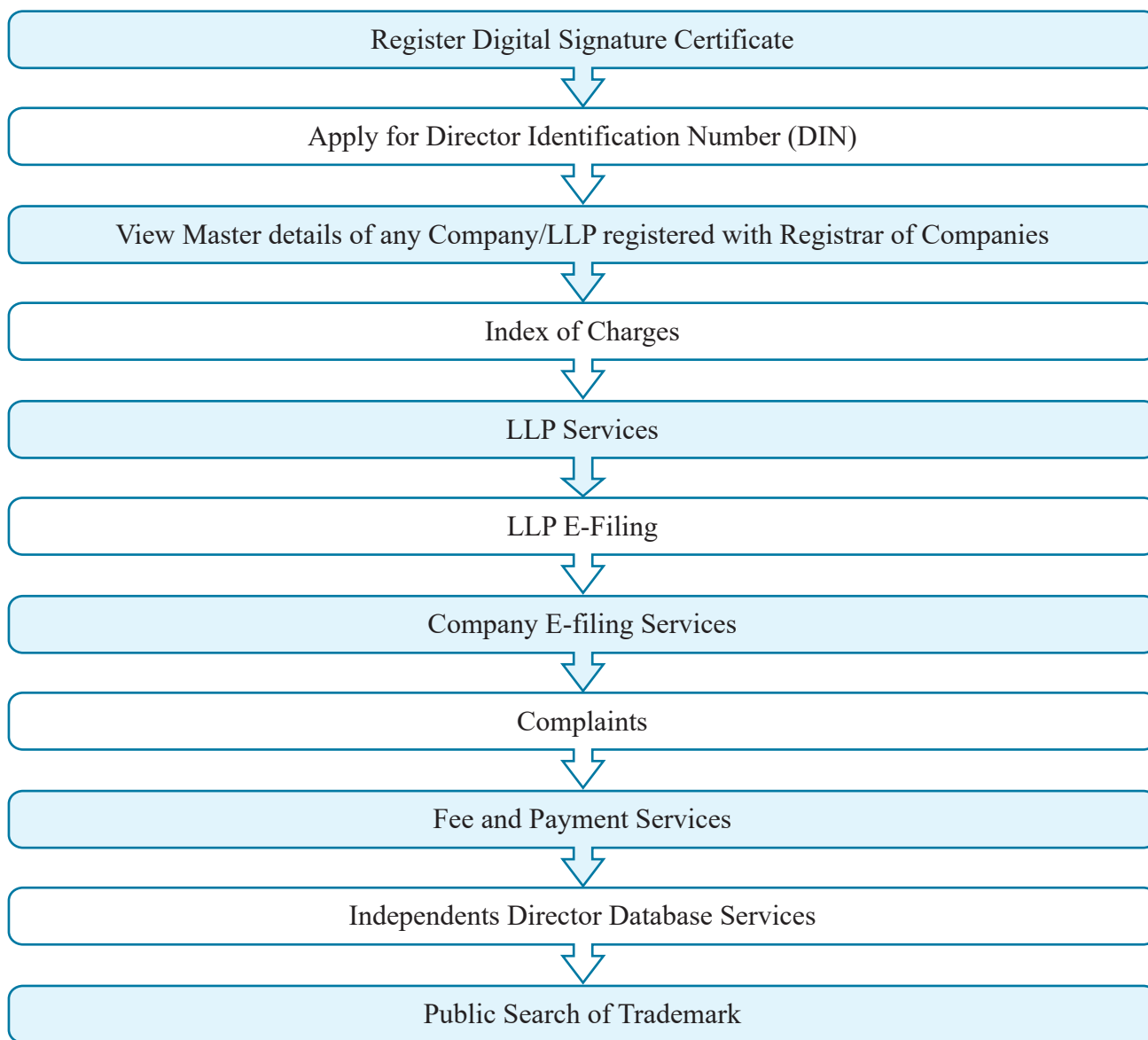
Front Office represents the interface of the corporate and public users with the MCA-21 system. This comprises of Virtual Front Office and Registrar's Front Office. virtual front office Virtual front office is one of the various channels available to stakeholders (companies and the professionals) to enable them to do the statutory filing with ROC Offices across the Country. It merely represents a computer facility for filing of digitally signed e-forms by accessing the MCA portal through internet (www.mca.gov.in).

Back Office represents the offices of Registrar of Companies, Regional Directors and Headquarters and takes care of internal processing of the forms filed by the corporate user as per MCA norms and guidelines. The e-forms are routed dynamically to the concerned authority for processing depending upon the assigned role. All the e-form along with attachments are stored in the electronic depository, which the staff of MCA can view depending upon the access rights.

11. CERTIFIED FILING CENTRE (CFC)

In order to provide the Companies to do their e Filing, Professional Institutes (ICSI, ICAI, ICAI-cost), their Regional Councils/Local chapters, individual practicing members and firms of professionals were authorized to create and set-up the required facilities for facilitating the e Filing process. The Certified Filing Centers, thus set-up by the Professionals are over and above the Registrar's Front Office set-up by the Ministry under the programme. While the services available from the Facilitation Centers set-up by the Ministry are without any charge, the services provided by these Certified Filing Centers entail payment of service charges.

12. MCA SERVICES



12.1 ALL ABOUT FILING AND FILING OF E-FORMS

An e-form is only a re-engineered conventional form notified and represents a document in electronic format for filing with MCA authorities through the Internet. This may be either a form filed for compliance or information purposes or an application seeking approval from the MCA. Users always use the latest e-forms from the MCA Portal.

Filing and filing of forms are an important part of the secretarial function of a Company Secretary is designated as the officer responsible for compliance under the Companies Act and other allied legislations.

12.2 PREREQUISITES FOR E-FILING ON MCA-21

Digital Signature certificate (DSC) of either Class 2 and Class 3 signing certificate category issued by a licensed Certifying Authority (CA) needs to be obtained for e-Filing on the MCA Portal.

Digital Signatures are legally admissible in a Court of Law, with a validity of one or two years.

12.3 HARDWARE AND SOFTWARE REQUIREMENTS UNDER E-FILING

The minimum system requirement for e-filing on MCA-21 are as under:

Computer System/laptop with Windows 2000 or later installed;

JRE (Java Runtime Environment) -Java version 8 is suggested;

Internet connection to access the MCA website;

Internet Explorer 10 or above/Chrome 49 or above /Firefox 45 or above;

Adobe Acrobat 11 or above version;

Scanner for scanning paper attachments;

Printer for printing bank challan or service fee payment receipt;

Pop-ups from MCA21 Portal must be enabled in your browser

13. NECESSITY OF PRE-CERTIFICATION OF E-FORMS

Introduction of pre-certification by an independent professional in the e-form aimed at reducing the workload of the Registrar of Companies.

Professionals are responsible for submitting/certifying documents (to be signed digitally by them) and the system would accept most of these documents online without approval by the Registrar of Companies or other officers of the Ministry.

If a professional gives a false certificate or omits any material information knowingly, he is liable to punishment under Section 447 and 448 of the Companies Act, 2013.

C-PACE (CENTRE FOR PROCESSING ACCELERATED CORPORATE EXIT)

- (i) The Central Government established a Central Processing Centre (CPC) for examining applications, e-Forms, or documents required under the Companies Act, 2013.
- (ii) Has all-India jurisdiction for processing specific e-forms related to company exit.
- (iii) The jurisdictional Registrar continues to oversee other company matters under the Companies Act, 2013.
- (iv) Examines applications, e-Forms, or documents filed under applicable rules.
- (v) Must take a decision within 30 days from the date of filing (excluding cases needing higher approvals).
- (vi) Provisions of Rule 10(2) to 10(5) apply mutatis mutandis to C-PACE processing.

PAST YEAR QUESTIONS

1. Arun entered into a transaction with Brilliant Merchandise Ltd. For a contract worth Rs. 51 Lakh. The A.O.A. of the company stipulate that a contract above Rs. 25 Lakh should be approved by a meeting of the Board of Directors. Anjaan, Deputy General Manager (commercial) produces a forged document which shows a resolution approving the contract having been passed in a Board Meeting. Later the forgery is discovered. Arup pleads that his contract with the company is protected by the Doctrine of Indoor Management. Will Arup succeed? **[5 Marks (Dec 2020)]**
2. Hardev Lal, Director of JKI. Limited acted bona fide to pursue one of the objects of the Company not falling within the 'Object Clause' of its Memorandum of Association. Subsequently, such fact were noticed through the contents of the Boards Report wherein it was reported that such persuasion had resulted in a loss to the Company to the extent of 25Lakh during the first year itself. The members of the Company disapproved the transaction and required explanation from the Board of Directors. As a Company Secretary, what do you advise the management in this matter and how to fix the responsibility of Hardev Lal. Support your answer with the help of leading case law. **[5 Marks (Dec 2022)]**
3. Explain the concept of "Indoor Management" with exception of forgery and negligence as per the provisions of the Companies Act, 2023. **[5 Marks (June 2024)]**
4. The paid-up capital of X Ltd. is ₹ 10 Crore and Reserve & Surplus are negative (due to huge losses since previous few years) amounting ₹ 7 300 Crore. To pay the dues to creditors, the Board of Directors passed the resolution for borrowing of ₹ 50 Crore and got funded through Financial Institution in term of Medium-Term Loan for 3 years. Entire amount was utilized to pay the debts. The Financial Institution when got the information that such act was ultra vires transaction, filed a suit against the directors of the company. The plea of the directors was that shareholders and directors have limited liability and doctrine of indoor management is applicable. Therefore, they are not personally liable. Comment. **[Dec. 2020 (4 Marks)]**
5. The Article of Association of XYZ Ltd. provides that the Board of directors has authority to issue bonds provided such issue is authorized by the shareholders by a necessary resolution in the general meeting of the company. The company was in dire need of funds and therefore it issued the bonds to X without passing any such resolution at general meeting Can X recover the money from the company? Decide referring the relevant case laws and provisions of the Companies Act, 2013? **[June 2021 (4 Marks)]**

LEGAL STATUS AND TYPES OF REGISTERED COMPANIES

WHAT IS A COMPANY?

In popular parlance, a company denotes an association of likeminded persons formed for the purpose of carrying on some business or undertaking. A company under law is a **corporate body and a legal person** having status and personality **distinct and separate** from the members constituting it. It is **called a body corporate** because the persons composing it are made into one body by incorporating it according to the law and clothing it with legal personality.

The word '**corporation**' is derived from the Latin term '**corpus**' which means '**body**'.

Accordingly, '**corporation**' is a legal person created by a process other than natural birth. As a legal person, a corporate is capable of enjoying many rights and incurring many liabilities of a natural person.

An incorporated company owes its existence either to a **Special Act of Parliament or to Company Law**. Public corporations like **Life Insurance Corporation of India, SBI etc.**, have been brought into existence through special Acts of Parliament, whereas companies like **Tata Steel Ltd., Reliance Industries Limited** have been formed under the Company law.

DEFINITION OF A COMPANY

In terms of the Companies Act, 2013 a "**company**" means a company incorporated under this Act or under any previous company law [Section 2(20)].

A company is created by law and law alone can dissolve it.

1. LEGAL STATUS OF REGISTERED COMPANIES

On incorporation becomes

A Company

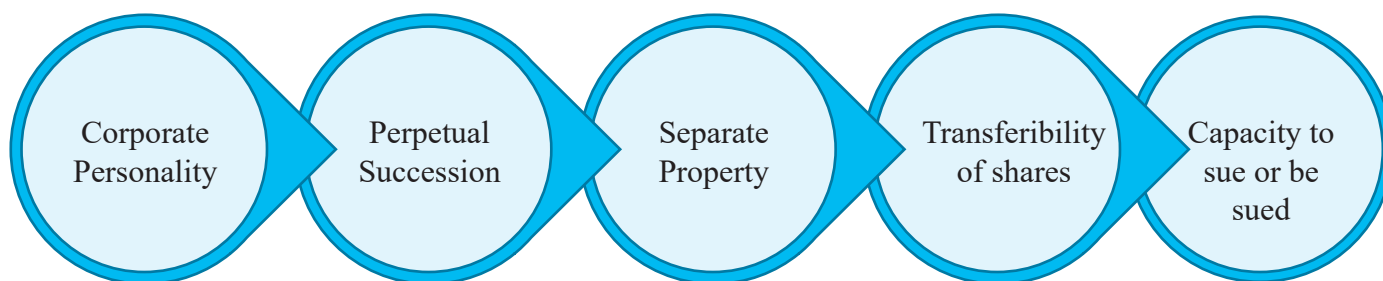


Artificial Juridical Person

Since a corporate body (i.e. a company) is the creation of law, it is not a human being, it is an artificial juridical person (i.e. created by law) and it is clothed with many rights, obligations, powers and duties prescribed by law. It can, however, do everything what a natural person can do except certain acts which require personal execution. Thus, a company cannot marry or divorce; it cannot vote in an election.

On incorporation, the company acquires a separate legal entity status distinct from and independent of its members. Unlike a partnership, which has no separate existence from its partners, a company has a separate corporate existence. It is different from the members who constitute it.

2. THE MOST STRIKING CHARACTERISTICS OF A COMPANY ARE DISCUSSED BELOW



2.1 CORPORATE PERSONALITY

A company incorporated under the Act is vested with a Corporate Personality.

It bears its own name and acts thereunder;

Its assets are separate and distinct from those of its members;

It is a different ‘person’ from the members who compose it;

It can incur debts, borrow money, have a bank account, employ people, enter into contracts and can sue or be sued; and

It is capable of owning property.

- ◆ Its shareholders are its notional owners and do not own anything in it except ownership of shares issued and they can be its creditors simultaneously.

NOTE: A shareholder cannot be held liable for the acts of the company even if he holds virtually the entire share capital.

- ◆ The shareholders are not the agents of the company and so they cannot bind it by their acts. The company does not hold its property as an agent or trustee for its members and they cannot sue to enforce its rights, nor can they be sued in respect of its liabilities.

CASE LAW: SALOMON V. SALOMON & CO. LTD. (1897)

FACTS

Mr. Salomon had a successful leather and boot business, which he sold to a company he incorporated—*Salomon & Co. Ltd.*

The company was formed with Salomon, his wife, daughter, and four sons as shareholders (holding one share each), totalling £7 in paid-up capital.

In return for the sale of his business valued at £38,782:

Salomon received **£10,000 in debentures** (secured by a floating charge),

20,000 fully paid £1 shares, and £8,782 in cash.

Salomon was the managing director, and two of his sons were directors.

The company later became insolvent. Its total assets were £6,050, while liabilities included: £10,000 due to Salomon (debentures), and £8,000 to unsecured creditors.

The unsecured creditors argued that the company was merely a façade or agent of Salomon and he should be personally liable.

JUDGMENT BY THE HOUSE OF LORDS

The **company was a separate legal entity**, distinct from Salomon and the shareholders.

The company was **not an agent or trustee** of Salomon.

The **limited liability** principle applies, even if one person holds majority control.

The **Companies Act 2013** does not require subscribers to be independent or hold substantial interest.

LEGAL PRINCIPLE ESTABLISHED

The **Doctrine of Corporate Personality**: Once incorporated, a company is an **independent legal entity** regardless of who controls it or their relationship.

2.2 PERPETUAL SUCCESSION

Meaning

Perpetual Succession means that the membership of the company may change from time to time, but this does not affect its continuity. An incorporated company never dies, except when it is wound up as per law.

A company being a separate legal person is unaffected by death/Insolvency/retirement or departure of any member or director;

It remains the same entity, despite total change in the membership.

- ◆ According to section 9 of the Companies Act, 2013, from the date of incorporation mentioned in the certificate of incorporation, such subscribers to the memorandum and all other persons, as may, from time to time, become members of the company, shall be a body corporate by the name contained in the memorandum, capable of exercising all the functions of an incorporated company under this Act and having perpetual succession with power to acquire, hold and dispose of property, both movable and immovable, tangible and intangible, to contract and to sue and be sued, by the said name.

2.3 SEPARATE PROPERTY

A company being a legal person and entirely distinct from its members, is capable of owing, enjoying and disposing off property on its own name.

CASE LAW

MRS. BACHA F. GUZDAR V. COMMISSIONER OF INCOME TAX, BOMBAY, AIR 1955

The **Supreme Court** in this case held that, though the income of a tea company is entitled to be exempted from Income-tax up to 60% being partly agricultural, the same income when received by a shareholder in the form of dividend cannot be regarded as agricultural income for the assessment of income-tax.

It was also observed by the Supreme Court that a shareholder does not, as is erroneously believed by some people, become the part owner of the company or its property; he is only given certain rights by law, e.g., to receive notice of or to attend or vote at the meetings of the shareholders.

The court refused to identify the shareholders with the company and reiterated the distinct personality of the company. As a corporate entity, the company is entitled to own and hold property in its own name or to dispose the same.

No member can claim ownership of any item of the company's assets. As a company is a legal person it is capable of holding and disposing the property in its name through authorized representative.

2.4 TRANSFERABILITY OF SHARES

The capital of a company is divided into parts, called shares;

The shares are said to be movable property;

The shares are subject to certain conditions levied by law on free transferability;

No shareholder is permanently or necessarily wedded to a company.

◆ Shares are Movable Properties:

- Section 44 of the Companies Act, 2013 enunciates the principle by providing that the shares held by the members are movable property and can be transferred from one person to another in the manner provided by the articles.
- If the articles do not provide anything for the transfer of shares and the Regulations contained in Table "F" in Schedule I to the Companies Act, 2013, are also expressly excluded, the transfer of shares will be governed by the general law relating to transfer of movable property.
- A member may sell his shares in the open market and realize the money invested by him. This provides liquidity to a member (as he can freely sell his shares) and ensures stability to the company (as the member is not withdrawing his money from the company).
- The Stock Exchanges provide adequate facilities for the sale and purchase of shares of listed entities.
- In the listed companies, the shares are transferable through Electronics mode i.e. through Depository Participants in dematerialized form instead of physical transfers.

Test Yourself

Q. In case of any shareholders' agreement amongst the shareholders with specific restriction like right of first refusal or pre-emptive right given to any shareholders, whether such restrictions are enforceable or not if the same are not part of the Articles of Association?

Ans. As per the decision of Supreme Court in V.B. Rangaraj v. V.B Gopalakrishnan and other AIR 1992 SC 453, it was held that the clause of shareholders agreement shall be enforceable provided the same are main part of the article of association.

2.5 CAPACITY TO SUE OR BE SUED

A company being a body corporate

◆ Can sue
◆ And be sued } In its own Name

- ◆ To sue means to institute legal proceedings against (a person) or to bring a suit in a court of law. All legal proceedings against the company are to be instituted in its name.
- ◆ Similarly, the company may bring an action against anyone in its own name. A company's right to sue arises when some loss is caused to the company, i.e. to the property or the personality of the company.
- ◆ Hence, the company is entitled to sue for damages in libel or slander as the case may be. A company, as a person distinct from its members, may even sue one of its own members.

3. COMPANY IS NOT A CITIZEN

- ◆ The company, though a legal person, is not a citizen under the Citizenship Act, 1955 or the Constitution of India.
- ◆ **The reason as to why a company cannot be treated as a citizen is that citizenship is available to individuals or natural persons only and not to juristic persons.**
- ◆ In **State Trading Corporation of India Ltd. v. C.T.O., A.I.R. 1963**, the Supreme Court held that the State Trading Corporation, though a legal person, was **not a citizen** and can act only through natural persons. Nevertheless, it is to be noted that certain fundamental rights enshrined in the Constitution for protection of “person”, e.g., **right to equality** (Article 14) etc. are also available to companies. Section 2(f) of Citizenship Act, 1955 expressly **excludes a company or association or body of individuals from citizenship.**

CASE LAW

IN R.C. COOPER V. UNION OF INDIA, AIR 1970

In this case, the Supreme Court held that where the legislative measures directly touch the company of which the petitioner is a shareholder, he can petition on behalf of the company, if by the impugned action, his rights are also infringed. In that case, the court entertained the petition under Article 32 of the Constitution at the instance of a director as shareholder of a company and granted relief. It is, therefore, to be noted that an individual's right is not lost by reason of the fact that he is a shareholder of the company.

4. COMPANY HAS NATIONALITY AND RESIDENCE

- ◆ “It was suggested that a body corporate has no domicile. It is quite true that a corporate body cannot have a domicile in the same sense as an individual. But by analogy with a natural person the attributes of residence, domicile and nationality can be given to a body corporate.”

5. LIMITED LIABILITY

- ◆ “The privilege of limited liability for business debts is one of the principal advantages of doing business under the corporate form of organization”. The company, being a separate person, is the owner of its assets and bound by its liabilities.
- ◆ The liability of a member as shareholder, extends to the contribution to the capital of the company up to the nominal value of the shares held and not paid by him.
- ◆ Members, even as a whole, are neither the owners of the company's undertakings, nor liable for its debts. In other words, a shareholder is liable to pay the balance, if any, due on the shares held by him, when called upon to pay and nothing more, even if the liabilities of the company far exceed its assets. This means that the liability of a member is limited.

FOR EXAMPLE

If A holds shares of the total nominal value of 1,000 and has already paid Rs.500/- (or 50% of the value) as part payment at the time of allotment, he cannot be called upon to pay more than Rs. 500/-, the amount remaining unpaid on his shares. If he holds fully-paid shares, he has no further liability to pay even if the company is declared insolvent. In the case of a company limited by guarantee, the liability of members is limited to a specified amount of the guarantee mentioned in the memorandum.

5.1 EXCEPTIONS TO THE PRINCIPLE OF LIMITED LIABILITY

- ◆ Members are severally liable in certain cases- The following are the prerequisites for attracting the provisions of Section 3A:
 1. The number of members of the Company is reduced to below seven in case of public company or below two in case of private company;
 2. The company carries on business for more than six months with such less number of members;
 3. The members are cognizant of the fact that the company is carrying business with such a less number of members.

In such case the remaining members continuing in the company shall be liable for the payment of whole debts of the company contracted during that time.
- ◆ When the company is incorporated as an Unlimited Company under Section 3(2)(c) of the Act.
- ◆ Where a company has been got **incorporated by furnishing any false or incorrect information** or representation or by suppressing any material fact or information in any of the documents or declaration filed or made for incorporating such company or by any fraudulent action, the Tribunal may, on an application made to it, on being satisfied that the situation so warrants, direct that liability of the members of such company shall be unlimited. [Section 7(7)(b)]
- ◆ Further under **section 339(1)**, where **in the course of winding up** it appears that any business of the company has been carried on with an intent to defraud creditors of the company or any other persons or for any fraudulent purpose, the Tribunal may declare the persons who were knowingly parties to the carrying on of the business in the manner aforesaid as personally liable, without limitation of liability, for all or any of the debts/liabilities of the company. [Section 339]
- ◆ Under **Section 35(3)**, where it is proved that a **prospectus has been issued with intent to defraud the applicants** for the securities of a company or any other person or for any fraudulent purpose, every person who was a director at the time of issue of the prospectus or has been named as a director in the prospectus or every person who has authorized the issue of prospectus or every promoter or a person referred to as an expert in the prospectus **shall be personally responsible**, without any limitation of liability, for all or any of the losses or damages that may have been incurred by any person who subscribed to the securities on the basis of such prospectus.
- ◆ As per **section 75(1)**, where a **company fails to repay the deposit or part thereof** or any interest thereon referred to in section 74 within the time specified or such further time as may be allowed by the Tribunal and it is proved that the deposits had been accepted with intent to defraud the depositors or for any fraudulent purpose, every officer of the company who was responsible for the acceptance of such deposit shall, without prejudice to other liabilities, also be **personally responsible, without any limitation of liability**, for all or any of the losses or damages that may have been incurred by the depositors.
- ◆ **Section 224(5)** states that where the report made by an **inspector states that fraud has taken place in a company** and due to such fraud any director, key managerial personnel, other officer of the company or any other person or entity, has taken undue advantage or benefit, whether in the form of any asset, property or cash or in any other manner, the Central Government may file an application before the Tribunal for appropriate orders with regard to disgorgement of such asset, property, or cash, and also for holding such **director, key managerial personnel, officer or other person liable personally without any limitation of liability**.

6. CONTRACTUAL RIGHTS

WHAT ARE CONTRACTUAL RIGHTS?

They refer to a guaranteed set of rights given to all the parties (two or more) when they enter into a valid contract. Contract rights usually involve business matters. Some common types of contractual rights are:

- ◆ Right to purchase a product or service;



◆ Right to sell a product or service, etc.

- ☞ A company, being a legal entity different from its members, can enter into contracts for the conduct of the business in its own name. A shareholder cannot enforce a contract made by his company; he is neither a party to the contract, nor entitled to the benefit derived from it, as a company is not a trustee for its shareholders. Likewise, a shareholder cannot be sued on contracts made by his company.
- ☞ If a director fails to disclose a breach of his duties towards his company, and in consequence a shareholder is induced to enter into a contract with the director on behalf of the company which he would not have entered into had there been disclosure, the shareholder cannot rescind the contract.
- ☞ Similarly, a member of a company cannot sue in respect of torts committed against the company, nor can he be sued for torts committed by the company. Therefore, the company as a legal person can take action to enforce its legal rights or be sued for breach of its legal duties. Its rights and duties are distinct from those of its constituent members.

7. DISADVANTAGES OF REGISTERED COMPANIES

LET US DISCUSS CERTAIN DISADVANTAGES OF COMPANIES

Formality and Expense: Registration of a company involves a lot of statutory formalities and the consequent expense. The affairs and working of a company have to be conducted strictly in accordance with the applicable legal provisions, non-compliance of which entails penal consequence.

Privacy Loss: Another form of disadvantage of a company is loss of privacy. Various returns, resolutions and documents are to be uploaded and filed with the Registrar of Companies.

Diversified Control: The members of the company cannot have as effective control over the workings of company as in sole proprietorship and partnership business models.

Public Accountability: The Company cannot work in contravention to public interest, because as and when the public interest will come in conflict with corporate working, intervention by regulatory authorities will be triggered.

Fraud Possibilities: The company operates through control of economic resources in a few hands, there is a possibility that the other people who have contributed funds to the company either as shareholder or debenture holder or creditor or lender, those few hands may defraud by diverting funds of the company to their private channels.

8. TYPES OF COMPANIES

Types of Companies

Statutory Company: A company may be incorporated by means of a special Act of the Parliament or any State legislature. Such companies are called statutory companies. These companies are generally formed to carry out some special public undertakings, e.g railways, waterways, electricity generation etc.

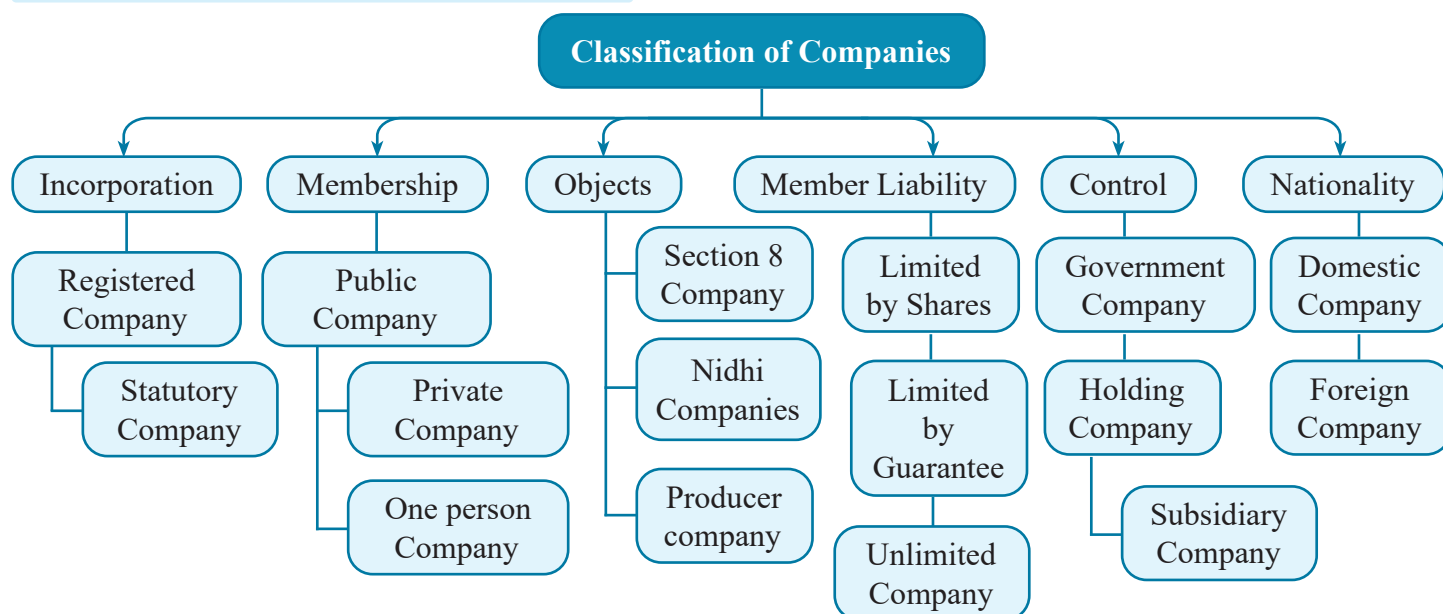
Registered Companies: The companies registered under the Companies Act, 2013 or the earlier Companies Acts are called registered companies. Such companies come into existence when they are registered under the Companies Act and a Certificate of incorporation is granted to them by the Registrar.

Unregistered Companies: An unregistered company is a company which is not registered or covered under the provisions of the Companies Act, 2013. It includes partnership firms, society or co-operation society, railway company incorporated under any Act of Parliament or any other Indian law or registered under any previous law.

IN INDIA, THE TWO COMMON TYPES OF COMPANIES WHICH MAY BE REGISTERED ARE

- ◆ Private Company
- ◆ Public Company
- ◆ Section 3 of the Companies Act, 2013 read with the Companies (Incorporation) Rules, 2014, states that:
 1. A company may be formed for any lawful purpose by—
 - (a) Seven or more persons, where the company to be formed is a public company;
 - (b) Two or more persons, where the company to be formed is a private company; or
 - (c) One person, where the company to be formed is a One Person Company, that is to say, a private limited company, by subscribing their names or his name to a memorandum and complying with the requirements of the act in respect of registration.
 2. A company formed under sub-section (1) may be either—
 - (a) A company limited by shares; or
 - (b) A company limited by guarantee; or
 - (c) An unlimited company.

9. CLASSIFICATION OF COMPANIES



SOME OF THE BASIC FORMS OF CLASSIFICATION OF COMPANIES ARE MENTIONED AS BELOW

- (i) **Classification on the basis of Incorporation:** Companies may be incorporated under the following categories:
 - (a) **Registered Companies:** The companies which are incorporated under the Companies Act, 2013 or under any previous company law and registered with the Registrar of Companies, fall under this category.
 - (b) **Statutory Companies:** These are constituted by a Special Act of Parliament or State Legislature. The provisions of the Companies Act, 2013 do not apply to them.
For example: Life Insurance Corporation of India.
- (ii) **Classification on the basis of Liability: Under this category there are three types of companies: -**
 - (a) **Companies limited by shares:** A company that has the liability of its members limited by the liability clause in the memorandum to the amount, if any, unpaid on the shares respectively held by them is termed as a company limited by shares. **Section 2(22)** of the Companies Act, 2013 provides that “Company limited by shares” means a company having the liability of its members limited by the memorandum to the amount, if any, unpaid on the shares respectively held by them.

For example: a shareholder who has paid Rs.75 on a share of face value Rupees 100 can be called upon to pay the balance of Rupees.25 only. Companies limited by shares are by far the most common and it may be either public or private.

- (b) **Companies limited by guarantee: Section 2(21)** of the Companies Act, 2013 provides that a company that has the liability of its members limited to such amount as the members may respectively undertake, by the memorandum, to contribute to the assets of the company in the event of its being wound-up, is known as a company limited by guarantee. The members of a guarantee company are, in effect, placed in the position of guarantors of the company's debts up to the agreed amount. The members are liable to the company and to any other person.
- (c) **Unlimited Companies:** In this type of company, the liability of members of the company is unlimited, **Section 2(92)** of the Companies Act, 2013 provides that unlimited company means a company not having any limit on the liability of its members, such companies may or may not have share capital. They may be either a public company or a private company. The members are liable to the company and to any other person.

(iii) Other Forms of Companies

(a) **Section 8 Company/Non-Profit Oriented Company:**

A company whose sole objective is to promote commerce, art, science, sports education, research, social welfare, religion, charity, protection of environment or any other useful purpose and not having any profit motive will be termed as a non-profit company. Such a company must apply its profits or other incomes in promoting its objects.

(b) **Government Companies:**

As per section 2(45) of the Companies Act, 2013 the "Government Company" means any company in which not less than **fifty-one per cent** of the paid-up share capital is held by the Central Government, or by any State Government or Governments, or partly by the Central Government and partly by one or more State Governments, and includes a company which is a subsidiary company of such a Government company.

Explanation- For the purposes of this clause, the "paid up share capital" shall be construed as "total voting power", where shares with differential voting rights have been issued.

(c) **Holding Company:**

As per section 2(46) of the Companies Act, 2013, the "holding company", in relation to one or more other companies, means a company of which such companies are subsidiary companies. **Explanation:** For the purpose of this clause "company" includes any body corporate.

(d) **Subsidiary Company:**

As per **section 2(87)** of the Companies Act, 2013 "subsidiary company" or "subsidiary", in relation to any other company (that is to say the holding company), means a company in which the holding company—

- (i) Controls the composition of the Board of Directors; or
- (ii) Exercises or controls **more than one-half** of the total voting power either at its own or together with one or more of its subsidiary companies;

Provided that such class or classes of holding companies as may be prescribed **shall not have layers of subsidiaries** beyond such numbers as may be prescribed.

Explanation. - For the purposes of this clause, —

- (a) A company shall be **deemed to be a subsidiary company** of the holding company even if the control referred to in sub-clause (i) or sub-clause (ii) is of another subsidiary company of the holding company;
- (b) The composition of a company's Board of Directors shall be deemed to be **controlled** by another company if that other company by exercise of some power exercisable by it at its discretion can appoint or remove **all or a majority** of the directors;
- (c) The expression "**company**" **includes any body corporate**;
- (d) "Layer" in relation to a holding company means its subsidiary or subsidiaries.

◆ What is a Wholly Owned Subsidiary Company?

- ☛ A wholly owned subsidiary company is a company that is incorporated under the provisions of the Companies Act, 2013 in which hundred percent paid-up share capital of such a company is held by another company (the parent company).

Example: Reliance Industrial Investment and Holdings Limited (RIIHL), is a wholly owned subsidiary of the Reliance Industries Limited (RIL).

(e) Associate Companies/Joint Venture Company:

As per **section 2(6)** of the Companies Act, 2013 the “associate company”, in relation to another company, means a company in which that other company has a significant influence, but which is not a subsidiary company of the company having such influence and includes a joint venture company.

Explanation. - For the purpose of this clause;

- (i) The expression “**significant influence**” means control of at least twenty percent. of total voting power, or control of or participation in business decisions under an agreement;
 - (ii) The expression “**joint venture**” means a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement.
- (f) **Dormant Companies** covered under **Section 455** of the Companies Act, 2013 and includes a company which is formed and registered under the Act for a future project or to hold an asset or intellectual property and which has not been carrying on any business or operation, or **has not made any significant accounting transaction during the last two financial years**, or **has not filed financial statements and annual returns during the last two financial years**.

(g) Small Company:

The definition of small company under **Section 2(85)** read with Rule 2(1)(t) of the Companies (Specification of definitions Details) Rules, 2014 with effect from September 15, 2022 is hereunder: “Small company” means a company, other than a public company, —

- (i) Paid-up share capital of which does **not exceed four crore rupees** or such higher amount as may be prescribed which shall not be more than ten crore rupees; and
- (ii) Turnover of which as per profit and loss account for the immediately preceding financial year **does not exceed forty crore rupees** or such higher amount as may be prescribed which shall not be more than one hundred crore rupees:

Provided that nothing in this clause shall apply to—

- (A) A holding company or a subsidiary company;
- (B) A company registered under Section 8; or
- (C) A company or body corporate governed by any special Act.

(h) One Person Company:

As per **Section 2(62)** of the Companies Act, 2013, an OPC means a company which has only ONE PERSON as a member. [Such a member shall not be an artificial person.]

This is a new concept introduced by the Companies Act, 2013. The Companies Act, 1956 does not define the term “one person company”.

A one person company is the company incorporated as a private company which has **only one member, though it may have 1 or more directors**.

(i) Domestic Company:

A domestic company is a company that conducts its affairs in its home country. It should be registered under the provisions of the Companies Act, 2013 or earlier law applicable in India. The domestic company shall have a registered office in India.

As per **Section 2(22A)** of the Income-tax Act, 1961, Domestic Company means an Indian Company, or any other Company which, in respect of its income liable to tax under this Act, has made the prescribed arrangements for the declaration and payment, within India, of the dividends (including dividends on preference shares) payable out of such income.

10. PRIVATE COMPANY

As per **Section 2(68)** of the Companies Act, 2013, “private company” means a company having a minimum paid up share capital as may be prescribed, and which by its articles:

- (i) Restricts the right to transfer its shares;
- (ii) Except in case of One Person Company, limits the number of its members to two hundred:
Provided that where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of this clause, be treated as a single member:

Provided further that

- (a) Persons who are in the employment of the company;
- (b) And persons who, having been formerly in the employment of the company, were members of the company while in that employment and have continued to be members after the employment ceased, shall not be included in the number of members; and
- (iii) Prohibits any invitation to the public to subscribe for any securities of the company.

The aforesaid definition of private limited company specifies the restrictions, limitations and prohibitions, which must be expressly provided in the articles of association of a private limited company.

- ☛ As per proviso to **Section 14 (1)** of the Act, if a company being a private company alters its articles in such a manner that they no longer include the restrictions and limitations which are required to be included in the articles of a private company under this Act, such company shall, as from the date of such alteration, cease to be a private company.
- ☛ **The words ‘Private Limited’ must be added at the end of its name by a private limited company.**
- ☛ As per **section 3(1)**, a private company may be formed for any lawful purpose by two or more persons, by subscribing their names to a memorandum and complying with the requirements of this Act in respect of registration.
- ☛ **Section 149(1)** further lays down that a private company shall have a **minimum number of two directors**. The only two members may also be the two directors of the private company.

10.1 CHARACTERISTICS OF PRIVATE LIMITED COMPANY

Limit on Members

- ◆ To start a company, a minimum number of 2 members is required and a maximum number of 200 members as per the provisions of the Companies Act, 2013.

Limited Liability Structure

- ◆ The liability of each member or shareholders is limited. It means that if a company faces loss under any circumstances then its shareholders are not liable to sell their own assets for payment. Thus, the personal, individual assets of the shareholders are not at risk.

A Number of Directors

- ◆ When it comes to directors, a private company needs to have a minimum of two directors. With the existence of 2 directors, a private company can come into existence and can start with its operations.

Paid up Capital

- ◆ There is no minimum capital requirement in case of private limited companies.

Name

- ◆ It is mandatory for all the private companies to use the word “private limited” after its name.

11. PUBLIC COMPANY

Section 2(71), a public company means a company which:

- (a) Is not a private company;
- (b) Has a minimum paid-up share capital, as may be prescribed;
- (c) Subsidiary of a public company shall be deemed to be public company.
 - ◆ As per section 3(1)(a), a public company may be said to be an association consisting of not less than 7 members, which is registered under the Act. In principle, any member of the public who is willing to pay the price may acquire shares in or debentures of it. The securities of a public company may be quoted on a Stock Exchange. The number of members is not limited to two hundred.
 - ◆ The provision contained in the law for the free transferability of shares in a public company is founded on the principle that members of the public must have the freedom to purchase and, every shareholder should have the freedom to transfer.

11.1 CHARACTERISTICS OF PUBLIC COMPANY

Board of Directors: The Board of the Public company comprises of a minimum number of three directors and a maximum of 15.

Limited Liability: Shareholder liability for the losses of the company is limited to their share contribution only. This is what makes it a separate legal entity from its shareholders. The business can be sued on its own and not involve its shareholders.

Transferable shares: Shares of a public limited company are bought and sold by the shareholders, however, in case of listed company the shares are traded on a stock exchange where the shares of the company are listed. They are freely transferable between its members and people trading in the stock exchange.

Financial Privacy: Public limited companies are strictly regulated and are required by law to publish their complete financial statements annually. This ensures that they reveal their true financial position to their owners and to potential investors so that they can determine the true worth of its shares.

Capital: Public limited Company enjoy an increased ability to raise capital since they can issue shares to the public through the stock market. They can also raise additional capital by issuing debentures and bonds through the same market from the public.

11.2 ADVANTAGES OF A PUBLIC COMPANY

Raising capital through public issue of shares

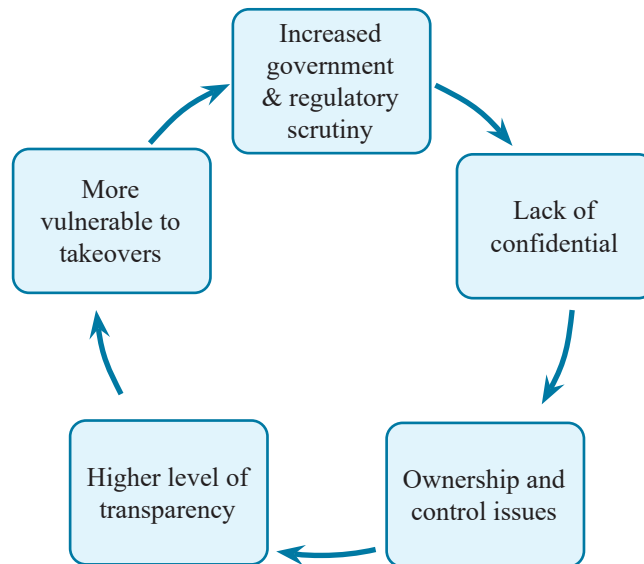
Prestigious profile and confidence

Growth and expansion opportunities

Widening the shareholder base and spreading risk

Transferability of shares

11.3 DISADVANTAGES OF PUBLIC COMPANIES



12. HOLDING COMPANY OR PARENT COMPANY

As per the Company law, a company controlled by another company is called a subsidiary company and the controlling company is called a holding company. Thus “control” is used as the benchmark in Company Law to determine a holding company’s status. The control can be through control of management or through ownership of shares.



Holding Company

Key Features:

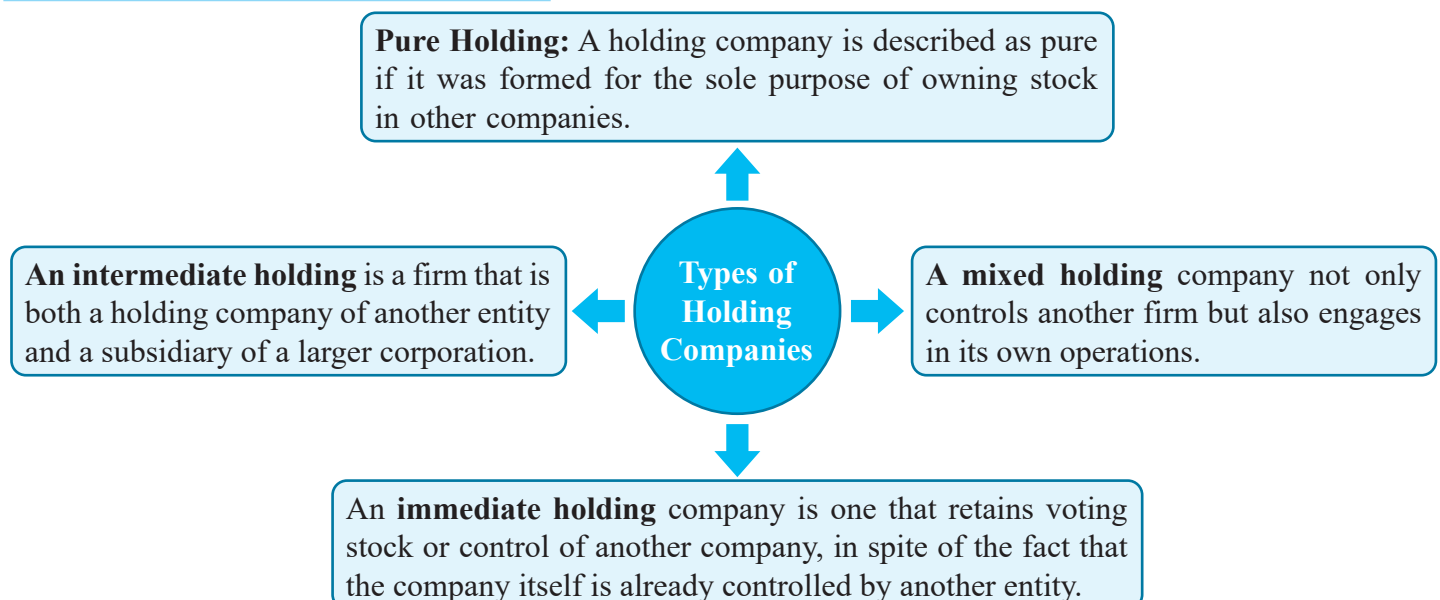
- Maintains control
- Capital raising flexibility
- Business diversity
- Division of tax burden

Firstly, a holding company can gain control over its subsidiaries without investing the entire equity requirement.

EXAMPLES OF A HOLDING COMPANY

- ◆ Alphabet Inc.
- ◆ Reliance Industries Ltd.
- ◆ Tata Sons Pvt. Ltd.
- ◆ Bajaj Holdings & Investment Ltd.

12.1 TYPES OF HOLDING COMPANIES



12.2 BENEFITS OF A HOLDING COMPANY



12.3 DISADVANTAGES OF HOLDING COMPANIES

- ◆ **Over capitalization:** Since capital of holding company and its subsidiaries companies may be pooled together, it may result in over capitalization. Shareholders would not get a fair return on their invested capital.
- ◆ **Exploitation of subsidiaries:** The subsidiaries companies might face challenging situations where they are compelled to buy goods from the holding at high prices and vice versa.
- ◆ **Manipulation:** Information about subsidiaries may be used for personal gains.
- ◆ For example; information of the financial performance of subsidiary companies may be misused to indulge in speculative activities.
- ◆ **Concentration of economic power:** There is concentration of economic power in the hands of those who manage the holding company.
- ◆ **Monopoly:** Holding companies, by absorbing more and more subsidiary companies, may also create conglomerates and a monopolistic market if they may own multiple companies in the same industry.

PAST YEAR QUESTIONS

1. Amar, Akash and Ashish were the owners of a coffee estate in Munnar. They registered a new company called Mandoli Coffee Estate Private Limited and transferred their coffee estate to the newly formed company. They claimed exemption from paying Registration Charges and Stamp duty on the ground that since they were the only shareholders of the company, the transaction was nothing but transfer by them from one name to themselves in another name. Referring to the provisions of Companies Act, 2013, is their claim tenable?
[June 2023 (3 marks)]

2. Vinod formed a single person economic activity in the form of One Person Company with his brother Kishor as its nominee. On 10th May 2022, Kishor withdrew his consent as Nominee of the One Person Company. Can he do so? Examine whether the following individuals are eligible for being nominated as Nominee of the One Person Company as on 10th May, 2022 under the provisions of the Companies Act, 2013.

- I. Shyam is son of Vinod, who is 15 years old as on 10th May, 2022,
- II. Ashok, an Indian Citizen residing in India who is presently a member of a One Person Company.

[June 2022 (4 Marks)]

3. Explain the exceptions, if any to the principle of "Limited Liability" under the Companies Act, 2013.

[Dec 2023 (5 Marks)]

4. Suresh has done his MBA from a reputed Institution of Management and wants to incorporate a private or public company to start e-commerce business in various daily need products. Explain him the distinctions between these two types of companies referring to the provisions of the Companies Act, 2013.

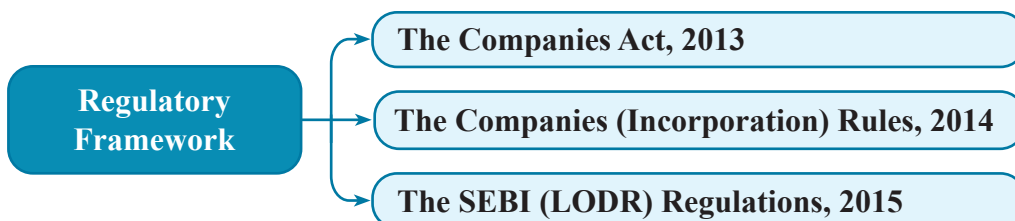
[June 2024 (5 Marks)]

5. Wonkar Club was formed Limited Liability Company under Section 8 of the Companies Act, 2013 with the object of promoting Gilli Danda by arranging introductory courses at district level and friendly matches. The club has been earning surplus. Of late, the affairs of the company are conducted fraudulently and dividend was paid to its members. A, a member decided to make a complaint with Regulatory Authority to club the fraudulent activities by cancelling the license given to the company.

- (i) There any provision under the Companies Act, 2013 to revoke the, license? If so, state the provisions.
- (ii) Whether the Wonkar Club can be merged with Stick Private Limited a company engaged in the business of Networking?

[Dec. 2022 (2 + 2 = 4 Marks)]

MEMORANDUM AND ARTICLES OF ASSOCIATIONS AND ITS ALTERATION



1. INTRODUCTION

A company is formed and registered when a number of people come together for achieving a specific purpose. This specific purpose is usually commercial in nature. Companies are generally formed to earn profits from business activities.

To register a company, an application form has to be filed with the Registrar of Companies (ROC).

This application form is required to be submitted with a certain number of specified documents. One of the fundamental documents that is required to be submitted with the application form for incorporation of a company is the Memorandum of Association (MOA).

2. WHAT IS MEMORANDUM OF ASSOCIATION?

- ◆ Memorandum of Association is a legal document which describes the purpose for which the company is formed and therefore identifies the possible scope of its operations beyond which its action cannot go. It defines as well as confines the powers of the company. If anything is done beyond these powers that will be ultra vires (beyond the powers) of the company and so void.
- ◆ The first step in the formation of a company is to prepare a document called the memorandum of association. In fact, memorandum is one of the most essential pre-requisites for incorporating any form of company under the Companies Act, 2013 (hereinafter referred to as 'Act').

“The **Memorandum of Association**”, as observed by Palmer, “is a document of great importance in relation to the proposed company”.

The requirement of memorandum is evidenced in **Section 3** of the Act, which provides the mode of incorporation of a company and states that a company may be formed for any lawful purpose:

- ◆ By **seven or more persons**, where the company to be formed is a public company;
- ◆ **Two or more persons**, where the company to be formed is a private company; or
- ◆ **One person**, where the company to be formed is a One Person Company

By subscribing their names or his name to a memorandum and complying with the requirements of this Act in respect of its registration.

According to **Section 2(56)** of the Act “memorandum” means the memorandum of association of a company as originally framed and altered, from time to time, in pursuance of any previous company law or this Act.

Q. Do all the companies require MOA?

Ans. Yes, it is mandatory for every company to have a MOA as it defines the scope of its operations. The entire structure of the company is detailed in the MOA. It is to be submitted to the Registrar of Companies. It is a public document, and any person can view the MOA of the company by paying the required fees to the Ministry of Corporate Affairs (MCA).

3. FORM OF MEMORANDUM OF ASSOCIATION

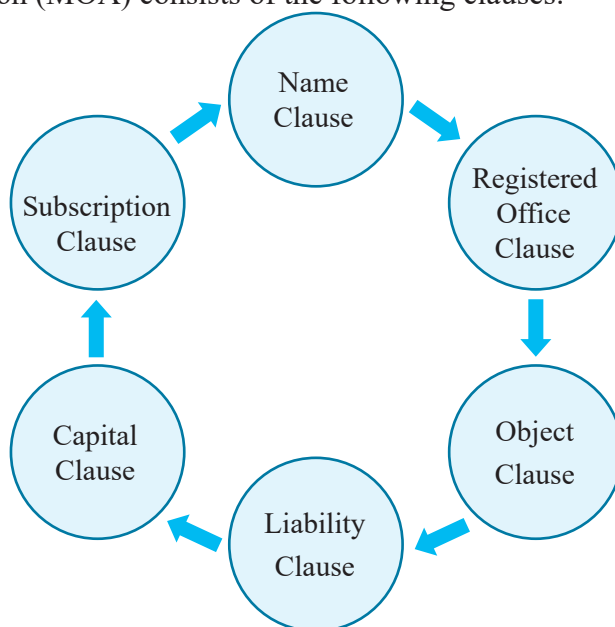
Section 4(6) of the Act provides that the memorandum of association should be in any one of the Forms specified in Tables A, B, C, D or E of Schedule I to the Act, as may be applicable in relation to the type of company proposed to be incorporated or in a Form as near thereto as the circumstances admit.

Tables	Company
Table A	Companies limited by shares
Table B	Companies limited by guarantee not having a share capital
Table C	Companies limited by guarantee having a share capital
Table D	Unlimited companies not having a share capital
Table E	Unlimited companies having a share capital

The memorandum should be printed, numbered, and divided into paragraphs. It should also be signed by the subscribers of the company.

4. CONTENTS OF MEMORANDUM [SECTION 4 READ WITH SCHEDULE I]

The Memorandum of Association (MOA) consists of the following clauses:



As per **Section 4(1)**, the memorandum of a limited company must state the following:

- (a) **Name Clause:** The name of the company with “Limited” as its last word in the case of a public company; and “Private Limited” as its last words in the case of a private company; (Name Clause) This shall not apply in case of companies registered under section 8.

Similarly, in case of government companies the name of the company need not be ended with the words “Limited” or “Private Limited”.

This is as per the exemptions to Government Companies under Section 462 of Companies Act, 2013 vide notification dated June 5, 2015;

- (b) **Situation Clause:** The State in which the registered office of the company is to be situated;
- (c) **Objects Clause:** The objects for which the company is proposed to be incorporated and any matter considered necessary in furtherance thereof;
- (d) **Liability Clause:** The liability of members of the company, whether limited or unlimited, and also state-
 - (i) In the case of a company limited by shares, that liability of its members is limited to the amount unpaid, if any, on the shares held by them; and
 - (ii) In the case of a company limited by guarantee, the amount up to which each member undertakes to contribute –
 - ❖ To the assets of the company in the event of its being wound-up while he is a member or within one year after he ceases to be a member, for payment of the debts and liabilities of the company or of such debts and liabilities as may have been contracted before he ceases to be a member, as the case may be; and
 - ❖ To the costs, charges and expenses of winding-up and for adjustment of the rights of the contributories among themselves.
- (e) **Capital Clause:** In the case of a company having a share capital, – the amount of share capital with which the company is to be registered and the division thereof into shares of a fixed amount; (Subscription Clause):
 - (i) The number of shares which the subscribers to the memorandum agree to subscribe which shall not be less than one share; and
 - (ii) The number of shares each subscriber to the memorandum intends to take, indicated opposite his name;
- (f) **Nominee Clause:** in the case of a One Person Company, the name of the person who, in the event of the death of the subscriber, shall become the member of the company.

Note: The above clauses are compulsory and are designated as “conditions” prescribed by the Act, on the basis of which a company is incorporated.

It is to be noted that the **Companies Act, 2013 shall override** the provisions in the Memorandum and Articles of a company, if the latter **contains anything contrary** to the provisions in the Act (Section 6).

4.1 NAME CLAUSE

According to **Section 4(2)**, the name stated in the memorandum shall not

- (a) Be identical with or resemble too nearly to the name of an existing company registered under this Act or any previous company law; or
- (b) Be such that its use by the company –
 - (i) Will constitute an offence under any law for the time being in force; or
 - (ii) Is undesirable in the opinion of the Central Government.

Section 4(3) of the Act provides that without prejudice to the provisions of section 4(2) a company shall not be registered with a name which contains –

1. Misleading Associations:

A company cannot be registered with a name that suggests it is connected with, or has the endorsement of:

- ☞ The Central or any State Government
- ☞ Local authorities
- ☞ Government-established corporations or bodies

2. Restricted Words and Expressions:

Certain words are *considered sensitive and require prior approval of the Ministry of Corporate Affairs (MCA)* before they can be used in a company’s name. These include:

- | | |
|--------------|---------------|
| ☞ Board | ☞ Authority |
| ☞ Commission | ☞ Undertaking |

- ☑ Union
- ☑ Central
- ☑ Federal

- ☑ President
- ☑ Rashtrapati

How to reserve name of the Company?

As per **section 4(4)**, a person may make an application for reservation of name by using web service **SPICE+** (Simplified Proforma for Incorporating Company Electronically Plus: **INC-32**), and for change of name by using web service **RUN** (Reserve Unique Name), in prescribed manner and accompanied by prescribed fee to the Registrar for the reservation of a name set out in the application as –

The name of the proposed company; or

The name to which the company proposes to change its name.

Section 4(5)(i) lays down that upon receipt of an application under **sub-section (4)**, the Registrar may, on the basis of information and documents furnished along with the application, reserve the name for a period of **twenty days** from the date of approval or such other period as may be prescribed.

Section 4(5)(ii) states that where after reservation of name under clause (i), it is found that name was applied by furnishing **wrong or incorrect information**, then,—

If the company has not been incorporated, the reserved name shall be cancelled and the person making application under sub-section (4) shall be liable to a penalty which may extend to **one lakh rupees**;

If the company has been incorporated, the Registrar may, after giving the company an opportunity of being heard—
Either direct the company to change its name within a period of **three months, after passing an ordinary resolution**;

Take action for **striking off the name of the company from the register of companies**; or

Make a **petition for winding up** of the company.

Provided that in case of an application for reservation of name or for change of its name by an existing company, the Registrar may reserve the name for a period of **sixty days** from the date of approval.

CASE LAW:

Atlas Cycles (Haryana) Ltd. v. Atlas Products Pvt. Ltd

Background

Atlas Cycles (Haryana) Ltd. (the plaintiff) has been a prominent manufacturer of bicycles and bicycle parts under the registered trademark “Atlas” since 1952, holding a significant market share and a well-established reputation. Atlas Products Pvt. Ltd. (the defendant) was incorporated in 1995. However, it commenced the manufacture and sale of bicycles under the mark “House of Atlas” in February 2002.

Plaintiff's Claims

The plaintiff asserted that the defendant's use of the name “House of Atlas” was a deliberate attempt to deceive consumers and capitalize on the plaintiff's established reputation.

They contended that the prominent display of “Atlas” in the defendant's branding was likely to cause confusion, leading consumers to believe there was an association between the two companies.

Defendant's Defense

The defendant argued that there was a familial relationship between the parties, with both companies being managed by members of the Kapur family referenced a Memorandum of Understanding (MoU) from 1999, which outlined a division of family assets and purportedly allowed all family groups to use the “Atlas” brand with additional identifiers.

The defendant also pointed out that other family-owned companies were using the “Atlas” name without objection from the plaintiff.

Court's Findings

The Delhi High Court recognized the plaintiff's longstanding use and reputation associated with the "Atlas" trademark.

The court noted that the defendant's use of "House of Atlas" was likely to cause confusion among consumers, constituting trademark infringement and passing off.

Regarding the corporate name, the court observed that the defendant had been incorporated in 1995, and the plaintiff had not objected to the use of "Atlas" in the corporate name for several years. This inaction was interpreted as acquiescence.

Judgment

The court issued an injunction restraining the defendant from using the trademark "House of Atlas" or any deceptively similar mark in relation to bicycles and bicycle parts.

Where a company is directed to change the name, the court cannot directly tell the Registrar to effect the change in the name of the company. The Court can only direct the company to do so.

The company cannot simply file the Court order regarding the change, but it will have to follow the prescribed Procedure

4.2 SITUATION CLAUSE

- ◆ This clause connotes the name of the State in which the registered office of the company is situated.
- ◆ This helps to determine the jurisdiction of the Registrar of Companies (ROC).
- ◆ The company is required to inform the location of the registered office to the Registrar of Companies **within 30 days** from the date of incorporation of the company.
- ◆ The company must have a registered office to which all communications and notices may be sent.

Publication of Name and Address of the Company

According to **Section 12(3)** of the Act, every company is required to display its name and address in legible letters in a conspicuous position and in all its business letters, bill heads, and letter papers. Accordingly, the company shall –

- (a) Paint or affix its name, and the address of its registered office, and keep the same painted or affixed:
 - ☛ On the outside of every office or place in which its business is carried on, in a conspicuous position,
 - ☛ In legible letters, and if the characters employed therefor are not those of the language or of one of the languages in general use in that locality, also in the characters of that language or of one of those languages;
- (b) Have its name engraved in legible characters on its seal, if any;
- (c) Get its name, address of its registered office and the Corporate Identity Number along with telephone number, fax number, if any, e-mail and website addresses, if any, printed in all its business letters, billheads, letter papers and in all its notices and other official publications; and
- (d) Have its name printed on negotiable instruments such as hundi, promissory notes, bills of exchange and such other documents as may be prescribed.
- (e) Every company which has a website for conducting online business or otherwise, shall disclose/publish its name, address of its registered office, the Corporate Identity Number, Telephone number, fax number if any, email and the name of the person who may be contacted in case of any queries or grievances on the landing/home page of the said website.

However, where a company has changed its name or names during the last two years, it shall paint or affix or print, as the case may be, along with its name, the former name or names so changed during the **last two years**. Further, in case of One Person Company, the words "One Person Company" shall be mentioned in brackets below the name of such company, wherever its name is printed, affixed or engraved.

- (f) The Ministry of Corporate Affairs (MCA) has clarified that display of its name in English in addition to the display in the local language will be a sufficient compliance with the requirements of the section.

4.3 OBJECT CLAUSE

- ◆ Under **section 4(1)(c)** of the Act, all companies must state in their memorandum the objects for which the company is proposed to be incorporated and any matter considered necessary in furtherance thereof.
- ◆ It defines the objects for which the company is proposed to be incorporated and any matter considered necessary in furtherance thereof.
- ◆ It indicates the purpose for which the company has been set up and its actual capability, besides its sphere of activities.
- ◆ It states affirmatively the ambit and extent of powers of the company and, stated negatively, that nothing should be done beyond that ambit and that no attempt shall be made to use the company for any other purpose than that which is specified.
- ◆ The purpose of the objects clause is to enable the persons dealing with the company to know its permitted range of activities.
- ◆ The acts beyond this ambit are ultra vires and hence void. **Even the entire body of shareholders cannot ratify such acts.**
- ◆ It is ultra vires for a company to act beyond the limits of its memorandum.
- ◆ Any attempted departure will be invalid and cannot be validated even if assented to by all the shareholders of the company.
- ◆ Ultra vires means an act or transaction of a company, which though it may not be illegal, is beyond the company's powers by reason of not being within the objects of the memorandum of association.
- ◆ The memorandum is, so to speak, the limit beyond which a company cannot travel.
- ◆ An act beyond the objects mentioned in the memorandum is ultra vires and void and cannot be ratified.
- ◆ Where no connection or nexus exists between the exercise of a power and the attainment of an object, the exercise of power will be ultra vires.

4.4 LIABILITY CLAUSE

- ◆ It states the liability of the members of the company.
- ◆ In case of an unlimited company, the liability of the members is unlimited whereas in case of a company limited by shares, the liability of the members is restricted by the amount unpaid on their share.
- ◆ For a company limited by guarantee, the liability of the members is restricted by the amount each member has agreed to contribute at the time of incorporation.
- ◆ Section 4 sub-section 1(d) of the Act, states that the liability of members of the company is to be specifically mentioned in the MOA.
- ◆ It is provided that the liability of members may either be limited or unlimited.

4.5 CAPITAL CLAUSE

- ◆ This clause specifies the maximum capital that a company can raise which is also called the authorized/nominal capital of the company. This also explains the division of such capital amounts into the number of shares of a fixed amount each.
- ◆ The capital is variously described as “**nominal**”, “**authorized**” or “**registered**”.
- ◆ The amount of nominal capital is determined having regard to the present as well as future requirements of the company with reference to its objects.
- ◆ The usual way to state the capital in the memorandum is: “The capital of the company is 10,00,000 rupees divided into 1,00,000 equity shares of 10 rupees each”.
- ◆ This amount lays down the maximum limit beyond which the company cannot issue shares without altering the memorandum as provided by Section 61 of the Companies Act, 2013.

- ◆ If there are both equity and preference shares, then the division of the capital is to be shown under these two heads.
- ◆ A company is not authorized to issue capital beyond its authorized/nominal/registered capital.
- ◆ If it receives applications for shares beyond the shares covered by the authorized capital, the amount received on an excess number of shares should be returned.
- ◆ Out of the issued capital, the total amount actually subscribed or agreed to be subscribed is known as subscribed capital, and this subscribed capital again may be wholly paid or partly paid, in which latter case the balance would be payable on future calls when made.
- ◆ The amount actually paid by the shareholders is called the paid-up capital.

4.6 SUBSCRIPTION CLAUSE

The Subscription Clause defines who is signing the memorandum of the company. Each subscriber must state the number of shares he is subscribing to. The subscribers have to sign the memorandum in the presence of two witnesses. Each subscriber must subscribe to at least one share.

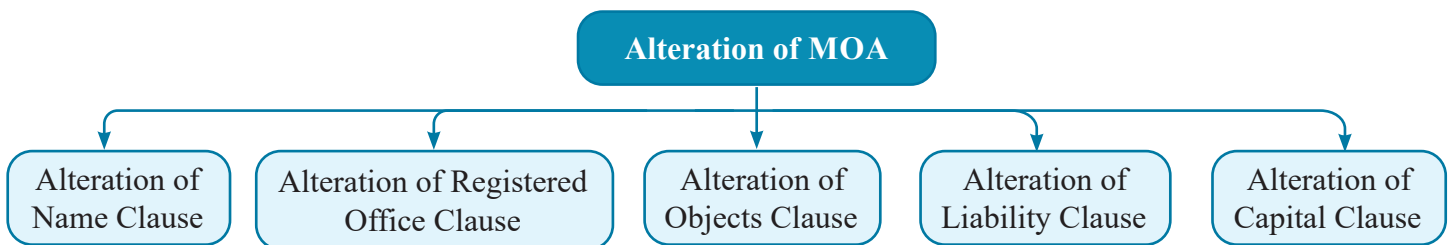
The subscribers to the memorandum declare: **“We, the several persons whose names and addresses are subscribed below, are desirous of being formed into a company in pursuance of this memorandum of association, and we respectively agree to take the number of shares in the capital of the company set opposite our respective names”**. Then follow the names, addresses, description, occupations of the subscribers, and the number of shares each subscriber has agreed to take and their signatures attested by a witness.

The statutory requirements regarding subscription of the memorandum are that:

Each subscriber must take at least one share;

Each subscriber must write opposite his name the number of shares which he agrees to take. [Section 4(1)(e)]

5. ALTERATION OF MEMORANDUM OF ASSOCIATION (MOA)



Applicable section for alteration of MOA:

Section 13(1) of the Act provides that save as provided in section 61 (Dealing with power of limited company to alter its share capital), a company may, by a special resolution and after complying with the procedure specified in this section, alter the provisions of its memorandum.

The memorandum of association of a company may be altered in the following respects:

1. **Alteration in the Name clause;**
2. **Alteration in the Registered Office Clause;**
3. **Alteration in the Object clause;**
4. **Alteration in the Capital clause;**
5. **Alteration in the Liability Clause.**

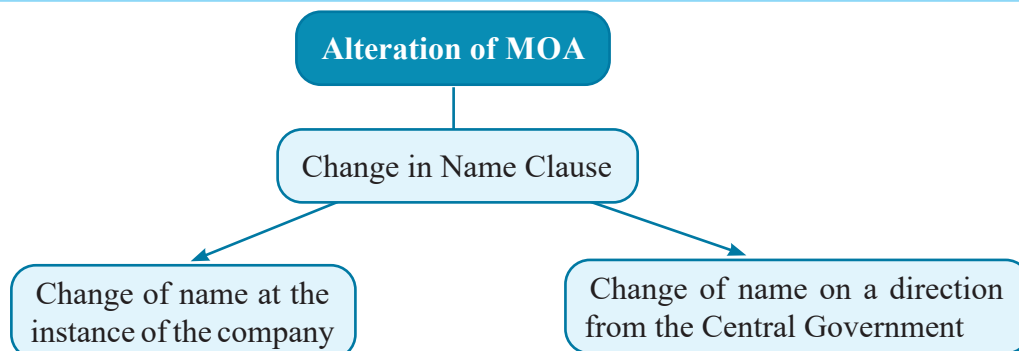
The provisions or conditions of the memorandum of association relating to the name clause, registered office clause, the objects clause, limited liability clause, capital clause, subscriber's share clause as provided in Section 4 of the Companies Act, 2013 or any other specific provisions contained therein, can be altered by following the prescribed procedure laid down in the Act. Strict compliance of the prescribed procedure is demanded by law.

Failure to comply with the express provisions made under the Act for the purpose of alteration of the provisions or conditions contained in the memorandum will be deemed as a nullity.

- ◆ Section 13(6) provides that a company shall, in relation to any alteration of its memorandum, file with the Registrar the special resolution passed by the company under section 13(1).
- ◆ Section 13(10) provides that no alteration made under this section shall have any effect until it has been registered in accordance with the provisions of the said section.
- ◆ Further, any alteration of the memorandum, in the case of a company limited by guarantee and not having a share capital, purporting to give any person a right to participate in the divisible profits of the company otherwise than as a member, shall be void. [Section 13 (11)].

The procedure for the alteration of the compulsory clauses or conditions of the memorandum is discussed in detail in the following paragraphs.

5.1 ALTERATION OF MOA DUE TO CHANGE IN NAME CLAUSE [SECTION 13 (2) AND (3)]



- ◆ The name of the company can be altered by a special resolution and with the approval of the Central Government in writing. Approval of the Central Government is not required, in cases where the change in the name of the company relates to the addition/deletion of the word 'Private' to the name of the company consequent to the conversion of a company into a public company and vice versa [Section 13 (2)].
- ◆ If through inadvertence or otherwise, a company on its first registration or on its registration by a new name has been registered with a name which, in the opinion of the Central Government, is identical with or too closely resemble the name of an existing company, it may direct the company to change its name and the company shall change its name or new name, **within a period of three months** from the issue of such direction by passing an ordinary resolution and by obtain the approval of the Central Government in writing. (Section 16).
- ◆ When any change in the name of a company is made under section 13(2), the Registrar shall enter the new name in the register of companies in place of the old name and issue a fresh certificate of incorporation with the new name and such change in the name shall be complete and effective only on the issue of such a certificate [Section 13(3)].

According to **Rule 29 of the Companies (Incorporation) Rules, 2014**, the change of name shall not be allowed to a company which has not filed annual returns or financial statements due for filing with the Registrar or which has failed to pay or repay matured deposits or debentures or interest thereon.

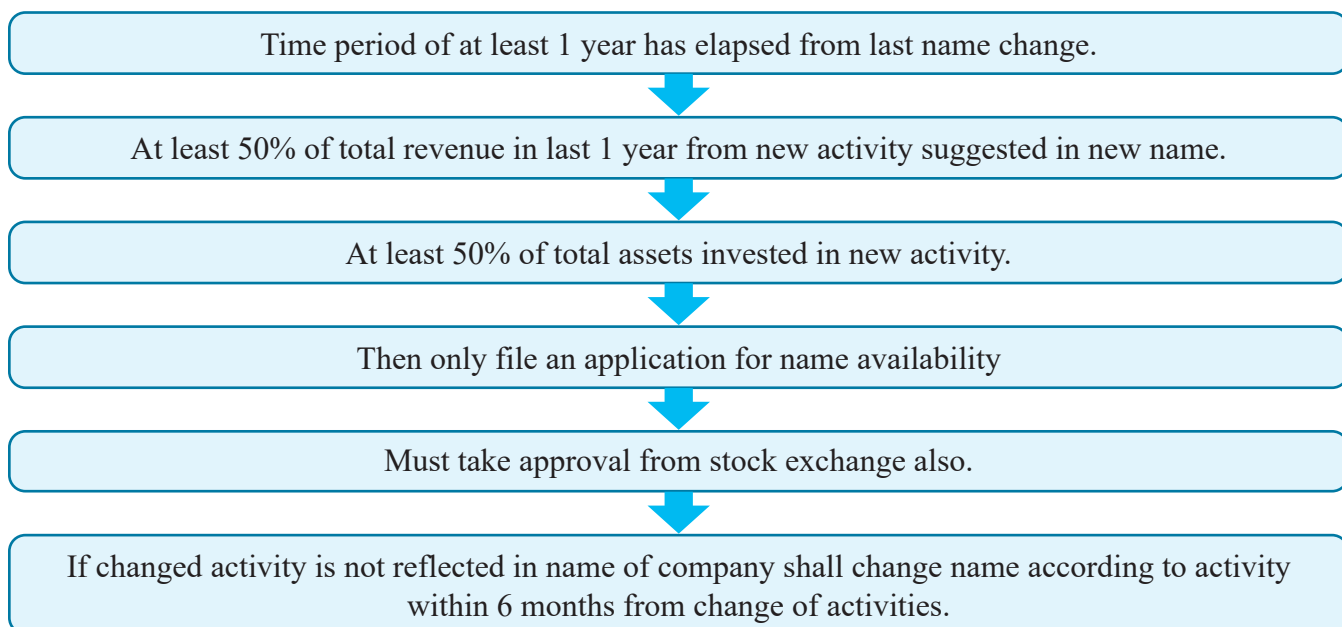
Provided that the change of name shall be allowed upon filing necessary documents or payment or repayment of matured deposits or debentures or interest thereon as the case may be.

An application shall be filed in **Form No. INC-24** along with the fee for change in the name of the company and a new certificate of incorporation in **Form No. INC-25** shall be issued to the company consequent upon change of name.

5.1. (i) Procedure for Alteration in Name Clause of Memorandum

1. Calling of Board Meeting and Pass a Board resolution.
2. Seeking name availability for proposed new name from the ROC application for the reservation of name shall be in Form RUN along with prescribed fee of Rs. 1,000/-
3. Obtaining ROC Approval and Name Availability Letter.
4. Issue of Notice of Extra-ordinary General Meeting (EGM), Hold EGM and pass Special Resolution.
5. ROC filings and file Form MGT14 within 30 days to ROC.
6. After scrutiny of the documents filed, the ROC shall issue a fresh certificate of incorporation digitally signed in Form INC-25.
7. Intimate all concerned authorities about the changed name of the Company.
8. Arrange for a new Common Seal and have the same adopted at a meeting of the Board of directors and keep it under safe custody.
9. Get the new name of the Company painted on all the signboards or name boards wherever they are displayed.
10. Correct all records, registers including the Register of Members, every copy of Memorandum and Articles of Association.
11. It is also to be noted that in every document as above-mentioned the company shall paint, affix or print as may be the former name or names so changed during the period of last two years.

5.1. (ii) Name Change Requirement Under Regulation 45 of the Sebi (Listing Obligations and Disclosure Requirements) Regulations, 2015



5.1. (iii) Effect of Change in Name Clause

The change of name shall not affect any rights or obligations of the company or render defective any legal proceedings by or against it, and any legal proceedings which might have been continued or commenced by or against the company in its former name may be continued by or against the company in its new name.

By change of name, constitution of company does not change; the only thing changes is its name; all the rights and obligations under the law of old company pass to the new company.

5.1. (iv) Methods of Changing the Name

After incorporation, a company can change its name through the following methods:

Conversion of private limited company into public limited company and thereby change in the name from private to public; or

Conversion of public limited company into private limited company and thereby change in the name from public to private; or

Change of name from ABC limited to XYZ limited.

5.2 ALTERATION OF SITUATION/REGISTERED OFFICE CLAUSE IN THE MOA [SECTION 13(4)(5) AND (7)]

(a) Change within the local limits of the same town

A company by passing Board Resolution can change the situation of its registered office within the limits of same city, town or village

An intimation of the change of registered office and verification of registered address shall be given to the Registrar

E-Form INC-22 is required to be filed within 30 days of such change

This does not involve alteration of memorandum

(b) Change outside the local limits of any city, town or village.

According to Section 12(5) of the Act, except on the authority of a special resolution passed by a company, the registered office of the company shall not be changed;

- (i) In the case of an existing company, outside the local limits of any city, town or village where such office is situated at the commencement of this Act or where it may be situated later by virtue of a special resolution passed by the company; and

- (ii) In the case of any other company, outside the local limits of any city, town or village where such an office is first situated or where it may be situated later by virtue of a special resolution passed by the company. In case the company is eligible for conducting business through postal ballot any change in place of registered office outside the local limits of any city, town or village the same shall be transacted only by means of voting through a Postal Ballot [Rule 22 of the Companies (Management and Administration) Rules, 2014].

(c) Change within the same State from the jurisdiction of one Registrar of Companies to the jurisdiction of another Registrar of Companies.

- ➡ No company shall change the place of its registered office from the jurisdiction of one Registrar to the jurisdiction of another Registrar within the same State unless such change is confirmed by the Regional Director. {Proviso to Section 12(5)}.
- ➡ Section 12(6) states that the Regional Director, after hearing the parties, shall pass necessary orders within a period of thirty days from the date of receipt of the application.
- ➡ Thereafter, the company concerned shall file a copy of the said order with the Registrar of Companies (ROC) within a period of sixty days from the date of the confirmation order by the Regional Director.
- ➡ The said ROC shall record the ordered changes in its records.
- ➡ The ROC of the state where the registered office of the company was previously situated, shall transfer all the documents and papers to the new ROC.

Rule 28 of Companies (Incorporation) Rules, 2014 states that an application seeking confirmation from the Regional Director for shifting the registered office within the same State from the jurisdiction of one Registrar of Companies to the jurisdiction of another Registrar of Companies, shall be filed by the company with the Regional Director in Form **No.INC.23** along with the fee, and the following details and documents:

Board Resolution for shifting of registered office;

Special Resolution of the members of the company approving the shifting of registered office;

A declaration given by the Key Managerial Personnel or any two directors authorised by the Board, that the company has not defaulted in payment of dues to its workmen and has either the consent of its creditors for the proposed shifting.

A declaration not to seek change in the jurisdiction of the Court where cases for prosecution are pending.

Acknowledged copy of intimation to the Chief Secretary of the state as to the proposed shifting and that the employee interest is not adversely affected by proposed shifting.

Regional Director shall examine the application the order either approving or rejecting the application shall be passed within 15 days of the receipt of application

The certified copy of order of the Regional Director, shall be filed in Form No.INC-28 along with fee with the Registrar of State within 30 days from the date of receipt of certified copy of the order.

(d) Change of Registered office from one State to another:

Board meeting will be called & Board Resolution will be passed for shifting of Registered Office from 1 State to another.

Extra-Ordinary General Meeting (EGM) notice will be given to shareholders (21 clear days). Publish notice of Extra-Ordinary General Meeting (EGM) in newspaper & also send copy of such publication to stock exchange.

Special Resolution will be passed at Extra-Ordinary General Meeting (EGM) & intimation will be given to stock exchange within 24 hours of conclusion of Extra-Ordinary General Meeting (EGM).

MGT-14 will be filed with Registrar of Company within 30 days of passing such resolution.

INC- 23 will be filed to Regional Director (RD) along with necessary attachments.

Minimum 30 days before date of filling form INC-23.

Publish a notice at least once in daily newspaper published in English & in principle language of that district in which REGISTERED OFFICE is situated

Serve individual notice to each debenture holder, depositor & creditor of the Company clearly indicating that any person who's interest is likely to be affected may oppose & give his intimation to Regional director along with the copy to company within 21 days from date of publication of notice.

Central Government shall dispose the application within 60 days & he will satisfy itself that alteration has consent of creditors debenture holders, or all dues of creditor is discharged or adequate security has been provided for such discharge.

After approval from Central Government the Company will file certified copy of order INC-28 to Registrar of company within 30 days.

Employees' right to object in case of the shifting of the registered office from one state to another. Some legal cases:

CASE LAWS

Bharat Commerce and Industries Ltd., Re, (1973)

It was held that employees' union, which was a registered body and which represented quite a number of the employees at the registered office of the company, would have the legal standing to appear before the court and oppose the application on the ground that their interests are likely to be prejudicially affected if the resolution for shifting the registered office of the company from one state to another is confirmed by the court. However, it was held that the employees' union cannot oppose on the ground that there would be loss of revenue or unemployment in the State or that the meeting at which the special resolution was passed was itself not valid.

5.3 ALTERATION OF MOA DUE TO CHANGE IN OBJECT CLAUSE [SECTION 13 (8) AND (9)]

- ◆ According to **section 13(1)**, a company may, by a special resolution and after complying with the procedure specified in this section, alter the provisions of its memorandum.
- ◆ It means that a company can change its objects by passing a special resolution.
Further, section 13(6) (a) provides that a company shall, in relation to any alteration of its memorandum, file with the Registrar the special resolution passed by the company under section 13(1).
- ◆ **As per section 13(9)**, the Registrar shall register any alteration of the memorandum with respect to the objects of the company and certify the registration within a period of **thirty days from the date of filing of the special resolution** in accordance with section 13(6)(a).

Further, in case the company is eligible for conducting business through postal ballot any alteration in the objects clause of the Memorandum of Association shall implement the same through Postal Ballot in terms of section 110 read with Rule 22 of the Companies (Management & Administration) Rules, 2014.

Further, section 13(8) lays down that a company, which has raised money from the public through a prospectus and has any unutilized amount out of the money so raised, shall not change its objects for which it raised the money through prospectus unless a special resolution is passed by the company and –

- (i) The details, as may be prescribed, in respect of such resolution shall be published in the newspapers (one in English and one in vernacular language) which is in circulation at the place where the registered office of the company is situated and shall also be placed on the website of the company, if any, indicating there in the justification for such change;
- (ii) The dissenting shareholders shall be given an opportunity to exit by the promoters and shareholders having control in accordance with regulations to be specified by the Securities and Exchange Board. Also, for deleting any portion of the objects clause, the procedure laid down in this section has to be followed.

Procedure

- (a) Hold board meeting and pass board resolution.
- (b) Notice of general meeting to all members, auditor and director.
- (c) If company raised any amount through prospectus and have unutilized portion then Pass special resolution to alter MOA
- (d) Publish an advertisement of Special Resolution.
- (e) Opportunity to dissenting member to exit from promotor.
- (f) Pass special resolution in general meeting.
- (g) File with ROC in MGT-14 within 30 days.
- (h) Special resolution passed by postal ballot in following company
 - ☛ Company having more than 200 members.
 - ☛ Amount raised through prospectus is unutilized.

5.4 ALTERATION OF LIABILITY CLAUSE

According to **section 13(1)** of the Act, a company may, by a special resolution and after complying with the procedure specified in this section, alter the provisions of its memorandum. It means that a company can change the liability clause of its memorandum of association by **passing a special resolution**.

Further section 13(6)(a) provides that a company shall, in relation to any alteration of its memorandum, file with the Registrar the special resolution passed by the company under section 13(1) through **E-Form MGT-14**.

5.5 ALTERATION OF CAPITAL CLAUSE IN MOA [SECTION 61 READ WITH SECTION 64]

Types of alteration of capital clause in the general meeting of a company limited by shares as per **section 61 (1)** of the Companies Act, 2013 can be enumerated as below: -

- (a) Increase its authorized share capital by such amount as it thinks expedient;

- (b) Consolidate and divide all or any of its share capital into shares of a larger amount than its existing shares: Provided that no consolidation and division that results in changes in the voting percentage of shareholders shall take effect unless it is approved by the Tribunal on an application made in the prescribed manner;
- (c) Convert all or any of its fully paid-up shares into stock, and reconvert that stock into fully paid-up shares of any denomination;
- (d) Sub-divide its shares, or any of them, into shares of smaller amount than is fixed by the memorandum, so, however, that in the sub-division the proportion between the amount paid and the amount, if any, unpaid on each reduced share shall be the same as it was in the case of the share from which the reduced share is derived;
- (e) Cancel shares which, at the date of the passing of the resolution in that behalf, have not been taken or agreed to be taken by any person, and diminish the amount of its share capital by the amount of the shares so cancelled.

NOTE: All the above alterations do not require the confirmation by the Tribunal except that alteration relating to consolidation and division which results in changes in the voting percentage of shareholders shall not take effect unless it is approved by the Tribunal on an application made in the prescribed manner.

- ☛ These alterations are, however, required to be notified and a copy of the resolution should be filed with the Registrar within 30 days of the passing of the resolution along with an altered memorandum. [Section 64(1)].
- ☛ The cancellation of shares under section 61(1) of the Act shall not be deemed to be a reduction of share capital.

5.5 (A) Registration of Alteration

- ◆ Filing Requirements in case of Alteration of MOA– Section 13(6)(a)
- ◆ When a company changes its Memorandum of Association (MOA), it must file the following documents with the Registrar of Companies (ROC):
 - (a) The special resolution passed under Section 13(1)
 - (b) The approval from the Central Government (if the change involves a change in the company's name) as per Section 13(2)

This special resolution must be filed: Within 30 days of being passed, along with the prescribed fees, as required under Section 403.

Registration of Change in Objects – Section 13(9):

- ◆ If the object clause of the MOA is changed, the ROC must:
Register the alteration: Certify the registration **within 30 days** from the date the special resolution is filed as per Section 13(6)(a)

Transfer of Registered Office to Another State – Section 13(7)

If a company moves its registered office from one state to another, then:

- ◆ A certified copy of the Central Government's approval order must be filed with the ROC of both states (the one the company is moving from and the one it is moving to).
- ◆ The ROC of the new state will issue a fresh Certificate of Incorporation, showing the change.
- ◆ This certificate will be conclusive proof that the company has followed all legal requirements.
- ◆ The ROC from the original state will register the approval order and transfer all company records to the ROC in the new state
- ◆ The new ROC will keep the order and maintain all records of the company from then on.

Important Note:

No change to the Memorandum will take effect until it is officially registered with the ROC as per this section.

6. ARTICLES OF ASSOCIATION

- ◆ Articles of Association form a document that specifies the regulations for a company's operations and defines the company's purpose.
- ◆ The document can be thought of as a user's manual for a company, defining its purpose and outlining the methodology for accomplishing necessary day-to-day tasks.
- ◆ Articles of Association lay out how tasks are to be accomplished within the organization, including the process for appointing directors and the handling of financial records.
- ◆ The articles must be printed, divided into paragraphs, numbered consecutively, stamped adequately, signed by each subscriber to the memorandum and duly witnessed and filed along with the memorandum.
- ◆ The articles must not contain anything illegal or ultra vires the memorandum, nor should it be contrary to the provisions of the Companies Act 2013.

6.1 DEFINITION AND PROVISIONS PERTAINING TO ARTICLES

According to **Section 2(5)** of the Companies Act, 2013, '**articles**' means the articles of association of a company as **originally framed or as altered from time to time** or applied in pursuance of any previous company law or of this Act.

It also includes the regulations contained in **Table A in Schedule I** of the Act, in so far as they apply to the company.

Further, in terms of section 5(1), the articles of a company shall contain the regulations for management of the company.

6.2 FORMAT OF ARTICLES OF ASSOCIATION (AOA)

Table F – AOA of Company limited by shares.

Table G – limited by guarantee having share capital.

Table H – Limited by Guarantee not having share capital.

Table I - Unlimited company having share capital

Table J – Unlimited company not having share capital.

6.3 REGISTRATION OF ARTICLES

Section 7(1) provides that at the time of incorporation of a company the **company shall file** with the **Registrar** within whose jurisdiction the registered office of a company is proposed to be situated, the **memorandum and articles of the company duly signed by all the subscribers** to the memorandum in the prescribed manner.

7. ENTRENCHMENT PROVISIONS

The articles may contain provisions for entrenchment to the effect that specified provisions of the articles may be altered only if conditions or procedures that are more restrictive than those applicable in the case of a special resolution, are met or complied with. [Section 5 (3)].

What is Entrenchment?

The Companies Act, 2013 introduces the concept of entrenchment. It means that certain clauses in the **Articles can only be altered if stricter conditions are fulfilled**—such as 100% approval from shareholders.

These provisions:

- ◆ Offer extra protection to minority shareholders
- ◆ Are especially useful in joint ventures
- ◆ Help in enforcing pre-agreed rights between partners or investors.
- ◆ Provide greater clarity and assurance to investors.

As per **Section 5(4)**: Entrenchment provisions can be added:

- ◆ At the time of company formation, or
- ◆ By amending the Articles later on

As per **Section 5(5)**: If a company includes entrenchment provisions (either at incorporation or later), it must inform the Registrar of Companies (ROC):

- ◆ At the time of incorporation, mention it in **SPICe+ (INC-32)** form along with the required fee under the Companies (Registration Offices and Fees) Rules, 2014.
- ◆ For existing companies, file **Form MGT-14 within 30 days** from the date the entrenchment provision is added, along with the applicable fee.

8. CONTENTS OF ARTICLES

The articles of association usually specify the way a company issues securities, distributes dividends, and performs financial records.

The document is focused on giving the streamlined information about the methods a company uses to achieve its goals.

In general, it includes the following:

1. Exclusion wholly or in part of Table F
2. Adoption of preliminary contracts
3. Share capital variation of rights, Number and value of shares.
4. Meetings and rules regarding committees of the Board.
5. Provisions on shareholder meetings

The articles must contain provisions in respect of all matters which are required to be contained therein so as not to hamper the working of the company later.

9. LEGAL EFFECT OF THE MEMORANDUM AND ARTICLES

According to section 10(1):

The memorandum and articles, when registered, bind the company and its members to the same extent as if they have been signed by the company and by each member to observe and be bound by all the provisions of the memorandum and of the articles.

Further sub-section 2 of section 10 of the Act states that, all monies payable by any member to the company under the memorandum or articles shall be a debt due from him to the company. We shall examine the extent to which the memorandum and articles bind:

- | | |
|---------------------------------|-------------------------------|
| (a) The members to the company; | (c) The members inter se; and |
| (b) The company to the members; | (d) The company to outsiders. |

9.1 MEMBERS BOUND TO THE COMPANY

The memorandum and articles constitute a contract **binding on the members of the company**. The members, as members, are bound to the company. Each member must, therefore, observe the provisions of the memorandum and articles.

Each member is bound by the covenants of the Memorandum as originally made and as altered from time to time [*Malleson v. National Insurance Co.*].

In another case, the shareholders can not enter into an agreement that was contrary to or inconsistent with the articles of association of the company [*V.B. Rangaraj v. V.B. Gopalkrishnan (1992) 73 Com Cases 201 (SC)*].

9.2 COMPANY BOUND TO THE MEMBERS

- ◆ Since the articles constitute a contract binding the company to its members in their capacity as members, a member can bring an action against the company for infringement by it of the memorandum or articles.
- ◆ For example, an individual member can sue the company for an injunction restraining it from improper payment of dividend.
- ◆ Further, the company is bound to individual members in respect of their ordinary rights as members, e.g. the right to receive share certificate in respect of shares allotted to them, or to receive notice of general meeting, etc.
- ◆ Normally, action for breach of articles against the company can be brought only by a majority of the members. Individual or minority members cannot bring such a suit except when it is intended for enforcement of personal rights of members or to prevent the company from doing any ultra vires or illegal act, fraud, or oppression and mismanagement.

9.3 MEMBER BOUND TO MEMBER

- ◆ As between the members, each member is bound by the articles to the other members **but that does not mean the memorandum and articles create an express contract among the members of the company.**
- ◆ Thus, a member of a company has no right to bring a suit to enforce the articles in his own name against any other member or members.
- ◆ It is the company alone which can sue the offender so as to protect the aggrieved member.

9.4 COMPANY NOT BOUND TO OUTSIDERS

- ◆ As between outsiders and the company, neither the memorandum nor the articles would give any contractual rights to outsiders against the company or its members even though the names of outsiders are mentioned in those documents in connection with the arrangements that the company might have contemplated for carrying on its business.
- ◆ The articles do not confer any contractual rights even upon a member in a capacity other than that of a member. To succeed, the party suing must prove a contract outside and independent of the articles.

10. ALTERATION OF ARTICLES OF ASSOCIATION OF A COMPANY

Any Company which intends to make any change to the Articles, will have to comply with the provisions as mentioned under section 14 of the Act, along with any other applicable provisions of the Act and applicable rules.

A Company may alter its Articles in accordance with the above provisions in any of the following manner:

- (a) By adoption of new set of articles;
- (b) By addition/insertion of a new Clause/s;
- (c) By deletion of a Clause/s;
- (d) By amendment of a specific Clause/s;
- (e) By substitution of a specific Clause/s.
 - (i) Section 14(1) provides that subject to the provisions of the Act and the conditions contained in its memorandum, if any, a company may, by a special resolution, alter its articles including alterations having the effect of conversion of-
 - ◆ A private company into a public company; or
 - ◆ A public company into a private company.

First proviso to section 14(1) lays down that where a company being a private company alters its articles in such a manner that they no longer include the restrictions and limitations which are required to be included in the articles of a private company under this Act, the company shall, as from the date of such alteration, cease to be a private company.

Further, the second proviso to section 14(1) stipulates that any alteration having the effect of conversion of a public company into a private company shall not take effect unless it is approved by an order of the Central Government on an application made in prescribed form shall make such order as it may deem fit.

- (ii) Every alteration of the articles under this section and a copy of the order of the Central Government approving the alteration as per section 14(1) shall be filed with the Registrar, together with a printed copy of the altered articles, within a period of fifteen days in such manner as may be prescribed, who shall register the same. [Section 14 (2)]
- (iii) Any alteration of the articles registered under section 14(2) shall, subject to the provisions of this Act, be valid as if it were originally in the articles. [Section 14(3)]

CASE LAW

Cyrus Investments (P.) Ltd. vs. Tata Sons Ltd. [2019] (NCLAT)

If any company decides to alter its articles having effect of conversion of a 'Private Company' into a 'Public Company' or a 'Public Company' into a 'Private Company', it is required to pass a special resolution and as per sub-section (2) of section 14, it requires approval by Tribunal.

In Re Walker v. London Tramway Co. (1879) 12 Ch. D. 705

The right to alter the articles is so important that a company cannot in any manner, either by express provisions in the articles or by independent contract, deprive itself of the powers to alter its articles.

Alterations of memorandum or articles to be noted in every copy

Every alteration made in the memorandum or articles of a company shall be **noted in every copy of the memorandum or articles**, as the case may be. [Section 15(1)]

If a company makes any **default in complying with the provisions of section 15(1)**, the **company and every officer who is in default shall be liable to a penalty of one thousand rupees** for every copy of the memorandum or articles issued without such alteration. [Section 15(2)]

10.1 LIMITATIONS ON POWER TO ALTER ARTICLES

Articles must not exceed the powers given by the MoA

Must not be inconsistent with provisions of Companies Act

Alteration not be inconsistent with any alteration made by the Tribunal

Alteration must not include anything which is illegal or opposed to public policy

Alteration must be bonafide for the benefit of the company

Alteration must not constitute fraud on the minority

Alteration of articles cannot operate retrospectively

10.2 PROCEDURE FOR ALTERATION OF AOA UNDER SECTION 14

(a) Hold Board meeting pass board resolution.



(b) Issue notice of general meeting to members, directors and auditors of the company.



(c) Convene General Meeting and pass special resolution.



(d) File copy of proceeding of General Meeting to all stock exchange.



(e) File MGT-14 with ROC within 30 days along with copy of resolution and explanatory statement

Note: Section 14(1) lays down that, private company alter its AOA and removes restriction and limitation which are required to be include in AOA of private company, thus such company ceased to be private company from date of such alteration.

14(1) also ley down that, any alteration effect of conversion of public company into private company shall not take place except with approval of tribunal.

Alteration binds member and company to the same way as original article.

There is clear power to alter the articles, and as altered, they bind members just in the same way as did the original articles.

The alteration is effective only when the procedure laid down in the Companies Act and Memorandum is followed.

The changes shall be made in all the copies of the Articles of Association.

Note: Section 8 company cannot alter its AOA except with prior approval of the Central Government.

11. INCORPORATION CONTRACTS AND AGREEMENTS

A company being an artificial person can contract only through its agents. A contract will be binding on a company only, if it is made on its behalf by any person acting under its authority, express or implied.

The powers of the company are defined by its Memorandum of Association and any contract made beyond the limits laid down in the Memorandum of Association, will be ultra vires to the company and void even if all the shareholders assent to it.

There are two situations as discussed below in the case of every company (whether public or private) in which contracts are made:

- (a) Contracts made on behalf of the company before its incorporation—preliminary or pre-incorporation contracts.
- (b) Contracts made after the incorporation.

11.1 PRE-INCORPORATION CONTRACTS

- ◆ The promoters may enter into contracts on behalf of the proposed company, like purchase of land, ordering machinery, employing key personnel, investment tie up etc. and also incur expenses relating to the incorporation of the company. These must be ratified on the incorporation of the company.
- ◆ The Articles must authorize the directors to pay the expenses relating to registration of the company. The directors do not have any implied power to incur pre-incorporation expenses.

Promoter's Liability

- ◆ During execution, the promoters enter into the contracts on behalf of the company. Although the promoters act as the company's agent to represent their interest, this principal does not exist during registration.
- ◆ The contracts entered into by the promoters are therefore not binding on the company or third parties.
- ◆ However, pre-incorporation contracts are not binding upon the company, if these are not adopted or accepted by the company after its incorporation. Adoption or acceptance of contracts practically means ratification of contract. A Board resolution should be passed for adoption of pre-incorporation contracts at the first Board meeting of the company. On passing such a resolution, the contract shall be binding on the company.

The Procedure for Ratification of Pre-Incorporation Contract is as Under

Ensure that the power to enter and adopt pre-incorporation contracts is given in the objects, incidental or ancillary to the attainment of the main objects clause of the memorandum of the company.

Ensure that the articles also give power to the directors to adopt such pre-incorporation contracts in the board meeting.

Prepare a statement of the pre-incorporation contracts giving the amount involved in each contract separately.

Convene the first board meeting after giving notice to all the directors of the company as per section 173 and place the above mentioned statement before the board meeting.

The statement should be initialed by the Chairman of the Board meeting and then pass a resolution adopting the pre-incorporation contract.

12. DISTINCTION BETWEEN MEMORANDUM AND ARTICLES

Memorandum of Association	Articles of Association
Memorandum of association is the charter of the company and defines the fundamental conditions and objects for which the company is granted incorporation.	Articles of association are the rules and regulations framed to govern this internal management of the company.
Clauses of the memorandum cannot be easily altered. They can only be altered in accordance with the mode prescribed by the Act. In some of the cases, alteration requires the permission of the Central Government or the Court.	In the case of articles of association, members have a right to alter the articles by a special resolution. Generally, there is no need to obtain the permission of the Court or the Central Government for alteration of the articles.
Memorandum of association cannot include any clause contrary to the provisions of the Companies Act.	The articles of association are subsidiary both to the Companies Act and the memorandum of association.
The memorandum generally defines the relation between the company and the outsiders.	The articles regulate the relationship between the company and its members and between the members inter se.
Acts done by a company beyond the scope of the memorandum are absolutely void and ultra vires and cannot be ratified even by unanimous vote of all the shareholders.	The acts of the directors beyond the articles can be ratified by the shareholders.

PAST YEAR QUESTIONS

1. XYZ. Ltd. made a public issue of equity shares in September, 2020 and sought listing of BSE and NSE. Soon, thereafter, the promoters of the company started contemplating a change in the Objects Clause mentioned in the prospectus. To give effect to the same the company convened an extraordinary general meeting of shareholders in November 2021. Though the resolution was passed by the company there were nevertheless, the dissenting shareholders too. The promoters decide to provide an exit opportunity to the dissenting shareholders. In the light of the above, discuss the relevant provisions of the Companies Act, 2013. **[Dec. 2017 (6 Marks)]**
2. SPM Ltd. is engaged in the business of manufacturing of coins made of gold, silver and other precious metals. The company has not raised any money from the public. The company has recently imported the plating technology from Germany and it is desiring to enter into the business of manufacturing of ornaments, jewellery and souvenirs using the plating technology. However, the proposed business is not covered in the objects clause of Memorandum of Association (MoA) of the company. Advise the company the procedure to be followed by it for alteration of objects clause of MA in accordance with the provisions of the Companies Act, 2013. **[June 2023 (5 Marks)]**
3. Ankur Steel Limited is a manufacturer of stainless steel. It had raised & 400 Crore through public issue of its equity shares for starting one more unit of steel manufacturing in Odisha. It has utilized? 100 Crore, Due to reduction in customs duty on import of steel, imported steel from China are cheaper than its own manufacturing. Since there is no scope for growth and expansion in the existing business, management of the Company thought of utilizing remaining amount in software development business (including Artificial Intelligence) by adding a new object in the Company's its memorandum of association.
As per the provisions of the Companies Act, 2013 can it do so? If no, what advice will you give to the company? If yes, then explain the various steps to be followed by the company. **[Dec. 2023 (5 Marks)]**
4. Gupta Publishers Ltd, has been incorporated recently and the Articles of Association of the company contain the provisions for entrenchment under section 5(3) of the Companies Act, 2013. Elucidate the provisions of entrenchment under the Companies Act, 2013. **[June 2023 (4 Marks)]**
5. The Articles of Association of DF Ltd. were amended on 1st January 2020 to insert a new Article providing that the service of the employee of the Company shall be terminated if he takes part in active politics. Ravi being one of the employees of DF Ltd. had filed his nomination papers for contesting elections in September, 2019 but the nomination papers were however rejected. Due to taking part in active politics in September, 2019, the services of Ravi were terminated by the Company effective from 1st February 2020. In the light of decided case law, state whether the decision of the Company is legally tenable?

SHARES AND SHARE CAPITAL - CONCEPTS

Regulatory Framework

The Companies Act, 2013 [Section 23-70]

The Companies (Share Capital & Debentures) Rules, 2014

The Companies (Prospectus & Allotment of Securities) Rules, 2014

The SEBI (Depositories & Participants) Regulations, 2018

The SEBI (ICDR) Regulations, 2018

PART A: MEANING AND TYPES OF SHARE CAPITAL

1. DEFINITION

I. 'Capital'

- ☞ Capital can be defined as the significant element for initiating and running the business for its day to day operations.
- ☞ As well the capital is required for funding its future prospects.
- ☞ Its meaning may vary from person to person.
- ☞ Capital can be termed as the money that can be used to make more money.

For a business or say a company can have the capital can be from two sources:

- (a) **Debt:** That a company owes and is required to be paid back.
- (b) **Equity:** The amount which investors put in the company in exchange to have ownership of the company and the same amount is not required to be paid.

In relation to a company limited by shares, the word 'capital' means the share capital i.e., the capital in terms of rupees divided into a specified number of shares of a fixed amount each.

For example:

Share capital of a company is Rs.5,00,000 which can be divided into 50,000 shares of Rs.10 each or 5,000 shares of Rs.100 each, whichever is feasible to the company.

II. Share

Under **Section 2(84)** of the Companies Act, 2013, "**share**" means a share in the share capital of a company and includes stock.

- ◆ **Section 44 of the Companies Act, 2013** provides that a **share or debentures** or other interest of any member in a company is a **movable property transferable** in the manner provided by the articles of the company.
- ◆ **According to Section 45 of the Companies Act, 2013** every **share in a company** having a share capital shall be **distinguished by its distinctive number** but this provision **shall not apply** to a share held by a person whose name is entered as holder of beneficial interest in such share in the records of a depository.

2. DEFINING THE CLASSES OF SHARE CAPITAL UNDER THE COMPANIES ACT 2013

Share Capital can be classified in the following categories:

These are classified on the basis of maximum amount, subscribed amount, called up, issued and paid-up capital.

Nominal Authorised
or Registered Capital

Section 2(8) under Companies Act, 2013: Such capital as is authorised by the memorandum of a company to be the maximum amount of share capital of the company.

Issued Capital

Section 2(50) under Companies Act, 2013: Such capital as the company issues from time to time for subscription. It is that part of the authorised or nominal capital which the company issues for the time being for public subscription and allotment. This is computed at the face or nominal value.

Subscribed Capital

Section 2(86) under Companies Act, 2013: Such part of the capital which is for the time being subscribed by the members of a company. It is that portion of the issued capital at face value which has been subscribed for or taken up by the subscribers of shares in the company. It is clear that the entire issued capital may or may not be subscribed

Called-up Capital

Section 2(15) under Companies Act, 2013: Such part of the capital, which has been called for payment. It is that portion of the subscribed capital which has been called up or demanded on the shares by the company.

Paid-up Share Capital

Section 2(64) under Companies Act, 2013: Such aggregate amount of money credited as paid-up as is equivalent to the amount received as paid-up in respect of shares issued and also includes any amount credited as paid-up in respect of shares of the company, but does not include any other amount received in respect of such shares, by whatever name called.

3. TYPES OF SHARE CAPITAL

Pursuant to **Section 43 of Companies Act, 2013**, the share capital of a company limited by shares shall be of **two kinds**, namely: —

1. Equity share capital

- (a) With voting rights; or
- (b) With differential rights as to dividend, voting or otherwise in accordance with such rules as may be prescribed; and

2. Preference share capital



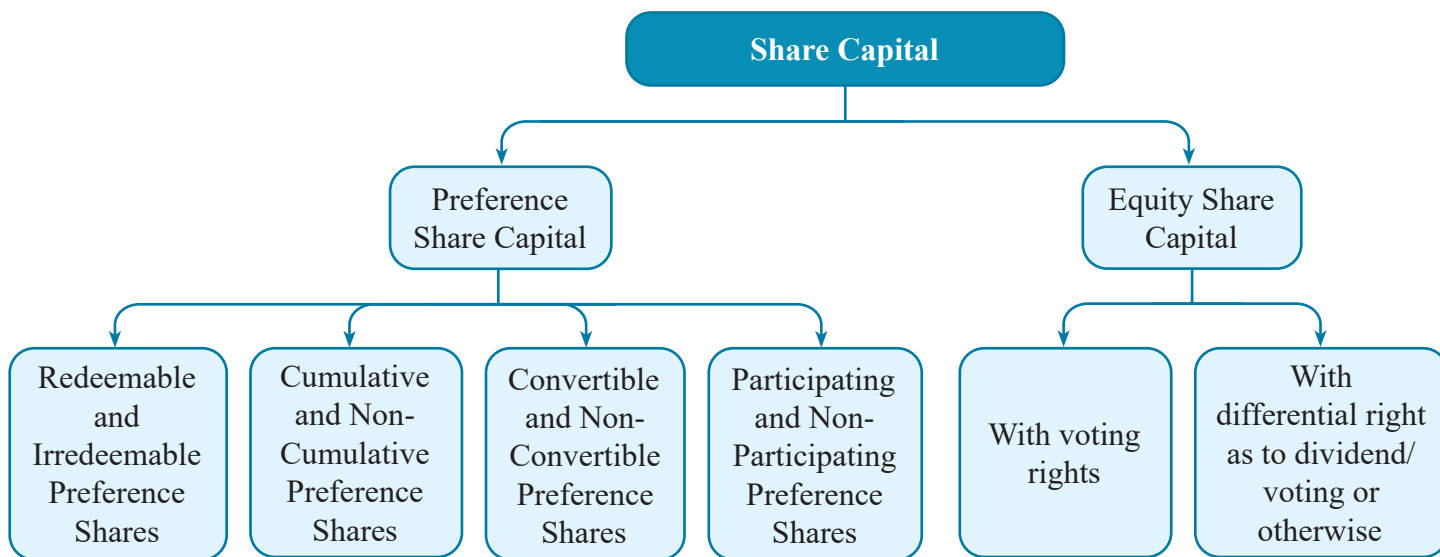
3.1 EQUITY SHARE CAPITAL

It means all share capital which is not preference share capital. It consists of the following features:

- I. Equity Shares have voting rights at all general meetings of the company. These votes have the effect of controlling the management of the company.
- II. Equity Shares have the right to share the profits of the company in the form of dividend and bonus shares. However, even equity shareholders cannot demand declaration of dividend by the company which is left to the discretion of the Board of Directors.
- III. When the company is wound up, payment towards the equity share capital will be made to the respective shareholders only after payment of the claims of all the creditors and the preference share capital.

3.2 PREFERENCE SHARE CAPITAL

- ◆ It means that part of the issued share capital of the company which carries or would carry a preferential right with respect to
- ◆ Payment of dividend, either as a fixed amount or an amount calculated at a fixed rate, which may either be free of or subject to income-tax; and
- ◆ Repayment, in the case of a winding up or repayment of capital, of the amount of the share capital paid-up or deemed to have been paid-up, whether or not, there is a preferential right to the payment of any fixed premium or premium on any fixed scale, specified in the memorandum or articles of the company.



Types of Preference Shares

Cumulative and Non-Cumulative:

- ◆ Cumulative preference shares: The dividends are accumulated and therefore paid before anything paid to equity shares.
- ◆ Non-Cumulative preference shares: If company does not pay dividend in current year, claim of preference shareholder is lost to that extent.

Convertible and Non-Convertible:

- ◆ Convertible preference shares possess an option or right whereby they can be converted into an ordinary equity share at some agreed terms and conditions.
- ◆ Non-Convertible preference shares do not have the option to convert but have all other normal characteristics of a preference share.

Participating and Non-participating:

- ◆ Participating preference share has an additional benefit of participating in ‘surplus profits’ or ‘surplus assets’ of the company apart from preferential dividend.
- ◆ The Non-participating preference shares are those which are not entitled to participate in the ‘surplus profits’ or “surplus assets” of the company. They are entitled to only a fixed rate of dividend.

Redeemable and Non-Redeemable:

- ◆ Redeemable preference shares have a maturity date on which the company will repay the capital amount to the preference shareholders. The paying back of capital is called a redemption dividend. Preference shares shall be redeemed within a period not exceeding 20 years (however infrastructure companies can issue preference shares redeemable within a period not exceeding 30 years).
- ◆ Irredeemable Preference Shares do not have any maturity date and are repayable only at the time of winding up of the company. However, as per section 55 of the Companies Act, 2013 *no company can issue irredeemable preference shares.*

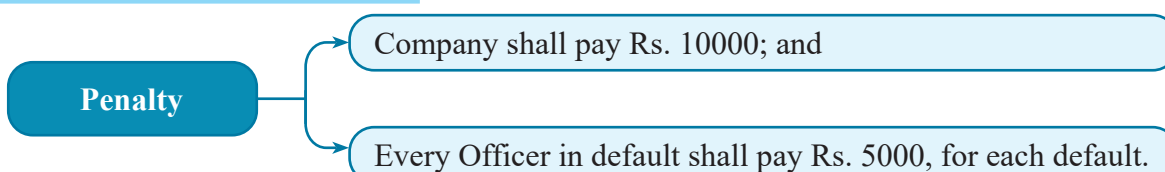
4. VOTING RIGHTS OF EQUITY SHAREHOLDERS AND PREFERENCE SHAREHOLDERS

Voting Rights of Equity Shareholders	Voting Rights of Preference Shareholders
According to section 47, subject to the provisions of section 43, sub-section (2) of section 50 and sub-section (1) of section 188 (a) Every member of a company limited by shares and holding equity share capital therein, shall have a right to vote on every resolution placed before the company; and (b) His voting right on a poll shall be in proportion to his share in the paid-up equity share capital of the company.	Section 47(2) states that every member of a company limited by shares and holding any preference share capital therein shall, in respect of such capital, have a right to vote only on resolutions placed before the company which directly affect the rights attached to his preference shares and, any resolution for the winding up of the company or for the repayment or reduction of its equity or preference share capital and his voting right on a poll shall be in proportion to his share in the paid-up preference share capital of the company: Provided that the proportion of the voting rights of equity shareholders to the voting rights of the preference shareholders shall be in the same proportion as the paid-up capital in respect of the equity shares bears to the paid-up capital in respect of the preference shares. Provided further that where the dividend in respect of a class of preference shares has not been paid for a period of two years or more, such class of preference shareholders shall have a right to vote on all the resolutions placed before the company.

5. COMPLIANCE FOR PUBLICATION OF SHARE CAPITAL UNDER COMPANIES ACT, 2013

It is provided under section 60 of the Act that, where any notice, advertisement or other official publication, or any business letter, bill head or letter paper of a company contains a statement of the amount of the authorized capital of the company, such notice, advertisement or other official publication, or such letter, bill head or letter paper shall also contain a statement, in an equally prominent position and in equally conspicuous characters, of the amount of the capital which has been subscribed and the amount paid-up.

5.1 PENALTY FOR NON-COMPLIANCE



6. SECURITIES

‘Securities’ has been defined *under section 2(81) of Companies Act, 2013* to mean the securities as defined in *clause (h) of section 2* of the Securities Contracts (Regulation) Act, 1956.

As per Section 2(h) of the Securities Contracts (Regulation) Act, 1956, ‘securities’ include-

1. **Company-related Instruments**
Shares, scrips, stocks, bonds, debentures, or anything similar
Issued by companies, pooled investment vehicles, or other corporate bodies.
2. **Derivatives**
Contracts that derive value from other assets (like stocks, currencies, or interest rates).
3. **Collective Investment Schemes (CIS)**
Units or instruments issued by CIS to their investors.
4. **Security Receipts**
Defined under a separate law (SARFAESI Act, 2002) — these represent rights in **distressed financial assets**.
5. **Mutual Fund Units**
Units or similar instruments issued to investors under **mutual fund schemes**.
6. **Pooled Investment Vehicle Units**
Instruments issued by **pooled investment vehicles**, which collect money from investors to invest together.
7. **Special Purpose Entity Instruments**
Certificates issued by entities holding **debts or mortgages**, giving investors a share in those receivables.
8. **Government Securities**
Bonds or securities issued by the **Government of India**.
9. **Any Other Instruments**
If the **Central Government** declares it as a security—it counts!
10. **Rights or Interests in Securities**
Even **rights or claims** attached to these instruments are considered securities.

7. PROSPECTUS

In general parlance prospectus refers to *an information booklet or offer document* on the basis of which an investor invests in the securities of an issuer company.

It has been defined under *section 2(70)* so as to mean *any document described or issued as a prospectus* and *includes a red-herring prospectus referred to in Section 32 or shelf prospectus referred to in section 31* or any notice, circular, advertisement or other document inviting offers from the public for the subscription or purchase of any securities of a body corporate.

Red-herring Prospectus

Shelf prospectus

Abridged Prospectus

Any document described or issued as a prospectus

Any notice, circular, Advertisement or other documents inviting offer

7.1 RED-HERRING PROSPECTUS

- ◆ Red-herring Prospectus means a prospectus which ***does not include complete particulars of the quantum or price*** of the securities included therein (under explanation to section 32).
- ◆ In simple terms a red herring prospectus contains most of the information pertaining to the company's operations and prospects, but ***does not include key details of the issue such as its price and the number of shares offered***.
- ◆ A company proposing to make an offer of securities ***may issue a red-herring prospectus*** prior to the issue of a prospectus.
- ◆ Such a company proposing to issue a ***red herring prospectus shall file it with the Registrar at least three days prior to the opening*** of the subscription list and the offer.
- ◆ A red-herring prospectus ***shall carry the same obligations as are applicable to prospectus*** and any variation between the red herring prospectus and a prospectus shall be highlighted as variations in the prospectus.
- ◆ Upon the closing of the offer of securities under this section, the prospectus stating therein the total capital raised, whether by way of debt or share capital, and the closing price of the securities and any other details as are not included in the red-herring prospectus and shall be filed with the Registrar and the Securities and Exchange Board.

7.2 SHELF PROSPECTUS

A *Shelf Prospectus* is a **prospectus** under which **securities or a class of securities** are offered for **subscription in one or more issues** over a specific period **without issuing a fresh prospectus** for each offer. In simple terms, it is a **single prospectus for multiple public offers**, allowing the **issuer** to offer and sell securities **without a separate prospectus** for each act of offering during the validity period.

Validity Period:

As per the Act, specified **classes of companies**, as notified by **SEBI**, may file a **shelf prospectus** with the **Registrar** at the stage of the **first offer**.

The **validity** of the shelf prospectus **shall not exceed one year**, starting from the **date of opening of the first offer**. For any **second or subsequent offer** within the validity period, **no further prospectus** is required.

Filing of Information Memorandum (FORM PAS-2) with ROC:

A company filing a shelf prospectus must submit an **information memorandum** disclosing all **material facts**, including:

- ◆ **New charges created**
- ◆ **Changes in financial position** between the first/previous offer and the succeeding offer
- ◆ **Any other prescribed changes**

This memorandum must be **filed with the Registrar within one month prior** to the issue of any **second or subsequent offer** under the shelf prospectus.

Advantage to Investors:

If **applications for allotment** and **advance payments** are received **before any such changes**, the company or person must **inform the applicants** about the changes. If applicants wish to **withdraw their application**, the **entire subscription amount** must be **refunded within fifteen days**.

7.3 ABRIDGED PROSPECTUS

According to **section 2(1)** of the Act “**abridged prospectus**” means a memorandum containing such salient features of a prospectus as may be specified by the Securities and Exchange Board by making regulations on this behalf.

Section 33 of the Act provides that no form of application for the purchase of any of the securities of a company shall be issued unless such form is accompanied by an abridged prospectus. A copy of the prospectus, on a quest being made by any person before the closing of the subscription list, be furnished to him.

Exceptions:

Nothing aforesaid shall apply if it is shown that the form of application was issued—

- ◆ In connection with a bonafide invitation to a person to enter into an underwrite with respect to such securities; or
- ◆ In relation to securities which were not offered to the public.

Penalty:

The penal provisions provide that a company which makes any default in complying with the provisions shall be liable to a penalty of **Rs. 50,000 for each default**.

7.4 OFFER FOR SALE/DEEMED PROSPECTUS

- ◆ An **Offer for Sale (OFS)** involves a **public offer of securities** made by an **existing shareholder** through the issue of a **prospectus**.
- ◆ As per **Section 25** of the Companies Act, if a company **allots or agrees to allot securities** with the intent of offering them to the public, any document used for such an offer shall be **deemed to be a prospectus** issued by the company.
- ◆ An **Offer for Sale** is essentially an **invitation to the public** to purchase shares of a company via an **intermediary**, such as an **issuing house** or **merchant banker**.
- ◆ The company may **allot securities to an issuing house** without the intention of directly offering them to the public. The **issuing house** subsequently makes the **offer to the public**.
- ◆ All **laws and regulations** applicable to a prospectus, including those related to its **contents, misstatements, and omissions**, will also apply to an **Offer for Sale**.
- ◆ The **following additional disclosures** must be included in such a document:
 - ☞ The **net amount of consideration** received or to be received by the company in relation to the securities.
 - ☞ The **time and place** where the **contract of allotment** of securities can be inspected.
- ◆ The **conditions** under which such an offer is considered valid include:
 - ☞ The **offer was made within six months** of the allotment or agreement to allot.
 - ☞ At the time of the offer, the **full consideration** for the securities had **not yet been received** by the company.
- ◆ The **offer document** must be **signed by at least two directors** of the company.
- ◆ Under **Section 28**, certain **members of a company**, with the **approval of the Board**, may offer **part or all of their shares** to the public, in accordance with applicable laws. The document used shall be **deemed a prospectus** issued by the company.
- ◆ All laws related to the **prospectus and associated liabilities** shall apply to this document **as if issued by the company** itself.
- ◆ Members whose **shares are offered for sale** must **authorize the company** to act on their behalf and **reimburse any related expenses**.
- ◆ The **provisions of Part I of Chapter III** of the Companies Act and associated rules shall apply, **except** for the following:
 - ☞ **Minimum subscription** requirements.
 - ☞ **Minimum application value**.
 - ☞ **Statement by the Board** on the **utilization of money**.
 - ☞ Any other **unavailable or non-compilable information**, with proper justification.

The offer document or prospectus must also disclose the name of the entity bearing the cost of the offer along with reasons for doing so.

7.5 MATTERS TO BE STATED IN THE PROSPECTUS

- ◆ As per **Section 26(1)** of the Companies Act, every **prospectus** must include **specified information** and **financial reports** as may be **notified by the Securities and Exchange Board (SEBI)** in **consultation with the Central Government**.
- ◆ **Until SEBI specifies** the detailed format and content for such financial reports under this section, the **existing SEBI regulations** framed under the **SEBI Act, 1992** shall continue to apply.
- ◆ The prospectus must also include a **declaration** stating that the company has **complied with the provisions** of the Companies Act.
- ◆ Additionally, there must be a **statement confirming** that **nothing in the prospectus is contrary to:**
 - ◆ The **Companies Act, 2013**
 - ◆ The **Securities Contracts (Regulation) Act, 1956**
 - ◆ The **SEBI Act, 1992**
 - ◆ And all **rules and regulations** made under these laws

8. SHARE CERTIFICATE

Share certificate is a prima facie evidence of the title of the person to such share.

According to Section 45 of the Companies Act, 2013 each share of the share capital of the company shall be distinguished with a distinct number for its individual identification.

However, such distinction shall not be required, as per provision to Section 45, if the shares are held by a person whose name is entered as holder of beneficial interest in such shares in the records of a depository.

8.1 WHO CAN SIGN SHARE CERTIFICATE?

In terms of *Section 46(1)* of the Act, a share certificate issued under the **common seal**, if any, of the company or **signed by two Directors or by a Director and the Company Secretary**, wherever, the company has appointed a Company Secretary, is a prima facie evidence of the title of the person to such share.

8.2 TIME LINE FOR ISSUE OF SHARE CERTIFICATES

Under *Section 56(4)* of the Act, every company, unless prohibited by any provision of law or any order of any Court, Tribunal or other authority must deliver the certificates of all securities allotted, transferred or transmitted:

S. No.	Event	Timelines
1.	Subscribers to the memorandum	Within a period of two months from the date of incorporation
2.	Any allotment of any of its shares	Within a period of two months from the date of allotment
3.	Transfer or transmission of securities	Within a period of one month from the date of receipt by the company of the instrument of transfer under sub-section (1) or, as the case may be, of the intimation of transmission under sub-section (2)
4.	Any allotment of debenture	Within a period of six months from the date of allotment

Duplicate Share Certificate

Section 46 (2) states that a duplicate certificate of shares may be issued, if such certificate:

- Is proved to have been lost or destroyed; or
- Has been defaced, mutilated or torn and is surrendered to the company.

Splitting of Share Certificate

A split certificate means a separate certificate claimed by a shareholder for a portion of his holding.

The advantages of a split certificate are that the shareholder may benefit in case of a transfer by way of sale or mortgage in small lots and the right to multiply the certificates into as many shares held by the shareholder.

8.3 DIFFERENCE BETWEEN ORIGINAL SHARE CERTIFICATES AND DUPLICATE SHARE CERTIFICATES

Basis	Original Share Certificates	Duplicate Share Certificates
Governing Provisions	Rule 5 of the Companies (Share Capital and Debentures) Rules 2014	Rule 6 of the Companies (Share Capital and Debentures) Rules 2014
Issues	On allotment of shares	Renewal to be made only on surrender of old certificate
Fee	No fee is chargeable in case of original share certificates	Company may charge fee for duplicate share certificate as the Board decides but not exceeding Rs. 50 per certificate
Timeline for issue	Subscribers to Memorandum: 2 months Allotment: 2 months Transfer/Transmission: 1 month	Listed Company: 45 days Unlisted Company: 3 months from date of submission of documents

Record Maintenance	FORM MBP-2 (Register of Members)	FORM SH-2 (Register of Renewed and Duplicate Share Certificates)
Penalty	Where any default is made in complying with the above provisions, the company and every officer of the company who is in default shall be liable to a penalty of fifty thousand rupees [Section 56(6)].	According to Section 46(5), if a company with an intention to defraud, issues a duplicate certificate of shares, the company shall be punishable with fine which shall not be less than five times the face value of the shares involved in the issue of the duplicate certificate but which may extend to ten times the face value of such shares or rupees ten crores whichever is higher and every officer of the company who is in default shall be liable for action under section 447, for fraud.

8.4 LEGAL EFFECT OF SHARE CERTIFICATE

It means that the share certificate is a statement by the company that the moment when it was issued, the person named in it was the legal owner of the shares specified in it, and those shares were paid-up to the extent stated.

As a result, a share certificate once issued by the company binds it in two ways, namely:

Estoppel as to title:

Share certificate is a declaration by the company to the entire world that the person in whose name the certificate is made out and to whom it is given is a shareholder in the company. In other word the company is estopped from denying his title to the shares.

Estoppel as to payment:

If the certificate states that on each of the shares full amount has been paid, the company is estopped as against a bona fide purchaser of the shares, from alleging that they are not fully paid.

PART C: ISSUE AND ALLOTMENT OF SECURITIES

Chapter III of the Companies Act, 2013 deals with “Prospectus and allotment of securities”, the chapter is divided into two parts:

Part I deals with Public Offer

Part II deals with Private Placement

Section 23 of the Companies Act, 2013 provides that a company whether public or private may issue securities.

Issue of Securities in Case of Public Company

Public Offer

Private
Placement

Right Issue or
Bonus Issue

Public offer includes initial public offer or further public offer of securities to the public by a company, or an offer for the sale of securities to the public by an existing shareholder, through issue of prospectus.

For a private company, Section 23(2) provides that a private company may issue securities:

- ◆ By way of rights issue or bonus issue in accordance with the provisions of this Act; or
- ◆ Through private placement by complying with the provisions of Part II Chapter III of the Act.

Issue of Securities in Case of Private Company

Private
Placement

Right Issue or
Bonus Issue

9. KINDS OF ISSUE OF SHARES

9.1 ISSUE OF SECURITIES AT A PREMIUM

A company may issue securities at a premium when it is able to sell them at a price above par or above nominal value.

The Companies Act, 2013, does not stipulate any conditions or restrictions regulating the issue of securities by a company at a premium.

However, the Companies Act does *impose conditions regulating the utilization of the amount of premium collected on securities.*

Share Premium to be transferred to ‘Securities Premium Account’

Section 52(1) states that when a company issue shares at a premium, whether for cash or otherwise, a *sum equal to the aggregate amount of the premium received on those shares shall be transferred to a “Securities Premium Account”* and the provisions of this Act relating to reduction of share capital of a company shall, except as provided in this section, apply as if the securities premium account were the paid-up share capital of the company.

Utilization of Securities premium

In accordance with the provisions of Section 52(2) of the Act, the securities premium can be utilized only for:

- (a) Issuing fully paid bonus shares to members;
- (b) Writing off the balance of the preliminary expenses of the company;
- (c) Writing off commission paid or discount allowed, or the expenses incurred on issue of shares or debentures of the company;
- (d) For providing for the premium payable on redemption of any redeemable preference shares or debentures of the company; or
- (e) For the purchase of its own shares or other securities under section 68.

Case Law

Utilization of securities premium account for selective capital reduction

Brillio Technologies Pvt. Ltd. (Appellant) vs. Registrar of Companies, Karnataka & Ors. (Respondents) dated April 19, 2021.

The NCLAT observed that Security Premium Account *can be utilized for making payment to non-promoter shareholders.*

Further, it can be held that selective reduction is permissible if the non-promoter shareholders are being paid fair value of their shares, whose shares have been extinguished pursuant to selective capital reduction, after obtaining prior approval of the NCLT.

Points to Remember

Firstly, the premium cannot be treated as profit and as such the amount of premium is not available for distribution as dividend.

Secondly, the amount of premium whether received in cash or in kind must be kept in a separate account, known as the “Securities Premium Account”.

Thirdly, the amount of premium is to be maintained with the same sanctity as the share capital.

Any premium paid does not give the shareholder any preferential rights in case of a winding up. Monies in the securities premium account cannot be treated as free reserves, as they are in the nature of capital reserve

9.2 PROHIBITION TO ISSUE THE SHARES AT DISCOUNT

Section 53 states that except as provided in section 54 (i.e. issue of sweat equity shares), a company shall not issue shares at a discount.

Any share issued by a company at a discount shall be void.

Exception:

A company may issue shares at a discount to its creditors when its debt is converted into shares in pursuance of any statutory resolution plan or debt restructuring scheme in accordance with any guidelines or directions or regulations specified by the Reserve Bank of India under the Reserve Bank of India Act, 1934 or the Banking (Regulation) Act, 1949.

Penalty:

Where any company fails to comply with the provisions of this section, such company and every officer who is in default shall be liable to a penalty which may extend to an amount equal to the ***amount raised through the issue of shares at a discount or five lakh rupees, whichever is less***, and the company shall also be liable to refund all monies received with ***interest at the rate of twelve percent per annum*** from the date of issue of such shares to the persons to whom such shares have been issued.

10. CONCEPT OF ALLOTMENT OF SECURITIES

Section 39 of the Companies Act, 2013 read with Rule 12 of the Companies (Prospectus and Allotment of Securities) Rules, 2014 deals with Allotment of Securities.

Allotment

Allotment of any securities of a company offered to the public for subscription shall be made only when the amount stated in the prospectus as the minimum amount has been subscribed and payable on application and received by the company by cheque or other instrument.

Minimum Amount of Application: The amount payable on application on every security shall not be less than five per cent of the nominal amount of the security or such other percentage or amount, as may be specified by the Securities and Exchange Board by making regulations in this behalf.

FORM PAS-3: Whenever a Company having a share capital makes any allotment of securities, it shall file with the Registrar a return of allotment, within thirty days thereafter, in Form PAS-3, along with the fee as specified in the Companies (Registration Offices and Fees) Rules, 2014.

Form Pas-3 and its Attachments

1. List of Allottees certified by the signatory in all cases to be attached

2. In case of fully or partly paid up for consideration other than cash

Contract of sale if relating to a property or an asset, or

A contract for services or other consideration

A report of a registered valuer in respect of valuation of the consideration

10.1 REFUND OF MONEY

In cases where the stated minimum amount has not been subscribed and the sum payable on application received within a period of thirty days from the date of issue of the prospectus, or such other period as may be specified by the SEBI, the amount received as above shall be returned.

The application money shall be repaid **within a period of fifteen days** from the closure of the issue and if any such money is not so repaid within such period, the directors of the company who are officers in default ***shall jointly and severally be liable to repay*** that money with interest at the rate of fifteen percent per annum.

Time to refund the application money	15 days from closure of issue
Interest to be paid in case of default in repayment of application money	15% p.a.

10.2 PENALTY FOR DEFAULT [SECTION 39(5)]

In case of any default, the company and its officer who is in default shall be liable to a penalty, for each default, of **Rs. 1,000 for each day** during which such default continues or **Rs.1,00,000, whichever is less**.

10.3 GENERAL PRINCIPLES REGARDING ALLOTMENT

“Allotment” of shares means the act of appropriation by the Board of Directors of the company out of the previously un-appropriated capital of a company of a certain number of shares to persons who have made applications for shares (*In Re Calcutta Stock Exchange Association, AIR 1957 Cal. 438*).

It is on allotment that shares come into existence.

The following general principles should be observed with regard to allotment of securities:

- I. The ***allotment should be made by proper authority***. The proper authority may be the Board of Director of the company, or a committee authorized to allot securities on behalf of the Board.
- II. ***Allotment of securities must be made within a reasonable time*** (As per Section 6 of the Indian Contract Act, 1872, an offer must be accepted within a reasonable time). What is reasonable time is a question of fact in each case. An applicant may refuse to take securities if the allotment is made after a long time. (***As per Section 56 within a period of two months from the date of allotment in the case of allotment of any of its shares***).
- III. The allotment should be ***absolute and unconditional***. Securities must be allotted on the same terms on which they were applied for and as they are stated in the application for securities. Allotment of securities subject to certain conditions is also not valid. Similarly, if the number of ***securities allotted is less than those applied for, it cannot be termed as absolute allotment***.
- IV. The ***allotment must be communicated***. As mentioned earlier posting of letter of allotment or allotment advice will be taken as a valid communication even if the letter is lost in transit.
- V. Allotment against application only. Section 2(55) of the Act requires that a person should agree in writing to become a member.
- VI. ***Allotment should not be in contravention of any other law***. If securities are allotted on an application of a minor, ***the allotment will be void***.

11. ISSUE OF SECURITIES

Private Placement of Shares

Equity Shares With Differential Voting Rights

Issue and Redemption of Preference Shares

Right Issue

Employee Stock Option Scheme

Issue of Shares on Preferential Basis

Bonus Issue

Sweat Equity Shares

11.1 PRIVATE PLACEMENT OF SHARES

Governing Provisions of Companies Act 2013: *Section 42 and Rule 14 of the Companies (Prospectus and Allotment of Securities) Rules, 2014:*

Definition:

As per Explanation I to Section 42(3), **private placement** refers to an **offer or invitation** to subscribe to or issue securities to a **select group of persons**, not through a public offer, and must be made through a **private placement offer-cum-application** satisfying the conditions of this section.

Offer-cum-Application Process:

- ◆ A company may make a private placement by issuing a **private placement offer-cum-application** in **Form PAS-4**.
- ◆ This form must be **serially numbered** and **addressed individually** to each identified person.
- ◆ The offer must be sent in **writing or electronic mode** within **30 days** of recording the recipient's name.
- ◆ Such an offer **cannot be renounced**.

Limit on Number of Offerees:

The offer can be made to a **maximum of 200 persons** in a financial year for each type of security (**equity shares, preference shares, or debentures**).

This limit **excludes**:

- ◆ **Qualified Institutional Buyers (QIBs)**, as defined under SEBI ICDR Regulations.
- ◆ **Employees** offered securities under **Section 62(1)(b)** (ESOP scheme).
- ◆ If this threshold is exceeded, the issue is considered a **public offer** and will be regulated accordingly.

Exemptions:

The above limitation does **not apply** to:

- ◆ **NBFCs** registered under the **RBI Act, 1934**.
- ◆ **Housing Finance Companies** registered under the **National Housing Bank Act, 1987**,
- ◆ Provided they comply with the relevant **RBI/NHB regulations** regarding private placements.

Application Process:

Only **identified persons** may apply.

Subscription money must be paid via **cheque, demand draft, or banking channels**—cash payments are **not allowed**.

Funds raised through private placement cannot be used until:

- ◆ **Allotment is completed**, and
- ◆ **Return of allotment** is filed with the **Registrar of Companies (ROC)**.

Time Limits and Interest Obligation:

- ◆ **Allotment** must be made within **60 days** from receipt of application money.
- ◆ If not allotted within 60 days, the money must be **refunded within 15 days**.
- ◆ Failure to refund within this period leads to a **12% p.a. interest liability** from the 60th day.

Separate Bank Account:

Application money must be kept in a **separate bank account** with a **scheduled bank**.

It can be used **only for**:

- ◆ Adjusting against **allotment**, or
- ◆ **Refunding** if allotment cannot be made.

No Public Advertisement:

The company must not use any **media, agents, advertisements**, or public channels to inform people at large about the issue.

Return of Allotment:

The company must file **Form PAS-3** within **15 days** from the date of allotment.

The return should include:

- ◆ Full details of **all allottees** (name, address, PAN, email).
- ◆ **Class of securities, date of allotment, number of securities, nominal value, amount paid, and non-cash consideration details**, if any.

Penalty for Delay in Filing PAS-3:

Company, its promoters, and directors are liable for a **penalty of ₹1,000 per day** of default (maximum ₹25 lakh).

General Penalty for Violation:

If a company makes or accepts an offer in violation of Section 42:

- ◆ A **penalty up to the amount raised** or **₹2 crore**, whichever is lower, may be imposed.
- ◆ The company must also **refund all subscription money with interest** within **30 days** of the penalty order.

Conditions Applicable to Private Placement

I. Special Resolution Requirement:

Each offer or invitation via private placement must be **approved by shareholders** through a **special resolution**.

The **explanatory statement** in the notice must disclose:

- ☞ Details of the offer and date of Board Resolution,
- ☞ Type and price of securities,
- ☞ **Basis for valuation** and pricing,
- ☞ Amount to be raised,
- ☞ **Purpose, proposed timeline, promoter/director contributions, and key terms** of security/assets.

II. Resolution Exceptions:

- ☞ If the amount raised is within the **limit of Section 180(1)(c)**, a **Board Resolution** under **Section 179(3)(c)** suffices.
- ☞ For **non-convertible debentures** exceeding the Section 180(1)(c) limit, a **single special resolution annually** is enough for all such offers.
- ☞ For offers to **QIBs**, one **annual special resolution** suffices for all allotments in that year.

III. Record Maintenance:

A **complete record** of private placement offers must be maintained in **Form PAS-5**.

IV. Registrar Filings:

- (a) **Form PAS-3**: Filed within **15 days** of allotment.
- (b) **Form MGT-14**: Filed within **30 days** to report **Special or Board Resolutions** to the ROC.

11.2 EQUITY SHARES WITH DIFFERENTIAL VOTING RIGHTS

Governing Provisions of Companies Act 2013: **Section 43 and Rule 4 of the Companies (Share Capital and Debentures) Rules, 2014**.

While **Section 43** enables companies to issue equity shares with differential rights as to dividend, voting rights etc., **Rule 4 of the Companies (Share Capital and Debentures) Rules, 2014** states the conditions regarding shares with differential voting rights.

Conditions for issuing shares with differential rights [Rule 4 of the Companies (Share Capital and Debentures) Rules, 2014]

Only a **company limited by shares** can issue equity shares with differential rights relating to **dividends, voting power**, or other benefits, subject to compliance with the following:

(a) Authorization in Articles of Association

- ☛ The company's **Articles of Association** must provide **authorization** for issuing equity shares with differential rights.

(b) Passing of Ordinary Resolution at General Meeting

- ☛ The issue must be **approved** by an **ordinary resolution** at the company's **general meeting**.
- ☛ If the company is **listed**, approval must be obtained through a **postal ballot**.
- ☛ However, after the **Companies (Amendment) Act, 2017**, companies offering **electronic voting** as per **Section 108** may transact such matters at a **general meeting** instead of a postal ballot.

(c) Limit for voting power not exceeding 74 percent

- ☛ The total **voting power** arising from shares with differential rights must **not exceed 74%** of the **aggregate voting power**, including all such shares issued at any point in time.

(d) No defaults

- ☛ The company must have **Filed financial statements and annual returns** for the **past three financial years**.
- ☛ No **pending defaults** related to:
 - (i) Declared dividends.
 - (ii) **Repayment of matured deposits**.
 - (iii) **Redemption of due preference shares or debentures**, including interest.
 - (iv) **Dividends on preference shares or term loans from financial institutions**.
 - (v) **Statutory dues of employees** or failure to credit **IEPF**.
 - (vi) If any such default had occurred, shares with differential rights can only be issued **five years after the default is rectified**.

(e) The company has not been penalized by Court or Tribunal during the last three years of any offence under the RBI Act, 1934, the SEBI Act, 1992, the Securities Contracts Regulation Act, 1956, the Foreign Exchange Management Act, 1999 or any other Special Act, under which such companies being regulated by sectoral regulators.

- ☛ The company must not have been **penalised** under any of the specified Acts or regulations in the **last three years** by any **Court or Tribunal**.

(f) Conversion of existing equity share capital into differential voting rights and vice-versa not possible

- ☛ The company is **not allowed** to **convert existing equity shares** into shares with differential voting rights, nor vice versa.

(g) Register of Members

- ☛ The **Register of Members** maintained under **Section 88** must record **complete details** of shares issued with differential rights.
- ☛ Holders of equity shares with differential rights are entitled to **all other benefits**, such as **bonus shares** and **rights issues**, that are available to ordinary equity shareholders, except where differences are specifically laid down.

Illustration:

The Company ABC Private Limited wants to issue shares with differential voting rights up to 40% of its share capital? Can it do so?

Solution: Rule 4 of the Companies (Share capital and Debentures) Rules, 2014 specifies a condition that the voting power in respect of shares with differential rights of the company shall not exceed 74% of total voting power including voting power in respect of equity shares with differential rights issued at any point of time. Therefore, a company can issue shares with differential voting rights upto 40 percent of its share capital which is within limit mentioned in Rule 4.

Disclosures in the explanatory statement to the notice of the meeting:

As per **Rule 4(2) of the Companies (Share Capital and Debentures) Rules, 2014**, an **explanatory statement** must be annexed to the **notice of the general meeting or postal ballot** when seeking approval for the issue of equity shares with differential rights. This disclosure ensures that shareholders are **fully informed** before making a decision.

The explanatory statement must include the following **particulars**:

- ◆ The **total number of shares** to be issued with differential rights;
- ◆ The **details of the differential rights** proposed to be attached to the shares;
- ◆ The **percentage** of such shares in the **total post-issue paid-up equity share capital**, including all equity shares with differential rights issued at any time;
- ◆ The **reasons or justification** for issuing shares with such rights;
- ◆ The **issue price**, whether at **par or premium**;
- ◆ The **basis for determining the issue price**;
- ◆ In case of **private placement or preferential issue**
- ◆ The **total number of shares** proposed to be allotted to **promoters, directors, and key managerial personnel (KMP)**;
- ◆ The **total number of shares** to be allotted to **persons other than promoters, directors, and KMP**, including their **relationship**, if any, with the promoter, director, or KMP;
- ◆ In case of **public issue** – details of any **reservation** for various categories, including promoters, directors, or KMP;
- ◆ The **percentage of voting rights** attached to equity shares with differential voting rights in relation to the **aggregate equity voting capital**;
- ◆ The **scale or proportion** of voting rights assigned to the class or type of shares;
- ◆ Any **change in control** of the company that may arise from issuing these shares;
- ◆ The **diluted Earning Per Share (EPS)** after the proposed issue, calculated as per the relevant **accounting standards**;
- ◆ The **pre-issue and post-issue shareholding pattern**, along with **voting rights**, in accordance with **Regulation 31 of SEBI (LODR) Regulations, 2015**.

11.3 ISSUE AND REDEMPTION OF PREFERENCE SHARES

Governing Provisions of Companies Act 2013: *Section 55 and Rule 9 of the Companies (Share Capital and Debentures) Rules, 2014.*

Conditions for Issue of Preference Shares

- ◆ **Time Period:** A company **cannot issue irredeemable preference shares** or redeemable preference shares with a redemption period **exceeding 20 years**.
- ◆ **Authorisation by Articles of Association:** As per **Section 55(2)**, a **company limited by shares** may issue redeemable preference shares only if **authorised by its Articles**, with a **maximum redemption period of 20 years** from the date of issue.
- ◆ **Section 55(1):** A company **shall not issue irredeemable preference shares** under any circumstances.

Exceptions:

Issue and redemption of preference shares by company in infrastructure projects.

Companies engaged in **infrastructure projects**, as specified in **Schedule VI**, may issue preference shares for a period **exceeding 20 years but not beyond 30 years**, subject to:

- I. **Minimum 10% redemption** of such shares **annually from the 21st year** onward or earlier, at the **option of the preference shareholders**.
- II. **Authorized by passing a special resolution in the general meeting of the company:** The issue must be approved by shareholders via a **special resolution** in a **general meeting**.

III. No subsisting default: At the time of issue, the company must have **no default** in:

Redemption of any previously issued preference shares.

Payment of **dividend** on any preference shares.

Redemption out of the profits of the company:

Preference shares can be redeemed either:

- ◆ Out of the **profits** available for distribution as dividend, or
- ◆ From the **proceeds of a fresh issue** of shares for redemption.

Fully Paid-up Shares

Only **fully paid-up** preference shares are eligible for redemption.

Capital Redemption Reserve Account

If redemption is made from **profits**, an amount **equal to the nominal value** of shares redeemed must be transferred to a **Capital Redemption Reserve Account**.

Premium if any payable on redemption of preference shares:

- I. For prescribed classes of companies complying with **Section 133 accounting standards**, the **premium** payable must be adjusted **from profits** before redemption.
 - ◆ For shares issued before the commencement of the Act, premium may be adjusted **from profits or securities premium accounts**.
- II. For companies not covered under (i), the premium must be provided out of the **profits or securities premium account** before redemption.

In case Company is not in position to redeem preference shares:

As per **Section 55(3)**, if the company is **unable to redeem** any preference shares or pay the associated dividend:

- ◆ It may issue **further redeemable preference shares** equal to the due amount (including dividend),
- ◆ With the **consent of holders of 3/4th in value** of the concerned preference shares, and
- ◆ After obtaining **Tribunal approval** through a petition.
- ◆ On such issue, the **unredeemed shares shall be deemed to have been redeemed**.
- ◆ This shall **not be treated** as an **increase or reduction** in the share capital.
- ◆ The **Capital Redemption Reserve Account** may also be applied for issuing **fully paid bonus shares** to members.

Resolution authorising preference shares to set out certain particulars

The resolution for issuing preference shares must specify:

- (a) Priority in **payment of dividend or capital repayment** compared to equity shares;
- (b) **Participation in surplus fund**;
- (c) **Participation in surplus assets/profits** upon winding up;
- (d) Whether **dividends** are **cumulative or non-cumulative**;
- (e) Terms of **conversion into equity shares**;
- (f) Applicable **voting rights**;
- (g) **Redemption terms**.

Explanatory statement to special resolution to set out certain particulars

As per **Rule 9(3)**, the **explanatory statement** annexed to the notice of general meeting must disclose:

- (a) **Size of the issue, number of shares, and nominal value**;
- (b) Nature: **cumulative/non-cumulative, participating/non-participating, convertible/non-convertible**;

- (c) **Objectives** of the issue;
- (d) **Manner of issue**;
- (e) **Issue price**;
- (f) **Basis for price determination**;
- (g) **Terms of issue**, including **dividend rate**;
- (h) **Redemption terms**, including **tenure**, **premium**, and **conversion terms**;
- (i) **Redemption process** and modes;
- (j) **Current shareholding pattern**;
- (k) Expected **equity dilution** if shares are convertible.

Register of Members to contain the particulars of preference share holder(s):

- ◆ The **Register of Members**, maintained under **Section 88**, must record all **details** of preference shareholders.

Redemption of preference shares:

- ◆ As per **Rule 9(6)**, preference shares may be redeemed only:
 - ☞ As per the **original terms** of issue, or
 - ☞ As **modified** with the **consent of shareholders** under **Section 48**.

Procedure to issue and redemption of Preference Shares

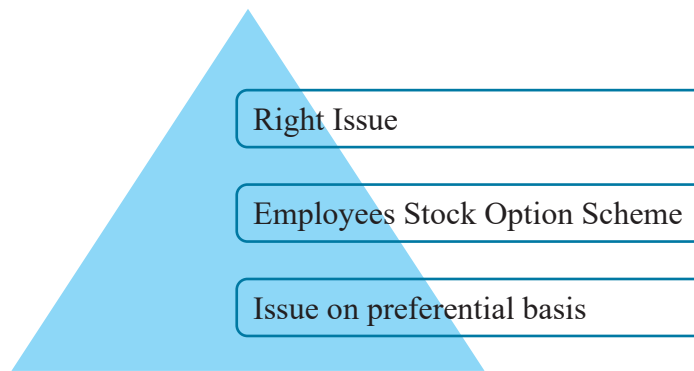
- (a) Check whether the **Articles authorize** issuance; if not, amend them. Ensure **no default** in redemption or dividend on preference shares.
- (b) The **resolution** must include all **required particulars**.
- (c) Send **notice of the general meeting** along with the **explanatory statement**.
- (d) For **listed companies**, intimate stock exchange at least **2 working days** before the board meeting as per **Regulation 29 of SEBI (LODR)**.
- (e) Pass a special **resolution** and file **Form MGT-14** with the Registrar within **30 days**.

***Note:** For a One Person Company, communication of the resolution in the minutes book by the member shall be deemed valid.*

- (f) Within **30 days of allotment**, file **Form PAS-3** with the Registrar.
- (g) Update the **Register of Members** as per **Section 88**.
- (h) Redemption must occur as per:
 - ☞ **Fixed time or specific event**;
 - ☞ **At the company's option**;
 - ☞ **At the shareholder's option**.
- (i) File **Form SH-7** for redemption with the Registrar within **30 days**, along with altered **MOA**, if applicable.
- (j) Deliver **share certificates** within **2 months** from allotment date.
- (k) File **Form PAS-3** again if required, post-allotment.
- (l) Inform the **Depository** of allotment **immediately** upon issuance.

12. FURTHER ISSUE OF SHARE CAPITAL

Where at any time, a company having a share capital proposes to increase its subscribed capital by the issue of further shares, such shares shall be offered:



(A) Persons [u/s 62(1)(a)]	(B) Employees [u/s 62(1)(b)]	(C) Any Persons [u/s 62(1)(c)]
- Who, at the date of the offer, are holders of equity shares of the company - In proportion to the paid-up share capital on those shares - By sending a letter of offer Subject to such conditions as may be prescribed.	- Under a Scheme of Employees Stock Option - Subject to special resolution passed by company (Ordinary Resolution in Private Company) Subject to such conditions as may be prescribed.	- Whether or not those persons include the persons referred to in Clause (a) or (b) - If it is authorised by a special resolution either for cash or for a consideration other than cash, if the price of such shares is determined by the valuation report of a registered valuer Subject to such conditions as may be prescribed.

12.1 RIGHT ISSUE

Governing Provisions of the Companies Act, 2013: **Section 62(1)(a) and Rule 12A of the Companies (Share Capital and Debentures) Rules, 2014.**

Definition:

A right issue refers to the **offer of shares** to existing equity shareholders of a company **on a proportional basis**, based on their **paid-up share capital**, as on the **date of the offer**, through a **letter of offer**.

Conditions:

The offer must be made by issuing a **notice** that includes the following:

- Specifies the **number of shares** being offered;
- Sets a **response period**, which must not be **less than 15 days** (or such lesser period as prescribed) and **not more than 30 days** from the date of the offer. If no response is received within this period, the offer is considered **declined**;
- The offer is **deemed to include the right of renunciation**, unless the **Articles of the Company** state otherwise. The notice must mention this **right of renunciation**.

Period of Notice for offer under Right Issue under Section 62(1)(a)(i)

- According to **Rule 12A** of the Companies (Share Capital and Debentures) Rules, 2014, the offer must remain open for **at least 7 days** from the date of the offer.

Where the offer is declined, either:

- ◆ After the expiry of the time mentioned in the notice; or
- ◆ If an earlier **intimation of refusal** is received from the shareholder;
 - ☞ The **Board of Directors** may dispose of such shares in any manner that is **not disadvantageous to the shareholders or the company**.
- ◆ The notice must be sent via **registered post, speed post, courier, electronic mode**, or any method providing **proof of delivery**, at least **3 days before the opening date of the issue**, to all existing shareholders.

Right to renounce the offer:

- ◆ Unless the company's **articles** restrict it, the notice must mention that **shareholders can renounce** the offer **in full or part**, in favour of other persons.
- ◆ For **private companies**, where **90% or more members** give their consent **in writing or electronically**, a **shorter time period** which shall be *not less than 7 days*.
- ◆ The provisions under **Section 62** apply to **all companies except Nidhi companies**.

Restrictions:

The provisions of **Section 62** regarding further issue of shares do **not apply** in the following cases:

- (a) Where the increase in subscribed capital is due to the **conversion of debentures or loans** into shares, if such conversion was part of the terms approved through a **special resolution** before the issue or loan [**Section 62(3)**].
- (b) When a **Government** directs conversion of debentures or loans (even if no such term was included during issue), in **public interest**, into shares on terms deemed **fair and reasonable** by the Government [**Section 62(4)**].
 - ☞ If the company is **not satisfied with the terms**, it may file an **appeal before the Tribunal** within **60 days** of receiving the Government's order.
 - ☞ The **Tribunal** will hear both parties and pass such an order **as it deems fit**.
 - ☞ While determining such terms under **Section 62(5)**, the Government shall consider:
 - ◆ The **financial condition** of the company;
 - ◆ The **original terms** of debentures/loans;
 - ◆ The **rate of interest** applicable;
 - ◆ And any **other relevant factors**.

When an order under Section 62(4) is passed and:

- ◆ **No appeal** is preferred, or
- ◆ The appeal is **dismissed**,

The **Memorandum of Association** of the company will automatically stand **altered** and the **authorised share capital** will be **increased** by an amount equal to the value of shares into which the **debentures or loans** were converted [**Section 62(6)**].

12.2 EMPLOYEE STOCK OPTION SCHEME

Governing Provisions of the Companies Act 2013: **Section 62(1)(b) and Rule 12 of the Companies (Share Capital and Debentures) Rules, 2014**.

Definition:

As per **Section 2(37)**, an *Employee Stock Option (ESOP)* refers to the **right given to directors, officers, or employees** of the company (including its **holding or subsidiary companies**) to **purchase or subscribe** to shares of the company at a **future date**, at a **pre-fixed price**.

Type of Resolution:

- ◆ **Public Company:** Requires a **Special Resolution**
- ◆ **Private Company:** Requires an **Ordinary Resolution**

Who are Eligible Employees?

Eligible employees include:

- A permanent employee working **in India or abroad**
- A **Director**, whether whole-time or not, but **excluding Independent Directors**
- An employee or director of the **subsidiary or holding company**, whether in India or abroad

Not included:

- ◆ **Promoters or their group**
- ◆ **Directors holding more than 10%** of the company's equity directly or indirectly

Exception:

For a **startup company** (as per Notification G.S.R. 127(E), dated 19th Feb 2019), these exclusion clauses **do not apply for 10 years** from the date of incorporation.

Details in explanatory statement

Rule 12(2) mandates the following disclosures in the explanatory statement attached to the notice:

- Total number of stock options to be granted
- Classes of employees eligible
- Appraisal process to determine eligibility
- Vesting conditions and vesting period
- Maximum period for vesting
- Exercise price or pricing formula
- Exercise process and period
- Lock-in period, if any
- Maximum number of options per employee and in aggregate
- Valuation method for options
- Conditions under which vested options may lapse
- Exercise period in case of resignation or termination
- Statement of compliance with **accounting standards**

Rule 12(4): Separate shareholder resolution required

Mandatory when:

- Granting options to employees of **subsidiary or holding company**
- Granting options equal to or more than **1% of issued capital** to any **identified employee** in a year

Varying the terms of ESOP requires special resolution

- ◆ **Rule 12(5)** allows variations in terms (for unexercised options) by passing a **special resolution**
- ◆ Must not adversely affect option holders
- ◆ Full details, justification, and beneficiaries must be disclosed in the notice

Minimum one year vesting period

- ◆ **Rule 12(6)(a):** Minimum **1 year** between grant and vesting
- ◆ In case of **mergers**, the holding period of options in the amalgamating company can be counted

Company has freedom to specify lock-in period

- ◆ **Rule 12(6)(b):** Company may specify **lock-in period** for shares after option exercise

No right of dividend or voting till exercise of option

- ◆ **Rule 12(6)(c):** Until shares are allotted post-exercise, employees **do not have voting or dividend rights**

Forfeiture/refund – Rule 12(7):

- ◆ Company may **forfeit amount** paid at grant if option is not exercised within period
- ◆ Alternatively, may **refund** if options don't vest due to failure in meeting conditions

Conditions – Rule 12(8):

- ◆ Options are **non-transferable**
- ◆ Cannot be **pledged, hypothecated, or mortgaged**
- ◆ Only the **original grantee** may exercise the option

Death/Permanent disability/Resignation:

- ◆ On **death**: All options granted **vest in legal heirs or nominees**
- ◆ On **permanent disability**: All granted options **vest immediately**
- ◆ On **resignation or termination**: Unvested options **expire**, vested ones may be exercised **within the specified period**, as per scheme terms

Disclosure in the Board's Report – Rule 12(9):

- ◆ The **Board of Directors** must disclose all relevant details of ESOPs granted during the year in the **Director's Report**

Maintenance of Register:

- ◆ **Rule 12(10):** Maintain **Register of ESOPs in Form SH.6**
- ◆ To be kept at the **Registered Office** or a place approved by the Board
- ◆ Entries must be **authenticated** by Company Secretary or authorized person

Listed companies have to comply with SEBI guidelines:

- ◆ In case of **listed companies**, ESOP must comply with **SEBI regulations** issued in this regard

Forms to be filed with ROC for ESOP:

- ◆ **Form MGT-14:** For filing the **Special Resolution** within **30 days**
- ◆ **Form PAS-3:** For reporting the **allotment of shares** within **30 days**

12.3 ISSUE OF SHARES ON PREFERENTIAL BASIS

Governing Provisions of the Companies Act, 2013: *Section 62(1)(c) and Rule 13 of the Companies (Share Capital and Debentures) Rules, 2014.*

Section 62(1)(c) permits a company to issue shares to **persons other than existing shareholders**, either **for cash or for non-cash consideration**, subject to the following:

- (a) A **special resolution** must be passed in the general meeting.
- (b) The **price** of such shares must be based on a **valuation report by a registered valuer**, and be in compliance with **Chapter III** and other applicable rules.

Meaning

- ◆ A **Preferential Offer** refers to an issue of shares or securities to **select individuals or groups** on a preferential basis.
- ◆ It **excludes** issues made through **public offers, rights issues, ESOPs, employee purchase schemes, sweat equity, bonus shares, depository receipts, or foreign securities.**

Conditions for Preferential Offer

I. Authorization & Special Resolution:

The Articles of Association must authorize the issue, and a **special resolution** must be passed by shareholders.

II. Disclosures in Explanatory Statement:

The notice for the general meeting must include the following details:

- (a) Object of the issue
- (b) Total number of securities proposed
- (c) Price or price band of the issue
- (d) Basis of price determination and valuer's report
- (e) Relevant date used for pricing
- (f) Class or classes of proposed allottees
- (g) Intentions of promoters, directors, or KMP to subscribe
- (h) Time frame within which allotment shall be completed
- (i) Names of proposed allottees and their post-issue holding %
- (j) Any potential **change in control** of the company
- (k) Details of any earlier preferential allotment in the same year
- (l) Justification for non-cash consideration and valuer's report
- (m) **Pre- and post-issue shareholding pattern** (prescribed format)

III. Completion Timeline:

Allotment must be completed **within 12 months** of the passing of the special resolution. If not, a **fresh special resolution** must be passed.

IV. Pricing of Issue:

The issue price must be determined by a **registered valuer's report** (except in the case of listed companies, where SEBI regulations apply).

Convertible Securities

When issuing **convertible securities**, the price of resultant equity shares shall be determined:

- (i) **Upfront**, at the time of initial offer, based on the registered valuer's report, or
- (ii) **At the time** the holder becomes entitled to apply for shares (not earlier than 30 days from such entitlement), based on a valuation report prepared within 60 days before such date.

The method chosen (i or ii) must be **decided and disclosed** at the time of the initial offer.

Consideration Other than Cash

- (i) When shares are allotted for **non-cash consideration**, a **registered valuer** must determine and justify its valuation.
- (ii) Accounting treatment:
 - ☞ If the non-cash asset is **depreciable/amortizable**, it should be treated accordingly in the books.
 - ☞ Otherwise, it must be accounted as per applicable **accounting standards**.

As per **Rule 13(3)**, the issue price **must not be lower** than the valuation derived from the valuer's report.

Exemptions & Clarifications

- ◆ In case of **listed companies**, valuation report by a registered valuer is **not mandatory**; SEBI guidelines apply.
- ◆ If the preferential issue is made **only to existing shareholders**, certain provisions related to **private placement** such as **PAS-4 (offer letter)** and **PAS-5 (record of offer)** will not apply.

12.4 DIFFERENCE BETWEEN PRIVATE PLACEMENT AND PREFERENTIAL ALLOTMENT

<i>Particulars</i>	<i>Private Placement</i>	<i>Preferential Allotment</i>
Governing	Section 42	Section 62(1)(c)
Meaning	Offer or invitation made to a select group of persons	Issue of shares to any persons whether or not they include members and employees
Securities to be issued	Any security including Equity, Preference and Debentures	Only Equity and other securities convertible into Equity can be issued
Shareholders' Approval	Required	Required
Allottees	Any person as identified by the Board	To members, employees or any other persons
Disclosures in Explanatory Statement	Only a few as per Rule 14 of the Companies (Prospectus and Allotment of Securities) Rules, 2014	Detailed disclosures as per Rule 13 of the Companies (Share Capital and Debentures) Rules, 2014
Offer Letter	In prescribed format (PAS-4)	No format prescribed
Time limit for allotment	Within 60 days of receipt of subscription money	Within 12 months from the date of passing Special Resolution
Authorization in Articles	Not Required	Required

12.5 BONUS SHARES

A company may, if its Article of Association provides, capitalize its profits by issuing fully-paid bonus shares. The issue of bonus shares by a company is a common feature. The vesting of rights in bonus shares takes place when the shares are actually allotted; and not from any earlier date.

Governing Provisions of the Companies Act, 2013:

Section 63 and Rule 14 of the Companies (Share Capital and Debentures) Rules, 2014 and SEBI Regulations (if the company is listed) are applicable.

Benefits of Issuing Bonus Shares:

- ◆ It is meant for capitalizing undistributed profits.
- ◆ Fund flow is not affected adversely.
- ◆ Market value of the company's shares comes down to their nominal value by issue of bonus shares.
- ◆ Market value of the members' shareholdings increases with the increase in number of shares in the company.
- ◆ 'Bonus shares' is not income. Hence, it is not a taxable income.

The company which has once announced the decision of its Board recommending a bonus issue, shall not subsequently withdraw the same.

Sources for issue of Bonus Shares

According to section 63(1), a company may issue fully paid-up bonus shares to its members, in any manner whatsoever, out of-

Its free reserves

The securities premium account

The capital redemption reserve account

Note: No issue of bonus shares shall be made by capitalizing reserves created by the revaluation of assets.

Conditions for issue of Bonus Shares

In terms of **section 63(2)**, no company shall capitalise its profits or reserves for the purpose of issuing fully paid-up bonus shares, unless

- (a) **Authorization in AOA:** It is authorized by its articles;
- (b) **General Meeting Resolution:** It has, on the recommendation of the Board, been authorized in the general meeting of the company;
- (c) **No defaults:**
 - It has not defaulted in payment of interest or principal in respect of fixed deposits or debt securities issued by it;
 - It has not defaulted in respect of the payment of statutory dues of the employees, such as, contribution to provident fund, gratuity and bonus.
- (d) **Fully paid-up shares:**

The partly paid-up shares, if any outstanding on the date of allotment, are made fully paid-up.
- (e) **No issue in lieu of dividend:** The bonus shares shall not be issued in lieu of dividend.

Forms to be Filed with Roc

FORM MGT-14: In case special resolution for altering the Article of Association for authorizing bonus issues of shares, then to **file Form MGT-14 within 30 days** of passing the special resolution.

FORM PAS-3: *Within 30 days of allotment file with the Registrar the Return of allotment in Form PAS-3* along with fee as specified in Companies (Registration of Offices and Fees), Rules 2014.

Illustration:

ABC Private Limited has the following:

- ◆ Authorized Equity Share Capital: Rs. 85 Crores.
- ◆ Paid Up Equity Share Capital: Rs.60 Crores.
- ◆ Reserves & Surplus: Rs.780 Crores.

However, ABC Private Limited has defaulted in making payment towards contribution of provident fund for last two years. The Board plans to issue bonus shares in ratio of 1:1. Can the Board do so?

Answer: As the Company has defaulted in making payment of statutory dues, it does not satisfy the conditions permissible to issue bonus shares.

Therefore, ABC Private Limited can't issue bonus shares.

12.6 SWEAT EQUITY SHARES

Governing Provisions of the Companies Act, 2013: **Section 54 and Rule 8 of the Companies (Share Capital and Debentures) Rules, 2014 and SEBI Regulations if the company is listed are applicable.**

What are Sweat Equity Shares?

According to **section 2 (88)**, sweat equity shares means such equity shares **issued by a company to its directors or employees at a discount or for consideration, other than cash** for providing their know-how or making available rights in the nature of intellectual property rights or value additions, by whatever name called.

What are Value Additions?

It means **actual or anticipated economic benefits derived or to be by the company from an expert or a professional for providing know-how or making available rights in the nature of intellectual property rights**, by such person to whom sweat equity is being issued for which the consideration is not paid or included in the normal remuneration payable under the contract of employment, in the case of an employee.

Who are Employees?

According to Explanation to **Rule 8(1) of the Companies (Share Capital and Debentures) Rules, 2014:** For the purposes of this rule.

The expressions “Employee” means-

- (A) a permanent employee of the company who has been working in India or outside India, for at least last one year;
- (B) A director of the company, whether a whole time director or not,
- (C) An employee or a director of a subsidiary, in India or outside India, or of a holding company of the company.

Conditions for Issue of Sweat Equity Shares

1. Authorisation by Special Resolution:

The issue must be approved through a **special resolution** passed at a general meeting of the company.

2. Matters to be stated in Special Resolution:

The resolution should clearly mention:

- (a) Total number of shares;
- (b) **Current market price** of the shares;
- (c) **Consideration**, if any;
- (d) Class or category of **employees or directors** to whom these shares will be issued.

3. Compliance with SEBI Regulations:

Where the shares are listed on any recognized stock exchange, the company must follow the **SEBI regulations** applicable to sweat equity shares.

4. Pari Passu Rights:

As per Section 54(2), sweat equity shares will carry the same **rights, restrictions and provisions** as that of equity shares and will rank **pari passu** with other equity shares.

5. Validity of Special Resolution:

According to Rule 8(3), the **special resolution** remains valid for **12 months** from the date of passing for making the allotment.

6. Three Years Lock-in Period:

Sweat equity shares issued to employees or directors shall be **locked in** for **3 years** from the date of allotment. The **lock-in period** must be clearly mentioned on the share certificate in bold or any prominent form.

7. Limitations on Issue of Sweat Equity Shares:

Rule 8(4) states that the company cannot issue more than **15%** of paid-up equity share capital in a year or shares worth more than **₹5 crores, whichever is higher**.

Total issuance of sweat equity shares shall not exceed **25%** of the paid-up equity share capital at any time.

A Startups Company (as defined by DPIIT) may issue up to **50%** of their paid-up capital as sweat equity for **10 years** from incorporation/registration

8. Sweat Equity for Non-Cash Consideration:

☞ If the non-cash consideration is a **depreciable/amortizable asset**, it must be shown in the **balance sheet** as per accounting standards.

☞ If not an asset as per (a), it must be **expensed** in accordance with accounting standards.

9. Managerial Remuneration:

Sweat equity shares shall count as **managerial remuneration** under Sections 197 and 198 if:

- (a) Issued to a **director or manager**, and
- (b) Issued for **non-cash consideration** not qualifying as a balance sheet asset.

10. Compensation Aspects:

- ☛ **If not for acquisition of assets:** As per Rule 8(11), the **fair value** of sweat equity shares (determined by a **registered valuer**) will be treated as **compensation** to employees/directors in the financial statements.
- ☛ **If issued for acquisition of asset:** As per Rule 8(12), the **value of asset** will be recorded in the balance sheet. Any **excess amount** (over asset value) will be treated as **compensation**.

11. Disclosure in Board Report:

- (a) Category of **employees/directors** to whom shares were issued;
- (b) Class of shares issued as **sweat equity**;
- (c) Total number of shares issued, including those for **non-cash consideration**, and names of allottees holding **1% or more** of paid-up capital;
- (d) Reason or **justification** for issuing;
- (e) **Terms and conditions**, including pricing formula;
- (f) Total number of shares resulting from such issue;
- (g) Post-issue **percentage** of sweat equity shares;
- (h) **Consideration received**, including non-cash;
- (i) Diluted **EPS** after issue of sweat equity shares.

12. Maintenance of Register:

- (a) As per Rule 8(14), the company shall maintain a **Register of Sweat Equity Shares in Form SH-3**.
- (b) This register must be kept at the **registered office** or any other location decided by the **Board**.
- (c) Entries must be **authenticated** by the **Company Secretary** or an authorized person.

Illustration:

The share capital of the company ABC Pvt. Ltd. is ₹20 Crore. Mr. Raj is appointed as Managing Director of the Company, the company wants to compensate him by issue of shares for supplying technical know-how without any cost. What can be the quantum of the shares that can be allotted?

Solution: The paid-up capital of the company is ₹20 crore.

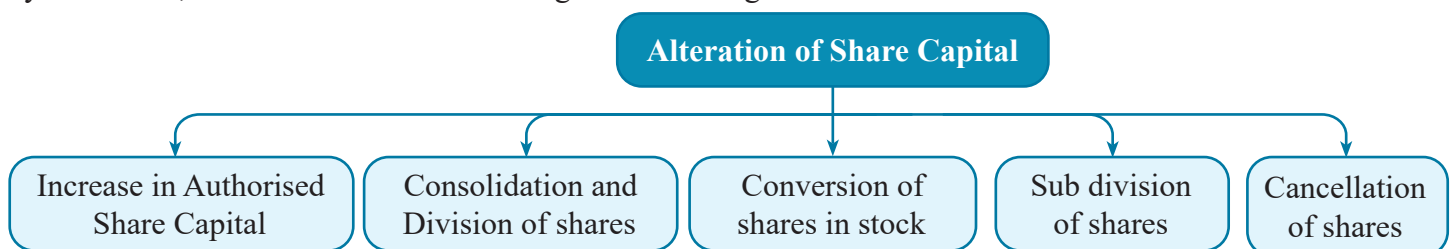
Hence, he can be allotted with 15% of existing equity i.e. (15% of ₹20 crore up to ₹3 Crore) value of shares or ₹5 crore whichever is higher.

PART D: ALTERATION IN SHARE CAPITAL, BUY-BACK AND REDUCTION OF SHARE CAPITAL

13. ALTERATION OF SHARE CAPITAL (SECTION 61)

The company may for commercial reasons, alter its share capital.

Section 61 of the Companies Act, 2013 provides that a limited company having a share capital may, if so authorized by its articles, alter its memorandum in its general meeting to:



I. Increase Authorized Capital:

It includes to increase its authorized share capital by such amount, as it thinks expedient;

II. Consolidation and division of shares:

It includes to consolidate and divide, all or any of its existing shares into a larger denomination than of its existing shares.

e.g., by consolidating ten shares of Rs. 10/- each into one share of Rs. 100/- each.

Proviso to Section 61(1)(b) states that no consolidation and division which results in changes in the voting percentage of shareholders shall take effect unless it is approved by the Tribunal on an application made in the prescribed manner;

III. Conversion in stock:

It includes to convert all or any of its fully paid-up shares into stock or reconvert that stock into fully paid-up shares of any denomination;

IV. Sub-division:

It includes to sub-divide its existing shares or any of them, into shares of smaller amount than is fixed by the Memorandum, so however, that in the sub-division the proportion between the amount paid and the amount, if any, unpaid on each reduced shall be the same as it was in the case of the share from which the reduced share is derived;

V. Cancellation of Shares:

It includes to cancel shares which, at the date of the passing of the resolution in that behalf, have not been taken up or agreed to be taken by any person and diminish the amount of the share capital by the amount of the shares so cancelled.

VI. Filing of FORM SH-7 with ROC:

Section 64(1) states that when-

- ☞ A company alters its share capital in any manner specified in sub-section (1) of section 61;
- ☞ An order made by the Government under sub-section (4) read with sub-section (6) of section 62 has the effect of increasing authorized capital of a company; or
- ☞ A company redeems any redeemable preference shares.

The company shall file a notice in the prescribed **Form SH-7 with the Registrar within a period of thirty days** of such alteration or increase or redemption, as the case may be, along with an altered memorandum.

Penalty:

As per **Section 64 (2)**, contravention in this case will make the such company and every officer who is in default shall be **liable to a penalty of five hundred rupees for each day during which such default continues, subject to a maximum of five lakh rupees** in case of a company and **one lakh rupees in case of an officer who is in default.**

Important:

The **cancellation of shares shall not be deemed to be a reduction of share capital.**

In order to alter its capital clause in the Memorandum, the company requires authority in its articles.

But if the articles give no power to this effect, the articles must be amended by a special resolution before the power to alter the capital clause can be exercised by the company [**Re. Patent Invert Sugar Co. (1885) 31 Ch. D. 166**].

Any amendment in Articles of Association will require the filing of **Form MGT-14** with ROC **within 30 days of passing the special resolution.**

An ordinary resolution will be enough for altering capital clause in the Memorandum of Association.

14. BUY-BACK OF SECURITIES

14.1 WHAT IS BUY-BACK?

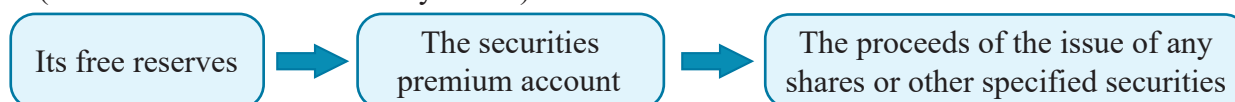
The term buy-back implies the act of *purchasing its own shares/securities by a company*. This facility enables the Company to go back to the holders of its own shares/securities and make an offer to purchase such shares/securities from them.

Governing Provisions of Companies Act, 2013

1. *Section 68-70.*
2. *Rule 17 of Companies (Share Capital and Debentures) Rules, 2014.*
3. *For Listed Companies: SEBI Regulations are also applicable.*

14.2 SOURCES OF BUY-BACK

According to Section 68(1) of the Companies Act, 2013 a company may purchase its own shares or other specified securities (hereinafter referred to as “buy-back”) out of:



However, no buy-back of any kind of shares or other specified securities can be made out of the proceeds of an earlier issue of the same kind of shares or same kind of other specified securities.

Thus, the company must have at the time of buy-back, sufficient balance in any one or more of these accounts to accommodate the total value of the buy-back.

Important

What are Free Reserves?

Free reserves has been defined under section 2(43) of the Act as such reserves which, as per the latest audited balance sheet of a company, are available for distribution as dividend: Further it has been provided that the following shall not be treated as free reserves:

- ◆ Any amount representing unrealised gains, notional gains or revaluation of assets, whether shown as a reserve or otherwise, or
- ◆ Any change in carrying amount of an asset or of a liability recognised in equity, including surplus in profit and loss account on measurement of the asset or the liability at fair value, shall not be treated as free reserves.

14.3 CONDITIONS FOR BUY-BACK OF SHARES

Authorization in Articles:

Buy-back must be **authorized by the Articles of Association (AOA)**. If not already provided, the AOA must be **altered accordingly**.

Approval for Buy-back:

- ◆ The **Board of Directors** can approve a buy-back up to **10%** of the company's **paid-up equity capital and free reserves** through a **board resolution**.
- ◆ For buy-back exceeding 10% and up to **25%**, a **special resolution** by the **shareholders** is required.
- ◆ In case of a **listed company**, shareholder approval must be obtained **only via postal ballot**.

Buy-back Limit:

- ◆ The amount of buy-back must not exceed **25% of the aggregate** of the company's **paid-up capital and free reserves**.
- ◆ For **equity shares**, the 25% limit is determined based on the **paid-up equity capital** only.

Post Buy-back Debt-Equity Ratio:

After the buy-back, the **total debts (secured and unsecured)** should not exceed **twice** the amount of **paid-up capital and free reserves**.

- ◆ However, for certain companies, the **Central Government** may notify a **higher permissible ratio**.

Higher Ratio for Government NBFCs:

- ◆ As per **MCA Order S.O. 702(E), dated 10th March 2016**, Government companies engaged in **NBFC** or **Housing Finance** activities may have a **debt-equity ratio up to 6:1**.

Fully Paid-Up Shares:

Only **fully paid-up shares or securities** are eligible for buy-back.

Cooling-off Period: There must be a **minimum gap of one year** between the **closure of one buy-back** and the **initiation of another**.

Timeline for Completion:

Every buy-back must be **completed within one year** from the date of passing the **Board resolution** or **special resolution**, as applicable.

Permitted Methods of Buy-back:

- ◆ From **existing shareholders** on a **proportionate basis**.
- ◆ From the **open market**.
- ◆ From **employees** holding shares issued under **stock options** or **sweat equity** schemes.

Extinguishment of Shares:

All bought-back shares must be **extinguished and physically destroyed** within **7 days** of the **last date of completion** of the buy-back.

Restriction on Further Issue:

- ◆ A company that has completed a buy-back **cannot issue the same kind of shares** or securities for **6 months**.
- ◆ Exceptions include **bonus issues**, or issuance due to **conversion of warrants, stock options, sweat equity**, or **preference shares/debentures**.

Buy-back Offer Period:

- ◆ The offer must remain open for **15 to 30 days** from the date of dispatch of the **letter of offer**.
- ◆ It can be kept open for **less than 15 days** if **all members consent**.

Register of Buy-back:

- ◆ The company must maintain a **register (Form SH-10)** of bought-back shares or securities, with details like:
 - ☞ **Consideration paid**
 - ☞ **Date of cancellation**
 - ☞ **Date of extinguishment**
- ◆ This register is kept at the **registered office** and must be **authenticated** by the **Company Secretary** or an **authorized person**.

Dispatch of Letter of Offer:

- ◆ The **letter of offer** must be sent to shareholders/security holders **immediately after filing** with the **Registrar of Companies (ROC)**, and **not later than 21 days** from such filing.

Filing with ROC:

- ◆ **Form MGT-14:** Filed within **30 days** of passing the **special resolution**.
- ◆ **Form SH-8 (Letter of Offer):** Filed **before buy-back**, signed by at least **two directors**, one being the **Managing Director**.

- ◆ **Form SH-9 (Declaration of Solvency):** Filed with ROC (and SEBI for listed companies), signed by at least **two directors**, and accompanied by an **affidavit** affirming the company's ability to meet liabilities.
- ◆ **Form SH-11 (Return of Buy-back):** Filed **after completion**, certified by two directors (including MD if applicable), confirming compliance.

Verification of Offers:

- ◆ The company must complete **verification within 15 days** of offer closure.
- ◆ If shares are **not accepted**, a **communication of rejection** must be sent **within 21 days** from the closure.

Opening of Bank Account:

- ◆ A **separate bank account** must be opened **immediately after closure** of the offer.
- ◆ The company must:
 - ☞ **Pay consideration** to shareholders whose securities are accepted within **7 days**, or
 - ☞ **Return certificates or balances** in case of full or partial rejection.

Proportional Acceptance:

- ◆ If more shares are tendered than what the company offers to buy-back, **acceptance shall be proportionate** to the total number offered.

Penalty

If a company makes any default in complying with the provisions of Section 68, the company shall be punishable with fine which shall not be less than one lakh rupees but which may extend to three lakh rupees and every officer of the company who is in default shall be punishable with fine which shall not be less than one lakh rupees but which may extend to three lakh rupees.

14.4 EXPLANATORY STATEMENT TO CONTAIN CERTAIN DISCLOSURES [RULE 17(1) OF THE COMPANIES (SHARE CAPITAL AND DEBENTURES) RULES, 2014]

Explanatory statement to the special resolution authorizing buy-back to be annexed to the notice of the general meeting *pursuant to section 102* shall contain the following disclosures:

- ◆ The date of the Board meeting at which the proposal for buy-back was approved by the Board of Directors of the company;
- ◆ The objective of the buy-back;
- ◆ The class of shares or other securities intended to be purchased under the buy-back;
- ◆ The number of securities that the company proposes to buy-back; the method to be adopted for the buy-back;
- ◆ The price at which the buy-back of shares or other securities shall be made;
- ◆ The basis of arriving at the buy-back price;
- ◆ The maximum amount to be paid for the buy-back and the sources of funds from which the buy-back would be financed;
- ◆ The time-limit for the completion of buy-back;

14.5 TRANSFER TO AND APPLICATION OF CAPITAL REDEMPTION RESERVE ACCOUNT

When a company purchases its own shares out of free reserves or securities premium account, a ***sum equal to the nominal value of the shares purchased shall be transferred to the capital redemption reserve account*** and details of such transfer shall be disclosed in the balance sheet.

The capital redemption reserve account may be applied by the company, in paying up unissued shares of the company to be issued to members so the company has fully paid bonus shares.

14.6 CIRCUMSTANCES PROHIBITING BUY-BACK [SECTION 70]

A company is **prohibited from buying back** its own shares or other specified securities **in the following circumstances**:

- ◆ **Through any subsidiary company**, including its own wholly-owned or partly-owned subsidiaries.
- ◆ **Through any investment company or group of investment companies.**
- ◆ If the company has **defaulted in any of the following obligations**:
 - ☞ **Repayment of deposits** accepted, whether before or after the commencement of the Companies Act, 2013.
 - ☞ **Payment of interest** on such deposits.
 - ☞ **Redemption of debentures or preference shares.**
 - ☞ **Payment of dividend** to any shareholder.
 - ☞ **Repayment of term loans or interest due** on such loans to any **financial institution or banking company.**

Exceptions:

Buy-back shall **not be prohibited** if:

- ◆ The company has **remedied the default**, and
- ◆ A **period of three years** has elapsed since the default was corrected.

A company is also **barred from buy-back** if it has **not complied with the following provisions**:

- ◆ **Section 92 – Filing of Annual Return.**
- ◆ **Section 123 – Declaration of Dividend.**
- ◆ **Section 127 – Punishment for failure** to distribute dividend.
- ◆ **Section 129 – Preparation and presentation of Financial Statements.**

14.7 OBJECTIVES OF BUY-BACK

The following are the benefits of share buy-back for the companies as under:

1. It is an alternative mode of reduction in Capital without requiring approval of the court/NCLT
2. To return surplus cash to Shareholders
3. To improve return on capital, return on networth and to enhance the long term shareholders value
4. To avoid unwelcome takeover bids
5. To achieve optimum capital structure;
6. To support share price during periods of sluggish market condition;
7. To serve the equity more efficiently

15. REDUCTION OF SHARE CAPITAL (SECTION 66)

The need of reducing share capital may arise in various circumstances such as follows:

- ◆ Returning of surplus to shareholders;
- ◆ Eliminating losses, which may be preventing the payment of dividends;
- ◆ As a part of scheme of compromise or arrangements; simplify capital structure;
- ◆ When the company is making losses, the financial position does not present a true and fair view of the company. In order to reduce capital will write-off that portion of capital which is already lost and will make the balance sheet look healthy.

15.1 CONDITIONS FOR REDUCTION OF SHARE CAPITAL

1. Approval by Members:

Reduction of share capital requires the **approval of shareholders** through a **Special Resolution**.

2. Filing with ROC:

The special resolution must be filed with the **Registrar of Companies (ROC)** in **Form MGT-14** within **30 days** of its passing.

3. Tribunal's Confirmation:

A company limited by shares or by guarantee with share capital must obtain **confirmation from the Tribunal (NCLT)** by filing an **application**. Only after such confirmation can the reduction take effect.

4. Permissible Methods of Reduction:

(a) Extinguishing or reducing unpaid liability on shares.

Example: For shares of face value ₹100 with ₹65 paid-up, the company may declare them as **fully paid at ₹65**, eliminating the liability of ₹35 per share.

(b) Cancelling paid-up share capital lost or unrepresented by assets, with or without affecting the liability on shares.

Example: Fully paid shares of ₹100 are backed by only ₹65 of assets. The company may **cancel ₹35** per share and adjust the assets accordingly.

(c) Paying off surplus paid-up capital not required by the company.

Example: ₹100 fully paid shares may be **reduced to ₹75**, and ₹25 per share is returned to shareholders.

5. Restrictions:

Reduction is not permitted if the company is in **arrears on deposit repayments or interest thereon**.

6. Notice by Tribunal:

The Tribunal must send **notices** of the application to:

- (a) **Central Government**
- (b) **Registrar of Companies**
- (c) **SEBI**
- (d) **Creditors**

These parties have **three months** to file objections. If **no representation** is received within this time, it is assumed that there is **no objection**.

7. Consent from Creditors:

Affidavits from creditors are **mandatory**, confirming that their interests are not prejudiced.

8. Discharge of Creditors' Claims:

The Tribunal will confirm the reduction only if:

- (a) All **creditors' claims are discharged**, or
- (b) Creditors' claims are **settled, secured**, or
- (c) Their **consent is obtained**.

9. Compliance with Accounting Standards:

- (a) The **accounting treatment** for reduction must **conform to the Accounting Standards** under **Section 133** of the Companies Act read with Rule 3 of the Companies (Accounts) Rules, 2014.
- (b) A **certificate from the company's auditor** confirming such compliance must be **filed with the Tribunal**.

10. Auditor's Certificate:

The company must file the **auditor's certificate** certifying compliance with accounting standards **along with the Tribunal application**.

11. Publication of Tribunal Order:

The **Tribunal's confirmation order** must be **published** by the company **in the manner directed** by the Tribunal.

12. Filing with ROC:

- (a) A **certified copy** of the Tribunal's order and a **minute** (duly approved by the Tribunal) must be **filed with the ROC within 30 days**.
- (b) The minute must state:
 - (i) **Amount of share capital**.
 - (ii) **Number of shares**.
 - (iii) **Face value of each share**.
 - (iv) **Paid-up value per share** after reduction.
- (c) The ROC shall **register** the order and **issue a certificate**.

13. No Further Liability on Members:

Members (past or present) will **not be liable for any further contribution**, except for any **difference between the reduced and paid-up value**, as fixed by the Tribunal's order.

14. Penalty for Fraud (Section 447):

- (a) If any officer:
 - (i) **Conceals the name of a creditor** entitled to object.
 - (ii) **Misrepresents the debt or claim** of any creditor.
 - (iii) **Assists or is privy** to such concealment or misrepresentation.
- (b) Then such an officer is **liable under Section 447**, which deals with **punishment for fraud**.

15.2 DIMINUTION OF SHARE CAPITAL IS NOT A REDUCTION OF CAPITAL

As per **section 61(1)(e)** of the Companies Act, 2013, diminution of capital is the cancellation of the unsubscribed part of the issued capital.

It can be effected by an ordinary resolution provided articles of the company authorizes to do so.

According to **section 61(2)**, ***cancellation of shares under section 61(1) shall not be deemed to be reduction of share capital***. It does not need any confirmation of the Tribunal under section 66.

Reduction of share capital by following methods also do not need any sanction/approval of the Tribunal:

- (a) Redemption of redeemable preference shares.
- (b) Purchase of shares of a member by the Company on order of the Tribunal under Section 242 of the Companies Act, 2013.
- (c) Buy-back of its own securities under Section 68.

In the following cases, the diminution of share capital is not to be treated as reduction of the capital:

- (i) Where the company cancels shares which have not been taken or agreed to be taken by any person [Section 61(1)(e) Companies Act, 2013];
- (ii) Where redeemable preference shares are redeemed in accordance with the provisions of Section 55 [Explanation to section 55(3) of the Companies Act, 2013];
- (iii) Where any shares are forfeited for non-payment of calls and such forfeiture amounts to reduction of capital;
- (iv) Where the company buys-back its own shares under Section 68 of the Act [Section 66(6)];
- (v) Where the reduction of share capital is effected in pursuance of the order of the Tribunal sanctioning any compromise or arrangement under section 230.

Important

The above cases do not require the approval or sanction of Tribunal as well as the procedure for reduction of capital as laid down in Section 66 is not attracted.

15.3 REDUCTION OF SHARE CAPITAL WITHOUT SANCTION OF THE TRIBUNAL

The following are cases which amount to reduction of share capital and where no confirmation by the Tribunal is necessary:

1. Surrender of Shares:

- (a) Refers to a **voluntary return of shares** by a registered shareholder to the company.
- (b) It has the **same effect as a transfer** to the company and thus **amounts to a reduction of capital**.
- (c) However, if shares are transferred to a **nominee of the company**, and not surrendered directly to the company, it **does not constitute a reduction**.
(*Collector of Moradabad vs. Equity Insurance Co. Ltd., 1948*).
- (d) **Surrender is valid** only if:
 - (i) The **Articles of Association** authorize it, and
 - (ii) Either **forfeiture of such shares is justified**, or
 - (iii) The shares are **surrendered in exchange** for **new shares of the same nominal value**.
- (e) **Surrender is initiated by the shareholder**, whereas **forfeiture is initiated by the company**.
- (f) Both result in **termination of membership** and **release the shareholder from further liability** on the surrendered shares.

2. Forfeiture of Shares:

- (a) A company may **forfeit shares** for **non-payment of call money**, provided such power is **expressly granted in the Articles**.
- (b) **No Tribunal confirmation** is required for forfeiture.
- (c) For forfeiture to be valid:
 - (i) The company must **follow the procedure** laid down in its Articles.
 - (ii) A **Board resolution** must be passed to effect the forfeiture.
 - (iii) The power must be exercised **in good faith** and in the **interest of the company**.

3. Effect of Forfeiture:

- (a) The **defaulting shareholder ceases to be a member**.
- (b) The shareholder **loses all rights** in the forfeited shares.
- (c) Despite forfeiture, the shareholder remains **liable to pay any outstanding dues** on the shares at the time of forfeiture.

4. Re-issue of Forfeited Shares:

- (a) The company may **re-issue forfeited shares** to any willing buyer, subject to authority in its **Articles of Association**.
- (b) Such **re-issue is considered a sale, not an allotment**.
- (c) The new holder's details must be **recorded as if it were a transfer** of shares.
- (d) The **price** of re-issue must **not be less than the unpaid call amount** at the time of forfeiture.
- (e) For **listed companies**, re-issue must comply with:
 - (i) **SEBI Guidelines on Preferential Issue**, and
 - (ii) The **Listing Agreement** requirements.

5. Conclusive Certificate of Reduction:

- (a) Once the **Registrar issues a certificate** confirming reduction, it is treated as **conclusive evidence**.
- (b) Even if later it is discovered that the company **lacked authority** under its Articles, the certificate **remains valid**. (*Re Walkar & Smith Ltd., 1903*).
- (c) In cases where the **special resolution was invalid**, but reduction was completed, it was **not allowed to be challenged** later. (*Ladies's Dress Assn. v. Pulbrook, 1900*).

PART E: TRANSFERABILITY OF SHARES

What is transfer of shares?

When the owner of shares transfers his ownership of shares to another person is called a transfer of shares. The person who transfers is known as 'Transferor' and the person to whom shares are transferred is known as 'Transferee'.

16. TRANSFER OR TRANSMISSION OF SECURITIES

16.1 TRANSFERABILITY OF SHARES

Section 44 of the Companies Act, 2013 provides that **shares, debentures**, or other interests of any member in a company are **movable property** and **transferable** as per the **Articles of Association**.

While **restrictions** may be imposed in the Articles, there cannot be an **absolute prohibition** on the transfer of shares.

Governing Provisions:

Section 56 of the Act governs the **transfer and transmission of securities**.

1. Private Companies:

- ☞ Shares in a private company are **not freely transferable**, as they are **not marketable securities**.
- ☞ The **objective of restriction** is to maintain **control over shareholding composition**.
- ☞ **Section 2(68)** permits **restriction**, but **not prohibition**, on share transfers.
- (a) Transfer of shares must be in compliance with the **Articles of Association**.

Restrictions are not applicable in certain cases:

- (b) Transfer to a **legal representative** (e.g., upon death of a shareholder).
- (c) Transfer to **heirs** when shares devolve through succession.
- (d) In case of **rights issue**, if shareholders **renounce their rights**, the allotment to the renouncee is not treated as a transfer.

Common Restriction Methods:

Right of Pre-emption:

- (i) If a member wishes to sell shares, they must first offer them to existing members at a price fixed by the **directors, auditor**, or a formula in the Articles.
- (ii) If no member accepts the offer, the seller may sell to an outsider.
- (iii) **Complete prohibition is not allowed**, and pre-emption cannot restrict inter-member transfers.

Valuation of Shares:

- ❖ Price under pre-emption must be **fair** and may be **certified by the auditor**.
- ❖ **The court cannot interfere** in the valuation unless there is **evidence of negligence** or malpractice.
- ❖ In case of wrongful valuation, the **transferor may sue** for damages based on the actual vs. declared value.

Powers of Directors to Refuse Transfer:

- ❖ The **Articles** may empower directors to **refuse registration** of a share transfer.
- ❖ Such refusal must be exercised **in good faith** and in the **best interest of the company**.

2. Public Companies:

As per **Section 58(2)**, securities of a public company are **freely transferable**.

The **Board or Depository** has **no discretion** to withhold transfer— it must be processed **automatically**.

Contractual Arrangements Permitted:

- (a) **Shareholders' agreements** may include:
 - (i) **Right of First Refusal**
 - (ii) **Right of First Offer**
 - (iii) **Tag Along / Drag Along Rights**
 - (iv) **Call and Put Options**
- (b) Such agreements are now **enforceable** in law.

Procedural Requirements for Transfer:

Instrument of Transfer – Form SH-4:

- (c) As per **Section 56(1)**, no transfer can be registered unless:
 - (i) A **duly stamped, dated, and executed instrument** of transfer is delivered to the company **within 60 days**.
 - (ii) Along with a share **certificate** or **allotment letter**.
 - (iii) Applies to **both listed and unlisted companies**.
 - (iv) In case of **loss of instrument**, company may permit transfer on the basis of **indemnity**.

3. Partly Paid Shares – Form SH-5:

- (a) Under **Section 56(3)**:
 - (i) If transfer is initiated by the transferor **alone** and the shares are **partly paid**, the company must issue a **notice to the transferee**.
 - (ii) Transfer is registered only if '**No Objection**' is received **within 2 weeks**.

4. Time Limit for Issuing Certificates:

- (a) Companies must deliver share certificates for transferred/transmitted shares **within one month**, unless legally prohibited.

5. Intimation to Depository:

- (a) If shares are in **dematerialised form**, the company must **immediately intimate the depository** upon allotment.
- (b) **No physical transfer deed** is needed for demat shares.

6. Transfer by Legal Representative:

- (a) **Section 56(5)**: Transfer by legal heirs of a deceased shareholder is valid, even if they are not holders on record.

7. ROC Filing:

- (a) No separate notice required to **ROC** for each transfer.
- (b) Details of share transfers to be included in the **Annual Return (Form MGT-7)**.

8. Penalties for Default – Section 56(6):

- (a) For non-compliance with Section 56(1) to (5), the **company and defaulting officer** shall be liable to a **penalty of ₹50,000**.

9. Fraudulent Transfers by Depository – Section 56(7):

- (a) Any **fraudulent transfer** by a **depository or its participant** is punishable under **Section 447** of the Act.

10. Duly Stamped Transfers:

- (a) Transfer of shares must be **duly stamped** as per the **Indian Stamp Act, 1899**.
- (b) Value of consideration must be **mentioned in the transfer deed** to assess proper stamp duty.

11. Meaning of Duly Stamped:

- (a) As per **Section 2(11)** of the Stamp Act, a document is "**duly stamped**" when the **proper amount** of adhesive or impressed stamp is affixed **in accordance with the law**.

16.2 STATUTORY REMEDY IN CASE BOARD REFUSES REGISTRATION OF TRANSFER/TRANSMISSION OF SHARES

Section 58 of the Companies Act, 2013 provides a **statutory remedy** when a company refuses to **register the transfer or transmission of securities**.

In case of a Private Company:

- ◆ If a **private company limited by shares** refuses to register the **transfer or transmission** of securities or interest of a member—**whether under its Articles or otherwise**—the company must:
 - ☞ **Send a notice of refusal** to the **transferor and transferee**, or the person giving intimation, **within 30 days** from the date of delivery of the instrument or intimation.
 - ☞ **The notice must state the reasons** for such refusal.
- ◆ The **transferee may appeal** to the **Tribunal**:
 - ☞ **Within 30 days** of receiving the notice of refusal, or
 - ☞ **Within 60 days** from the date of delivery of the instrument or intimation, if **no notice is received** from the company.

[Section 58(3)]

In case of a Public Company:

- (i) If a **public company refuses without sufficient cause** to register the transfer of securities:
 - ☞ Such refusal must occur within **30 days** from the delivery of the instrument or intimation.
 - ☞ **The transferee may appeal to the Tribunal**:
 - ❖ **Within 60 days** of the date of refusal, or
 - ❖ **Within 90 days** from the date of delivery, if **no communication** has been received from the company.

[Section 58(4)]
- (ii) The **Tribunal**, after hearing both parties, may:
 - ☞ **Dismiss the appeal**, or
 - ☞ **Pass an order**:
 - ❖ **Directing registration** of the transfer/transmission, with which the company must **comply within 10 days** from the receipt of the order, or
 - ❖ **Order rectification** of the register and **award damages**, if any, to the aggrieved party.

[Section 58(5)]
- (iii) Any person who **contravenes the Tribunal's order** shall be subject to:
 - ☞ **Imprisonment** for a term of **not less than one year**, extendable to **three years**, and
 - ☞ **A fine of not less than ₹1 lakh**, which may extend to **₹5 lakhs**.

[Section 58(6)]

16.3 RECTIFICATION OF REGISTER OF MEMBERS (SECTION 59)

Section 59 of the Companies Act, 2013 provides the procedure for **rectification of the register of members** in case of improper or delayed recording of transfer or transmission of securities.

Grounds for Appeal (Remedy for Aggrieved Party):

- ◆ An appeal can be made if, **without sufficient cause**:
 - ☞ **Name of any person is wrongly entered** in the **register of members**, or
 - ☞ **Name is wrongly omitted** from the register, or
 - ☞ There is **default or undue delay** in recording the fact that a person **has become a member**, or
 - ☞ There is **default or delay** in recording the fact that a person **has ceased to be a member**, or
 - ☞ A person is otherwise **aggrieved** by such entry, omission, or delay.

- ◆ Such appeal can be filed with the **Tribunal** by:
 - ☞ The **aggrieved person**,
 - ☞ Any **member of the company**, or
 - ☞ The **company itself**.
- ◆ In case of **foreign members or debenture holders** residing outside India, appeal must be filed before a **competent court** outside India, as may be notified by the **Central Government**.

Order of the Tribunal:

- ◆ After hearing the parties, the **Tribunal** may:
 - ☞ **Dismiss the appeal**, or
 - ☞ **Direct the company** to register the **transfer or transmission within 10 days**, or
 - ☞ **Order rectification** of the **register or depository records**, and
 - ☞ **Award compensation** for any **damages suffered** by the aggrieved party.

Right to Transfer Unaffected:

- ◆ **Section 59** does not restrict the **right of a holder** to **transfer securities**.
- ◆ The **acquirer** of such securities shall be **entitled to voting rights**, unless **voting rights are suspended** by an order of the Tribunal.

Contravention of Legal Provisions:

- ◆ If the **transfer of securities** violates any provision of:
 - ☞ The **Securities Contracts (Regulation) Act, 1956**,
 - ☞ The **SEBI Act, 1992**,
 - ☞ The **Companies Act, 2013**, or
 - ☞ Any other **law in force**,
- ◆ Then, on an application by the **company, depository, depository participant, holder of securities**, or **SEBI**, the **Tribunal** may direct:
 - ☞ **Rectification of the register or records**, and
 - ☞ **Correction of the contravention**.

Examples Where Rectification Is Permissible:

- ◆ **Shares acquired through misrepresentation**.
- ◆ **Unlawful removal** of a member's name due to **illegal surrender of shares**.
- ◆ **Irregular allotment** of shares.
- ◆ **Name of a nominee** entered without their **knowledge or consent**.
- ◆ **Shares allotted to a non-resident** without obtaining **foreign exchange permission**.
- ◆ **Allotment in violation** of the **memorandum of association**.

Change of Name in Register of Other Companies:

- ◆ A company that has **changed its name** is entitled to request other companies, in which it holds shares, to **substitute the new name** in their **register of members**, in place of the **old name**.

(Ref: Sulphur Dyes v. Hickson & Dadajee Ltd. (1995) 83 Comp Cases 533 (Bom))

16.4 LOST TRANSFER DEEDS

It is sometimes found that the transfer documents sent to companies are **lost in transit**, after being sent to the company.

As per the **proviso to Section 56(1)** of the Companies Act, 2013:

- ◆ If the **instrument of transfer is lost**, or
- ◆ If it is **not delivered within 60 days** from the date of its **execution**,
- ◆ The **company may still register the transfer** on such **terms of indemnity** as the **Board of Directors** considers appropriate.

The **Board must be satisfied** that:

- ◆ The **instrument of transfer** was **duly signed** by or on behalf of both the **transferor and transferee**, and
- ◆ The instrument has been **lost or misplaced**.

Supporting evidence may include:

- ◆ An **affidavit** from the **transferor or transferee**,
- ◆ A **purchase or sale note** issued by the **broker**, and
- ◆ A **registration receipt** from the **postal authorities**.

The Board may also require an **indemnity bond** on terms it deems appropriate, to **safeguard the company**.

Once these conditions are fulfilled, the **company may proceed with the registration of the transfer**.

16.5 DELEGATION OF POWERS FOR TRANSFER

The **Articles of Association** empower the **Board of Directors** to either **accept or refuse** the **transfer of securities**.

The **Board may delegate** these powers—**partially or fully**—to any person, including **those not employed** by the company.

However, in cases of **refusal to register a transfer**, the **Board itself must exercise discretion**.

The **Articles must expressly authorize** such delegation for it to be valid.

16.6 TRANSFER OF DEBENTURES

In case of transfer of debentures, a proper instrument of transfer duly stamped, dated and executed by or on behalf of the transferor and the transferee should be delivered to the company by the transferor or transferee ***within a period of 60 days*** from the date of execution along with the certificate relating to the debentures or if no such certificate is in existence with the letter of allotment of debentures.

After registering the transfer, the particulars thereof have to be recorded in the Debenture Transfer Register and should be initiated by the appropriate authority.

After making appropriate endorsements, the debenture certificate may be sent to the party concerned.

16.7 TRANSFER OF SHARES TO MINOR

As per **Section 11 of the Indian Contract Act, 1872**, a **minor is not competent** to enter into a **contract**.

Since **Section 153 of the Companies Act** bars the company from recognizing **beneficial ownership in trust**, a minor's name **cannot appear directly** in the **Register of Members**.

However, under **Section 8 of the Hindu Minority and Guardianship Act, 1956**, a **guardian can contract on behalf of a minor**.

Therefore:

- ◆ A **minor can be a transferee** of shares through their **natural guardian**, provided the shares are **fully paid-up** and there is **no financial liability** involved.
- ◆ The **Articles** of a company **cannot impose a blanket ban** on transfer of shares to minors, as it would be **unreasonable and unjust**.

This view was upheld in **Saroj v. Britannia Industries Ltd.**, Appeal No. 5/80, decided on 14.12.1981 by CLB.

16.8 TRANSFER OF SHARES TO PARTNERSHIP FIRM

A ***firm is not a person and as such is not entitled to apply for membership***. The Department of Company Affairs (Now, Ministry of Corporate Affairs) has in its Circular No. 4/72 dated 9.2.1972 stated that a firm not being a person cannot be registered as a member of a company.

Except where the company is licensed under Section 25 (Corresponds to section 8 of the Companies Act, 2013).

16.9 TRANSFER OF SECURITIES TO A BODY CORPORATE

A **company or incorporated body** being a **legal person** can hold securities in its **own name**.

Required documents include:

- ◆ A **certified true copy of the Board Resolution or Power of Attorney** authorizing the signatory.
- ◆ A **Board Resolution under Section 179(3)(e)** of the Companies Act, 2013.
- ◆ A **certified true copy of the Memorandum and Articles of Association**.

16.10 WHEN TRANSFEROR ACT AS TRUSTEE

A **transfer of shares without the authority** of the actual owner is **void**.

Once the **transfer form is executed**, the **transferor makes an implied promise** that the company will register the shares in the name of the **transferee**.

If the company **refuses registration** and the **transferor has already received payment**, he becomes a **trustee** for the transferee.

However, the **transferor is not liable** to undertake any **financial burden** (*e.g., subscribing to rights shares*) after execution, unless explicitly agreed.

17. TRANSMISSION OF SECURITIES

The **Companies Act, 2013** does not define **transmission of securities**, but it refers to the **transfer of ownership by operation of law**, not by voluntary action.

Transmission occurs in cases such as:

- (i) **Death** of a registered security holder,
- (ii) **Insolvency or lunacy** of the holder,
- (iii) **Liquidation** of a company holding securities, or
- (iv) **court-ordered sale** of property.

Transmission is distinct from transfer, as it occurs **automatically by law**, and **no instrument of transfer (Form SH-4)** is required.

1. Transmission upon Death of Sole Holder:

- (a) On the **death of a sole shareholder**, the **legal heirs** inherit the rights and liabilities.
- (b) They are **entitled to be registered** as shareholders but **do not become members automatically**.
- (c) The company can **only register them** as members **upon application** by the legal heirs.
- (d) The company **cannot force them** to become members nor is it obligated to do so.
[Ref: Scott v. Scott (1940); Re Cheshire Banking Co. (1886); State of Kerala v. West Coast Planters (1958)]

2. Transmission to Widow:

- (a) If a **widow applies** for transmission of her **deceased husband's shares**, the company:
 - (i) May **waive the requirement** for succession certificate or probate, **if permitted by the Articles**.
 - (ii) May accept an **indemnity bond** as a safeguard.
 - (iii) Can **transmit the shares** to the widow on such terms as deemed appropriate by the **Board of Directors**.

3. Joint Shareholding:

If **shares are held jointly**, and the **Articles provide** that the **survivor has title**, then:

- (i) The company may **refuse to register** the son of the deceased, even if he holds a **succession certificate**.
- (ii) Only the **surviving joint holder** is recognized as having title to the shares.

4. Invalid Automatic Transfer Clauses:

- (a) **Section 56(1)** mandates that **transfer of securities** must be done using a **proper instrument of transfer**.
- (b) Any clause in the Articles that **automatically transfers** shares upon death is **illegal and void**.
- (c) This is because such **automatic transfer** does **not amount to transmission**.

5. Section 56(2) clarifies that:

- (a) The company may register a **transmission of securities** based on an **intimation from the legal representative**.
- (b) No **transfer instrument** is needed—**only an application** is sufficient.

6. Company Articles and Transmission:

- (a) Most companies' **Articles of Association** lay down the **formal procedure** for transmission.
- (b) If not, **Regulations 23 to 27 of Table F** of Schedule I of the Act apply.

(i) Legal representatives must provide **proof of succession**, such as:

1. **Succession certificate**
2. **Probate**
3. **Letter of administration**
4. Or any other **evidence** required by the **Board of Directors**

(ii) However, legal heirs are **not members** merely by ownership.

(iii) They may:

1. **Apply for registration** as members, or
2. **Transfer the shares** to another person, just as the deceased could have.

◆ The **Board has discretion** to accept or reject the application for transmission, **similar to its powers in case of transfers**.

◆ If the company **wrongfully refuses transmission**, the legal representative can seek **remedy before the Tribunal** under **Section 58**, just as in case of transfer disputes.

18. DISTINCTION BETWEEN TRANSFER AND TRANSMISSION

S. No.	Basis	Transfer of Securities	Transmission of Securities
1.	Nature	Transfer takes place by a voluntary or deliberate act of the parties by way of a contract.	Transmission is the result of the operation of law. For example, due to death, insolvency or lunacy of a member.
2.	Instrument	An instrument of transfer is required in case of transfer.	No instrument of transfer is required in case of transmission.
3.	Circumstance	Transfer is a normal course of transferring property.	Transmission takes place on death or insolvency of a holder of securities.
4.	Consideration	Transfer of securities is generally made for some consideration.	Transmission of securities is generally made without any consideration.
5.	Stamp Duty	Stamp duty is payable on transfer of securities by a holder of securities.	No stamp duty is payable on transmission of securities.
6.	Liability	As soon as transfer is complete, the liability of the transferor ceases.	Shares continue to be subject to the original liabilities.

19. TRANSFER OF SHARES IN DEPOSITORY MODE

The depository system maintains the ownership records of securities in the book entry form while in physical mode every share transfer is required to be accompanied by physical movement of share certificates to, and registration with the company concerned.

The process of physical movement of share certificates often involves long delays and a significant portion of transactions end up as bad deliveries due to the faulty completion of paperwork, or signature differences with the specimens on record with the companies, or for other procedural lapses.

Investors also face problems on account of loss of share certificates, forgery and mutilation.

The significant time involved in effecting ownership changes also impounds a substantial volume of shares at any given time leading to lower trading volumes.

20. FORGED TRANSFER

A **forged instrument of transfer** may sometimes be presented for registration.

To avoid registering such transfers, companies often **notify the transferor** of the **lodgement** and invite **objections** within a specified time.

1. Key consequences of a forged transfer include: **Forged Transfer is a Nullity:**
 - (i) A forged transfer has **no legal validity**.
 - (ii) The **original owner remains the shareholder** and is entitled to have their **name restored** in the **Register of Members**.
 - (iii) The company must correct the register but is **not liable for damages** merely for registering the forgery.
 - (iv) *[Ref: People's Insurance Co. vs. Wood & Co., 1961]*
2. **Innocent Third-Party Purchaser:**
 - (i) If the company **issues a share certificate** based on a forged transfer and the shares are sold to a **bona fide purchaser**, the company may be held **liable to compensate** the purchaser if:
 - (1) It **refuses to register** him, or
 - (2) His name was later **removed** on the application of the **true owner**.
3. **Recovery from the Wrongdoer:**
 - (i) If the company suffers a **financial loss** (e.g., by compensating an innocent purchaser), it can **recover damages** from the person who **lodged the forged document**.
4. **Other Legal Observations:**
 - (a) A **bona fide purchaser** of forged shares is still required to **return the shares** to the rightful owner.
[Ref: Kaushalya Devi vs. National Insulated Cable Co., 1977]
 - (b) In cases of **joint shareholding**, a transfer is valid **only if all holders have signed**. If even one signature is **forged**, the transfer is **void**.
 - (c) If a person **acts in good faith** and facilitates registration and issuance of shares based on a forged deed (e.g., a **broker trusting a client**), they are **bound to indemnify the company** for any loss.
[Ref: Yeung vs. Hongkong & Shanghai Banking Corp., 1980]
5. **Penalty for Deceitful Personation – Section 57:**
 - (a) If a person **falsely impersonates the owner** of any **security, share warrant, or coupon**, and thereby:
 - (i) **Obtains or attempts to obtain** the security or associated money,
 - (b) Such person shall face:
 - (i) **Imprisonment** for a **minimum of 1 year**, extendable to **3 years**, and
 - (ii) A **fine** ranging from **₹1 lakh to ₹5 lakhs**.
6. *A forged transfer can never pass title and is legally a nullity, regardless of how authentic it appears.*

21. DEATH OF A JOINT SHAREHOLDER

Where shares are held in joint names, and one of the joint shareholders dies, the survivor alone will be recognized as the holder of the said shares. It would be sufficient for the company to delete the name of the deceased shareholder after obtaining satisfactory evidence of his death.

This of course does not prevent a third person from calling on the company to register his name as holder of the shares after obtaining evidence such as probate of a will for the purpose of proving his title to the shares as against the surviving joint holders.

22. TRANSPOSITION OF NAME

- ◆ In the case of **joint shareholding**, any or all **joint holders** may request the **company to change the order** of their names in the **Register of Members**.
- ◆ This rearrangement, known as **transposition of names**, may require **corresponding updates** to the **share certificates** issued to the holders.
- ◆ If the **Articles of Association** specify that the **senior-most joint holder** will be recognized for purposes such as:
 - ☞ **Service of notice,**
 - ☞ **Receipt of financial statements** (e.g., balance sheet, P&L account),
 - ☞ **Voting rights at meetings,**
- ☞ Then such requests for transposition can be considered and approved by the **Board of Directors** or an **authorized officer**.
- ◆ Since **no actual transfer of interest** in the shares takes place during transposition:
 - ☞ **No instrument of transfer (Form SH-4)** is required,
 - ☞ **No stamp duty** is applicable,
 - ☞ There is **no need to execute a transfer deed**.
- ◆ The **Department of Economic Affairs** (Stock Exchange Division) has clarified that:
 - ☞ When a **written request** is made **by all joint holders** for a **change in the order of names**, **no transfer deed** is necessary.
 - ☞ However, if transposition is requested for **only part of the holding**, then **execution of a transfer deed** will be required.

23. DEATH OF TRANSFEROR OR TRANSFEEE BEFORE REGISTRATION OF TRANSFER

1. Where the transferor dies and the company has no notice of his death the company would obviously register the transfer. But if the company has notice of his death, the proper course is not to register until the legal representative of the transferor has been referred to.
2. **Death of Transferor Before Registration:**
 - (a) If the **transferor dies** and the company has **no notice of the death**, it may **register the transfer**.
 - (b) However, if the company **has knowledge** of the transferor's death, it **should not proceed** with registration until the **legal representative** is contacted or involved.
3. **Death of Transferee Before Registration:**
 - (a) If the **transferee dies** and the company is **aware**, it **cannot register the shares** in the **name of the deceased**.
 - (b) The company may, with the **consent of the transferor and the legal representatives** of the transferee, register the shares in the name of the legal representative.
 - (c) In case of **dispute**, the company should **insist on a court order** before making any registration.
4. **Case Law Reference:**
 - (a) In **Killick Nixon Ltd. vs. Dhanraj Mills Ltd.**, it was held that the company is **not obligated** to examine whether the **transferee is legally capable** of entering into a contract.
 - (b) The company must **act based on the content of the transfer deed** presented.

5. Proof in Transfers by Representatives:

- (a) If a **representative** (e.g., officer of a body corporate or a power of attorney holder) executes a transfer:
 - (i) The representative must provide **proof of authority**, including:
 - 1. A **Board resolution**, and
 - 2. Any **relevant authorization documents**.

6. Legal Relationship Between Transferor and Transferee:

- (a) Until registration, the **transferee holds only an equitable right** to the shares.
- (b) The **transferee does not become the legal owner** until their name is **entered in the Register of Members**.
- (c) However, the **contract of transfer** establishes the **transferee as the beneficial owner**.
- (d) A **trust relationship** arises:
 - (i) The **transferor** becomes a **trustee**,
 - (ii) The **transferee** is the **beneficiary**.
- (e) The transferor must follow all **reasonable instructions** of the transferee.
- (f) The **transferee should act promptly** to get registered as a member.

7. Section 126 – Mandate for Dividend Payment:

- (a) If the **transferor mandates** that dividend be paid to the **transferee** (prior to registration), the company must **comply**.
- (b) If no such mandate is given, the **dividend** related to those shares should be transferred to the **Unpaid Dividend Account** under **Section 124**.
- (c) In case of **rights issue or bonus shares**, the offer must be **kept in abeyance** until the **title to the shares** is resolved.

24. RIGHTS OF TRANSFEROR

1. Transferor's Right to Indemnity for Calls:

- (a) If the **transferor pays any calls** on shares **after the transfer**, the **transferee is impliedly bound to indemnify** the transferor.
- (b) This obligation applies even in cases of **blank transfers**.
[Ashworth Partington & Co. (1925)]

2. Transferee's Right to Dividends, Bonus & Rights Shares:

If the **transferor receives dividends or other benefits** after transferring the shares, the **transferee** has the **right to recover** them, provided the claim is not **time-barred** under the **Limitation Act**.

[Chunnilal Khushaldas Patel vs. H.K. Adhyaru (1956)]

3. Dividends Paid Before Rectification:

- (a) Where a **transfer was registered** and **dividends paid to the transferee**, but later the **register was rectified** (e.g., for stamp deficiency), it was held that the **transferee need not return** the dividend.
[Kothari Industrial Corpn. Ltd. vs. Lazor Detergents P. Ltd. (1994)]
- (b) The **Madras High Court** emphasized that **technical defects** cannot justify such **post-registration rectification**.

4. Section 27 – Securities Contracts (Regulation) Act, 1956:

- (a) A person **whose name appears on the company's books** is entitled to **receive and retain dividends**, unless the **transferee lodges transfer documents** within **15 days** from the due date of the dividend.

- (b) **Explanation:** This period extends in cases of:
 - (i) **Death of transferee** – by time taken by legal heirs,
 - (ii) **Loss of transfer deed**, or
 - (iii) **Postal delays**.
- (c) **Rights Protected:**
 - (i) The **company can still pay** to the person whose name appears in the register.
 - (ii) The **transferee may enforce his rights** against the transferor or others if the transfer is refused.

5. Effects of Transfer:

- (a) Once a **transfer form is executed**, the **transferee gains the right** to be **entered in the Register of Members**.
- (b) No **separate application** is required for registration.
- (c) Once registered, a **contractual relationship** is formed between the **company and the transferee**.
[*Killick Nixon Ltd. vs. Dhanraj Mills Pvt. Ltd. (1983)*]
- (d) A company **cannot refuse registration** on grounds like:
 - (i) **Lack of consideration**, or
 - (ii) **Alleged collusion** (unless raised by the transferor).
- (e) In **spot delivery contracts**, Section 56 of the Companies Act, 2013 (**earlier Section 108**) is **not applicable**.
[*Sanatan Investment Co. Pvt. Ltd. vs. Prem Chand Jute Mills Ltd. (1983)*]

6. Priority Among Transferees:

- (a) If a shareholder **fraudulently sells shares to two persons**, the one who **purchases first in time** has the **superior right**.
[*Societe Generale De Paris vs. Jonet Walker (1886)*]
- (b) If **notice of assignment** is given to the company but not registered, and a **later buyer applies for registration**, the **earlier assignee's claim** will prevail.
[*Peat vs. Clayton (1906)*]

7. Pledging of Shares:

- (a) Under **Section 2(7)** of the **Sale of Goods Act, 1930**, **shares are movable property** and can be pledged.
- (b) A **valid pledge** may be created simply by **depositing the share certificates**.
[*Kanhailal Jhanwar vs. Pandit Shirali and Co. (1953)*]

8. Transmission Upon Death of Sole Shareholder:

Legal heirs are entitled to have the shares **registered in their name**, but only upon **application and consent**.
[*Re: Cheshire Banking Co., Duff's Executor's Case (1886)*]

25. LEGAL FRAMEWORK FOR DEPOSITORY SYSTEMS

The legal framework for the depository system in the **Depositories Act, 1996**, provides for the establishment of single or multiple depositories.

There two Depositories in India:

C.D.S.L	{ Central Depository Services (India) Limited
N.S.D.L	{ National Securities Depository Limited

A **depository** functions much like a bank, but instead of holding money, it holds securities in electronic form. Investors interact with the depository system through **Depository Participants (DPs)**—which may include banks, brokers, financial institutions, or other SEBI-authorized entities.

Depositories are institutions that **hold securities in electronic (dematerialized) form** and offer **demat services** through intermediaries known as **Depository Participants (DPs)**.

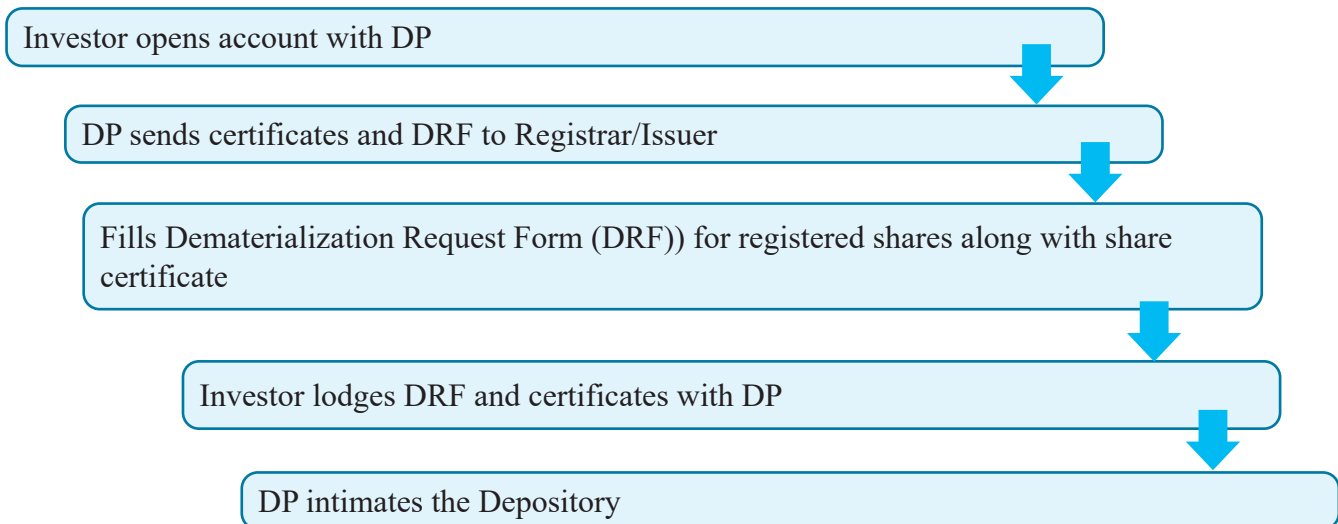
26. DEMATERIALISATION OF SHARES

Dematerialization is the process by which **physical share certificates are converted into electronic form**. Here's how it works:

- ◆ The investor first **opens a demat account** with a **Depository Participant (DP)**
- ◆ The investor then **submits a request** for dematerialization along with physical share certificates.
- ◆ The **company cancels** the physical certificates and **credits equivalent securities** to the investor's demat account

This process works **similarly to opening a bank account** and facilitates seamless, secure, and paperless ownership and transfer of securities.

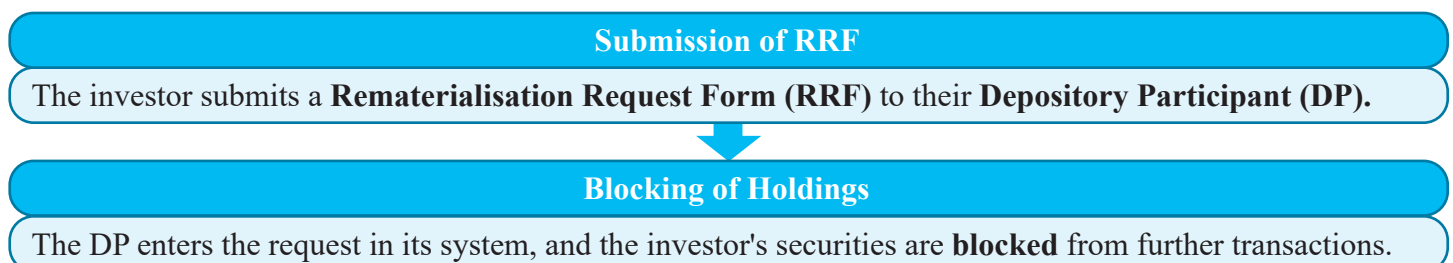
26.1 PROCEDURE FOR DEMATERIALISATION OF SHARES



27. REMATERIALISATION OF SHARES

Rematerialisation is the process by which securities held in **electronic (demat) form** are converted back into **physical share certificates**. An investor may opt for rematerialisation at any time. However, **securities under rematerialisation cannot be traded** until the physical certificates are received and validated.

27.1 PROCEDURE FOR REMATERIALISATION OF SHARES





Intimation to Depository and Registrar

The DP informs the **Depository** and forwards the RRF to the **Issuer or Registrar/Transfer Agent**.



Certificate Generation

The Registrar/Issuer **prints the physical certificates** and **dispatches them** to the investor.



Confirmation

The Registrar also sends an **electronic confirmation** of the rematerialisation to the Depository.



Account Debit

The investor's **demat account is debited** with the rematerialised securities.

PAST YEAR QUESTIONS

1. Peacock Home Appliances Limited, an unlisted public company was incorporated in the year 2015 to manufacture domestic pressure cook-ers. In the year 2017, the company issued six-years, 7%, non-convertible, cumulative preference shares for? 15 Crore to another company called Classic Appliances Limited. Due to intense competition in the home appliances market, the company was just able to break even. The company did not declare any dividend (both on equity shares and preference shares) since incorporation and was unable to redeem preference shares during the year 2023 on maturity.

Referring to the provisions of the Companies Act, 2013 explain the way for redemption of unredeemed preference shares and how the outstanding preference dividend can be discharged, as the profit is not available for the redemption of preference shares and payment of outstanding dividend.

[Dec. 2023 (5 Marks)]

2. ABC Limited is a subsidiary company of XYZ. Limited. Deepak is working as an executive director in ABC Limited. XYZ Limited passed an ordinary resolution in its general meeting to issue Sweat equity Shares to Deepak for providing his professional services. Pankaj who is Company Secretary in XYZ Ltd., objected the following:

- (i) Sweat equity shares cannot be issued to Deepak, who is an executive director in a subsidiary company i.e., ABC Limited.
- (ii) A special resolution is required to be passed in the general meeting of XYZ Ltd. Examine the validity of the objection of the Company Secretary of XYZ Limited under the provisions of Companies Act, 2013.

[Dec. 2023 (5 Marks)]

3. The Board of Customerlast Limited, an unlisted public company is exploring ways to increase its paid-up share capital from RS 125 Crore to RS 150 Crore. The CFO of the company suggested that instead of offering shares to all existing shareholders as a rights issue the company can issue further shares by private placement to four identified Qualified Institutional Buyers and the top 250 existing shareholders by receiving cash without offering shares to other shareholders.

The company secretary of the company objects to the manner of raising further capital, ie. the offerings to the select shareholders as well as receiving cash.

Referring to the provisions of Companies Act, 2013 decide.

[June 2023 (3 Marks)]

4. M/s. NRS Biochemicals Limited is planning to buy-back of its shares during the financial year 2023-24 but the company has defaulted in the payment of term loan and interest thereon to its bankers and not filed the annual return for the financial year 2022-23. The company seeks your advice as to how and when the company can buy-back its shares under these circumstances as per the provisions of the Companies Act, 2013. **[June 2024 (3 Marks)]**

5. XYZ Limited, a listed company was incorporated on 1st August, 2020 with the objective of a dairy business. Demand for dairy products was high in the area due to that the sales are remarkable, and business was outstanding. Hence, the Board of Directors in its meeting approved the proposal to set up a new unit in West Bengal and also resolved to raise the funds by issuing shares of the company to the public. The company intends to raise share capital by issuing equity shares in different stages over a certain period of time according to the construction works of the new unit. However, the company does not wish to issue prospectus each and every time of issue of shares. What can be the way out for the company to follow to avoid repeated issuance of prospectus?

Advise, in light of the provisions of the Companies Act, 2013.

[June 2024 (3 Marks)]

MEMBERS AND SHAREHOLDERS

Regulatory Framework

The Companies Act, 2013

The Companies (Management & Administration) Rules, 2014

The Companies (Significant Beneficial Owners) Rules, 2018

1. THE TERM - "MEMBERS" DEFINED UNDER THE COMPANIES ACT, 2013

According to **Section 2(55) of the Companies Act, 2013**, a member, in relation to a company, means,

1. The **subscribers to the memorandum of a company** who shall be deemed to have agreed to become members of the company, and on its registration, shall be entered as members in its register of members;
2. **Every other person who agrees in writing to become a member** of a company and whose name is entered in its **register of members** shall, be a member of the company;
3. **Every person holding shares of a company** and whose name is entered **as a beneficial owner in the records of a depository** shall be deemed to be a member of the concerned company.

💡 A company is composed of members, though it has its own separate legal entity.

💡 The members of a company are the persons who, for the time being, **constitute the company**, as a corporate entity.

2. DEFINITION-"MEMBERS" IN DIFFERENT KINDS OF THE COMPANY

Term 'Member'

Company limited by shares

Shareholders are the members

Company limited by guarantee

The persons who are liable under the guarantee clause in its Memorandum of Association are members of the company

Unlimited company

Members are the persons who are liable to the company, each in proportion to the extent of their interests in the company, to contribute the sums necessary to discharge in full, the debts and liabilities of the company, in the event of its being wound-up

2.1 ESSENTIAL ELEMENTS FOR MEMBERSHIP OF THE COMPANY

There are two important elements which must be present before a person can acquire membership of a company, viz.,

- ♦ An agreement to become a member; and
- ♦ Entry of the name of the person so agreeing in the register of members of the company.

2.2 MEMBER -COMPETENCY TO CONTRACT UNDER INDIAN CONTRACT ACT, 1872

The person desirous of becoming a **member of a company must have the legal capacity of entering into an agreement** in accordance with the provisions of the Indian Contract Act, 1872. **Section 11 of the Indian Contract Act** lays down that:

Every person is competent to contract who:

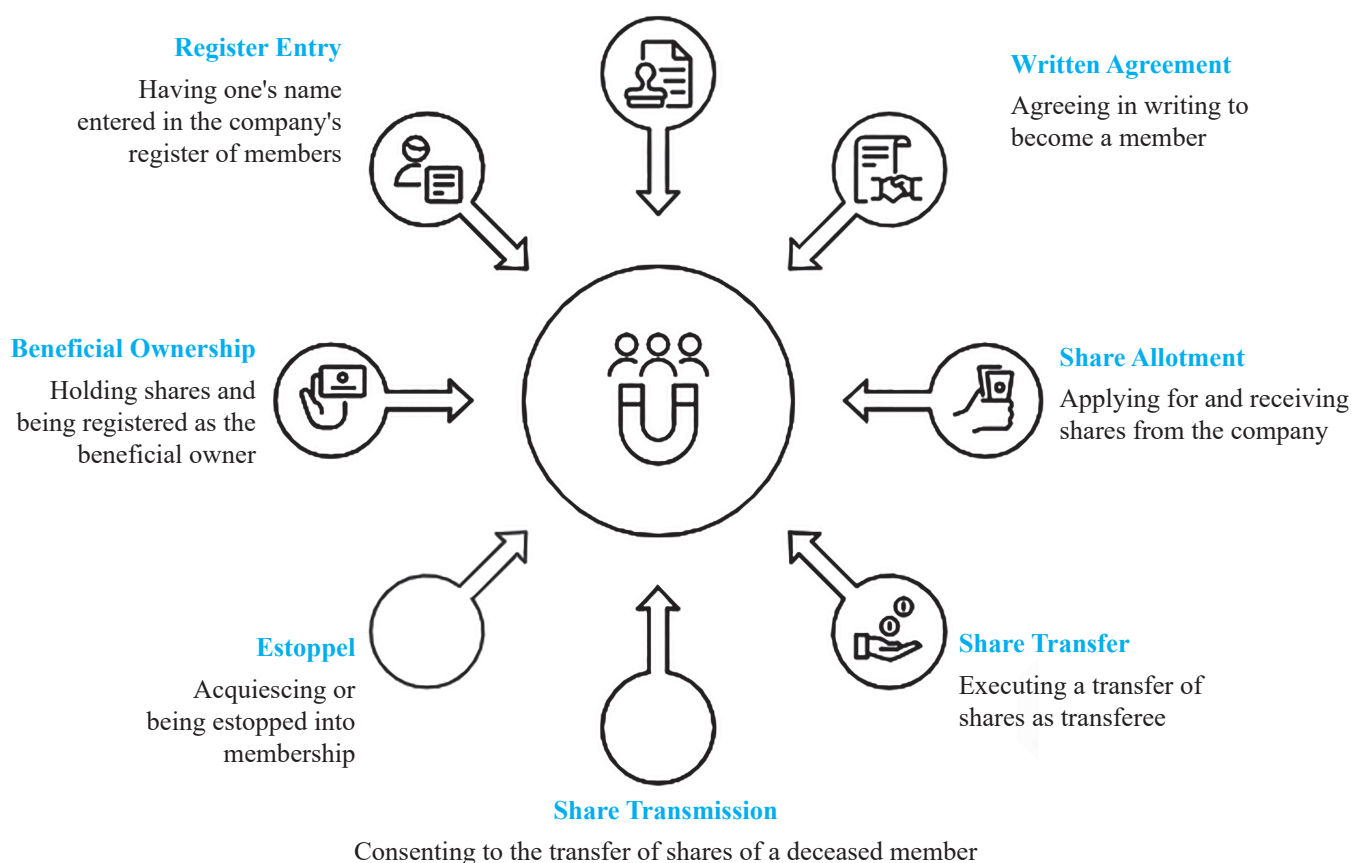
- (i) Is of the **age of majority** according to the law to which he is subject.
- (ii) Is of **sound mind**.
- (iii) Is **not disqualified from contracting** by any law to which he is subject.

3. WAYS TO ACQUIRE MEMBERSHIP OF THE COMPANY

As per **Section 2(55) of the Companies Act, 2013**, a person may acquire the membership of a company:

MOA Subscription

Becoming a member by subscribing to the Memorandum of Association



3.1 SUBSCRIBERS TO THE MEMORANDUM

In the case of a subscriber, no application or allotment is necessary to become a member.

By virtue of his subscribing to the memorandum;

- ◆ He is deemed to have agreed to become a member, and he becomes *Ipsso facto* member on the incorporation of the company and is liable for the shares he has subscribed.
- ◆ A subscriber to the memorandum cannot rescind the contract for the purchase of shares even on the ground of fraud by the promoters.

His liability remains right up to the time when the company goes into liquidation and he is bound to bring the money for which he is liable to pay to the creditors of the company.

3.2 AGREEMENT IN WRITING

(i) By an application and allotment:

A person who applies for shares becomes a member when shares are allotted to him, a notice of allotment is issued to him and his name is entered on the register of members. The general law of contract applies to this transaction. There is an offer to take shares and acceptance of this offer when the shares are allotted.

On the other hand, if the offer is conditional, the allotment must be made according to the condition as contained in the application.

If there is a conditional application and an unconditional allotment, there is no contract.

(ii) By transfer of shares:

Shares in a company are movable property as provided in *Section 44* of the Act and are transferable in the manner as provided in the articles of the company and as provided in *Section 56* of the Companies Act, 2013. A person can become a member by acquiring shares from an existing member and by having the transfer of shares registered in the books of the company, i.e. by getting his name entered in the register of members of the company.

(iii) By transmission of shares:

A person may become a member of a company by operation of law i.e., if he succeeds to the estate of a deceased member. Membership by this method is a legal consequence. On the death of a member, his executor or the person who is entitled under the law to succeed to his estate, gets the right to have the shares transmitted and registered in his name in the company's register of members. No instrument of transfer is necessary in this case.

(iv) By acquiescence or estoppel:

A person is deemed to be a member of a company if he allows his name, without sufficient cause, to be on the register of members of the company or otherwise holds himself out or allows himself to be held out as a member. In such a case, he is stopped from denying his membership. He can, however, escape his liability by taking prompt action for having his name removed from the register of members on permissible grounds.

3.3 HOLDING SHARES AS BENEFICIAL OWNER IN THE RECORDS OF DEPOSITORY

Every person holding shares of the company and whose name is entered as a beneficial owner in the records of the depository shall be deemed to be a member of the concerned company.

4. DIFFERENCES BETWEEN MEMBERS AND SHAREHOLDERS

The following are the differences between members and shareholders:

Member	Shareholder
Section 2(55) of the Companies Act, 2013 specifies the meaning of 'member'	On the other hand, the meaning of 'shareholder' is not defined under the Companies Act, 2013
A shareholder becomes a member of a company, once his name is entered into the company's register of members or if he is a subscriber to the incorporation of the company	The person who has ownership of shares of a company is known as shareholder Further, in case of companies limited by guarantee do not have a share capital, and consequently, their members are not shareholders
The person who signs the memorandum of association with the company becomes a member	After signing the memorandum, a person may become shareholder only when the shares are allotted to him
The bearer of a share warrant is not a member	Whereas, the holder of a share warrant is a shareholder

5. WHO MAY BECOME A MEMBER

Subject to the Memorandum and Articles, any *sui juris* (a person who is competent to contract) except the company itself, can become a member of a company. However, it is important to note the following points in relation to certain organizations and persons:

S. No.	Entities	Eligible to become Member or not
1.	Company	Can become a member of another company
2.	Subsidiary Company	Can't become member of a Holding Company
3.	Partnership firm	Can't become member until registered
4.	Limited Liability Partnership	Can become a member
5.	Section 8 Company	Can become a member if authorized by MOA
6.	Foreigners	Can become a member
7.	Minors	Can't become member
8.	Society	Can become a member

5.1 COMPANY AS A MEMBER OF ANOTHER COMPANY

A company is a legal person and so is competent to contract. Therefore, it can become a member of any other company. However, it must be authorised by its Memorandum of Association to invest in the shares of that company or any other company. Also a company cannot become a member of itself.

Important Note

As per section 19 of the Companies Act, 2013, a subsidiary company cannot become a member of its holding company.

Exceptions: However, a subsidiary can hold shares in its holding company only under the following exceptional circumstances-

- ◆ Where the subsidiary company holds such shares as the legal representative of a deceased member of the holding company; or
- ◆ Where the subsidiary company holds such shares as a trustee; or
- ◆ Where the subsidiary company is a shareholder even before it became a subsidiary company of the holding company.

5.2 PARTNERSHIP FIRM AS A MEMBER OF THE COMPANY

A partnership firm is not a legal person and as such it cannot, in its own name, become a member of a company except in a company registered u/s 8 of Act.

5.3 LIMITED LIABILITY PARTNERSHIP AS A MEMBER OF THE COMPANY

Limited Liability Partnership being an incorporated body under Limited Liability Partnership Act, 2008 can become a member of a company.

5.4 SECTION 8 COMPANY AS A MEMBER OF THE COMPANY

A non-profit making company licensed under Section 8 of the Act, can become a member of another company if it is authorised by its Memorandum of Association to invest into shares of the other company.

5.5 FOREIGNERS AS MEMBERS

A foreigner may take shares in an Indian company and become a member subject to the provisions of the Foreign Exchange Management Act, 1999, but in the event of war with his country, he becomes an alien enemy and his power of voting and his rights to receive notices are suspended.

5.6 MINOR AS MEMBER

- ◆ A member who is not a *sui juris*, e.g., a minor, is wholly incompetent to enter into a contract and as such can not become a member of a company.
- ◆ Consequently, *an agreement by a minor to take shares is void ab-initio*.
- ◆ It has been held by the Company Law Board (replaced by the Tribunal under the Companies Act, 2013) that an agreement in writing for a minor to become a member may be signed on behalf of the minor by his lawful guardian and the registration of transfer of shares in the name of the minor, acting through his or her guardian, especially where the shares are fully paid cannot be refused on the ground of the transferee being a minor [*Miss Nandita Jain v. Bennett Coleman and Co. Ltd., Appeal No. 27 of 1972 dated 17.2.78*].
- ◆ After attaining majority, the minor, if he does not want to be a member, must repudiate his liability on the shares on ground of minority, and if he does so, the company can not plead estoppel on the ground of his having received dividends during his minority or that he had fraudulently misrepresented his age in his application for shares [*Sadiq Ali v. Jai Kishori, (1928) 30 Bom. L.R. 1346*].
- ◆ If shares are transferred to a minor, the transferor will remain liable for all future calls on such shares so long as they are held by the minor even if the transferor was ignorant of his minority.
- ◆ If the company knows of his minority it may refuse to register the transfer, unless the transfer was made through the guardian.

5.7 INSOLVENT AS MEMBER

- ◆ An insolvent may be a member of a company as long as he is on the register of members.
- ◆ He is entitled to vote, but he loses all beneficial interest in the shares and the company will pay a dividend on his shares to the Official Assignee or Receiver [*Morgan v. Gray, (1953) All E.R. 213*]

5.8 PERSON OF UNSOUND MIND OR LUNATIC

- ◆ A person of unsound mind is not eligible to exercise his voting rights when he has been declared as person of unsound mind by a court.
- ◆ The voting rights on these shares may be exercised by the person designated by the competent court.

5.9 HUF AS MEMBER

- ◆ HUF is not a juristic person, although it is a person for purposes of the Income-tax Act, 1961. HUF is represented by its Karta.
- ◆ There is no legal bar on HUF to invest its money in shares and securities and the Companies Act does not prohibit membership of HUF.
- ◆ In case of an HUF, the shares can be registered in the name of 'A' as Karta of HUF as held in [*Vickers Systems International Limited v. Mahesh P. Keshwani [(1992) 13 Com Cases 317 (CLB)]*].

5.10 PAWNEE

- ◆ A pawnee has no right of foreclosure since he never had the absolute ownership at law and his equitable title cannot exceed what is specifically granted by law.
- ◆ In this sense, a pledge differs from a mortgage.
- ◆ In view of the above, a pawnee cannot be treated as the holder of the shares pledged in his favour, and the pawnor continues to be a member and can exercise the rights of a member [*Balakrishna Gupta v. Swadeshi Polytex Ltd., (1985) 58 Com Cases 563 (S.C.)*].

5.11 RECEIVER

A receiver whose name is not entered in the register of members cannot exercise any of the membership rights attached to a share unless in a proceeding to which company is a party and an order is made therein.

5.12 SOCIETY AS A MEMBER

Department's Clarification dated 24.11.1962 has clarified that "a society registered under the Societies Registration Act, 1860 should not be deemed to be a 'body corporate' within the meaning of the aforesaid provisions [Refer to Section 2(7) (i) of the Companies Act, 1956 (currently refer section sub clause (i) of clause 11 of section 2 of the Companies Act, 2013) although such a society can be treated as a 'person' having separate legal entity apart from the members constituting it and thereby capable of becoming a member of a company under section 41(2) of the erstwhile Companies Act, 1956.

5.13 PERSONS TAKING SHARES IN FICTITIOUS NAMES

- ◆ A person who takes shares in the name of a fictitious person, becomes liable as a member, besides incurring **criminal liability under Section 38** of the Act, wherein punishment is provided for commission of fraud.
- ◆ **Penalty under Companies Act, 2013:-**, any person who is found to be guilty of fraud involving an amount of **at least 10 lakh rupees or 1% of the turnover of the company**, whichever is lower shall be punishable with **imprisonment for a term which shall not be less than 6 months but which may extend to 10 years and shall also be liable to fine** which shall not be less than the amount involved in the fraud, but which **may extend to three times the amount involved in the fraud**.
- ◆ Provided that where the fraud in question involves public interest, **the term of imprisonment shall not be less than 3 years**.

5.14 TRADE UNION AS MEMBER

A trade union registered under the Trade Union Act, can be registered as a member and can hold shares in a company in its own corporate name [*All India Bank Officers Confederation v. Dhanalakshmi Bank Ltd., (1997) 90 Com Cases 225*].

6. JOINT MEMBERS

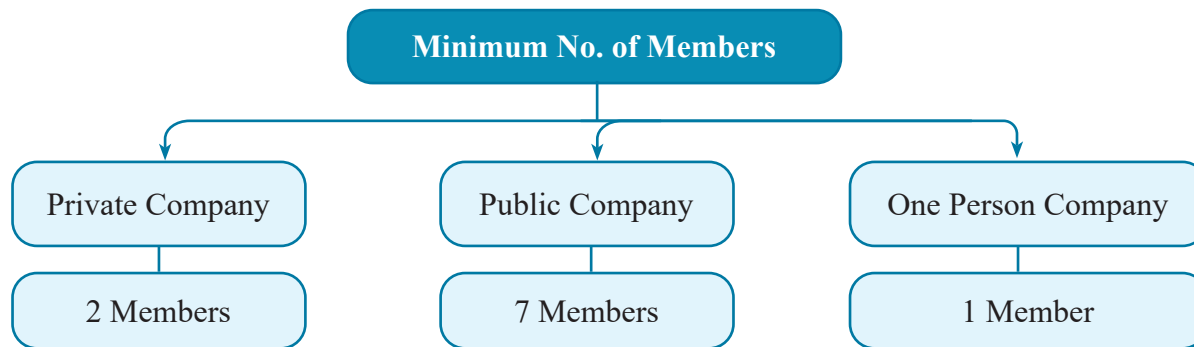
- ◆ If more than one person applies for shares in a company and shares are allotted to them, each one of such an applicant becomes a member (Narandas v. India Mfg. Co., A.I.R. 1953 Bom. 433).
- ◆ Unless the Articles of the company otherwise provide, joint members can insist on having their names registered in any order they may require.
- ◆ They may also have their holding split into several joint holdings with their names in different orders so that all of them may have a right to vote as first named holding in one or the other joint holdings. [*Burns v. Siemens Brothers Dynamo Works Ltd. (1919) 1 Ch. 225*].

7. NOMINEE JOINT MEMBERS

- ◆ Where the shares of a company were registered in the joint name of the company and one of the directors, it was held that the director was a nominee of the company for that purpose.
- ◆ He could act jointly with the company and not individually.
- ◆ He had no rights of his own in respect of the shares and was not entitled to bring proceedings on the basis of being one of the registered holders as held in Exchange Travel (Holdings) Ltd.

8. MINIMUM NUMBER OF MEMBERS

Section 3(1) of the Companies Act, 2013 provides that a company may be formed for any lawful purpose by **seven or more persons**, where the company **to be formed is to be a public company**; or **two or more persons**, where the company **to be formed is to be a private company**; or **one person**, where the company **to be formed is to be One Person Company** that is to say, a private company, by subscribing their names or his name to a memorandum and complying with the requirements of this Act in respect of registration.



9. RESTRICTION ON MEMBERSHIP

By virtue of **Section 2(68)(ii)** of the Companies Act, 2013, the **maximum number of members** of a **private company**, except in the case of One Person Company, is **limited to two hundred excluding** the present and past employees of the company who continue to be members of the company.

Note:

There is **no restriction** with regard to the **maximum number of members of a public company**.

10. CESSATION OF MEMBERSHIP

Cessation of membership of the company means discontinuation of membership.

A person ceases to be a member of a company when his name is removed from its register of members, which may occur in any of the following situations:

- (a) **Transfer:** He transfers his shares to another person the transfer is registered by the company and his name is removed from the register of members;
- (b) **Forfeiture:** His shares are forfeited;
- (c) **Sale:** His shares are sold by the company to enforce a lien;
- (d) **Death:** He dies (his estate, however, remains liable for calls);
- (e) **Insolvency:** He is adjudged insolvent and the Official Assignee disclaims his shares;
- (f) **Redemption:** His redeemable preference shares are redeemed;
- (g) **Cancellation:** He rescinds the contract of membership on the ground of fraud or misrepresentation or a genuine mistake;
- (h) **Purchase by another member/ by company itself:** His shares are purchased either by another member or by the company itself under an order of the Tribunal under Section 242 of the Companies Act, 2013;
- (i) **Winding up:** The member is a company which is being wound-up in India, and the liquidator disclaims the shares;
- (j) The **company is wound up**.

11. EXPULSION OF A MEMBER

- ◆ A controversy had arisen as to whether a public limited company had powers to insert an article in its Articles of Association relating to expulsion of a member by the Board of Directors of the company where the directors were of the view that the activities or conduct of such a member was detrimental to the interests of the company.
- ◆ According to **Section 6 of the Companies Act, 2013**, the **Act overrides the Memorandum and Articles of Association** and any provision contained in these documents repugnant to the provisions of the Companies Act, **is void**.

- ◆ The Department of Company Affairs (now MCA) has, therefore, clarified that any assumption of the powers by the Board of Directors ***to expel a member by alteration of Articles of Association shall be illegal and void.***
- ◆ As, under ***Article 141 of the Constitution***, the law declared by ***the Supreme Court is binding on all courts*** within the territory of India, ***any provision pertaining to the expulsion of a member*** by the management of a company which is against the law as laid down by the ***Supreme Court will be illegal and ultra vires.***

12. REGISTER OF MEMBERS

Section 88 of the Companies Act, 2013 lays down:

Every company shall keep and maintain the following registers in such form and in such manner as may be prescribed, namely:-

Register of members indicating separately for each class of equity and preference shares held by each member residing in or outside India;

Register of debenture-holders; and

Register of any other security holders.

Inclusion of index: Every register maintained under sub-section (1) of section 88 of the Act shall include an index of the names included therein.

The register and index of beneficial owners maintained by a depository under section 11 of the Depositories Act, 1996, shall be deemed to be the corresponding register and index for the purposes of this Act.

A company may, if so authorised by its articles, keep in any country outside India, in such manner as may be prescribed, a part of the register referred to in sub-section (1) of section 88 of the Act, called “foreign register” containing the names and particulars of the members, debenture-holders, other security holders or beneficial owners residing outside India.

Penalty: If a company does not maintain a register of members or debenture-holders or other security holders or fails to maintain them in accordance with ***the provisions of sub-section (1) or sub-section (2) of Section 88 of the Companies Act, 2013***, the company shall ***be liable to a penalty of three lakh rupees*** and ***every officer of the company who is in default*** shall be liable to a penalty of ***fifty thousand rupees***.

13. CONTENTS OF REGISTER OF MEMBERS IN CASE COMPANY NOT HAVING SHARE CAPITAL

In the case of a company not having share capital, the register of members shall contain the following particulars, in respect of each member, namely:

- Name of the member; address (registered office address in case the member is a body corporate); e-mail address; Permanent Account Number or CIN; Unique Identification Number, if any; Father's/ Mother's/ Spouse's name; Occupation; Status; Nationality; in case member is a minor, name of the guardian and the date of birth of the member; name and address of nominee;
- Date of becoming a member;
- Date of cessation;
- Amount of guarantee, if any;
- Any other interest, if any; and
- Instructions, if any, given by the member with regard to the sending of notices etc.

Note:

Rule 3 & 5 of the Companies (Management and Administration) Rules, 2014 deal with maintenance of Register under section 88.

It is provided that every company limited by shares shall from the date of its registration maintain a register of its members in **Form No. MGT-1**.

14. MAINTAINING REGISTER OF MEMBERS

◆ **Time period to make entries in Register of members: 7 DAYS**

- (a) The entries in the registers maintained under **section 88 of the Companies Act, 2013, shall be made within 7 days after the Board of Directors** or its duly constituted committee approves the allotment or transfer of shares.
- (b) Consequent upon any **forfeiture, buy-back, reduction, sub-division, consolidation or cancellation of shares, issue of sweat equity shares, transmission of shares**, shares issued under any scheme of arrangements, mergers, reconstitution or employees stock option scheme or any of such scheme provided under this Act, entry shall be made within seven days after approval by the Board or committee.

◆ **Maintaining Register of Members at RO:** The registers shall be maintained at the registered office of the company unless a special resolution is passed in a general meeting authorizing the keeping of the register at any other place within the city, town or village in which the registered office is situated or any other place in India.

◆ **Explanation to changes in register on account of death, insolvency, etc. of the member:** If any change occurs in the status of a member or debenture holder or any other security holder whether due to death or insolvency or change of name or due to transfer to Investor Education Protection Fund or due to any other reason, entries thereof explaining the change shall be made in the respective register.

◆ **Rectification in Register pursuant to order of authority:**

- (i) If any rectification is made in the register by the company pursuant to any order passed by the competent authority under the Act, the necessary reference of such order shall be indicated in the respective register.
- (ii) If any order is passed by any judicial or revenue authority or by the Security and Exchange Board of India (SEBI) or Tribunal attaching the shares, debentures or other securities and giving directions for remittance of dividend or interest, the necessary reference of such order shall be indicated in the respective register.

◆ **Particulars of Pledge, charge, lien or hypothecation within 15 days:**

- (a) In case of companies whose securities are listed on a stock exchange in or outside India, **the particulars of any pledge, charge, lien or hypothecation created by the promoters in respect of any securities of the company held by the promoter including the names of pledgee/pawnee** and any revocation therein shall be entered in the register within fifteen days from such an event.
- (b) If promoters of any listed company, which has formed a **joint venture company with another company have pledged or hypothecated or created charge or lien in respect of any security of the listed company in connection with such joint venture company**, the particulars of such pledge, hypothecation, charge and lien shall be entered in the register members of the listed company within fifteen days from such an event.

14.1 PLACE OF KEEPING OF THE REGISTERS

Section 94 of the Companies Act, 2013 fixes the place for maintaining a company's registered returns etc. and for allowing their inspection.

◆ **Maintaining at Registered Office:** According to Section 94(1), the registers required to be **kept and maintained by a company under section 88** and copies of the annual return filed under section 92 shall be kept at the registered office of the company.

◆ **Maintaining at a place other than Registered Office:** Such registers or copies of return may also be kept at any other place in India in which **more than one-tenth of the total number of members** entered in the register of members reside, if approved by a special resolution passed at a general meeting of the company.

14.2 INSPECTION OF REGISTERS

According to **section 94(2)** read with Rule 14 of the Companies (Management & Administration) Rules, 2014 the registers and their indices, except when they are closed under the provisions of this Act, and the copies of all the returns shall be open for inspection by any member, debenture-holder, other security holder or beneficial owner, during business hours without payment of any fees and by any other person on payment of such fees as may be specified in the articles of association of the company but **not exceeding Rs. 50** for each inspection.

Copies of Registers and Annual Return: As per Section 94(3) any such member, debenture-holder, other security holder or beneficial owner or any other person may—

- (a) Take extracts from any register, or index or return without payment of any fee; or
- (b) Require a copy of any such register or entries therein or return on payment of such fees as may be specified in the Articles of Association of the company but **not exceeding Rs 10** for each page.

A reasonable time of not less than two hours on every working day shall be considered by the company.

Such copy or entries or return shall be supplied within seven days of deposit of such fee.

Penalty: The *company and every officer of the company who is in default shall be liable, for each such default, to a penalty of one thousand rupees for every day subject to a maximum of one lakh rupees* during which the refusal or default continues.

15. REGISTER - AN EVIDENCE

- ◆ Section 95 of the Companies Act, 2013 provides that the registers, their indices and copies of annual returns maintained under sections 88 and 94 shall be prima facie evidence of any matter directed or authorised to be inserted therein by or under this Act.
- ◆ A register of members is prima facie evidence of the truth of its contents.
- ◆ Accordingly, if a person's name, to his knowledge, is there in the register of members of a company, he shall be deemed to be a member and the onus lies on him to prove that he is not a member.

15.1 FOREIGN REGISTER

- ◆ Section 88(4) of the Companies Act, 2013 empowers companies to keep foreign registers of members or debenture- holders, other security holders or beneficial owners residing outside India. It states:
- ◆ “A company may, if so authorized by its articles, keep in any country outside India, in such manner as may be prescribed, a part of the register referred to in sub-section (1), called “foreign register” containing the names and particulars of the members, debenture-holders, other security holders or beneficial owners residing outside India.”
- ◆ It should be kept in the same manner as the principal register and be likewise open to inspection.
- ◆ A duplicate of such a register should be maintained at the registered office in India and all entries made in the foreign register should be made in the duplicate register at the registered office as soon as possible.
- ◆ The decision of a competent Court in the State or Country in which a foreign register is kept, with regard to its rectification, shall be as effective as if it were a decision of a competent Court in India, if the Central Government, by notification in the Official Gazette, so directs.

15.2 MAINTENANCE OF FOREIGN REGISTER

- ◆ **Rule 7 of the Companies (Management and Administration) Rules, 2014** deals with maintenance of foreign register, it is provided that a company which has share capital or which has issued debentures or any other security may, if so authorised by its articles, keep in any country outside India, a part of the register of members or as the case may be, of debenture holders or of any other security holders or of beneficial owners, resident in that country (hereafter in this rule referred to as the “foreign register”).

- ◆ **Filing form with Registrar:** The company shall, *within 30 days from the date of the opening of any foreign register*, file with the Registrar notice of the situation of the office in **Form No.MGT.3** along with the fee where such register is kept; and in the event of any change in the situation of such office or of its discontinuance, shall, *within 30 days from the date of such change or discontinuance*, as the case may be, file notice in Form No.MGT.3 with the Registrar of such change or discontinuance.
- ◆ **A foreign register shall be deemed** to be part of the company's register (hereafter in this rule referred to as the "principal register") of members or of debenture holders or of any other security holders or beneficial owners, as the case may be.
- ◆ **The foreign register shall be maintained in the same format as the principal register.**
- ◆ A foreign register shall be open to inspection and may be closed, and extracts may be taken there from and copies thereof may be required, in the same manner, mutatis mutandis, as is applicable to the principal register, except that the advertisement before closing the register shall be inserted in at least two newspapers circulating in the place wherein the foreign register is kept.
- ◆ If a foreign register is kept by a company in any country outside India, the decision of the appropriate competent authority in regard to the rectification of the register shall be binding.
- ◆ Entries in the foreign register maintained under sub-section (4) of section 88 shall be made simultaneously after the Board of Directors or its duly constituted committee approves the allotment or transfer of shares, debentures or any other securities, as the case may be.

The company shall-

- (a) Transmit to its registered office in India a copy of every entry in any foreign register within fifteen days after the entry is made; and
- (b) Keep at such an office a duplicate register of every foreign register duly entered from time to time.

Every such duplicate register shall, for all the purposes of this Act, be deemed to be part of the principal register.

- ◆ Subject to the provisions of **section 88** of the Act and the rules made thereunder, with respect to duplicate registers, the shares or as the case may be, debentures or any other security, registered in any foreign register shall be distinguished from the shares or as the case may be, debentures or any other security, registered in the principal register and in every other foreign register.
- ◆ The company may discontinue the keeping of any foreign register, and thereupon all entries in that register shall be transferred to some other foreign register kept by the company outside India or to the principal register.

15.3 CLOSING OF REGISTER OF MEMBERS

Section 91 of the Companies Act, 2013 contains guidelines for closing the register of members. It lays down:

- ◆ **Time Limit for Register of Members:** A company may close the register of members or the register of debenture-holders or the register of other security holders for any period or *periods not exceeding in the aggregate 45 days in each year, but not exceeding 30 days* at any one time, *subject to giving of previous notice of at least 7 days* or such lesser period as may be specified by Securities and Exchange Board for listed companies or the companies which intend to get their securities listed, in the prescribed manner.
- ◆ **Penalty:** If the register of members or of debenture-holders or of other security holders is closed without giving the notice as provided above, or after giving shorter notice than that so provided, or for a continuous or an aggregate period in excess of the limits specified in that sub-section, the company and every officer of the company who is in *default shall be liable to a penalty of 5000 rupees for every day subject to a maximum of 1 lakh rupees* during which the register is kept closed.

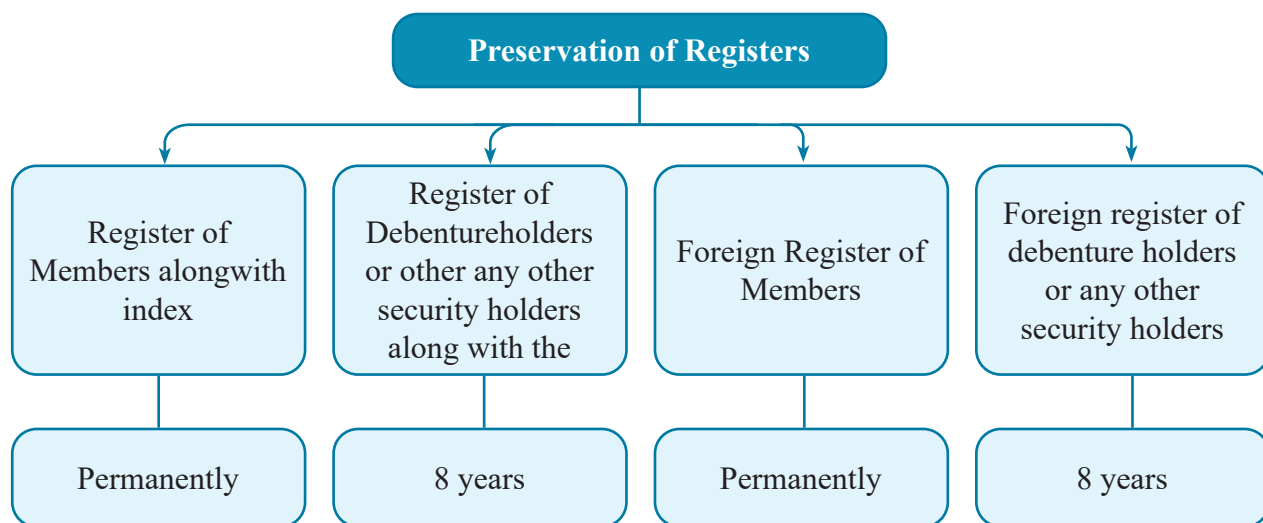
However, even if the register of members is closed,

- (a) The company is obliged to make certain entries during the period of closure, such as entries relating to registration and probates and letters of administration;

- (b) Notices of change of name and address and court orders, such as changing orders, etc.
- ☛ The purpose of closing the registers is to get the registers updated and to fix a cut-off date for the purpose of payment of dividend or issue of rights and bonus shares.
 - ☛ This purpose can also be achieved by fixing a record date for a day.
- (c) If such company is a listed company or intends to get its securities listed, by advertisement at least once in a vernacular newspaper in the principal vernacular language of the district and having a wide circulation in the place where the registered office of the company is situated, and at least once in English language in an English newspaper circulating in that district and having wide circulation in the place where the registered office of the company is situated and publish the notice on the website as may be notified by the Central Government and on the website, if any, of the Company.
- (d) All members of the private company not less than seven days prior to closure of the register of members or debenture holders or other security holders.

15.4 PRESERVATION OF REGISTERS

- ◆ Rule 15 of the Companies (Management and Administration) Rules, 2014 provides that the **register of members** along with the index **shall be preserved permanently and shall be kept in the custody of the Company Secretary of the company** or any **other person authorized by the Board** for such purpose and the register of debenture holders or any other security holders along with the index shall be **preserved for a period of 8 years** from the date of redemption of debentures or securities, as the case may be, and shall be kept in the custody of the company secretary of the company or any other person authorized by the Board for such purpose.
- ◆ The foreign register of members shall be preserved permanently, unless it is discontinued and all the entries are transferred to any other foreign register or to the principal register.



16. DECLARATION BY PERSONS NOT HOLDING BENEFICIAL INTEREST IN ANY SHARE

- (a) **Registered Owner:** Section 89(1) of the Companies Act, 2013 read with the Companies (Management and Administration) Rules, 2014 makes it obligatory on the part of a person, whose name is entered in the register of members of a company as the holder of a shares in that company but who does not hold beneficial interest in such shares, a declaration to the company specifying the name and other particulars of the person who holds the to make beneficial interest in such shares.
- (b) **Beneficial Owner:** Section 89(2) of the Act, makes it obligatory for any person who, holds or acquires beneficial interest in a share of a company to make a declaration to the company specifying the nature of his interest, the particulars of the person in whose name the shares stand registered in the books of the company and such other particulars as may be prescribed.

- (c) **Changes in Beneficial Interest:** Section 89(3) of the Act, states that where any change occurs in the beneficial interest in such shares, the person referred in sub-section (1) and the beneficial owner specified under sub-section (2) of Section 89 of the Act, shall make a **declaration within thirty days**, from the date of such change to the company in the prescribed Form containing the prescribed particulars.

Section 89(4) of the Act, states that the Central Government may make rules to provide for the manner of holding and disclosing beneficial interest and beneficial ownership under this section.

- (d) **Penalty in failure to make declarations:** Section 89(5) of the Act, provides that if any person fails to make a declaration as required under sub-section (1) or sub-section (2) or sub-section (3) of Section 89, he shall be liable to a **penalty of fifty thousand rupees** and in case of continuing failure, with a further **penalty of two hundred rupees for each day** after the first during which such failure continues, subject to a maximum of five lakh rupees.
- (e) **Filing return with Registrar of Companies:** Section 89(6) of the Act, makes it obligatory on the part of the company to make a note of such a declaration in the register concerned and to file **within thirty days** from the date of receipt of declaration by it, with the Registrar of Companies, a return in the prescribed form with regard to such a declaration with such fees or additional fees as may be prescribed.
- (f) **Penalty in failure to file return:** Section 89(7) of the Act, says if a company, required to file a return under sub-section (6), fails to do so before the expiry of the time specified therein, the company and every officer of the company who is in default shall be liable to a **penalty of one thousand rupees** for each day during which such failure continues;

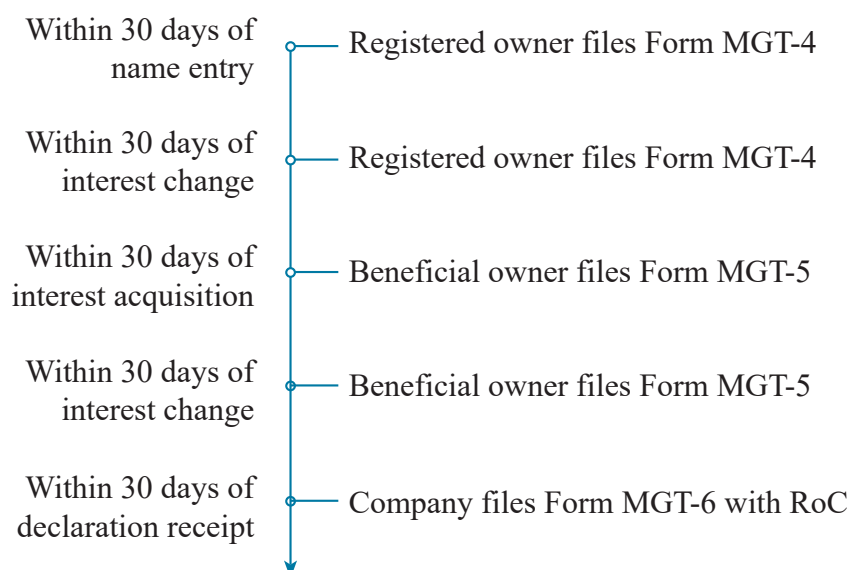
Subject to a **maximum of five lakh rupees** in the case of a company and **two lakh rupees in case of an officer who is in default**.

- (i) Exercise or cause to be exercised any or all of the rights attached to such share; or
- (ii) Receive or participate in any dividend or other distribution in respect of such share.

Section 89(11) of the Act, provides that the Central Government may, by notification, exempt any class or classes of persons from complying with any of the requirements of this section, except sub-section (10).

In case of Government Company - Section 89 shall not apply - Notification dated 5th June, 2015.

17. STEP FOR DECLARATION OF BENEFICIAL INTEREST IN ANY SHARES [RULE 9 OF THE COMPANIES (MANAGEMENT AND ADMINISTRATION) RULES, 2014]



The Companies (Management and Administration) Second Amendment Rules, 2023 in rule 9, after sub-rule (3), the MCA has inserted following sub-rules:

Every company must designate a person responsible for:	Furnishing information regarding beneficial interest in shares. Extending co-operation to the Registrar or authorized officer.
The company may designate:	(a) Company Secretary (if appointment is mandatory under the Act), or (b) Key Managerial Personnel (KMP) (other than CS), or (c) Every director, if no CS or KMP is appointed.
In absence of a formally designated person:	(a) Company Secretary, if required under the Act, or (b) Managing Director or Manager, if no CS is appointed, or (c) Every director, if no CS or MD/Manager is present.
Disclosure in Annual Return:	A company must disclose details of the designated person in its Annual Return.
Change in Designated Person:	Any change must be intimated to the ROC using e-Form GNL-2 , as per Companies (Registration Offices and Fees) Rules, 2014.

18. SIGNIFICANT BENEFICIAL OWNERS IN A COMPANY [SECTION 90 R/W THE COMPANIES (SIGNIFICANT BENEFICIAL OWNERS) RULES, 2018]

- ◆ Section 90(1) of the Act provides that every individual, who acting alone or together, or through one or more persons or trust, including a trust and persons resident outside India, holds beneficial interests, of ***not less than 25% or such other percentage*** as may be prescribed, in shares of a company or the right to exercise, or the actual exercising of significant influence or control as defined in *clause (27) of section 2* of the Act, over the company (herein referred to as “significant beneficial owner”), shall make a declaration to the company, specifying the nature of his interest and other particulars, in such manner and within such period of acquisition of the beneficial interest or rights and any change thereof, as may be prescribed.
- ◆ Provided the Central Government may prescribe a class or classes of persons who shall not be required to make declaration as stated above.

18.1 RULE 2 OF THE COMPANIES (SIGNIFICANT BENEFICIAL OWNERS) RULES, 2018 AS AMENDED BY THE COMPANIES (SIGNIFICANT BENEFICIAL OWNERS) AMENDMENT RULES, 2019

- (a) As per the definition provided in Section 90(1) of the Companies Act, 2013 the Government is empowered to prescribe another threshold limit for the determination of the Significant Beneficial Owner.
- (b) Accordingly, the revised Rule 2 of the Companies (Significant Beneficial Owners) Rules, 2018 as amended by the Companies (Significant Beneficial Owners) Amendment Rules, 2019 provides the following definition:
- (c) As per Rule 2(h) of the Companies (Significant Beneficial Owners) Rules, 2018:

“Significant beneficial owner” in relation to a reporting company means an individual referred to in *sub-section (1) of section 90*, who acting alone or together, or through one or more persons or trust, possesses one or more of the following rights or entitlements in such reporting company, namely:

- ◆ Holds indirectly, or together with any direct holdings, ***not less than 10% of the shares***;
- ◆ Holds indirectly, or together with any direct holdings, ***not less than 10% of the voting rights*** in the shares;
- ◆ Has right to receive or participate in ***not less than 10% of the total distributable dividend***, or any other distribution, in a financial year through indirect holding alone, or together with any direct holdings;
- ◆ Has the right ***to exercise, or actually exercises, significant influence or control***, in any manner other than through direct holdings alone.

Explanation I: If an individual does not hold any right or entitlement indirectly under sub-clauses (i), (ii) or (iii) as mentioned above, he shall not be considered to be a significant beneficial owner.

Explanation II: Direct Holding of Right and Entitlement

- ◆ An individual shall be considered to hold a right or entitlement directly in the reporting company, if he satisfies any of the following criteria, namely:
- ◆ The shares in the reporting company representing such right or entitlement are held in the name of the individual;
- ◆ The individual holds or acquires a beneficial interest in the share of the reporting company under Section 89(2), and has made a declaration in this regard to the reporting company.

Explanation III: Indirect Holding of Right and Entitlement

- ◆ An individual shall be considered to hold a right or entitlement indirectly in the reporting company, if he satisfies any of the following criteria, in respect of a member of the reporting company, namely:
 - A. **BODY CORPORATE:** Where the member of the reporting company is a body corporate (whether incorporated or registered in India or abroad), other than a limited liability partnership, and the individual,
 - (a) Holds majority stake in that member; or
 - (b) Holds majority stake in the ultimate holding company (whether incorporated or registered in India or abroad) of that member.
 - B. **HUF Member:** Where the member of the reporting company is a Hindu Undivided Family (HUF) (through karta), and the individual is the karta of the HUF.
 - C. **PARTNERSHIP ENTITY MEMBER:** Where the member of the reporting company is a Partnership Entity (through itself or a partner), and the individual, is a partner; or
 - Holds majority stake in the body corporate which is a partner of the partnership entity; or
 - Holds majority stake in the ultimate holding company of the body corporate which is a partner of the partnership entity.

19. DEFINITIONS

- ◆ **Acting together means:** For the purpose of the aforesaid clause meaning of “Acting together” is given by Explanation V as under:

If any individual, or individuals acting through any person or trust, act with a common intent or purpose of exercising any rights or entitlements, or exercising control or significant influence, over a reporting company, pursuant to an agreement or understanding, formal or informal, such individual, or individuals, acting through any person or trust, as the case may be, shall be deemed to be ‘acting together’.

- ◆ **Shares:** For the purpose of the aforesaid clause meaning of “Shares” is given by Explanation VI as under: As per Explanation VI of Rule 2 (h) of SBO Rules, For the purpose of calculation of 10% of beneficial interest in shares, Shares includes instrument in form of:

- ◆ Global Depository Receipts,
- ◆ Compulsorily Convertible Preference Shares, or
- ◆ Compulsory convertible debentures.

- ◆ **Reporting Company:** As per Rule 2(f) of SBO Rules, 2018, Reporting Company means a company as defined in clause (20) of section 2 of the Companies Act, 2013 required to comply with the requirements of section 90 of the Companies Act, 2013.

- ◆ **Partnership entity means** a partnership firm registered under the Indian Partnership Act, 1932 or a limited liability partnership registered under the Limited Liability Partnership Act, 2008.

◆ **Majority stake means:**

- (i) Holding *more than one-half of the equity share capital* in the body corporate;
- (ii) Holding *more than one-half of the voting rights* in the body corporate; or
- (iii) Having the right to receive or participate in *more than one-half of the distributable dividend* or any other distribution by the body corporate.

◆ **Significant Influence** means the power to participate, directly or indirectly, in the financial and operating policy decisions of the reporting company but is not control or joint control of those policies.

Illustration 1:

Capital Structure of Company ABC limited is as following:

Equity Share Capital of Rs. 2,000 CCD's of Rs. 3000 CCP's of Rs. 1000 TOTAL Rs. 6,000 Mr. A beneficially holds Rs. 520 equity shares in the Company. Whether Mr. A beneficially required to give disclosure under SBO?

Solution: For the purpose of SBO Rules share capital includes (CCD's and CCP's). Therefore, total share capital of the Company is Rs. 6,000/-. Mr. A beneficially holds Share capital of Rs. 520/-. His percentage of holding is $520/6000 = 8.667\%$. As holding of Mr. A beneficially is less than 10% therefore *no need to give disclosures u/s 90 of SBO Provisions.*

Illustration 2:

If an Individual (A) holding shares in any Company (Exp. Mr. A Holding 60% shareholding of ABC Pvt. Ltd. and his name entered into register of member) Whether provisions of SBO shall be applicable on Mr. A or Not?

Solution: "Significant Beneficial Owner": means beneficial owner holding ultimate beneficial interest not less than 10% and whose name not entered in the register of members of a Company. Therefore, one can opine that SBO provision applicable on person who is holding beneficial interest and whose name not entered into register of members. In above mentioned example individual holding shares directly in the company in his name therefore *provision of SBO not applicable on such individual.*

20. DECLARATIONS TO BE MADE BY SIGNIFICANT BENEFICIAL OWNER

- ◆ **Initial Disclosure:** On the date of commencement of the Companies (Significant Beneficial Owners) Amendment Rules, 2019, every individual who is a significant beneficial owner in a reporting company, was required to file a declaration in **Form No. BEN-1** to the reporting company *within ninety days* from such commencement i.e., February 08, 2019.
- ◆ **Continual Disclosure:** Every individual who subsequently becomes a SBO/ or where his significant beneficial ownership undergoes any change shall file a declaration in *Form No. BEN-1 to the reporting company, within 30 days* of acquiring such significant beneficial ownership or any change therein.

21. OBLIGATIONS OF THE REPORTING COMPANY

Filing of Returns with ROC

Upon receipt of a declaration from the Significant Beneficial Owner of the company and changes therein, the reporting company shall file a return in **Form No. BEN-2** with the Registrar in respect of such declaration, **within a period of 30 days** from the date of receipt of such declaration, along with the prescribed fees.

Notice to the Significant Beneficial Owner

It should be noted that, the obligation of the individual to self-declare his significant beneficial holdings, and the obligation of the company to send notice seeking information from members in terms of *Rule 2A* of the Companies (Significant Beneficial Owners) Rules, 2018, are independent obligations.

As per *Rule 2A(1)* of the Companies (Significant Beneficial Owners) Rules, 2018, every reporting company shall take necessary steps to find out if there is any individual who is a significant beneficial owner, as defined in rule 2(h) of the Companies (Significant Beneficial Owners) Rules, 2018, in relation to that reporting company, and if so, identify him and cause such individual to make a declaration in **Form No. BEN-1**.

Further, according to **Section 90(5)** a company shall give notice, in the prescribed manner, to any person (whether or not a member of the company) whom the company knows or has reasonable cause to believe-

- ◆ To be a significant beneficial owner of the company;
- ◆ To be having knowledge of the identity of a significant beneficial owner or another person likely to have such knowledge; or
- ◆ To have been a significant beneficial owner of the company at any time during the three years immediately preceding the date on which the notice is issued, and who is not registered as a significant beneficial owner with the company as required under this section.

The above mentioned particulars should be submitted in writing to the registered address of the company by the concerned person *not later than 30 days* of the date of this notice.

22. CONSEQUENCES OF NON-REPORTING UNDER SECTION 90(5)

As per *Rule 7 of The Companies (Significant Beneficial Owners) Rules, 2018*, the reporting company shall apply to the Tribunal within a period of 15 days of the expiry of the period specified in **BEN-4**.

Where any person fails to give the information required by the notice in Form No. BEN-4, within the time specified therein; or

Where the information given is not satisfactory.

In accordance with **section 90(7)** of the Companies Act, 2013, for order directing that the shares in question be subject to restrictions, including:

Restrictions on the transfer of interest attached to the shares in question;

Suspension of the right to receive dividend or any other distribution in relation to the shares in question;

Suspension of voting rights in relation to the shares in question;

Any other restriction on all or any of the rights attached with the shares in question.

23. ORDER OF TRIBUNAL

NCLT on application moved by a company is not under a binding obligation to pass any restrictive order and the concerned person or member shall have the opportunity to explain why he or she is not a significantly beneficial owner and retract the contentions made by the company.

As per **Section 90(8)** of the Companies Act, 2013 the Tribunal may:

- ◆ After giving an opportunity of being heard to the parties concerned, make such an order restricting the rights attached with the shares.
- ◆ *Within a period of 60 days* of receipt of application or such other period as may be prescribed.

As per **Section 90(9)** of the Companies Act, 2013, the company or the person aggrieved by the order of the Tribunal may make an application to the Tribunal for relaxation or lifting of the restrictions placed by the Tribunal **within a period of one year** from the date of such order.

However, if no such application has been filed within a period of one year from the date of the order, such shares shall be transferred, without any restrictions, to the authority constituted under sub-section section 125(5) i.e., Investor Education and Protection Fund , in such manner as prescribed.

24. REGISTER OF SIGNIFICANT BENEFICIAL OWNERS

According to **Rule 5 of the Companies (Significant Beneficial Owners) Rules, 2018**, the company shall maintain a register of significant beneficial owners in **Form No. BEN-3** which includes:

- ◆ The name of individual;
- ◆ His date of birth;
- ◆ Address and e-mail ID;
- ◆ Details of ownership in the company; and
- ◆ Such other details.

The register shall be open for inspection during business hours, at such reasonable time of **not less than two hours**, on every working day as the board may decide, by any member of the company on payment of such fee as may be specified by the company but **not exceeding fifty rupees for each inspection**.

25. PENAL PROVISIONS

Section	Nature of Violation	Person Responsible	Penalty
Section 90(10)	Failure to make a declaration	SBO	Penalty of Rs.50,000 and in case of continuing failure, with a further penalty of Rs.1000 for each day after the first during which such failure continues, subject to a maximum of Rs.2 Lakhs
Section 90(11)	Failure to maintain register U/S 90(2) & file information U/S 90(4) or required to take necessary steps under sub-section 90(4A) and denial of inspection	◆ Company ◆ Officer of the company who is in default	◆ Liable to a penalty of Rs.1Lakh and in case of continuing failure, with a further penalty of Rs.500 for each day, after the first during which such failure continues, subject to a maximum of Rs.5 Lakhs ◆ A penalty of Rs.25000 and in case of continuing failure, with a further penalty of Rs.200 for each day, after the first during which such failure continues, subject to a maximum of Rs.1 Lakh
Section 90(12)	Furnishing of false and incorrect information or suppressing any material information	Person declaring Beneficial interest	Liable to action under Section 447 of the Companies Act, 2013 (Fraud)

26. RECTIFICATION OF A REGISTER OF MEMBERS

- ◆ The register of members of a company contains names, addresses, occupations, if any etc. only of members of the company.
- ◆ Any person, whose name is entered in the register of members of a company, is considered to be its member, although he may not own the shares which are shown in his name in the register of members.
- ◆ **Section 59 of the Companies Act, 2013** confers powers on the Tribunal or a competent court outside India specified by the Central Government by notification in respect of foreign members or debenture-holders residing outside India to order rectification of register of members of a company if an appeal is made by the aggrieved person or by any member of the company or the company on any of the following grounds:

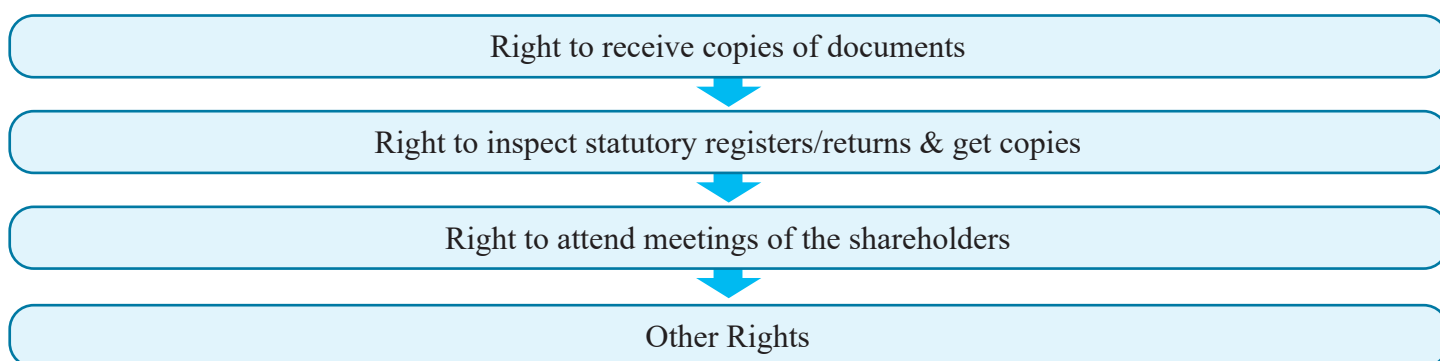
- Where the name of a person is without sufficient cause, entered in the register of members of a company;
- Where his name, after having been entered in the register, is omitted without sufficient cause; or
- Where default is made or unnecessary delay takes place in entering in the register of members the fact of any person having become, or ceased to be, a member of the company.

27. RIGHTS OF MEMBERS

- When once a person becomes a member he is entitled to exercise all the rights of a member until he ceases to be a member in accordance with the provisions of the Act.
- The appointment of a receiver, the attachment of the shares, the pledge of the shares or taking over of the management of a company which is holding shares in another company will not alter the position.
- So long a person's name stands registered in the books as a member, even if he has sold the share and has given the share certificates and the blank transfer deed duly signed, he alone is entitled to exercise the rights of membership [*Balakrishna Gupta & Others v. Swadeshi Polytex Ltd. and Others* (1985) 58 Com Cases 563 (S.C.); and *Life Insurance Corporation of India v. Escorts Ltd. & Others* (1986) 59 Com Cases 548 (S.C.)].

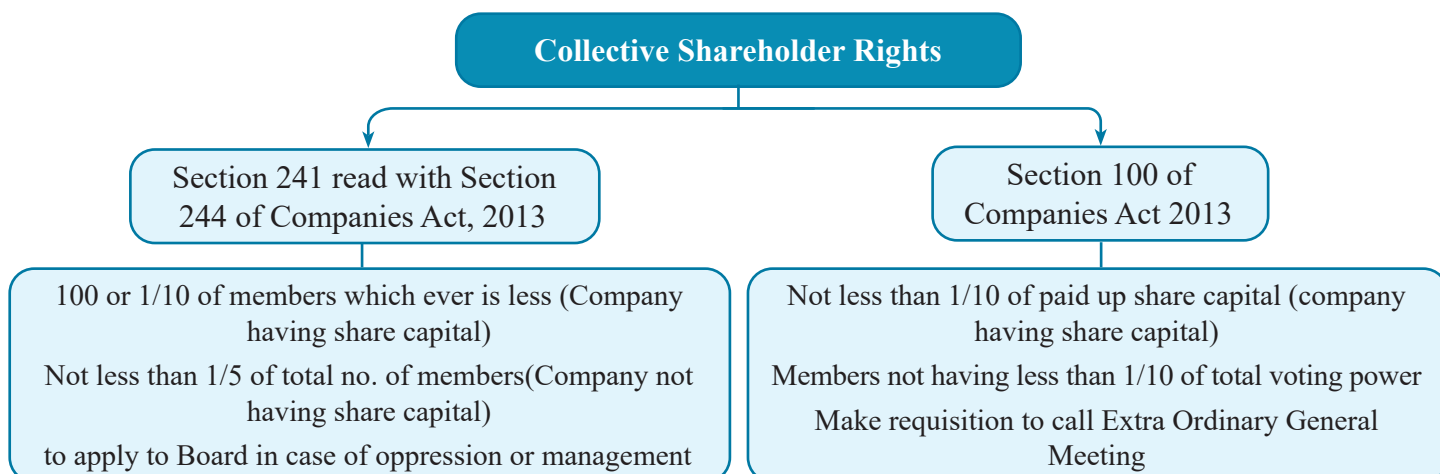
27.1 INDIVIDUAL RIGHTS

Members of a company enjoy certain rights in their individual capacity, which they can enforce individually. These rights can be categorized as under:



27.2 COLLECTIVE SHAREHOLDER RIGHTS

- Members of a company have certain rights which can be exercised by members collectively by means of democratic process, i.e. by majority of members usually unless otherwise prescribed.
- This involves the principle of submission by all members to the will of the majority, provided that the will is exercised in accordance with the law and the Memorandum and Articles of Association of the company.



27.3 VOTING RIGHTS OF MEMBERS

The right of attending shareholders' meetings and voting thereat is the most important right of a member of a company, as shareholders' meetings play a very important role in the company's life.

- ◆ **Voting Rights on Poll: Section 47 of the Act**, provides that every member of a company limited by shares and holding equity share capital therein, shall have right to vote on every resolution placed before the company and his voting right on a poll shall be in proportion to his share in the paid-up equity share capital of the company.

Section 43 of the Companies Act, 2013 provides that a company limited by shares shall be entitled to issue (i) **equity share capital with voting rights** or (ii) **with differential rights as to dividend, voting** or otherwise in accordance with such rules as may be prescribed by the Central Government.

- ◆ **Preference Shareholder Rights:** Preference shareholders ordinarily vote only on matters directly affecting the rights attached to preference share capital and on any resolution for winding up of the company or for the repayment or reduction of the equity or preference share capital.

The voting right of a preference shareholder on poll shall be in proportion to his share in the paid-up preference share capital of the company.

Section 50 of the Act lays down that a company may, if authorised by its articles, accept from any member the whole or a part of the amount remaining unpaid on any shares held by him although no part of that amount has been called up.

- ◆ **Shareholders' Pre-emptive Rights with regard to further issue of share capital (Right Shares):**

To preserve the shareholders' proportionate dividend, liquidation and voting rights, pre-emptive rights are often recognised, but their existence and scope can be affected by provisions in the articles.

However, Section 62 of the Companies Act, 2013 secures shareholders' pre-emptive rights with regard to the further issue of share capital by the company. *The Section lays down:*

“(1) Where at any time, a company having a share capital proposes to increase its subscribed capital by the issue of further shares, such shares shall be offered to persons who, at the date of the offer, are holders of equity shares of the company in proportion, as nearly as circumstances admit,

- ☞ *To the paid-up share capital” on those shares by sending a letter of offer subject to the condition that unless the articles of the company otherwise provide;*
- ☞ *The offer aforesaid shall be deemed to include a right exercisable by the person concerned to renounce the shares offered to him.*

28. RIGHTS OF DISSENTING SHAREHOLDERS

Section 48(2) of the Companies Act, 2013 confers certain rights upon the dissenting shareholders.

According to section 48(2), where the rights of any class of shares are varied, the holders of **not less than ten per cent** of the issued shares of that class, being persons who did not consent to such variation or vote in favour of the special resolution, **can apply to the Tribunal** to have the variation cancelled.

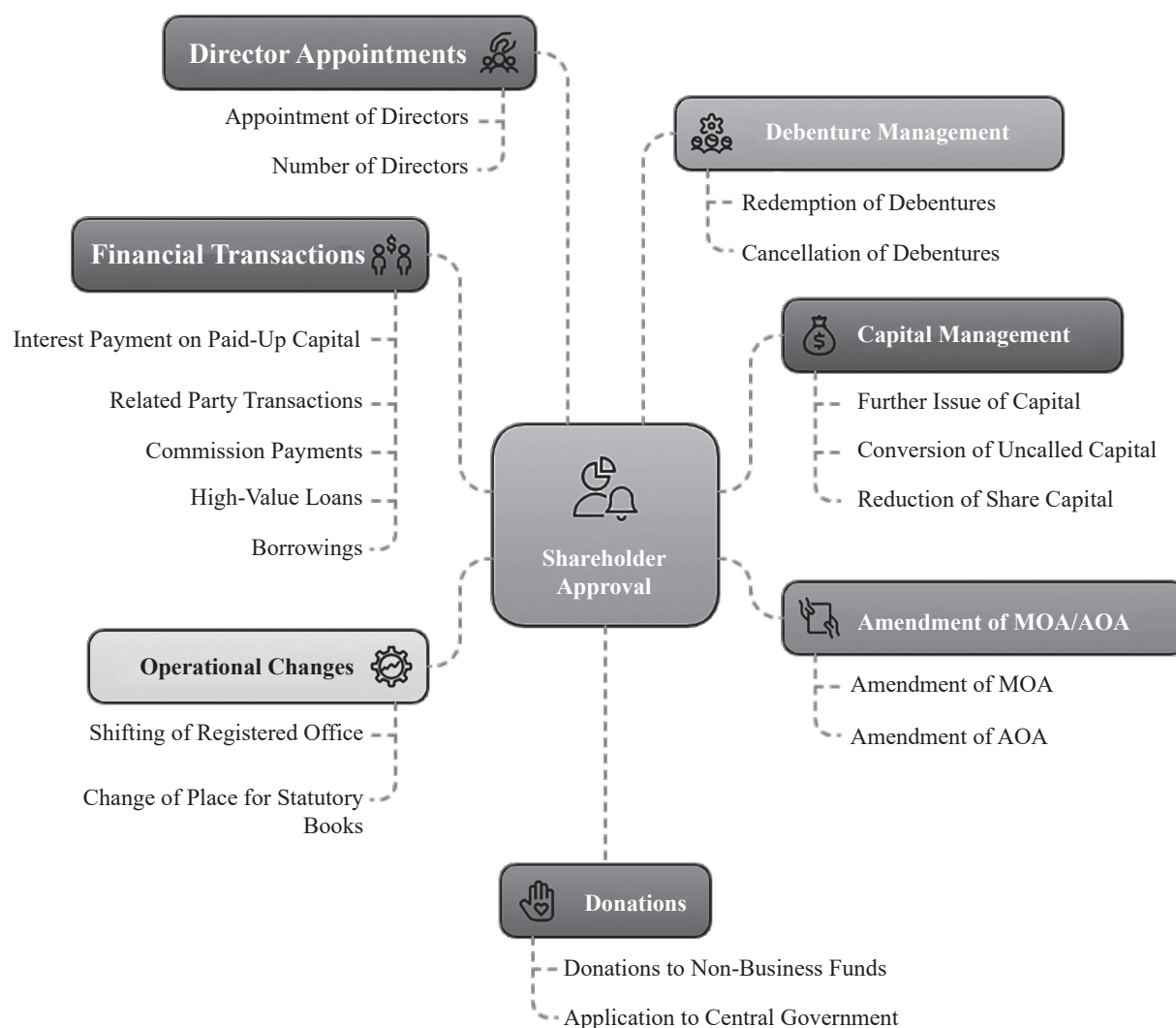
Where any such application is made to the Tribunal, the **variation will not be effective unless** and until it is **confirmed by the Tribunal**.

Application shall be made within twenty-one days after the date on which the consent was given or the resolution was passed.

29. SHAREHOLDERS' DEMOCRACY

- ◆ **Shareholders' democracy** refers to the **dominance of shareholders** in corporate governance, either **directly** or through **elected directors**.
- ◆ It reflects the democratic principle of “**rule by shareholders, for shareholders, and of shareholders**” within the company.
- ◆ Shareholders have the **right to express opinions, gather, interact** with other shareholders, and **stay informed** about company affairs.
- ◆ Under the **Companies Act, 2013**, powers are **divided** between:
 - 🔵 **Board of Directors** (act through **Board Meetings**)
 - 🔵 **Shareholders** (act through **General Meetings**)
- ◆ Most powers are **delegated to the Board** via the **Memorandum and Articles of Association**, though **certain matters** are reserved for shareholders.
- ◆ **Section 179** gives the **Board** general authority to act, **subject to the Act**, MOA, and AOA.
- ◆ The **proviso to Section 179** restricts the Board from acting on matters that are **specifically reserved** for shareholder approval.
- ◆ Shareholder decisions are usually taken via **Ordinary Resolution, Special Resolution, or Postal Ballot**.

“Shareholder Approval and Director Duties”.



30. VARIATION OF SHAREHOLDERS RIGHTS

- ◆ Shareholder's rights are determined by the Companies Act, Memorandum of association, and Articles of association of the company and the terms of issue of shares. Rights attached to a class of shares are **known as "class rights"**.
- ◆ Shareholder's rights relate to dividend, voting at members' meetings and return of capital. Preference shareholders may have rights to a fixed amount or a fixed rate of dividend or to cumulative dividend.
- ◆ Where the ordinary shareholders are conferred the right to participate in the surplus assets on winding up of a company, it is not deemed to be a class right as it is implied even in the absence of any express provision in the articles.
- ◆ **Section 48 (1) of the Companies Act, 2013** lays down that where a share capital of the company is divided into different classes of shares, the rights attached to the shares of any class can be varied with the **consent in writing of the holders of not less than three-fourths** of the issued shares of that class or with the **sanction of a special resolution passed** at a separate meeting of the holders of the issued shares of that class.

Further, the variation of rights of shareholders can be effected only:

- (i) If provision with respect to such variation is contained in the Memorandum or Articles of association of the company; or
- (ii) In the absence of any such provision in a Memorandum or Articles of association of the company, if such a variation is not prohibited by the terms of issue of the shares of that class.

However, if variation by one class of shareholders affects the rights of any other class of shareholders, the consent of three-fourths of such other class of shareholders shall also be obtained and the provisions of this section shall apply to such variation.

31. LIABILITY OF MEMBERS

- ◆ The liability of a member depends on the nature of the company.
- ◆ If the company is registered with unlimited liability, every member is liable in full for all the debts of the company contracted during the period of his membership.
- ◆ Where the company is limited by guarantee, each member will be bound to contribute in the event of winding up a sum specified in the liability clause of the memorandum of association.
- ◆ Where a company has been incorporated by furnishing any false or incorrect information or representation **or by suppressing any material fact or information in any of the documents or declaration filed or made for incorporating such company or by any fraudulent action, the Tribunal may, on an application made to it, on being satisfied that the situation so warrants, direct that liability of the members shall be unlimited [Section 7(7) of the Act].**
- ◆ If a member ceased to be member of a company within one year prior to the commencement of the winding up of the company he is liable to pay on the shares which he held to the extent of the amount unpaid thereon, if:
 - ☞ *On the winding up, debts exist which were incurred while he was a member, and*
 - ☞ *It appears to the Tribunal that the present members are not able to satisfy the contribution required from them in respect of their shares.*
- ◆ A person is liable as a member in spite of a valid transfer of shares by him, if the name of the transferee is not placed on the register of members, in place of the transferors' name.
- ◆ If a person applies for shares in the name of a fictitious person or a person not in existence or uses another person's name for himself, or uses an alias, and shares are allotted in that name or alias, he will be liable as a member.

32. SHAREHOLDERS' AGREEMENT

- ◆ Shareholders' Agreements (SHA) are quite common in business.
- ◆ In India, shareholders' agreements have gained popularity and currency only lately with the bloom of newer forms of businesses.
- ◆ There are numerous situations where such agreements are entered into – family companies, JV companies, venture capital investments, private equity investments, strategic alliances, and so on.
- ◆ Shareholders' agreement is a contractual arrangement between the shareholders of a company describing how the company should be operated and the defining inter se shareholders' rights and obligations.
- ◆ SHAs are the result of mutual understanding among the shareholders of a company to which the company generally becomes a consenting party.
- ◆ Such agreements are specifically drafted to provide specific rights, impose definite restrictions over and above those provided by the Companies Act.

32.1 ENFORCEABILITY OF THE SHAREHOLDER'S AGREEMENT

- ◆ Though the international view is split, to a large extent courts are inclined towards favouring SHA as long as they are not found to be detrimental to the minority stakeholder's rights.
- ◆ In the leading case of ***Russell v. Northern Bank Development Corporation Ltd [1992] BCC 578; [1992] 1 WLR 588***, the House of Lords found that though a company cannot deprive itself of its power to alter its constitution, the members of the company could agree in a shareholders' agreement as to how they will exercise their voting rights on a resolution to alter the articles/constitution.
- ◆ While shareholders' agreements are enforceable in England regardless of whether they have been incorporated in the articles of association of the company, in India courts have either refused to recognize clauses in shareholders agreements or, even when consistent with company legislation, enforced such clauses only if they have been incorporated in the articles of association of the company.

33. VETO POWER

- ◆ A veto – Latin for “*I forbid*” – is the power to ***unilaterally stop an official action***, especially the enactment of legislation.
- ◆ A veto may give power only to stop changes, thus allowing its holder to protect the status quo.
- ◆ The Companies Act, 2013 introduced various provisions to essentially bridge the gap towards protection and welfare of the minority shareholders under the Companies Act, 1956.
- ◆ As per the Companies Act, 1956, shareholders who hold the majority of shares, rule the company.
- ◆ This majority principle is recognised in a landmark case ***Foss vs. Harbottle (1843)***. The decision taken by the majority shareholders was binding on the minority.
- ◆ Now this principal has been replaced and minority shareholders have been given greater power under the Companies Act, 2013.

33.1 VETO POWER OR RIGHTS

- ◆ A right is inherent. Shareholders' rights refer to rights enshrined in the Constitutional document of the company or as provided by the law. A power has its genesis under the provisions of law.
- ◆ As per the provisions of the Companies Act, 2013 there are some resemblances where the management can take decisions on their own, by virtue of law.

However, there are some instances where the consent of the shareholders is mandatory to approve any decision or transaction which is said to be the veto power or veto right of shareholders of the company.

- ◆ For instance, in case of related-party transactions, promoters, who are majority shareholders, **cannot vote in resolutions** in cases of related-party transactions.
- ◆ As stated under the provisions of **Section 188 any related-party transaction** that is not done in the **ordinary course of business and is not at an arm's length will need approval of minority shareholders by way of a resolution.**

33.2 DIFFERENCE BETWEEN VETO POWER AND CASTING VOTE

Veto power is different than casting vote of Chairman.

Casting vote is applicable in case of equality of votes in favour and against.

In case of equality the Chairman may give vote either in favour or against the resolution and it can be carried accordingly.

Veto power has not been defined in the Companies Act. However, dictionary meaning of veto power is: “to refuse to admit or approve; specifically: to refuse assent so as to prevent enactment or cause reconsideration.

34. ASSIGNMENT OF SHARES IN A COMPANY

- ◆ **Section 44 of the Companies Act, 2013** defines the nature of property in the shares of a company. It lays down:
- ◆ “The shares or debentures or other interest of any member in a company shall be movable property, transferable in the manner provided by the articles of the company.”
- ◆ The definition of **“goods” in the Sale of Goods Act, 1930**, specifically includes stocks and shares.
Hence, it is necessary to provide by the articles the manner in which the transfer of shares are to be affected.
- ◆ A company cannot refuse to transfer shares except as provided by its articles.
- ◆ It is well settled that unless the articles otherwise provide, a shareholder has a free right to transfer his shares to whom he chooses.
- ◆ It is only necessary to look to the articles of association to ascertain the mode of transfer and the restrictions upon it.
- ◆ Between the buyer (transferee) and the seller (transferor) of shares, the buyer is entitled to all dividends declared after the contract of sale, unless otherwise agreed.
- ◆ Whatever may be the agreement, a transfer of shares after declaration of dividend, does not, as against the company, carry the dividend, even though the transfer may be cum-dividend.

PAST YEAR QUESTIONS

1. Stunning Commodities Ltd. gave notice seeking information from Ujjwal (not a member of the Company) whom the company has reasonable cause to believe to be having knowledge of the identity of a Significant Beneficial Owner (SBO) of the company. It is observed that information given by Ujjwal is not satisfactory. You are General Manager (Secretarial) of the Company.
2. The CEO of the Company asks you for further action to be taken by the company on this, if any. Advise.

[June 2023 (3 Marks)]

You are a Speaker on Corporate Laws at a Seminar. One person from the audience has sought your opinion on the following matters:

- (i) Can an Insolvent be a member in a company?
- (ii) Can a Receiver be a member in a company?
- (iii) How does an investor avail services of a Depository in case of pledge of shares?

[June 2023 (1 + 2 + 2 - 5 Marks)]

3. Ram Singh is a shareholder of Alexandra India Ltd. The Board of directors of the company are of the view that the conduct of Ram Singh has been detrimental to the interest of the company. Further, the Board also noted that Ram Singh is director in a company which is a competitor company of Alexandra India Ltd. The Articles of Association of Alexandra India Ltd. permits expulsion of members. The Board unanimously decided to expel Ram Singh from the company. Discuss the relevant provisions of Companies Act, 2013 in this regard, if Ram Singh files a case against the Board whether he will win the case?

[Dec. 2019 (5 Marks)]

4. Analyze the eligibility of a minor to become member of the company and other issues incidental thereto in the following scenarios:

Minor becoming member by agreement signed by him.

Minor becoming member by allotment or transfer of fully paid-up shares through guardian.

Minor becoming member by transfer of partly paid-up shares and liability of future calls thereon.

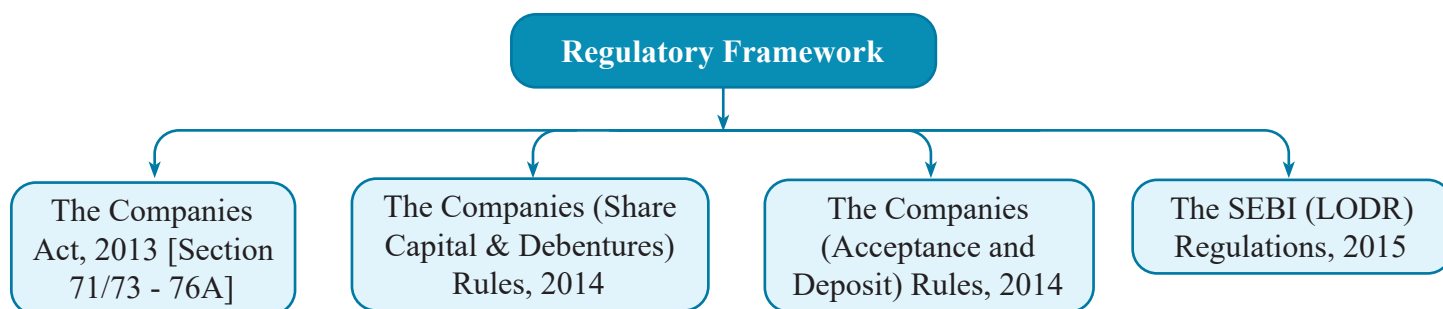
Restoration of dividend to the company, if he repudiates the agreement of membership on attaining majority.

[Dec. 2023 (5 Marks)]

5. Global services limited is planning to issue its equity shares through private placement to some of the persons residing outside India. There is a provision in the Articles of Association of the company for issuing equity shares to the foreigners through private placement. Board in its meeting approved the resolution allotting 10,000 shares to A and B who reside outside India. You are requested to elucidate the compliance requirement of the following referring to the provisions of the Companies Act, 2013:

- (i) Maintenance of foreign register of members?
- (ii) Option available if any, to discontinue the maintenance of foreign register of members.

[June 2024 (3 Marks)]

DEBT INSTRUMENTS –
CONCEPTS

PART A

1. BORROWING POWERS OF COMPANY AND DEBT CAPITAL

BORROWINGS - "THE ACT OF ONE WHO BORROWS"

- ◆ In simple language, borrowing can be defined as to obtain or receive money on loan with the promise or understanding that it will be repaid.
- ◆ Borrowing is a mechanism used whereby the money is arranged through external resources with an implied or expressed intention of returning money.

What is Loan?

- ◆ A loan is a sum of money that one or more individuals or companies borrow from banks or other financial institutions so as to financially manage planned or unplanned events.
- ◆ In doing so, the borrower incurs a debt, which he has to pay back with interest and within a given period of time.
- ◆ When a lender gives money to an individual or entity with a certain guarantee or based on trust that the recipient will repay the borrowed money with certain added benefits, such as an interest rate, the process is called lending or taking a loan.

1.1 DEBTS VS. LOANS

- ◆ *Loan and debt are terms often used interchangeably* due to the reason that they both primarily mean borrowing money. However, there is a small difference between the two.
- ◆ *A loan is money borrowed from a lender.* The lender can be a bank or a financial institution. Moreover, a loan is more structured in terms of payment, and the principal amount is paid back to the borrower in installments over a period of time.
- ◆ The term *debt connotes that debt is the money that the company raises through the issuance of bonds and debentures.* Governments, companies, trusts, or corporations can issue bonds and debentures to fund their business, and the lender, in this case, will be the investor. The investor will receive interest payment regularly until the bond or debenture matures. Also, upon maturity, the investor gets back the entire principal amount in a lump sum.

2. POWERS & RESTRICTIONS OF BOARD U/S 179 AND 180 OF THE COMPANIES ACT, 2013

While section 179 of the Companies Act deals with the Powers of Board and section 180 of the Companies Act, 2013 deals with restrictions on Powers of Board.

- ◆ Borrowings being an external source of raising money, a company cannot borrow money until it is so authorized by its memorandum.
- ◆ Under **Section 179 of the Companies Act, 2013**, the Board of Directors of a company are entitled to **exercise its power to borrow monies subject to the** provisions contained in the Act and as contained in the memorandum or articles of association of the Company or in any regulations not inconsistent therewith, by passing a resolution at duly convened meeting of Board of Directors of the Company.
- ◆ In terms of **First proviso to section 179(3)** of the Companies Act, 2013 the Board may, by a resolution passed at a meeting **may delegate the power to borrow monies to any committee of Director the managing director, the manager or any** other principal officer of the company or in the case of a branch office of the company, the principal officer of the branch office.
- ◆ **Section 180(1) of the Companies Act, 2013 states that the Board of Directors of a company shall exercise the powers conferred under this section only with the consent of the company by a special resolution.**
- ◆ The power conferred under **section 180(1)(c)** talks about “**to borrow money**, where the money to be borrowed, together with the money already borrowed by the company will exceed aggregate of its paid-up share capital and free reserves and securities premium, apart from temporary loans obtained from the company’s bankers in the ordinary course of business unless they have received the prior sanction of the company by a special resolution in general meeting.”

Explanation: “**Temporary loans**” means loans repayable on demand or within six months from the date of the loan such as short-term, cash credit arrangements, the discounting of bills and the issue of other short-term loans of a seasonal character, but does not include loans raised for the purpose of financial expenditure of a capital nature;”

Important

Exemption:

Private companies have been exempted to comply the entire provisions of Section 180 of the Companies Act 2013, as a result special resolution is not required for private companies to borrow monies.

3. UNAUTHORIZED/ULTRA VIRES BORROWINGS

It is a Latin term made up of two words, “**ultra**” which means beyond and “**vires**” meaning power or authority. So, we can say that **anything which is beyond the authority or power is called ultra-vires.**

In the context of the company, we can say that **anything which is done by the company or its directors which is beyond their legal authority or which was outside the scope of the object** of the company is ultra-vires.

A company is authorized to do only that much which is within the scope of the powers provided to it by the memorandum.

A company can also do anything which is incidental to the main objects provided by the memorandum.

Anything which is beyond the objects authorized by the memorandum is an ultra-vires act.

3.1 CONSEQUENCES OF ULTRA-VIRES BORROWINGS

◆ Void ab initio:

The ultra-vires acts are null and void ab initio. These acts are not binding on the company. Neither the company can sue, nor can it be sued for such acts. [*Ashbury Railway Carriage and Iron Company v. Riche*].

◆ Estoppel:

Estoppel or ratification cannot convert an ultra-vires act into an intra-vires act.

◆ **Injunction:**

The lender has been given authority under law to restrain the company for using the money lent. ‘The members can restrain it from doing so by getting an injunction from the court’. [*Attorney General v. Gr. Eastern Rly. Co., (1880) 5 A.C. 473*]

◆ **Subrogation:**

Where the money of an ultra-vires borrowing has been used to pay off lawful debts of the company, he would be subrogated to the position of the creditor paid off and to that extent, would have the right to recover his loan from the company. Subrogation is allowed for the simple reason that when a lawful debt has been paid off with an ultra-vires loan, the total indebtedness of the company remains the same. By subrogating the ultra-vires lender, the Court is able to protect him from loss, while the debt burden of the company is in no way increased.

◆ **Liability of directors:**

In case of ultra-vires borrowing, the lender may be able to sue the directors for breach of warranty of authority, especially if the directors deliberately misrepresented their authority.

3.2 INTRA VIRES BORROWING BUT OUTSIDE THE SCOPE OF AGENTS' AUTHORITY

- ◆ A distinction should always be made between a company's borrowing powers and the authority of the directors to borrow.
- ◆ Where the directors borrowed money beyond their authority but the borrowing is not ultra-vires of the company, such borrowing is called intra-vires borrowing but outside the Scope of the Agents' Authority.
- ◆ The company will be liable to such borrowing if the borrowing is within the directors' ostensible authority and the lender acted in good faith or if the transaction was ratified by the company.
- ◆ A third-party who deals with an agent knowing that the agent is exceeding his authority has no right of action against the principal.
- ◆ Bearing in mind that the memorandum and articles are public documents, the contents of which the third-party is deemed to know, he will obviously have no right of action against the company if the agent's lack of authority is obvious from reading them.
- ◆ But a third-party is not affected by secret restrictions on the agent's authority, as the lack of authority is not clear from the public documents and the lender cannot be aware of it from some other source. Therefore, the company will be liable.

4. TYPES OF BORROWINGS

A company uses various kinds of borrowing to finance its operations. The various types of borrowings can generally be categorised into:

○ **Long Term Borrowing**

○ **Short Term Borrowing**

○ **Medium Term Borrowing**

○ **Unsecured Borrowing**

○ **Secured Borrowing**

○ **Syndicated borrowing and Bilateral Borrowing**

○ **Private and Public Borrowing**

1. Long-term Borrowing:

- ☞ Long-term Borrowing means liabilities that represent money borrowed from banks or other lenders to fund the ongoing operations of a business and that will not come due within one year.
- ☞ Funds borrowed *for a period ranging from five years or more* are termed as long-term borrowings.
- ☞ A long-term borrowing is *made for getting a new project financed or for making big capital investment like the purchase of property, plant, equipment, and other fixed assets, etc.*
- ☞ Generally, *long-term borrowing is made against charges on fixed assets* of the company.

2. Short-term Borrowing:

The funds are *borrowed for a short period of up to one year*. It is a *temporary support for business*, and meeting the *working capital needs is the main purpose*. These are borrowings that have to be *paid off within a year*.

3. Medium Term Borrowing:

Where the funds to be borrowed are *for a period ranging from one to five years*, such borrowings are termed as medium-term borrowings. The commercial banks *normally finance the purchase of land, machinery, vehicles, etc.*

4. Secured Borrowing:

A debt obligation is *considered secured if creditors have recourse to the assets of the company* on a proprietary basis or otherwise ahead of general claims against the company.

5. Unsecured Borrowing:

Under this, the debt consists of a financial obligation. *There is no collateral issued against the unsecured borrowings.*

6. Syndicated borrowing:

If a borrower *requires a large or sophisticated borrowing facility*, this is *commonly provided by a group of lenders known as a syndicate under a syndicated loan agreement*. The borrower uses one agreement covering the whole group of banks and different types of facilities rather than entering into a series of separate loans, each with different terms and conditions.

7. Bilateral borrowing:

Refers to a borrowing made by a company from a particular bank/financial institution. In this type of borrowing, there is a *single contract between the company and the lender*.

8. Private borrowing:

Under this, the company takes a loan from a bank or a financial institution. It *consists of bank loan obligations*.

9. Public Borrowing:

Is a general definition covering *all financial instruments that are freely tradable on a public exchange* or over the counter, with few, if any, restrictions i.e., Debentures, Bonds, etc.

5. DEBENTURES & BONDS

- ◆ The word '**debenture**' has been derived from the *Latin* word '**debere**' which means to borrow.
- ◆ A debenture is a written instrument acknowledging a debt.
- ◆ It contains a contract for repayment of principal after a specified period or at intervals or at the option of the company and for payment of interest at a fixed rate payable usually either half-yearly or yearly on fixed dates.

- ◆ For a better understanding of the concept of debentures, one must understand a few terms like, debt instruments, securities (Convertible / Non-convertible) etc. as Debentures are one of the forms of Debt securities.

5.1 DIFFERENCE BETWEEN BONDS AND DEBENTURES

Basis of Difference	Debentures	Bonds
Nature	Debentures are debt financial instruments issued by private/public companies, for raising capital from the investors.	Bonds are debt financial instruments issued by large corporations, financial institutions and government agencies for raising additional funds from the public.
Security	Debentures can be secured as well as unsecured.	Bonds are secured in nature.
Owner	The owner of a debenture is called a debenture holder.	The owner of a bond is called a bondholder.
Collateral	Debentures do not get secured by the collateral or physical assets of the issuing company. Lenders purchase these instruments solely based on the reputation of the issuing company.	Bonds get secured by the collateral or physical assets of the issuing company.
Tenure	Debentures are generally short to medium term investments and their tenure is usually lower than bonds.	Bonds are long term investments and their tenure is generally higher than debentures.
Convertibility	Issuing company can convert only convertible and also partially convertible debentures into shares on the expiry as specified in the clause.	Bonds cannot be converted into equity shares of the company.
Rate of Interest	The debentures carry a fixed or floating interest rate that is generally higher than bonds because they are less stable in terms of repayment, and they are also not backed by collateral.	The bonds carry a fixed or floating interest rate that is generally lower than debentures because they are more stable in terms of repayment, and they get backed by collateral of the issuing company.
Payment Structure	The payment of interest for debentures is done on a periodical basis and depends on the company's performance.	The payment of interest for bonds is on an accrual basis. The issuing company pays this amount on a monthly, half yearly or yearly basis and this payment is not dependent on the performance of a company.

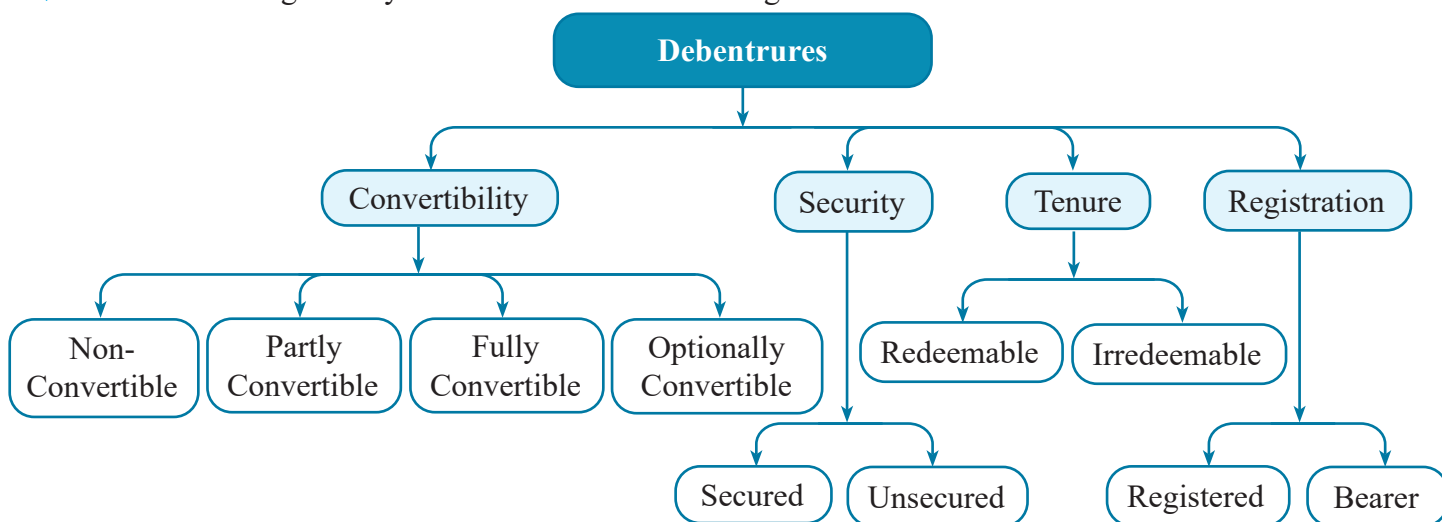
5.2 NATURE OF DEBENTURES

As per Section 44 of the Companies Act 2013, the debentures or other interest of any member in a company shall be movable property transferable in the manner provided by the Articles of Association of the company.

As per the provisions of Section 56, securities will be transferable vide form SH-4. Transferability is governed by the provisions of the Articles of Associations.

5.3 KINDS OF DEBENTURES

- ◆ Debentures are generally classified into different categories:



5.4 PARI PASSU CLAUSE IN CASE OF DEBENTURES

- ◆ Debentures are usually issued in a series with a *pari passu* clause, and it follows that they would be on an equal footing as to security, and should the security be enforced, the amount realised shall be divided pro-rata, i.e., they are to be discharged rateably.
- ◆ In the event of a deficiency of assets, they will abate proportionately.
- ◆ The expression '*pari passu*' implies an equal step, equally treated, at the same rate, or at par with.
- ◆ When it is said that existing debentures shall be issued at *pari passu* clause, it implies that no difference will be made between the old and new debentures.

6. DEBENTURE STOCK

- ◆ A company, instead of issuing debentures, each in respect of a separate and distinct debt, may raise one aggregate loan fund or composite stock known as 'debenture stock'.
- ◆ Accordingly, a debenture stock is a borrowed capital consolidated into one mass for the sake of convenience.
- ◆ Instead of each lender having a separate bond or mortgage, he has a certificate entitling him to a certain sum being a portion of one large loan.
- ◆ It is generally secured by a trust deed.
- ◆ Debenture stock is the indebtedness itself, and the debenture stock certificate furnishes evidence of the title or interest of the holder in the indebtedness.
- ◆ Debenture is a document that furnishes evidence of the debt. Debenture stock must be fully paid, while debenture may or may not be fully paid.

7. ISSUE AND REDEMPTION OF DEBT SECURITIES

- ◆ **Section 71(1)** of the Act states that a company may issue debentures with an option to convert such debentures into shares, either wholly or partly at the time of redemption. Further, the issue of debentures with an option to convert such debentures into shares, wholly or partly, shall be **approved by a special resolution passed at a general meeting**.
- ◆ No company shall issue any debentures carrying any voting rights [**Section 71(2)**].
- ◆ **Section 71(3) read with Rule 18(1)** of Companies (Share Capital and Debentures) Rules, 2014 provides that the secured debentures may be issued only when the following conditions are complied with:

7.1 REDEMPTION CLAUSE

The date of redemption of Secured Debentures *shall not exceed ten years* from the date of issue.

The following classes of Companies may issue secured debentures for a period exceeding 10 years but not exceeding 30 years,

- (i) Companies engaged in setting up of infrastructure projects;
- (ii) Infrastructure Finance Companies as defined in clause (viiia) of sub-direction (1) of direction 2 of Non-Banking Financial (Non-deposit accepting or holding) Companies Prudential Norms (Reserve Bank) Directions, 2007;
- (iii) Infrastructure Debt Fund Non-Banking Financial Companies, as defined in clause (b) of direction 3 of Infrastructure Debt Fund Non-Banking Financial Companies (Reserve Bank) Directions, 2011;
- (iv) Companies permitted by a Ministry or Department of the Central Government, or by the Reserve Bank of India or by the National Housing Bank or by any other statutory authority to issue debentures for a period exceeding ten years.

7.2 APPOINTMENT OF DEBENTURE TRUSTEE & EXECUTION OF DEBENTURE TRUST DEED

The company shall appoint the debenture trustee before the issue of a prospectus or letter of offer for subscription of its debentures and not later than 60 days after the allotment of the debentures, execute a debenture trust deed to protect the interest thereon.

7.3 CREATION OF SECURITY

In terms of **Rule 18(1)(b) of Companies (Share Capital and Debentures) Rules, 2014**, an issue of secured debentures shall be secured by the creation of a charge on the properties or assets of the company or its subsidiaries or its holding company or its associates companies, having a value which is sufficient for the due repayment of the amount of debentures and interest thereon.

In terms of **Rule 18(1)(d) of Companies (Share Capital and Debentures) Rules, 2014**, the security for the debentures by way of charge or mortgage shall be created in favour of the debenture trustee on:

- (i) Any specific movable property of the company or its holding company or subsidiaries, or associate companies, or otherwise;
- (ii) Any specific immovable property, wherever situated, or any interest therein

In case of a **non-banking financial company**, the charge or mortgage as aforesaid may be created on any movable property.

In case of any **issue of debentures by a Government company** which is fully secured by the guarantee given by the Central Government or one or more State Government or by both, the requirement for creation of a charge under **this sub-rule shall not apply**.

In case of any loan taken by a subsidiary company from any bank or financial institution, the charge or mortgage may also be created on the properties or assets of the holding company.

8. CONVERSION OF DEBENTURES INTO SHARES

- ◆ **Section 71(1)** of the Act states that the issue of debentures with an option to convert such debentures into shares, wholly or partly, shall be approved by a special resolution passed at a general meeting.
- ◆ **As per section 71 (1)** of the Companies Act 2013, a company has the power to issue debentures with an option of Conversion of Debentures into Shares wholly or partly.
- ◆ However, the same shall be **approved by a special resolution passed at a general meeting**.

9. DEBENTURE REDEMPTION RESERVE (DRR)

Meaning of DRR:

- ◆ Debenture Redemption Reserve (DRR) is a fund maintained by companies that have issued debentures.
- ◆ Its purpose is to minimize the risk of default on repayment of debentures.
- ◆ The DRR ensures the availability of funds for meeting obligations towards debenture holders on maturity.
- ◆ The DRR involves **two components**:
- ◆ The **first component** is setting aside a portion of the profit. The allocation of profit is done in a process known as 'earmarking of funds'. It ensures that adequate profits are available for repaying the debentures.
- ◆ The **second component** involves an investment of funds. It ensures that the company has enough liquidity to make the repayment.

Purpose and Uniqueness:

Companies which have borrowed money through debentures may, at the time of maturity, not have the funds to make a repayment. To minimize the chances of default, the Government introduced the concept of a Debenture Redemption Reserve. The primary reasons for default on maturity are a lack of profitability and a lack of liquidity. To address both these concerns, the concept of DRR provides for **two requirements**.

- ◆ Annually, a portion of the profit is 'earmarked' for transfer to the DRR. Such an earmarked amount cannot be used until repayment of the debentures is made. The effect of this strategy is that the dividend available to shareholders is reduced.
- ◆ Every year, investments are purchased for an amount equal to the transfer made to the DRR. Only securities approved by the government can be purchased for investments. The investments cannot be sold for any purpose other than meeting the liability toward the debenture holders.

Creation of Debenture Redemption Reserve under Companies Act, 2013 and its Adequacy

Section 71(4) of the Companies Act 2013 states that where debentures are issued by a company, the company shall create a debenture redemption reserve account out of the profits of the company available for payment of dividend and the amount credited to such account shall not be utilized by the company except for the redemption of debentures.

Rule 18(7) of the Companies (Share Capital and Debenture) Rules, 2014 states that the company shall comply with the requirements with regard to Debenture Redemption Reserve (DRR) and investment or deposit of sum in respect of debentures maturing during the year ending on the 31st day of March of next year, in accordance with the conditions given under said Rule.

Rule 18(7)(a) of the Companies (Share Capital and Debenture) Rules, 2014 states that the Debenture Redemption Reserve shall be created out of the profits of the company available for payment of dividend.

Rule 18(7)(b) of the Companies (Share Capital and Debenture) Rules, 2014 states that the limits with respect to adequacy of Debenture Redemption Reserve and investment or deposits, as the case may be, shall be as under:

S. No.	Classes of Company	Condition
1.	All India Financial Institutions (AIFIs) regulated by Reserve Bank of India and Banking Companies	No DRR for debentures issued by for both public as well as privately placed debentures
2.	Financial Institutions (FIs) within the meaning of clause (72) of section 2 of the Companies Act, 2013	DRR shall be as applicable to NBFCs registered with RBI
3.	For NBFCs registered with the RBI under Section 45-IA of the RBI Act, 1934 and Housing finance companies registered with the National Housing Bank:	

3A.	Listed NBFCs and Housing Finance Companies	No DRR required for debentures issued for both public as well as privately placed debentures
3B.	Unlisted NBFCs and Housing Finance Companies	No DRR is required in case of privately placed Debentures
4A.	Listed Companies	No DRR required for debentures issued for both public as well as privately placed debentures
4B.	Unlisted Companies	Adequacy of DRR shall be 10% of the value of outstanding debentures.

Investments/Deposits from DRR

In case of public issue of debentures by Listed Companies including NBFCs registered with Reserve Bank of India under section 45- IA of the RBI Act, 1934 and for Housing Finance Companies registered with National Housing Bank and / or issue of debentures by unlisted companies, (other than All India Financial Institutions and Banking Companies and NBFCs registered with Reserve Bank of India under section 45- IA of the RBI Act, 1934 and for Housing Finance Companies registered with National Housing Bank), such Companies shall on or before the 30th day of April in each year, in respect of debentures issued by such a company, invest or deposit, as the case may be, a sum which shall not be less than fifteen percent., of the amount of its debentures maturing during the year, ending on the 31st day of March of the next year.

Methods of Investments/ Deposits:

- A. In deposits with any scheduled bank, free;
- B. In unencumbered securities of the Central methods of deposits or from any charge or lien; Government or any State Government;
- C. In unencumbered securities mentioned in sub-clause (a) to (d) and (ee) of section 20 of the Indian Trusts Act, 1882;
- D. In unencumbered bonds issued by any other company which is notified under sub-clause (f) of section 20 of the Indian Trusts Act, 1882.

Creation of Debenture Redemption Reserve in case of partly convertible debentures: Debenture Redemption Reserve shall be created in respect of non-convertible portion of debenture issue in accordance with said rule.

Utilization:

The amount invested or deposited as above shall not be used for any purpose other than for the redemption of debentures maturing during the year referred to above. The amount credited to the Debenture Redemption Reserve shall not be utilized by the company except for the purpose of redemption of debentures.

Disclosure in Directors' Report:

The amount which is transferred as Debenture Redemption Reserve is to be disclosed in the Directors' Report.

10. DEBENTURE TRUSTEES & DEBENTURE TRUST DEED

No company shall issue a prospectus or make an offer or invitation to the public or to its members exceeding five hundred for the subscription of its debentures, unless the company has, before such issue or offer, appointed one or more debenture trustees.

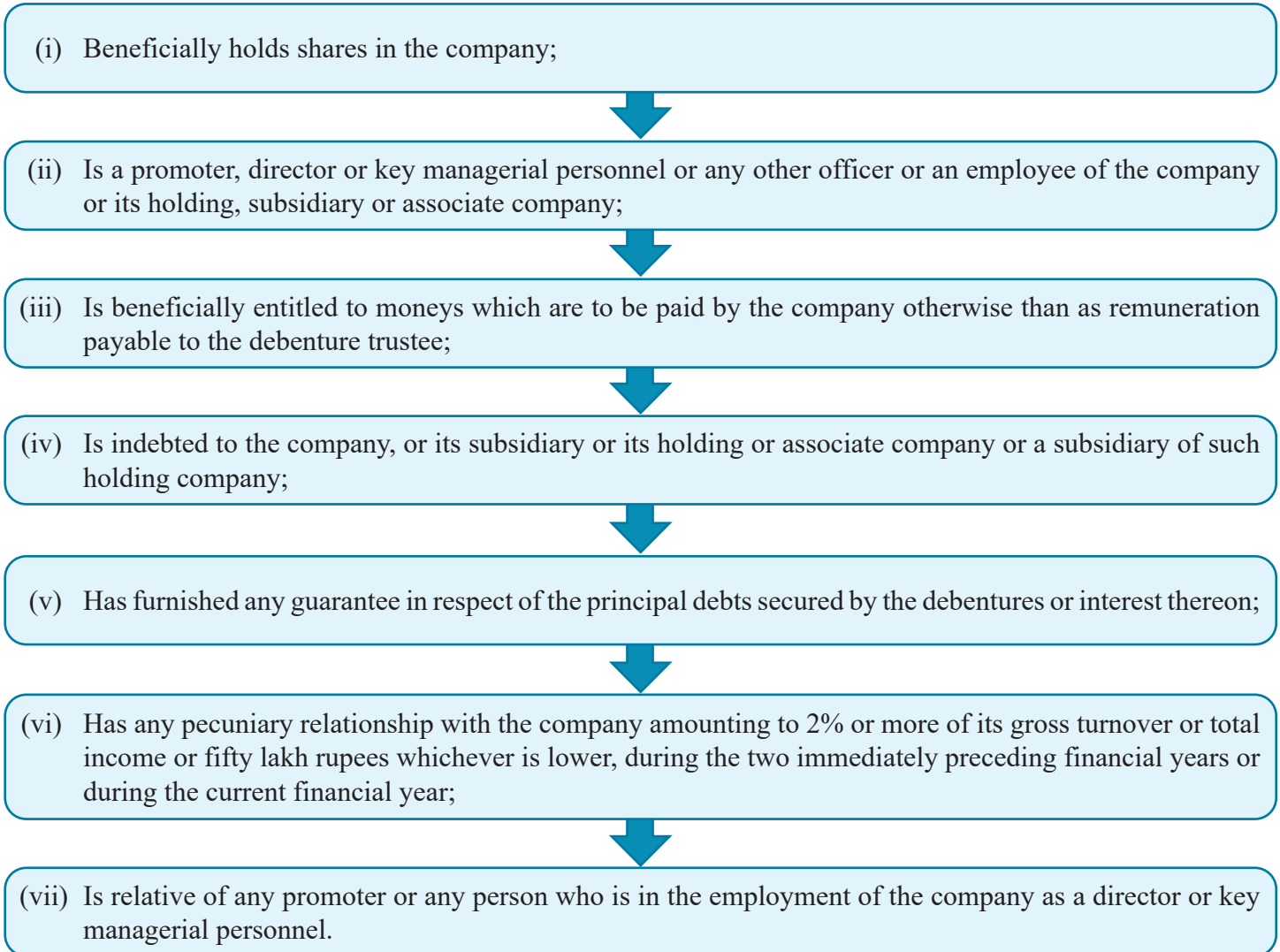
The names of the debenture trustees shall be stated in letter of offer inviting subscription for debentures and also in all the subsequent notices or other communications sent to the debenture holders;

10.1 APPOINTMENT OF DEBENTURE TRUSTEE

The Company shall, before the appointment of a Debenture Trustee or Trustees obtain a written consent from such debenture trustee or trustees proposed to be appointed, and a statement to that effect shall appear in the letter of offer issued for inviting the subscription of the debentures.

The conditions governing the appointment of a Debenture Trustee or Trustees are prescribed under Rule 18(2)(c) of the Companies (Share Capital and Debenture) Rules, 2014.

A person shall not be appointed as a Debenture Trustee, if he-



10.2 CASUAL VACANCY AND REMOVAL

- ◆ In terms of **Rule 18(2)(d)** of the Companies (Share Capital and Debenture) Rules, 2014, the Board may fill any casual vacancy in the office of the trustee, but while any such vacancy continues, the remaining trustee or trustees, if any, may act:
- ◆ Provided that where such vacancy is caused by the resignation of the debenture trustee, the vacancy shall only be filled with the written consent of the majority of the debenture holders.
- ◆ In terms of **Rules 18(2)(e)** of the Companies (Share Capital and Debentures) Rules, 2014, any debenture trustee may be removed from office before the expiry of his term only if it is approved by the holders of ***not less than three fourth in value of the debentures outstanding***, at their meeting.

10.3 DUTIES OF DEBENTURE TRUSTEE

The duties of a debenture trustee or trustees prescribed under Rule 18(3) of the Companies (Share Capital and Debenture) Rules, 2014 is as follows:

(a)	To satisfy himself that the letter of offer does not contain any matter which is inconsistent with the terms of the issue of debentures or with the trust deed;
(b)	To satisfy himself that the covenants in the trust deed are not prejudicial to the interest of the debenture holders;
(c)	To call for periodical status or performance reports from the company;
(d)	To communicate promptly to the debenture holders defaults, if any, with regard to payment of interest or redemption of debentures and action taken by the trustee.
(e)	To appoint a nominee director on the Board of the company in the event of- (i) Two consecutive defaults in payment of interest to the debenture holders; or (ii) Default in creation of security for debentures; or (iii) Default in redemption of debentures.

10.4 MEETINGS OF DEBENTURE HOLDERS

In terms of Rule 18(4) of the Companies (Share Capital and Debenture) Rules, 2014, the meeting of all the debenture holders shall be convened by the debenture trustee on

- Requisition in writing signed by debenture holders holding at least one-tenth in value of the debentures for the time being outstanding;
- The happening of any event, which constitutes a breach, default or which in the opinion of the debenture trustees, affects the interest of the debenture holders.

10.5 DEBENTURE TRUSTEE DEED

- ◆ A debenture trust deed is an instrument that a company executes in favour of a debenture trustee, thereby appointing them and defining their role and duties to protect the interest of debenture holders before debentures are offered for public subscription.
- ◆ No company shall issue a prospectus or make an offer or invitation to the public or to its **members exceeding 500** for the subscription of its debentures, unless the company has, before such issue or offer, appointed one or more debenture trustees and the conditions governing the appointment of such trustees shall be such as may be prescribed under the rule.
- ◆ The company shall **not later than sixty days** after the allotment of the debentures, execute a debenture trust deed to protect the interest thereon.
- ◆ A debenture trust deed shall be in **Form No. SH.12** or as near thereto as possible and shall be executed by the company issuing debentures in favour of the debenture trustees *within three months of closure of the issue or offer*.

Section 71 (8) of the Companies Act 2013 puts an obligation on the company to pay interest and redeem the debentures in accordance with the terms and conditions of their issue.

Trust Deed in Form SH-12 contains the following:



Details of charge created

Description of Debenture issue

Particulars of the appointment of Debenture Trustee

Events of defaults

Obligations of the company

10.6 LIABILITY OF THE DEBENTURE TRUSTEE

The liability of the debenture trustee shall be subject to such exemptions as may be agreed upon by a majority of debenture-holders holding *not less than three-fourths in value of the total debentures* at a meeting held for the purpose.

10.7 POWER OF DEBENTURE TRUSTEE TO FILE PETITION BEFORE THE TRIBUNAL IN EVENT OF INSUFFICIENT ASSETS

In terms of **Section 71(9)** of the Companies Act 2013, where at any time the debenture trustee comes to a conclusion that the assets of the company are insufficient or are likely to become insufficient to discharge the principal amount as and when it becomes due.

The debenture trustee may file a petition before the Tribunal, and the Tribunal may, after hearing the company and any other person interested in the matter, by order, impose such restrictions on the incurring of any further liabilities by the company as the Tribunal may consider necessary in the interests of the debenture-holders.

10.8 POWER OF DEBENTURE HOLDERS TO FILE PETITION BEFORE THE TRIBUNAL

In terms of **Section 71(10)** of the Companies Act 2013, where a company fails to redeem the debentures on the date of their maturity or fails to pay interest on the debentures when it is due, the Tribunal may, on the application of any or all of the debenture-holders, or debenture trustee and, after hearing the parties concerned, direct, by order, the company to redeem the debentures forthwith on payment of principal and interest due thereon.

A contract with the company to take up and pay for any debentures of the company may be enforced by a decree for specific performance.

10.9 RULE 18 OF THE COMPANIES (SHARE CAPITAL AND DEBENTURES) RULES, 2014 NOT TO APPLY UNDER CERTAIN CIRCUMSTANCES

In terms of **Rule 18(9), 18(10) and 18(11) of the Companies (Share Capital and Debentures) Rules, 2014**, *nothing contained above shall apply*;

- ◆ To any amount received by a company against the issue of commercial paper or any other similar instrument issued in accordance with the guidelines or regulations or notification issued by the Reserve Bank of India.
- ◆ In case of any offer of foreign currency convertible bonds or foreign currency bonds issued in accordance with the Foreign Currency Convertible Bonds and Ordinary Shares (Through Depository Receipt Mechanism) Scheme, 1993 or regulations or directions issued by the Reserve Bank of India, the provisions of this rule shall not apply unless otherwise provided in such Scheme or regulations or directions.
- ◆ To rupee-denominated bonds issued exclusively to overseas investors in terms of A.P. (DIR Series) Circular No. 17 dated September 29, 2015 of the Reserve Bank of India.”

11. OVERVIEW OF COMPANY DEPOSITS

Companies have always been attracted towards financing through deposits and, at times, problems have arisen in the context of such deposits.

In order to control the malpractices, the Companies Act, 2013 has introduced strict provisions under the deposit regime. **Sections 73 to 76A** of the Companies Act 2013 read with the **Companies (Acceptance of Deposits) Rules, 2014** made under Chapter V of the Companies Act, 2013 regulate the receipt of money not to be considered as deposit, invitation, acceptance and repayment of deposits by Companies.

The **Deposits Rules provide an exhaustive definition of deposits**, which is exclusionary in nature and excludes certain amounts received by a company, from the ambit of deposits.

11.1 MEANING OF DEPOSITS

Section 2(31) of the Companies Act, 2013 read with Rule 2(1)(c) of Companies (Acceptance of Deposits) Rules, 2014, ‘deposit’ includes *any receipt of money by way of deposit or loan or in any other form by a company, but does not include the followings-*

(i)	Any amount received from the Central Government or a State Government , or any amount received from any other source whose repayment is guaranteed by the Central Government or a State Government or any amount received from a local authority, or any amount received from a statutory authority constituted under an Act of Parliament or a State Legislature;
(ii)	Any amount received from foreign Governments , foreign or international banks, multilateral financial institutions (including, but not limited to, international Finance Corporation, Asian Development Bank, Commonwealth Development Corporation and International Bank for Industrial and Financial Reconstruction), foreign Governments owned development financial institutions, foreign export credit agencies, foreign collaborators, foreign bodies corporate and foreign citizens, foreign authorities or persons resident outside India subject to the provisions of Foreign Exchange Management Act, 1999 and rules and regulations made there under;
(iii)	Any amount received as a loan or facility from any banking company or from the State Bank of India or any of its subsidiary banks or from a banking institution notified by the Central Government under section 51 of the Banking Regulation Act, 1949, or a corresponding new bank as defined in clause (d) of section 2 of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 or in clause (b) of section (2) of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1980, or from a co-operative bank as defined in clause (b-ii) of section 2 of the Reserve Bank of India Act, 1934;
(iv)	Any amount received as a loan or financial assistance from Public Financial Institutions notified by the Central Government in this behalf in consultation with the Reserve Bank of India or any regional financial institutions or Insurance Companies or Scheduled Banks as defined in the Reserve Bank of India Act, 1934;
(v)	Any amount received against issue of commercial paper or any other instruments issued in accordance with the guidelines or notification issued by the Reserve Bank of India;
(vi)	Any amount received by a company from any other company;
(vii)	Any amount received and held pursuant to an offer made in accordance with the provisions of the Act towards subscription to any securities, including share application money or advance towards allotment of securities pending allotment , so long as such amount is appropriated only against the amount due on allotment of the securities applied for;

	(a) If the securities for which application money or advance for such securities was received cannot be allotted <i>within 60 days</i> from the date of receipt of the application money or advance for such securities and such application money or advance is not refunded to the subscribers within <i>15 days from the date of completion of 60 days</i>, such amount shall be treated as a deposit under these rules. (b) Any adjustment of the amount for any other purpose shall not be treated as refund.
(viii)	Any amount received from a person who, at the time of the receipt of the amount, was a director of the company or a relative of the director of the Private company: Provided that the director of the company or relative of the director of the private company, as the case may be, from whom money is received, furnishes to the company at the time of giving the money, a declaration in writing to the effect that the amount is not being given out of funds acquired by him by borrowing or accepting loans or deposits from others and the company shall disclose the details of money so accepted in the Board's report;
(ix)	Any amount raised by the issue of bonds or debentures secured by a first charge or a charge ranking pari passu with the first charge on any assets referred to in Schedule III of the Act excluding intangible assets of the company or bonds or debentures compulsorily convertible into shares of the company within Ten years. Provided that if such bonds or debentures are secured by the charge of any assets referred to in Schedule III of the Act, excluding intangible assets, the amount of such bonds or debentures shall not exceed the market value of such assets as assessed by a registered valuer.
(ix)(a)	Any amount raised by issue of non-convertible debenture not constituting a charge on the assets of the company and listed on a recognized stock exchange as per applicable regulations made by Securities and Exchange Board of India;
(x)	Any amount received from an employee of the company not exceeding his annual salary under a contract of employment with the company in the nature of non-interest bearing security deposit;
(xi)	Any non-interest bearing amount received and held in trust;
(xii)	Any amount received in the course of, or for the purposes of, the business of the company, (a) as an advance for the supply of goods or provision of services accounted for in any manner whatsoever provided that such advance is appropriated against supply of goods or provision of services <i>within a period of three hundred and sixty five days</i> from the date of acceptance of such advance, Provided that in case of any advance which is subject matter of any legal proceedings before any court of law, the said time limit of <i>three hundred and sixty five days shall not apply</i>; (b) As advance, accounted for in any manner whatsoever, received in connection with [consideration for an immovable property] under an agreement or arrangement, provided that such advance is adjusted [against such property] in accordance with the terms of agreement or arrangement; (c) As security deposit for the performance of the contract for supply of goods or provision of services; (d) As advance received under long term projects for supply of capital goods except those covered under item (b) above; (e) As an advance towards consideration for providing future services in the form of a warranty or maintenance contract as per written agreement or arrangement, if the period for providing such services does <i>not exceed the period prevalent as per common business practice or five years</i>, from the date of acceptance of such service whichever is less; (f) As an advance received and as allowed by any sectoral regulator or in accordance with directions of Central or State Government; (g) As an advance for subscription towards publication, whether in print or in electronic to be adjusted against receipt of such publications.

	If the amount received under (a) (b) and (d) above becomes refundable (with or without interest) because the company accepting the money does not have necessary permission or approval, wherever required, to deal in the goods or properties or services for which the money is taken, then the amount received shall be deemed to be a Deposit under these rules. Explanation: For the purpose of sub-clause the amount shall be deemed to be deposits on the expiry of 15 days from the date they become due for refund.
(xiii)	Any amount brought in by the promoters of the company by way of unsecured loan in pursuance of the stipulation of any lending financial institution or a bank subject to fulfillment of the following conditions, namely: (a) The loan is brought in pursuance of the stipulation imposed by the lending institutions on the promoters to contribute such finance; (b) The loan is provided by the promoters themselves or by their relatives or by both; and (c) The exemption under this sub-clause shall be available only till the loans of financial institutions or banks are repaid and not thereafter.
(xiv)	Any amount accepted by a Nidhi company in accordance with the rules made under section 406 of the Act. Explanation- For the purposes of this clause, any amount. (a) Received by the company, whether in the form of instalments or otherwise, from a person with promise or offer to give returns, in cash or in kind, on completion of the period specified in the promise or offer, or earlier, accounted for in any manner whatsoever, or (b) Any additional contributions, over and above the amount under item (a) above, made by the company as part of such promise or offer, shall be considered as deposits unless specifically excluded under this clause.
(xv)	Any amount received by way of subscription in respect of a chit under the Chit Fund Act, 1982
(xvi)	Any amount received by the company under any collective investment scheme in compliance with regulations framed by the Securities and Exchange Board of India.
(xvii)	An amount of twenty-five lakh rupees or more received by a start-up company, by way of a convertible note (convertible into equity shares or repayable within a period not exceeding ten years from the date of issue) in a single tranche, from a person.
(xviii)	Any amount received by a company from Alternate Investment Funds , Domestic Venture Capital Funds, “Infrastructure Investment Trusts”, “Real Estate Investment Trusts” and Mutual Funds registered with the Securities and Exchange Board of India in accordance with regulations made by it.

Important

Meaning of depositor:

In terms of **Rule 2(1)(d)** of the Companies (Acceptance of Deposits) Rules 2014 ‘Depositor’ means

- ◆ Any member of the company who has made a deposit with the company in accordance with section 73(2) of the Act; or
- ◆ Any person who has made a deposit with a public company in accordance with section 76 of the Act.

12. MEANING OF ELIGIBLE COMPANY

‘Eligible Company’ means a public company as referred to in sub-section (1) of Section 76, having:

- ◆ A **net worth of not less than one hundred crore rupees**; or
- ◆ A **turnover of not less than five hundred crore rupees**; and

- ◆ Which has ***obtained the prior consent of the company in general meeting by means of a special resolution*** and also filed the said resolution with the ***Registrar of Companies*** before making any invitation to the public for acceptance of deposits.
- ◆ However, an eligible company, which is ***accepting deposits within the limits specified under clause (c) of sub-section (1) of section 180, may accept deposits by means of an ordinary resolution.***

Prohibition on Acceptance of Deposits from public

In terms of **Section 73(1)** of the Companies Act, 2013, on and after the commencement of this Act, no company shall invite, accept or renew deposits under the Companies Act, 2013 from the public except in a manner provided under Chapter V of the Act.

13. COMPANIES EXEMPTED FROM SEC. 73 OF THE COMPANIES ACT 2013

The provisions under **Sections 73 to 76** of the Companies Act 2013 and Rule 1 of the Companies (Acceptance of Deposits) Rules, 2014 shall apply to all companies except –

A banking company;

A non-banking financial company as defined in the Reserve Bank of India Act, 1934;

A housing finance company registered with the National Housing Bank established under the National Housing Bank Act, 1987; and

Such other company as the Central Government may, after consultation with the Reserve Bank of India, specify in this behalf. [Section 73(1) read with Rule 1(3)].

14. TERMS AND CONDITIONS FOR ACCEPTANCE OF DEPOSITS FROM ITS MEMBERS - SECTION 73(2)

A company may, subject to the **passing of a resolution in general meeting** and subject to such rules as may be prescribed in consultation with the Reserve Bank of India, **accept deposits from its members on such terms and conditions**, including the provision of security, if any, or for the repayment of such deposits with interest, as may be agreed upon between the company and its members, subject to the fulfilment of the following conditions, namely:

- Issuance of a circular to its members** including therein a statement showing the financial position of the Company, ***the credit rating obtained***, the total number of depositors and the amount due towards deposits in respect of any previous deposits accepted by the Company and such other particulars in **Form DPT 1** and in such manner prescribed under Rule 4 of the Companies (Acceptance of Deposits) Rules 2014;
- Filing a copy of the circular along with such statement with the Registrar ***within 30 days*** before the date of issue of the circular;
- Depositing on or before the 30th day of April each year***, such sum which shall ***not be less than 20% of the amount of deposits maturing during the following financial year*** and kept in a scheduled bank in a separate bank account to be called **deposit repayment reserve account**;
- Certifying that the **company has not committed any default in the repayment of deposits accepted** either before or after the commencement of this Act or payment of interest on such deposits and where a default has occurred, the company made good the default and a ***period of five years had elapsed*** since the date of making good the default; and
- Providing security, if any for the due repayment of the amount of deposit or the interest thereon including the creation of such charge on the property or assets of the company.

It is to be noted that where a company does not secure the deposits or secures such deposits partially, then, the deposits shall be termed as “unsecured deposits” and shall be quoted in every circular, form, advertisement or in any document related to invitation or acceptance of deposits.

Important

In case of Specified IFSC Public Company - Clauses (a) to (e) of subsection (2) of section 73 Shall not apply to a Specified IFSC public company which accepts from its members, monies **not exceeding one hundred per cent.** of aggregate of the paid-up share capital and free reserves, and such company shall file the details of monies so accepted to the Registrar in such manner as may be specified-

As per Notification dated 13th June, 2017

Clause (a) to (e) of Sub-section 2 of Section 73 shall not apply to private Companies:

Which accepts from its members monies not exceeding one hundred per cent. of aggregate of the paid-up share capital, free reserves and securities premium account; or

Which is a start-up, for five years from the date of its incorporation; or

Which fulfils all of the following conditions, namely:

Which is not an associate or a subsidiary company of any other company;

If the borrowings of such a company from banks or financial institutions or anybody corporate is less than twice of its paid-up share capital or fifty crore rupees, whichever is lower; and

Such a company has not defaulted in the repayment of such borrowings subsisting at the time of accepting deposits under this section:

Provided that the company referred to in clauses (A), (B) or (C) shall file the details of monies accepted to the Registrar in such manner as may be specified.”

15. ACCEPTANCE OF DEPOSITS BASED ON TIME PERIOD - RULE 3 OF THE COMPANIES (ACCEPTANCE OF DEPOSITS) RULES 2014

No company referred to in *section 73 (2)* and *no eligible company shall accept or renew any deposit*, whether secured or unsecured, which is repayable on demand or upon receiving a notice within a period of **less than six months or more than thirty-six months** from the date of acceptance or renewal of such deposit.

However, a company may, for the purpose of meeting any of its *short-term requirements of funds*, accept or renew such deposits for **repayment earlier than six months from the date of deposit** or renewal, as the case may be, subject to the condition that-

- ◆ Such deposits shall **not exceed ten per cent.** of the aggregate of the Paid-up share capital, free Reserves and securities premium account of the company, and
- ◆ Such deposits are **repayable not earlier than three months** from the date of such deposits or renewal thereof.

Can deposits be accepted in joint names?

Where depositors so desire, deposits may be accepted in joint names **not exceeding three**, with or without any of the clauses, namely, “Jointly”, “Either or Survivor”, “First named or Survivor”, “Anyone or Survivor”.

16. ACCEPTANCE LIMITS FOR DEPOSITS

- ◆ *No company u/s section 73(2)* shall accept or renew any deposit from its members, if the amount of such deposits together with the amount of other deposits outstanding as on the date of acceptance or renewal of such deposits **exceeds thirty-five per cent of the aggregate of the Paid-up share capital, free Reserves and securities premium account** of the company.

- ◆ **No eligible company shall accept** or renew any deposit from its members, if the amount of such deposit together with the amount of deposits outstanding as on the date of acceptance or renewal of such deposits *from members exceeds ten per cent. of the aggregate of the Paid-up share capital, free Reserves and securities premium account* of the company.
- ◆ **No eligible company shall accept** or renew any other deposit, if the amount of such deposit together with the amount of such other deposits, other than the deposit referred above, outstanding on the date of acceptance or renewal *exceeds twenty-five per cent. of aggregate of the Paid-up share capital, free Reserves and securities premium account* of the company.
- ◆ **No Government company eligible to accept deposits under section 76 shall** accept or renew any deposit, if the amount of such deposits together with the amount of other deposits outstanding as on the date of acceptance or renewal *exceeds thirty-five per cent. of the aggregate of its Paid-up share capital, free Reserves and securities premium account* of the company.

16.1 MAXIMUM LIMIT OF DEPOSITS TO BE ACCEPTED

Type of company	Members	Public
Eligible Company	Up to 10% of aggregate of the paid-up share capital, free reserves and securities premium account.	Up to 25% of aggregate of the paid-up share capital, free reserves and securities premium account
Company referred in section 73(2) i.e. Non-eligible Companies	Up to 35% of aggregate of the paid-up share capital, free reserves and securities premium account.	Prohibited
Government Company (eligible under section 76)	—	Up to 35% of the aggregate of the paid-up share capital, free reserves and securities premium account.

Exemptions to Specified IFSC Public company and Private Company

A Specified IFSC Public company and a private company may accept from its members monies **not exceeding one hundred per cent.** of aggregate of the paid-up share capital, free reserves and securities premium account and such company shall file the details of monies so accepted to the Registrar in **Form DPT-3**.

Other Important Provisions

1. Rate of interest of deposits/payment of brokerage –Rule 3(6)

- ☛ No company referred to in sub-section (2) of section 73 or any eligible company shall invite or accept or renew any deposit in any form, carrying a rate of interest or pay brokerage thereon at a rate exceeding the maximum rate of interest or brokerage prescribed by the Reserve Bank of India for acceptance of deposits by non-banking financial companies.

2. Rights to alter terms & conditions-Rule 3(7)

- ☛ The company shall not reserve to itself either directly or indirectly a right to alter, to the prejudice or disadvantage of the depositor, any of the terms and conditions of the deposit, deposit trust deed and deposit insurance contract after circular or circular in the form of advertisement is issued and deposits are accepted.

3. Credit Rating-Rule 3(8)

- ☛ Every eligible company shall obtain, **at least once in a year**, credit rating for deposits accepted by it and a copy of the rating shall be sent to the Registrar of Companies along with the return of deposits in **Form DPT-3**.
- ☛ The credit rating referred to in clause (a) shall not be below the **minimum investment grade rating** or other specified credit rating for fixed deposits, from any one of the approved credit rating agencies as specified for Non-Banking Financial Companies in the Non-Banking Financial Companies Acceptance of Public Deposits (Reserve Bank) Directions, 1998, issued by the Reserve Bank of India, as amended from time to time.

17. ACCEPTANCE OF DEPOSITS FROM PUBLIC BY CERTAIN COMPANIES - SECTION 76

Section 76(1) states that notwithstanding anything contained in section 73, a public company, (Eligible Company) having:

- ♦ **Net worth of not less than one hundred crore rupees, or**
- ♦ **Turnover not less than five hundred crore rupees,**

May accept deposits from persons other than its members subject to compliance with the requirements provided in sub-section (2) of section 73 and subject to such rules as the Central Government may, in consultation with the Reserve Bank of India, prescribe.

Provided that such a company shall be required to obtain the rating (including its net worth, liquidity and ability to pay its deposits on due date) from a recognized credit rating agency for informing the public the rating given to the company at the time of invitation of deposits from the public which ensures adequate safety and the rating shall be obtained for every year during the tenure of deposits.

Provided further that every company accepting secured deposits from the public shall within thirty days of such acceptance, create a charge on its assets of an amount not less than the amount of deposits accepted in favour of the deposit holders in accordance with such rules as may be prescribed.

18. PUNISHMENT U/S 76A FOR CONTRAVENTION OF SECTION 73 OR SECTION 76

Where a company accepts or invites or allows or causes any other person to accept or invite on its behalf any deposit in contravention of the manner or the conditions prescribed under **section 73 or section 76** or rules made thereunder or if a company fails to repay the deposit or part thereof or any interest due thereon within the time specified under section 73 or section 76 or rules made thereunder or such further time as may be allowed by the Tribunal under section 73-

Company	In addition to the payment of the amount of deposit or part thereof and the interest due, be punishable with fine which shall not be less than Rs. 1 Crore or twice the amount of deposit accepted by the company, whichever is lower rupees but which may extend to Rs. 10 Crores; and
Officer of the company who is in default	Imprisonment which may extend to 7 years and with fine which shall not be less than Rs. 25 Lakhs but which may extend to Rs. 2 Crores.

Provided that if it is proved that the officer of the company who is in default, has contravened such provisions knowingly or wilfully with the intention to deceive the company or its shareholders or depositors or creditors or tax authorities, he shall be liable for action under section 447.

19. TRUSTEE FOR DEPOSITORS

Rule 7 of the Companies (Acceptance of Deposits) Rules, 2014 is discussed below:

19.1 APPOINTMENT OF TRUSTEE FOR DEPOSITORS

- ◆ No company referred to in *sub-section (2) of section 73* or any eligible company shall issue a circular or advertisement inviting secured deposits unless the company has appointed ***one or more trustees*** for depositors for creating security for the deposits:
- ◆ A ***written consent shall be obtained*** from the trustee for depositors before their appointment and a statement shall appear in the circular or circular in the form of advertisement with reasonable prominence to the effect that the trustees for depositors have given their consent to the company to be so appointed.
- ◆ The company shall ***execute a deposit trust deed in Form DPT-2 at least seven days before*** issuing the circular or circular in the form of advertisement.

19.2 PERSONS WHO CANNOT BE APPOINTED AS DEPOSIT TRUSTEES

No person including a company that is in the business of providing trusteeship services shall be appointed as a trustee for the depositors, if the proposed trustee-

- (a) Is a director, key managerial personnel or any other officer or an employee of the company or of its holding, subsidiary or associate company or a depositor in the company;
- (b) Is indebted to the company, or its subsidiary or its holding or associate company or a subsidiary of such holding company;
- (c) Has any material pecuniary relationship with the company;
- (d) Has entered into any guarantee arrangement in respect of principal debts secured by the deposits or interest thereon;
- (e) Is related to any person specified in clause (a) above.

19.3 REMOVAL OF DEPOSIT TRUSTEES

No trustee for depositors shall be removed from office after the issue of circular or advertisement and before the expiry of his term, ***except with the consent of all the directors present at a meeting of the Board.***

Provided that in case the company is required to have independent directors, ***at least one independent director shall be present in such meeting of the Board.***

19.4 DUTIES OF TRUSTEES FOR DEPOSITORS

Rule 8 of the Companies (Acceptance of Deposits) Rules, 2014

To ensure that the assets of the company on which charge is created together with the amount of deposit insurance are sufficient to cover the repayment of the principal amount of secured deposits outstanding and interest accrued thereon

To satisfy himself that the circular or advertisement inviting deposits does not contain any information which is inconsistent with the terms of the deposit scheme or with the trust deed and is in compliance with the rules and provisions of the Act

To ensure that the company does not commit any breach of covenants and provisions of the trust deed

To take such reasonable steps as may be necessary to procure a remedy for any breach of covenants of the trust deed or the terms of invitation of deposits

To take steps to call a meeting of the holders of deposits as and when such meeting is required to be held

To supervise the implementation of the conditions regarding creation of security for deposits and the terms of deposit insurance

To do such acts as are necessary in the event the security becomes enforceable and carry out such acts as are necessary for the protection of the interest of depositors and to resolve their grievances

19.5 MEETING OF DEPOSITORS

Rule 9 of the Companies (Acceptance of Deposits) Rules, 2014

The trustee for depositors shall call a meeting of all the depositors on-

- ◆ Requisition in writing signed by at least one-tenth of the depositors in value for the time being outstanding;
- ◆ The **happening of any event**, which constitutes a default or which, in the opinion of the trustee for depositors, affects the interest of the depositors.

20. FORM OF APPLICATION FOR DEPOSITS

Rule 10 of the Companies (Acceptance of Deposits) Rules, 2014

- (a) On and from the commencement of these rules, no company shall accept, or renew any deposit, whether secured or unsecured, unless an application, in such form as specified by the company, is submitted by the intending depositor for the acceptance of such deposit.
- (b) The form of application, shall contain a declaration by the intending depositor to the effect that the deposit is not being made out of any money borrowed by him from any other person.

21. POWER TO NOMINATE

Rule 11 of the Companies (Acceptance of Deposits) Rules, 2014

Every depositor may, at any time, nominate any person to whom his deposits shall vest in the *event of his death* and the provisions of *section 72* shall, as far as may be, apply to the nomination made under this rule.

22. FURNISHING OF DEPOSIT RECEIPTS TO DEPOSITORS

Rule 12 of the Companies (Acceptance of Deposits) Rules, 2014

- (a) Every company shall, on the acceptance or renewal of a deposit, furnish to the depositor or his agent a receipt for the amount received by the company, *within a period of twenty-one days* from the date of receipt of money or realization of cheque or date of renewal.
- (b) The receipt referred to in sub-rule (1) shall be *signed by an officer of the company duly authorized by the Board* in this behalf and shall state the date of deposit, the name and address of the depositor, the amount received by the company as deposit, the rate of interest payable thereon and the date on which the deposit is repayable.

23. MAINTENANCE OF LIQUID ASSETS AND CREATION OF DEPOSIT REPAYMENT RESERVE ACCOUNT

Rule 13 of the Companies (Acceptance of Deposits) Rules, 2014

Every company referred to in sub-section (2) of *section 73* and *every eligible company shall on or before the 30th day of April of each year deposit the sum as specified in clause (c) of the said sub-section with any scheduled bank and the amount so deposited shall not be utilized for any purpose other than for the repayment of deposits:*

Provided that the amount remaining deposited shall *not at any time fall below 20% of the amount of deposits maturing during the financial year.*

24. REGISTERS OF DEPOSITS

Rule 14 of the Companies (Acceptance of Deposits) Rules, 2014

- (a) Every company accepting deposits shall maintain at its registered office one or more separate registers for deposits accepted or renewed, in which there shall be entered separately in the case of each depositor the following particulars, namely:

Name, address and PAN of the depositor/s;
Particulars of guardian, in case of a minor;
Particulars of the nominee;
Deposit receipt number;
Date and the amount of each deposit;
Duration of the deposit and the date on which each deposit is repayable;
Rate of interest or such deposits to be payable to the depositor;
Due date for payment of interest;
Mandate and instructions for payment of interest and for non-deduction of tax at source, if any;
Date or dates on which the payment of interest shall be made;
Particulars of security or charge created for repayment of deposits;
Any other relevant particulars

- (b) The entries specified, shall be made within seven days from the date of issuance of the receipt, duly authenticated by a director or secretary of the company or by any other officer authorized by the Board for this purpose.

(c) **Preservation of Registers-**

The register referred to in sub-rule (1) shall be preserved in good order for a period of not less than eight years from the financial year in which the latest entry is made in the register.

25. GENERAL PROVISIONS REGARDING PREMATURE REPAYMENT OF DEPOSITS

Rule 15 of the Companies (Acceptance of Deposits) Rules, 2014

Where a company makes a repayment of deposits, on the request of the depositor, after *the expiry of a period of six months* from the date of such deposit but before the expiry of the period for which such deposit was accepted,

the rate of interest payable on such deposit shall be reduced by one per cent. from the rate which the company would have paid had the deposit been accepted for the period for which such deposit had actually run, and the company shall not pay interest at any rate higher than the rate so reduced:

Provided that nothing contained in this rule shall apply to the repayment of any deposit before the expiry of the period for which such deposit was accepted by the company, if such repayment is made solely for the purpose of

- (a) Complying with the provisions of rule 3; or
- (b) Providing war risk or other related benefits to the personnel of the naval, military or air forces or to their families, on an application made by the associations or societies formed by such personnel, during the period of emergency declared under Article 352 of the Constitution:

Premature Closure of Deposit to Earn a Higher Rate of Interest:

In case a depositor desires to avail higher rate of interest by renewing the deposit before its actual maturity date, the company shall pay him the higher rate of interest only if the deposit is renewed for a period longer than the unexpired period of deposit.

Explanation:

For the purposes of this rule, where the period for which the deposit had run contains any part of a Concepts year, then, if such part is **less than six months**, it shall be excluded and if such part is **six months or more**, it shall be reckoned as one year.

26. RETURN OF DEPOSITS TO BE FILED WITH THE REGISTRAR

Rule 16 of the Companies (Acceptance of Deposits) Rules, 2014

Every company to which these rules apply, shall **on or before the 30th day of June**, of every year, file with the Registrar, a return in **Form DPT-3** along with the fee as provided in Companies (Registration Offices and Fees) Rules, 2014 and furnish the information contained therein as on the 31st day of March of that year duly **audited by the auditor of the company** and declaration to that effect shall be submitted by the auditor in Form DPT-3.

Explanation

It is hereby clarified that **Form DPT-3 shall be used for filing return of deposit** or particulars of transaction not considered as deposit or both by every company other than Government company.

27. DISCLOSURES IN THE FINANCIAL STATEMENT

Rule 16A of the Companies (Acceptance of Deposits) Rules, 2014

- (a) ***Every company, other than a private company***, shall disclose in its financial statement, by way of notes, about the money received from the director.
- (b) ***Every private company shall disclose in its financial statement***, by way of notes, about the money received from the directors, or relatives of directors.”
- (c) ***Every company other than Government company*** shall file a onetime return of outstanding receipt of money or loan by a company but not considered as deposits, in terms of clause (c) of sub-rule 1 of rule 2 from the 01st April, 2014 to 31st March 2019, as specified in Form DPT-3 within ninety days from 31st March, 2019 along with fee as provided in the Companies (Registration Offices and Fees) Rules, 2014.

28. PENAL RATE OF INTEREST

Rule 17 of the Companies (Acceptance of Deposits) Rules, 2014

Every company shall pay a penal **rate of interest of 18% per annum** for the overdue period in case of deposits, whether secured or unsecured, matured and claimed but remaining unpaid.



29. PUNISHMENT FOR CONTRAVENTION

Rule 21 of the Companies (Acceptance of Deposits) Rules, 2014

Companies u/s 73(2)/Eligible Cos. inviting deposits or any other person contravenes any provision of these rules for which no punishment is provided in the Act	The company and every officer of the company who is in default - Punishable with fine which may extend to Rs. 5000/- and where the contravention is a continuing one, with a further fine which may extend to Rs. 500/- for every day after the first day during which the contravention continues.
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30. DISCLOSURE IN BOARD REPORT

Section 134 of the Companies Act 2013 read with Rule 8 of the Companies (Accounts) Rules, 2014

The following shall be disclosed in the Board Report

I. Details relating to deposits, covered under Chapter V of the Act

- (a) Accepted during the year;
- (b) Remained unpaid or unclaimed as at the end of the year;
- (c) Whether there has been any default in repayment of deposits or payment of interest thereon during the year and if so, number of such cases and the total amount involved:
 - (i) At the beginning of the year;
 - (ii) Maximum during the year;
 - (iii) At the end of the year.

II. Details of deposits which are not in compliance with the requirements of Chapter V of the Act.

PAST YEAR QUESTIONS

1. Harsh is promoter director of Himmat Pvt. Ltd. He borrowed some funds from his friend for a certain purpose but the same is lying idle at present. Thus, he plans to give a loan to the company for working capital needs. Harsh has approached you, as a Practicing Company Secretary, for suggestion, if there is any situation where such loan will not constitute Deposit. Advise Harsh with reference to the provisions of the Companies Act, 2023. **[June 2023 (3 Marks)]**
2. Comment on the following:
 - (i) Credit rating at the time of accepting Deposit by a company is mandatory.
 - (ii) No company can invite Deposit without entering into a contract for deposit insurance.
 - (iii) Creation of security for repayment of Deposit is not mandatory for all companies while accepting Deposit.
 - (iv) Trustees for Depositors can be removed by a simple majority.
 - (v) The only remedy for Depositors in case of default in repayment of Deposit by the company is to file a suit. **[June 2023 (5 Marks)]**
3. The Board of Directors (BOD) of ABC Ltd., is planning to invite - deposits from the public for the purpose of meeting its short-term requirements of ₹20 Crore in its scheduled meeting to be held on 1st October, 2023. Deposits will be repayable within 4 months from the date of such deposit. The paid-up share capital and free reserves of ABC Ltd., is 225 Crore and 375 Crore respectively as per audited accounts as on 31st March, 2023. The Company Secretary of ABC Ltd. opposed the above proposal of BOD with the contention that the Company cannot accept deposits, which is repayable earlier than six months from the date of such deposits. Advise BOD of ABC Ltd. as per the provisions of the Companies Act, 2023. **[Dec. 2023 (3 Marks)]**

4. Referring to the provisions of the Companies Act read with the relevant Rules examine, whether the following amounts received by a company will be considered as deposits or not:
- (i) Tiwari Exports Limited has raised ₹12,00,000 through issue of non-convertible debentures not constituting a charge on the assets of the company and listed on a recognized stock exchange as per the applicable regulations made by the Securities and Exchange Board of India.
 - (ii) National Refrigeration Ltd., a leading fridge manufacturer in North India, received ₹2 Crore from Mr. Ankit for supply of 2000 fridge and made appropriation of such advance after expiry of 390 days from the date of acceptance of such advance.
 - (iii) Lalit ceased to be a director of ABC Pvt. Ltd. (the company) by resignation w.e.f. June 15, 2023 and the company received ₹ 50,00,000 from Priya (spouse of Lalit) on June 10, 2023 and the amount was self-earned savings of Mrs. Priya as per her declaration.

[June 2024 (2 + 2 + 1 = 5 Marks)]

5. AB Ltd. whose Net Worth is of ₹51 Crore and annual turnover of ₹ 400 Crore as per the latest audited financial statements intends to accept deposits from the general public. In this scenario answer the following questions as per the provisions of the Companies Act, 2013:
- (i) How much of the deposit could be accepted by AB Ltd. from the general public?
 - (ii) If AB Ltd. is an eligible company for accepting deposits, and could not pass a special resolution of its members, what other options are available to the company to borrow funds beyond the limit prescribed under section 180 of the Companies Act, 2013?
 - (iii) As an eligible company for accepting deposits, what are the forms required to be filed by the company for acceptance of deposits?
 - (iv) How much money should be deposited in a separate account for deposits maturing each year?
 - (v) Is there any time limit for issuance of deposit receipts for money accepted? **[Dec. 2022 (5 Marks)]**

CHARGES

Regulatory Framework

The Companies Act, 2013 (Section 77-87)

The Companies (Registration of Charges) Rules, 2014

1. INTRODUCTION

- ◆ A **charge is a form of security** for a loan under which certain property is agreed to be “**charged**”.
- ◆ It is a **right created by a Company** (“the borrower”) on its assets or properties or any of its undertakings present and future, in favor of a financial institution or a bank, or any other lender (“the lenders”), which has agreed to extend financial assistance.
- ◆ A **charge may be created by executing loan agreements, hypothecation agreements, mortgage deeds**, and any other similar documents, which the borrowing company is required to execute in favour of the lending institutions and banks.

2. DEFINITION & MEANING OF “CHARGE”

Charge as defined under the Companies Act, 2013	Clause 16 of Section 2 of the Companies Act, 2013 defines the term “ charge ” as <i>an interest or lien created on the property or assets of a company</i> or any of its undertakings or both as security and includes a mortgage.
Charge as defined under the Transfer of Property Act, 1882	According to section 100 of the Transfer of Property Act, 1882 , “where an immovable property of one person is by act of parties or operation of law made security for the payment of money to another and the transaction does not amount to a mortgage, the latter person is said to have a charge on the property, and all the provisions which apply to a simple mortgage shall, so far as may be, apply to such charge.”

3. MEANING OF THE KEY WORD “INTEREST” AND “LIEN” USED IN THE DEFINITION OF CHARGE

Interest

The meaning of “**interest**” as per Black's law dictionary is legal share in something: all or part of a legal or equitable claim to or right in property, right, title, and interest. Collectively, the word includes any aggregation of rights, privileges, powers and, immunities; distributively, it refers to anyone right, privilege, power, or immunity.'

Any and all, partial or total right to property or for the use of property, including an easement to pass over a neighboring parcel of land, the right to drill for oil, a possibility of acquiring title upon the happening of some event, or outright title.

Lien

Lien is a **French word** meaning '**knot or binding**' that was brought to Britain with the French language during the Norman Conquest in 1066.

As per **Black's Law Dictionary**- "It is a legal right or interest that a creditor has in another's property lasting usually until a debt or duty it secures is satisfied."

It is defined by Story as 'Lien, strictly is neither a jus in rem nor a jus ad rem, but is simply a right to possess and retain property until some claim attaching to it is satisfied or discharged.'

'Lien' in its primary sense is a right of a person to retain a property which is in his possession belonging to another until the present and accrued claims of the person in possession are satisfied. In this primary sense is given by law and not by contract.

4. ESSENTIAL FEATURES OF CHARGE

In general, a charge has the following essential features:

Parties to the Charge

There are minimum **two parties** to the transaction, the creator of the charge (company on whose property the charge is created) and the charge holder (one who lends money).

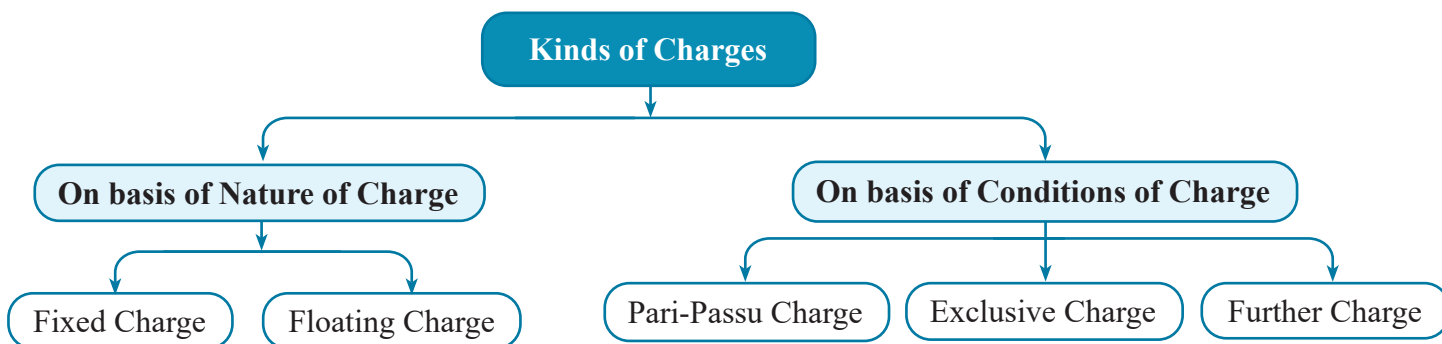
Subject Matter

There must be a **subject matter** for which the charge is created. The subject matter of charge may be on current or future assets and properties of the borrower.

Agreement

There must be an **agreement** between the two parties specifying the security rendered for repayment of borrowed money, together with payment of interest at the agreed rate etc.

5. TYPES OF CHARGES



On the basis of the conditions of the charge

The charge may be created in favour of the charge holders as per the terms and conditions agreed by the parties in the following manner:

- ♦ **Pari-Passu charge** - Under this, the charge is shared by more than one lender in the ratio of their outstanding amount. The prior consent of the existing charge holder is required by the company.
- ♦ **Exclusive charge** - The security under the exclusive charge is provided to a particular lender only.

- ◆ **Further charge** - With the consent of the first charge holder, the particular assets on which charge is already created may be provided to other lenders as second charge. In case of liquidation of assets, the first charge holder has the right to recover his dues and the balance is recovered by the second charge holder followed by others.

6. DIFFERENCE BETWEEN FIXED OR SPECIFIC CHARGE AND FLOATING CHARGE

Basis	Fixed Charge	Floating Charge
Nature	It is a legal Charge	It is an equitable Charge
Meaning	Security in terms of a certain specific property	Security remains dormant until it is fixed or crystallized
Scope	It is created to cover assets which are ascertained and definite or are capable of being ascertained and defined, at the time of creating the charge	It is created on a variable property which keeps on changing or moving. The property or assets of the Company cannot be specifically ascertained
Created on	It is created on fixed assets like land, buildings, or plant and machinery	It is created on floating assets like stock-in-trade, debtors, etc.
Priority	It has priority over the floating Charge	No such priority
Disposing of assets	The Mortgagor, i.e., Company cannot dispose of the property without the consent of the charge holder.	The Mortgagor is free to deal with the property as it sees fit until the holders of charge take steps to enforce their security.

7. CRYSTALLIZATION OF FLOATING CHARGE

- ◆ A floating charge is a security (that is mortgage, lien etc.) that has an underlying asset or group of assets which is subject to change in quantity and value.
- ◆ It is a security interest over a fund of changing assets of a company or other artificial person, which 'floats' until the point at which it is converted into a fixed charge; at which point the charge attaches to a specific asset of the business.
- ◆ A floating charge attaches to the company's property generally and remains dormant till it crystallizes or becomes fixed.
- ◆ The company has a right to carry on its business with the help of assets over which a floating charge has been created till the happening of some event which determines this right.

This conversion of the floating charge into a fixed charge known as crystallization can be triggered by following events:

- (1) Cessation of business, including winding up and ceasing business operations as a going concern prior to winding up; and
- (2) Debenture holder intervention, including appointment of a receiver or manager, taking possession as debenture holder and obtaining an injunction against company dealings with charged asset generally;
- (3) On the happening of event specified in deed.

8. EFFECT OF CRYSTALLIZATION OF A FLOATING CHARGE

- ◆ It has priority over any subsequent equitable charge and other unsecured creditors.
- ◆ But preferential creditors who have priority for payment over secured creditors in the winding-up, gets priority over the claims of the debenture holders having floating charge.

9. DIFFERENCE BETWEEN MORTGAGE AND CHARGE

S. No.	Mortgage	Charge
1.	A mortgage is created by the act of the parties.	A charge may be created either through the act of parties or by operation of law.
2.	A mortgage requires registration under the Transfer of Property Act, 1882.	A charge created by operation of law does not require registration but a charge created by act of parties requires registration.
3.	A mortgage is a transfer of an interest in specific immovable property.	A charge only gives a right to receive payment out of a particular property. There is no such transfer of interest in the case of a charge. Charge does not operate as transfer of an interest in the property and a transferee of the property gets the property free from the charge provided, he purchases it for value without notice of the charge.
4.	A mortgage is for a fixed term.	The charge may be in perpetuity.
5.	A mortgage is good against subsequent transferees.	A charge is good against subsequent transferees with notice.
6.	A simple mortgage carries personal liability unless excluded by express contract.	In case of charge, no personal liability is created. But where a charge is the result of a contract, there may be a personal remedy.

Example:

Mr. Raj takes a **home loan of ₹50 lakhs** from XYZ Bank to buy a flat. As security for the loan, he **offers the flat itself as a mortgage** to the bank. The bank holds a **legal interest** in the property until the loan is fully repaid.

Example:

ABC Ltd. takes a **loan of ₹10 crores from a bank** to purchase machinery for its factory. To secure the loan, the company **creates a charge on the machinery** in favor of the bank.

10. DIFFERENCE BETWEEN CHARGE AND PLEDGE

S. No.	Charge	Pledge
1.	It is not a physical transfer of property of one to another.	It is a bailment of personal property as security for some debt or engagement, redeemable on certain terms, and with an implied power of sale on default.
2.	It is a right created in favour of one, referred to as "the lender" in the immovable property of another, referred to as "the borrower", as security for repayment of the loan and payment of interest on the terms and conditions contained in the loan documents evidencing charge.	It consists of a delivery of goods by a debtor to his creditor as security for a debt or other obligation, to be held until the debt is repaid along with interest or other obligation of the debtor is discharged, and then to be delivered back to the pledger, the title not being changed during the continuance of the pledge.

Both a pledge and a charge are the result of voluntary act of parties. Both create security but the nature of the security is different.

Example:

XYZ Pvt. Ltd. takes a **loan of ₹20 lakhs** from a financial institution to purchase equipment. To secure the loan, the company **creates a charge** on the equipment in favor of the lender.

Example:

Mr. Arjun needs a short-term loan of ₹5 lakhs. He approaches a bank and offers his **gold ornaments** as security.

- ◆ The bank gives the loan and **takes physical possession** of the gold.

- ◆ The company **retains possession** of the equipment.
- ◆ The lender has a **legal right** over it until repayment.

◆ Mr. Arjun retains ownership, but the bank holds the ornaments until the loan is repaid.

If Arjun defaults, the bank can sell the gold to recover the loan. This is a **Pledge** — where **movable goods** are delivered as security for a debt.

11. REGISTRABLE CHARGES

Section 2(16) and section 77 of the Act require to register the charge created by way of every kind of interest or lien (including negative lien) on the property or assets, tangible or otherwise, of a company as security, including mortgage.

The following is an indicative list of charges to be registered with the Registrar:

(i)	A charge created for the purpose of securing any issue of debentures or deposits;
(ii)	A charge on uncalled share capital of the company;
(iii)	A charge on any immovable property, wherever situate, or any interest therein. This includes mortgage by deposit of title deeds.
(iv)	A charge on any book debt of the company. Assignment of book-debts as security is covered.
(v)	A lien on sub freight is a charge on book-debt of the company.
(vi)	A charge, on any movable property of the company;
(vii)	A floating charge on the undertaking or any property of the company including stock-in-trade;
(viii)	A charge on calls made but not paid;
(ix)	A charge on a ship or any share in a ship;
(x)	A charge on intangible assets, including goodwill, patent, a license under a patent, trade mark, copy right or a license under a copyright;
(xi)	A charge or assignment on insurance policies obtained by the company;
(xii)	All and every kind of pledge margin money, including shares, is a pledge;

Illustration:

There are two Companies ABC Ltd and XYZ td. ABC Ltd. took loan from the Bank and XYZ Ltd. gave guarantee on its property.

- ◆ Whether Charge will be created in ABC Ltd?
- ◆ Whether Charge will be created in XYZ Ltd?

In the above situation XYZ Ltd. is giving its assets as security to bank for loan to ABC Ltd., therefore assets of the XYZ Ltd. is involved. Charge will be created in the XYZ Ltd and not on the property of ABC Ltd.

12. REGISTRATION OF CHARGES (SECTION 77, 78 & 79)

- ◆ Primarily, under **section 77(1)** of the Act, every company creating a charge is required to register the particulars of charge signed by the company and its charge-holder together with the instruments creating the charge.
- ◆ Once a charge is registered, it will be in the public domain and the lender can verify the details of financial facilities obtained and charges created on property or assets or any of its undertakings.
- ◆ **This section serves two-fold purpose:** Preventing the company from simultaneously borrowing on the same assets without notice to the previous lender and providing clear information to the new lender about the status of the assets.

The provisions applicable to the registration of a charge under Section 77 shall, *mutatis mutandis* apply to modification of the charge.

It is the duty of every company creating or modifying a charge to register the particulars of the charge together with the instruments, if any, creating such charge in such form, on payment of such fees and in such manner as may be prescribed, with the Registrar.

Rule 3(1) of the Companies (Registration of Charges) Rules, 2014 prescribes the rule for registration of creation or modification of charges:

Where is the Charge created?	The charge is created within or outside India.
Charge is created on	Charge is created on property, assets or any undertakings of the company, whether tangible or intangible
Location of the assets	Property, assets or any undertakings may be located within or outside India
Time Limit for Registration	The particulars of the charge together with a copy of the instrument, if any, creating or modifying the charge shall be filed with the Registrar within a period of 30 days of the date of creation or modification of charge.
Forms for Registration of charge	◆ Form No. CHG-1 (for other than debentures). ◆ Form No. CHG-9 (for debentures), as the case may be, with prescribed fees, Form duly signed by the Company and the charge holder.

If the particulars of a charge are not filed within the prescribed period of 30 days, then such creation or modification shall be filed in Form No. CHG-1 or Form No. CHG- 9 on payment of *additional fee or ad-valorem fee* in a manner as prescribed below:

- (a) In case of charges created or modified before the 02.11.2018, within a period of *300 days* of such creation; or *6 months* from 02.11.2018 as the case may be, the following additional fees is payable:

S.No.	Period of Delay	Additional Fees applicable
1.	Up to 30 days	2 times of normal fees
2.	More than 30 days and up to 60 days	4 times of normal fees

3.	More than 60 days and up to 90 days	6 times of normal fees
4.	More than 90 days and up to 180 days	10 times of normal fees
5.	More than 180 days	12 times of normal fees

(b) In case of charges created or modified on or after the 02.11.2018, within a period of 60 days of such creation or modification, on payment of such additional fees as prescribed or Registrar may, on an application, allow such registration to be made within a further period of 60 days after payment of such ad-valorem fees as prescribed:

Period of delay	Small Companies and One Person Company	Other than Small Companies and One Person Company
Up to 30 days of Delay (up to 60 Days from the date of Creation or Modification)	3 times normal fee	6 times normal fee
More than 30 days and up to 90 days delay (up to 120 days from the date of Creation or Modification)	3 times of normal fees plus an ad valorem fee of 0.025 per cent. of the amount secured by the charge, subject to the maximum of rupees one lakh.	6 times of normal fees, plus an ad valorem fee of 0.05 per cent. of the amount secured by the charge, subject to the maximum of rupees five lakhs.

After amendments in Section 77 of the Act, the provisions restrict the ability of the company to register charge after expiry of 120 days, resulting *beyond 120 days the charge cannot be registered.*

Illustration:

Monin Ltd. having authorized and paid-up capital of Rs.10 Crore has created charge of Rs.500 Crore on its fixed assets on 01st June, 2022 in favor of Fincon Ltd., but failed to register it with the Registrar of Companies. The Company made an application to ROC on 15th September, 2022 for registration of charges. The fees leviable on the Company is as mentioned below:

Particulars	Date	Remarks
Date of creation	1st June, 2022	
Amount secured	Rs. 500 crores	
Up to 30 days	30th June, 2022	Normal fees = Rs. 600
More than 30 days and up to 60 days	30th June, 2022 to 29th July, 2022	Additional fees 6 times *Rs.600 = Rs.3600
More than 60 days and up to 120 days	29th July, 2022 to 29th September, 2022	Additional fees + ad valorem fees Ad-valorem fees = 0.05% of Rs. 500 crores = Rs. 25 lakhs or Maximum Ad-valorem Fees = Rs.5 Lakhs
Total Fees		3600 + 5,00,000 = Rs.5,03,600

Test Yourself

- If a charge is created on 18-07-2022 but the registration is not made within the original period of 30 days and also not made within next 30 days after the expiry of original 30 days, then the Registrar is empowered to allow such registration to be made within a further period of _____ :

(a) 30 days (b) 45 days (c) 60 days (d) 90 days

Ans: 60 Days

13. VERIFICATION OF INSTRUMENTS- RULE 3(4) OF THE COMPANIES (REGISTRATION OF CHARGES) RULES, 2014

A copy of every instrument evidencing any creation or modification of charge are required to be filed with the Registrar in pursuance of section 77, 78 or 79 shall be verified as follows:

- ◆ Where the instrument or deed relates solely to the property situated outside India, the copy shall be verified by a certificate issued either under the seal, if any, of the company, or under the hand of any Director or Company Secretary of the company or an authorized officer of the charge holder or under the hand of some person other than the company who is interested in the mortgage or charge;
- ◆ Where the instrument or deed relates, whether wholly or partly, to the property situated in India, the copy shall be verified by a certificate issued under the hand of any Director or Company Secretary of the company or an authorized officer of the charge holder.

14. SUBSEQUENT REGISTRATION SHALL NOT PREJUDICE ANY RIGHT

Third Proviso to Section 77(1) states that any subsequent registration of a charge shall not prejudice any right acquired in respect of any property before the charge is actually registered, which means that the rights of the former charge holder will not be affected in case of the creation of the subsequent charge.

15. NON-APPLICABILITY TO CERTAIN CHARGES AS PRESCRIBED IN CONSULTATION

- ◆ **Fourth Proviso to Section 77(1)** states that the section w.r.t. registration of charges, shall not apply to such charges as may be prescribed in consultation with the Reserve Bank of India.
- ◆ The Central Government has been empowered that in consultation with RBI, they may specify certain charges, for which **section 77** is not applicable.
- ◆ Therefore, registration of such charges is not required to be registered with the ROC.

16. CONSEQUENCES OF NON-REGISTRATION OF CHARGES

According to Section 77 of the Companies Act, 2013, all types of charges created by a company are to be registered by the ROC, where they are non-compliant and are not filed with the Registrar of Companies for registration, it shall be void as against the liquidator and any other creditor of the company.

Void against the liquidator means that the liquidator on winding up of the company can ignore the charge and can treat the concerned creditor as an unsecured creditor. The property will be treated as free of charge i.e. the creditor cannot sell the property to recover its dues.

Void against any creditor of the company means that if any subsequent charge is created on the same property and the earlier charge is not registered, the earlier charge would have no consequence and the latter charge if registered would enjoy priority. In other words, the latter charge holder can have the property sold in order to recover its money.

Thus, non-filing of particulars of a charge does not invalidate the charge against the company as a going concern. It is void only against the liquidator and the creditors at the time of liquidation.

The company itself cannot have a cause of action arising out of non- registration [*Independent Automatic Sales Ltd. v. Knowles & Foster (1962) 32 Comp Cas*].

In other words, unless the charge created is registered with the Registrar and a certificate of registration of such charge is given by the Registrar, no other law can force the liquidator or other creditor to take into account the said charge.

The liquidator or other creditor of the company need not consider the said unregistered charge against the assets of the company.

Case Law

ONGC Ltd v. Official Liquidators of Ambica Mills Co. Ltd. (2006)

The ONGC had not been able to point out whether the called charge, on the basis of which it was claiming preference as a secured creditor, was registered or not.

It was held that in the light of this failure, ONGC could not be treated as a secured creditor in view of specific provisions of section 125 under the erstwhile Companies Act, 1956 and the statutory requirement under the said section.

This does not, however, mean that the charge is altogether void and the debt is not recoverable.

So long as the company does not go into liquidation, the charge is good and may be enforced.

17. CERTIFICATE OF REGISTRATION OF CHARGE & CERTIFICATE OF MODIFICATION OF CHARGE SECTION 77(2) READ WITH RULE 6 OF COMPANIES (REGISTRATION OF CHARGES) RULES, 2014

Registrar shall issue, to the company or to the person in whose favor the charge is created, in the below mentioned form:

Certificate of registration of charge	Form CHG-2
Certificate of modification of charge	Form CHG-3

The certificate issued by the Registrar whether in case of registration of charge or registration of modification of charge, as the case may be shall be conclusive evidence that the requirements of Chapter VI of the Act (Registration of Charges) and the rules made thereunder as to registration of creation or modification of charge, as the case may be, have been complied with.

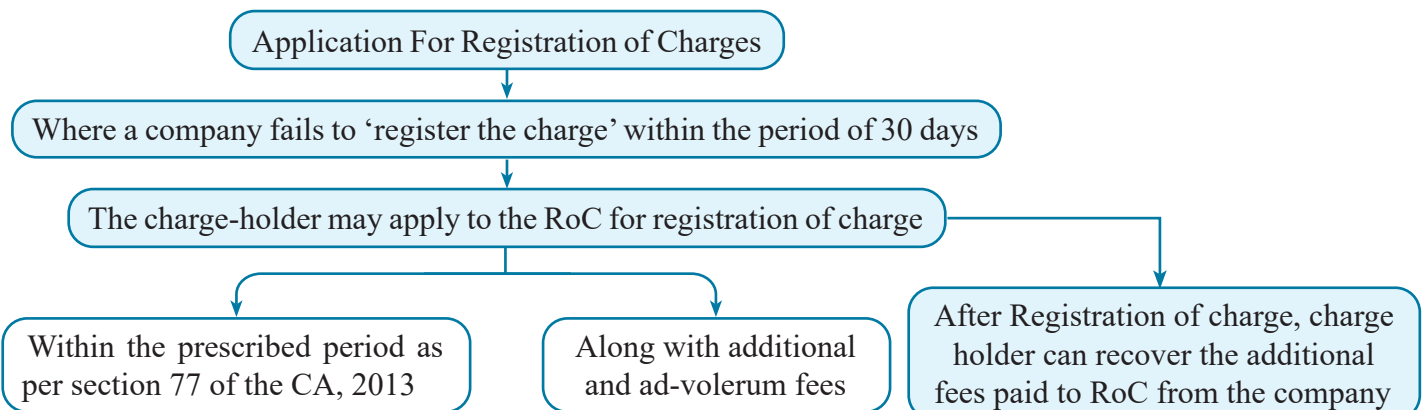
18. IMPORTANCE OF REGISTRATION OF CHARGE AND ITS CERTIFICATE

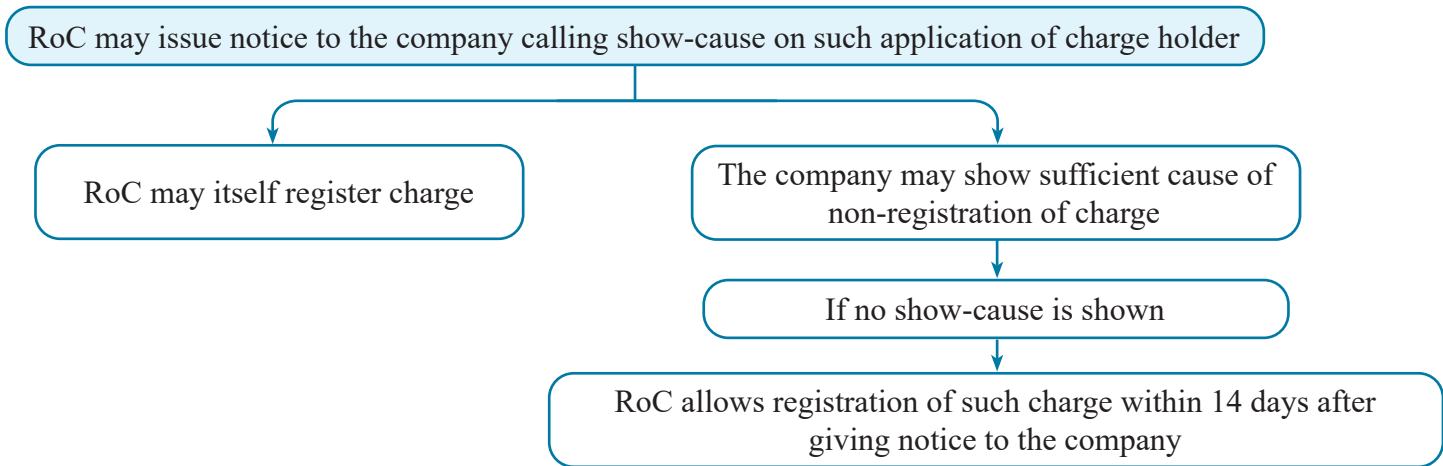
As per **Section 77(3)** of the Companies Act, 2013, the registration under Section 77(1) and Certification under Section 77(2) plays a very important role.

“Notwithstanding anything contained in any other law for the time being in force”. This has an overriding **effect to take cognizance** of any charge either by the liquidator appointed under the Companies Act, 2013 or under the Insolvency and Bankruptcy Code, 2016, if and only if it is registered and certificate is issued as per this section.

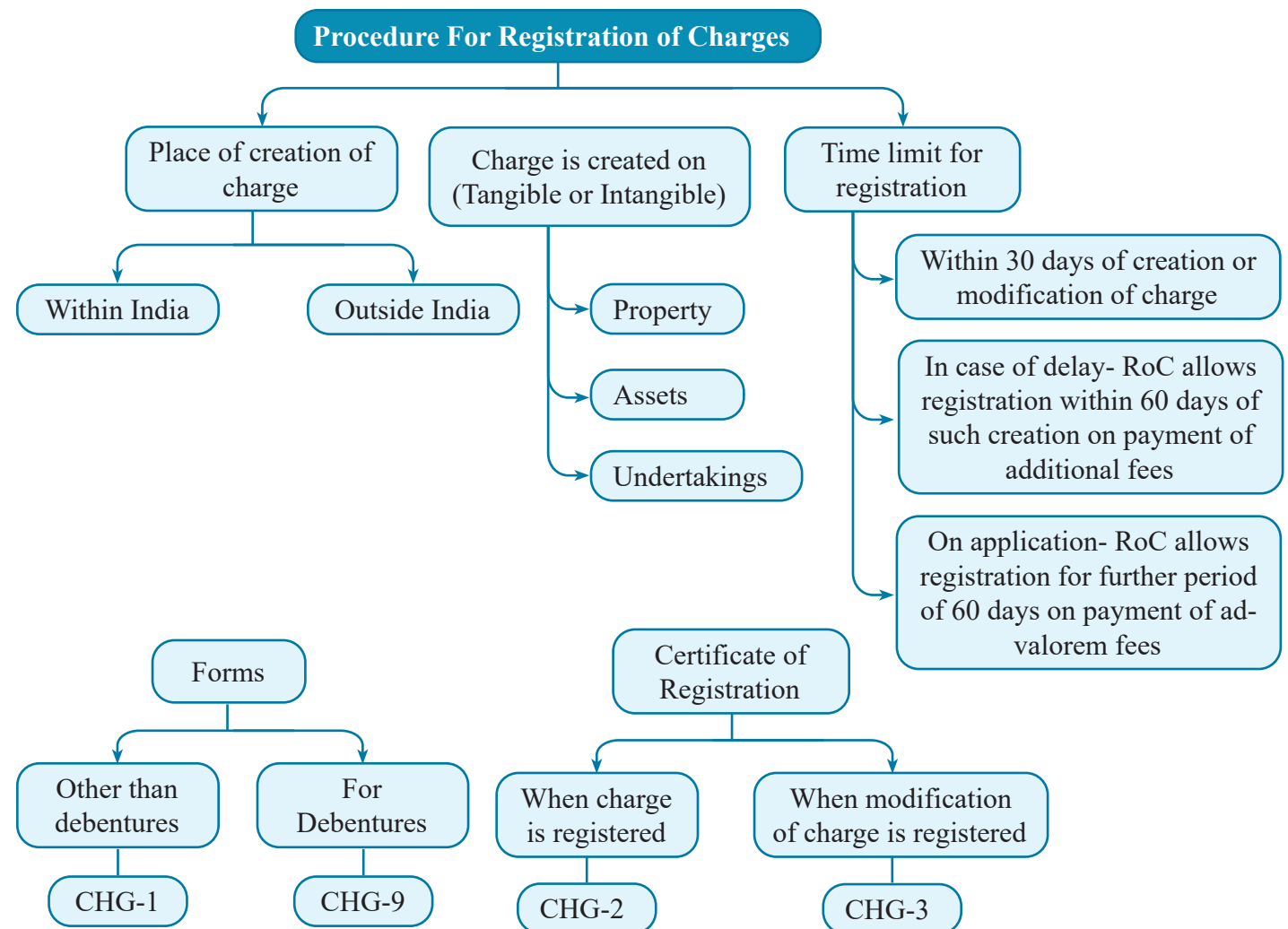
However, Section 77(4) provides an exemption to this stringency. Under this sub-section, it will not prejudice any contract or obligation for the repayment of the money secured by a charge, even though it is not registered and a certificate is not issued by the Registrar as mentioned under this section.

19. APPLICATION FOR REGISTRATION OF CHARGE (SECTION 78)





20. SUMMARY OF REGISTRATION OF CREATION OR MODIFICATION OF CHARGE



21. ACQUIRING PROPERTY SUBJECT TO A CHARGE (SECTION 79)

The provisions of **section 77** relating to registration of charges shall, so far as may be, apply to

- ◆ a company acquiring any property subject to a charge within the meaning of that section; or
- ◆ where there is modification in the terms or conditions or the extent or operation of any charge registered under that section.

(a) Company acquiring any property subject to a Charge

The modification in the particulars of charge by Asset Reconstruction Company (ARC) in terms of the Securitisation and Reconstruction of Financial Assets and Enforcement of Interest Act, 2002 (SARFAESI).

The Charge is required to be registered as required in case of the registration of Charge under section 77 of the Companies Act, 2013.

The time limit provided under section 77 shall apply from the date of completion of acquisition as the assets become assets of the company from such date.

(b) Modification of Charge

The term 'modification' includes variation of any of the terms of the agreement including variation of rate of interest, increase/decrease in amount of borrowings, change / swap of security, extension of time for repayment, which may be by mutual agreement or by operation of law. Even if the rights of a charge holder are assigned to a third party, it will be regarded as a modification.

Section 79 of the Act makes it clear that the requirement of registering the charge shall also apply to a company acquiring any property subject to charge or any modification in terms and conditions of any charge already registered.

22. DATE OF NOTICE OF CHARGE (SECTION 80)

Where any charge on any property or assets of a company or any of its undertakings is registered under section 77, any person acquiring such property, assets, undertakings, or part thereof, or any share or interest therein shall be deemed to have notice of the charge from the date of such registration.

The section clarifies that if any person acquires a property, assets or undertaking for which a charge is already registered, it would be deemed that he has complete knowledge of charge from the date the charge is registered.

Deemed Notice of Charge

Once the particulars of charge have been registered by the Registrar, the details of creation of charge become a matter of public domain.

If any person acquires property or assets of a company or any of its undertakings, which are subject to such charge under Section 77, such person shall be deemed to have notice of the charge from the date of such registration.

23. SATISFACTION OF CHARGES (SECTION 82 R/W RULE 8 OF THE COMPANIES (REGISTRATION OF CHARGES) RULES, 2014)

Satisfaction of Charge is another important aspect relating to debts secured by a charge. In case of a full and complete payment of the secured charge registered with the Registrar, the company or charge-holder shall ***within a period of 30 days*** from the date of payment or satisfaction in full of any charge registered under Chapter VI of the Companies Act, 2013, give intimation of the same to the Registrar in Form ***No. CHG-4*** along with the prescribed fees.

The Registrar may, on an application by the company or the charge holder, allow such intimation of payment or satisfaction to be made ***within a period of 300 days*** of such payment or satisfaction on payment of such additional fees as may be prescribed.

Note: The duty is cast on the borrower company to intimate to the concerned Registrar of Companies about payment in full of any charge relating to the Company.

24. RECORDING OF SATISFACTION OF CHARGE BY REGISTRAR [SECTION 82(2)]

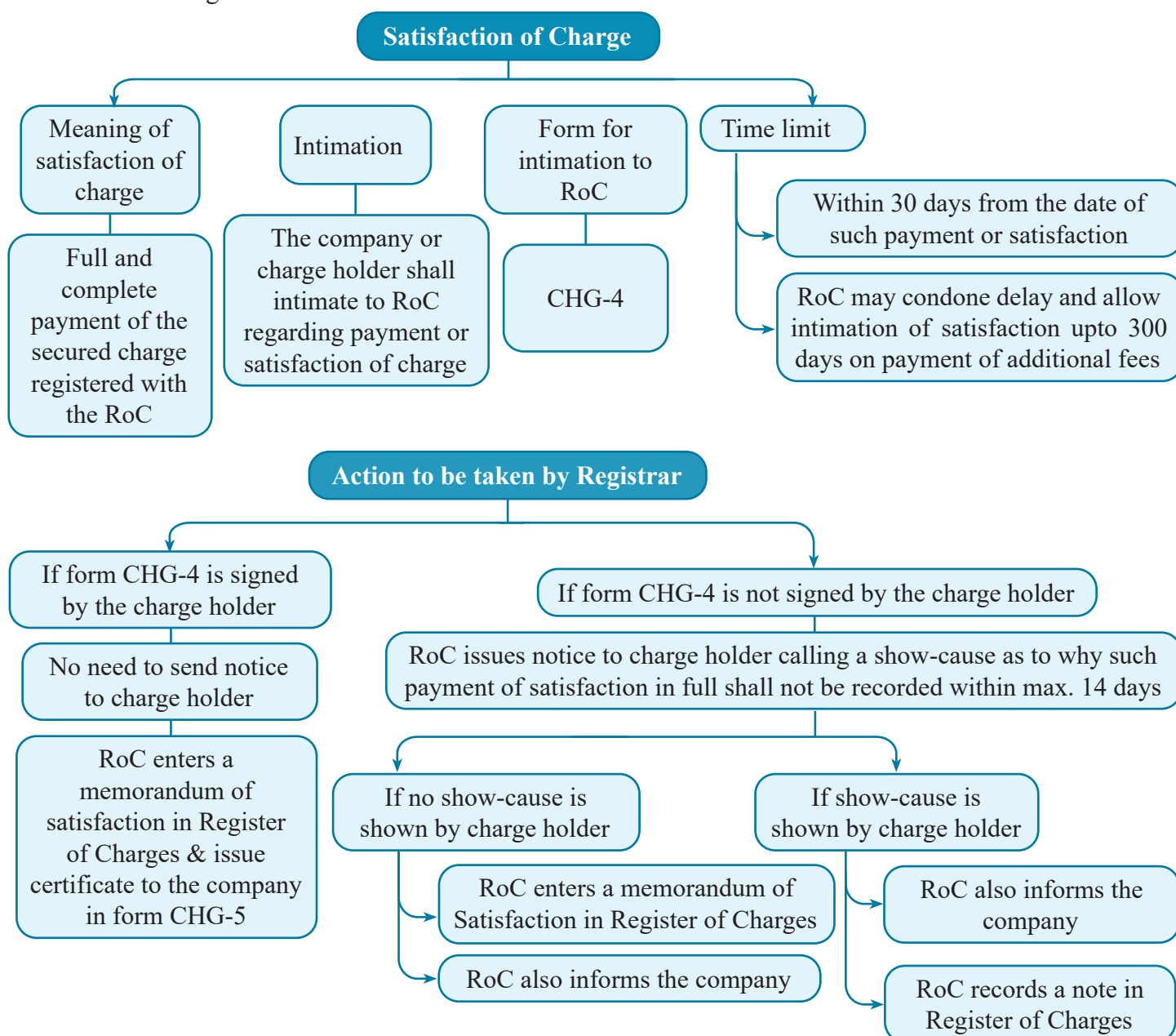
On receipt of such intimation, the Registrar shall issue a notice to the holder of the charge calling upon him to show cause within such ***time not exceeding 14 days***, as may be specified in such notice, as to why payment or satisfaction in full should not be recorded as intimated to the Registrar.

However, the aforesaid notice shall not be sent, in case intimation to the Registrar is in the specified form along with the Letter of the charge holder stating that the amount has been satisfied, which is a mandatory attachment in all cases of **Form No. CHG-4** and is signed by the holder of charge [**Proviso to Section 82(2)**].

Particular	Time Period	Days	Fees
Satisfaction of Charge with ROC	Within 30 days of Satisfaction	0 + 30 = 30	Normal Fees
If fails to file within 30, days	Within a period of 300 days of such satisfaction	0 + 30 + 270 = 300	Normal Fees + Additional Fees
If fails to file within 300, days	Filing of form with RD for satisfaction of Charge	0 + 30 + 270 + - = -----	Normal Fees + Additional Fees + Condonation fees

25. CERTIFICATE OF REGISTRATION OF SATISFACTION OF CHARGE

As per **Rule 8** of the Companies (Registration of Charges) Rules, 2014 the Registrar enters a memorandum of satisfaction of charge in full in pursuance of section 82 or 83, he shall issue a certificate of registration of satisfaction of charge in **Form No. CHG-5**



26. POWER OF REGISTRAR TO MAKE ENTRIES OF SATISFACTION IN ABSENCE OF INTIMATION FROM THE COMPANY

There may be times when a company may fail to send intimation of satisfaction of charge to the Registrar but according to section 83 of the Act, the registrar may on receipt of satisfactory evidence of satisfaction, register a memorandum of satisfaction. The evidences may be-

Conditions	Action of Registrar
The debt for which the charge was given has been paid or satisfied in whole or in part;	The Registrar may enter in the register of charges a memorandum of satisfaction in whole or in part.
Part of the property or undertaking charged has been released from the charge	The Registrar may enter in the register of charges a memorandum of the fact that part of the property or undertaking has been released from the charge.
Part of the property or undertaking ceased to form part of the company's property or undertaking.	The Registrar may enter in the register of charges a memorandum of the fact that part of the property or undertaking has ceased to form part of the company's property or undertaking, as the case may be.

Section 83(2) states that the Registrar shall inform affected parties within 30 days of making the entry in the registrar of charges.

27. REGISTER OF CHARGES MAINTAINED IN ROC'S OFFICE (SECTION 81)

The Registrar of Companies shall maintain a register containing particulars of the charges registered in respect of every company in manner as stated:

The particulars of charges maintained on the Ministry of Corporate Affairs portal (www.mca.gov.in/MCA21) shall be deemed to be the register of charges for the purposes of section 81 of the Act.

This charge register shall be open to inspection by any person on payment of fee.

28. INTIMATION OF APPOINTMENT OF RECEIVER OR MANAGER (SECTION 84)

Where any person obtains an order for appointment of receiver or manager or if any person appoints such receiver or person under any power contained in any instrument, in relation to a charged property, intimation in the form of notice shall be given by such person to the Company and Registrar.

Cases under which intimation is required	◆ When any person obtains any order for appointment of a receiver of a property of a company which is subject to a charge. ◆ When any person obtains any order for appointment of a person to manage the property of a company, subject to a charge. ◆ When any person himself appoints any receiver or manager under any power contained in any instrument.
Who shall intimate	◆ Intimation shall be given by the person who shall obtain such order or the person who himself appointed the receiver or manager as the case may be.
To whom to intimate	◆ Give notice of such appointment to the company and the Registrar
Form for intimation	◆ Intimation regarding appointment of a person as a receiver of, or of a person to manage, the property, subject to charge, of a company shall be filed with the Registrar in Form No. CHG-6 along with prescribed fees. ◆ Intimation of appointment shall be given to the company and the Registrar along with a copy of the order or instrument as the case may be.

Time Limit	♦ Such notice shall be given within a period of 30 days from the date of the passing of the order or of the making of the appointment as the case may be.
Action to be taken by Registrar	On receipt of such notice, the Registrar shall, on payment of the prescribed fees, register particulars of the receiver, person or instrument in the register of charges.

29. COMPANY'S REGISTER OF CHARGES (SECTION 85 R/W RULE 10)

29.1 MANNER OF KEEPING REGISTER OF CHARGES

Company's Register of Charge

Keep register of charge in form **CHG-7** containing particulars of charge.

Register of charge shall be kept at register office of the company and preserved permanently.

Instrument creating charge shall preserve for **8 years** from satisfaction.

All the entries in the register shall be authenticated by a director or the secretary of the company or any other person authorized by the Board for the purpose.

29.2 INSPECTION OF CHARGES – SECTION 85(2)

The register of charges and the instrument of charges kept by the company shall be open for inspection.

(a) By any member or creditor of the company without fees;

(b) By any other person on payment of fee subject to reasonable restriction as the company by its articles impose.

The register is to be open for inspection during business hours.

Such inspection shall be subject to reasonable restrictions imposed by the company through its Articles.

29.3 PUNISHMENT FOR CONTRAVENTION (SECTION 86)

Default	Person Liable	Penalty
Contravention of any provision of Chapter VI (Registration of Charges) of the Companies Act, 2013	Company	♦ Liable to a penalty of Rs. 5 lakhs
	Every Officer of the Company in default	♦ Liable to a penalty of Rs.50,000
Willful furnishing of any false or incorrect information or knowingly suppresses any material information, required to be registered in accordance with the provisions of section 77	Any Person	♦ Liable for action under section 447 (Punishment for Fraud)

30. RECTIFICATION BY CENTRAL GOVERNMENT IN REGISTER OF CHARGES

Section 87 read with Rule 12 of the Companies (Registration of Charges) Rules, 2014 provides that the Central Government (Power Delegated to Regional Director w.e.f. 21.05.2014), may on an **application filed in Form No. CHG-8**, on being satisfied that

- (a) The omission to give intimation to the Registrar of the payment or satisfaction of a charge, within the time required under Chapter VI of the Companies Act, 2013; or
- (b) The omission or misstatement of any particulars, in any filing previously made to the registrar with respect to any charge or modification thereof or with respect to any memorandum of satisfaction or other entry made in *pursuance of section 82 or section 83*.

The application in Form CHG-8 shall be filed by the company or any interested person.

“According to Rule 12 of the Companies (Registration of Charges) Rules, 2014:

The Central Government may, on an application filed in **Form No. CHG-8** in accordance with section 87-

- (a) Direct rectification of the omission or misstatement of any particulars, in any filing, previously recorded with the Registrar with respect to any charge or modification.
- (b) Direct extension of time for satisfaction of charge, if such filing is not made ***within a period of three hundred days*** from the date of such payment or satisfaction.”

Important

The Central Government is empowered to permit rectification only in respect to mis-statement or commission of particulars and does not permit rectification which would amount to determination of validity of a charge and consequent deletion of a charge from the register of charges from register of charges. [*Times Bank Ltd. vs. Shri Sharda Parmeshwari textiles Ltd.*]

31. FORMS FOR CHARGE MANAGEMENT UNDER THE COMPANIES ACT, 2013

S. No.	E-Form/Form	Purpose
1.	CHG-1	Application for registration of creating or modifying the charge (for other than Debentures)
2.	CHG-2	Certificate of registration of charge
3.	CHG-3	Certificate of modification of charge
4.	CHG-4	Intimation of the satisfaction to the Registrar
5.	CHG-5	Certificate of Memorandum of satisfaction of charge
6.	CHG-6	Notice of appointment or cessation of receiver or manager
7.	CHG-7	Register of charges
8.	CHG-8	Application to CG for extension of time for filing of particular of registration of satisfaction of charge or rectification of omission or mis-statement of any particular in respect of creation/modification/satisfaction of charge
9.	CHG-9	Creating or modifying the charge for debentures including rectification

PAST YEAR QUESTIONS

- Edge Ltd. had borrowed RS 50 Crore from a scheduled bank and repaid entire loan amount along with interest thereon. The company wants to file satisfaction of charge with the Registrar only after receiving no due certificate and a release letter from the bank. If company delays the filing of satisfaction of charge for the default of bank in not issuing these documents, whether the company will be liable for late filing of satisfaction of charge under the Companies Act, 2013? **[Dec. 2023 (3 Marks)]**

2. ABC Limited has created floating charge against debentures issued for RS 100 Crore. The Board of Directors (BOD) is willing to know the circumstances under which floating charge crystallizes and the security becomes fixed. As a Company Secretary advise the BOD in light of the provisions of Companies Act, 2013. **[Dec. 2023 (3 Marks)]**
3. ABC Products Ltd, has taken term loan of RS 5 Crore from bank and has given the properties situated at Maldives as a prime security of loan. Can the company give the properties situated outside India for security of loan? Referring to the provisions of the Companies Act, 2013, discuss. **[June 2021 (3 Marks)]**
4. While sanctioning working capital limits, the rate of interest has been fixed at a specified percentage above the bank rate as notified by the Reserve Bank of India (RBI). But later on, there was a change in the interest rate due to RBI notification. The lending bank insisted on filing necessary documents and forms for modification of charge under section 79 of the Companies Act, 2013. Decide if the claim of the lending bank is tenable. **[June 2022 (3 Marks)]**
5. Rockstar Limited (the company) is having its registered office at Hyderabad and also set-up an establishment in the Germany. It obtained a loan from the German bank creating a charge on the assets of the foreign establishment. The company received a notice from the Registrar of Companies (the Registrar) for not filing the particulars of charge created by the company on the property or assets situated outside India. The company wants to defend the notice on the ground that the company is not required to register the particulars of the charge created on the assets not located in India. Referring to the provisions of Companies Act, 2013 advise the company, whether the stand taken by the company is correct. Also, apprise the company of the provision regarding the timeline without extension, for registering the particulars of the charge and the effect of its non-registration. **[June 2024 (5 Marks)]**

DISTRIBUTION OF PROFITS

Regulatory Framework

The Companies Act, 2013 [Section 123-127, 2(35)]

The Companies (Declaration and Payment of Dividend) Rules, 2014

IEPF (Accounting, Audit, Transfer and Refund) Rules, 2016

The SEBI (LODR) Regulations, 2015

1. MEANING AND DEFINITION OF DIVIDEND

Meaning

- ◆ The term 'dividend' takes its root from the Latin noun '*dividendum*' which means '*something to be divided*'.
- ◆ Therefore, it can be said that the term 'Dividend' per se is not defined under the Act; however, only interim dividend is made part of it.

Particulars	Definition
"Dividend" as per Section 2(35) of the Companies Act, 2013	While defining the term dividend simply states that " dividend " includes any interim dividend. Therefore, it can be said that the term 'Dividend' per se is not defined under the Act; however, only interim dividend is made part of it.
"Dividend" as per Secretarial Standard-3	"Dividend" so as to mean a <i>distribution of any sums to Members out of profits</i> and wherever permitted out of free reserves available for the purpose.
"Dividend" as per Black's Law dictionary	"Dividend" is ' <i>A portion of a company's earnings</i> or profits distributed pro rata to its shareholders, usually <i>in the form of 'cash or additional shares'</i> . It is a share allotted to each of several persons entitled to a share in a division of profits or property. Hence, dividend may denote a fund set apart by a company out of its profits, to be apportioned among the shareholders, or the proportional amount falling to each shareholder.

- ◆ *Issue of bonus shares or right shares to the existing members is not considered as dividend because the former does not involve release of any assets and the latter has no relation with the profits of the company.*
- ◆ *Therefore, dividend is a return on the share capital subscribed for and paid to its shareholders by a company. In simple words, dividend means the payment made by a company to its shareholders out of its distributable profits.*

1.1 DIVIDEND IMPLIES TWO THINGS

(i) payment out of profits, and

(ii) actual release of some assets.

2. INTEREST VS. DIVIDEND

Nature of Difference	Interest	Dividend
Meaning	Interest is the return on borrowed capital	Return on the investment made in the share capital of a company
Nature	It is a charge against profit	It is appropriation of profit
Calculations	It is a liability which has to be discharged even if the company has suffered loss	It is appropriation of profit which is arrived after providing of all expenses including interest
Commitment	Interest is always a commitment which is to be paid by the borrower as per the terms decided between lender and borrower	It is not a commitment
Paid to	The lenders, creditors and debenture holders	Equity Shareholders and Preference Shareholders
Expenditure	Interest on bonds or other debt is an expense of the company. The interest, being an expense, reduces the company's net income and consequently its taxable Profits.	It is not an expense of the company. The right of preference shareholders to receive dividend is even subject to the availability of distributable profits and this right is not to the receipt of dividend but to preferential treatment if and when dividend is declared
Mandatory	Interest is to be paid even if there is no chance of making profit	To distribute dividend, profits are necessary
Rate	Fixed	Remains constant in the case of preference shares, but fluctuates in case of equity shares.

3. TYPES OF DIVIDEND

There are two types of Dividend:

- (i) Final Dividend
- (ii) Interim Dividend

Basis	Final Dividend	Interim Dividend
Meaning	The Dividend recommended by the Board of Directors and declared by the Members at an Annual General Meeting	Dividend paid by the Company between two annual general meetings
Power to declare Dividend	Recommended by the Board at the board meeting and declared by the Members of the Company	Declared by the Company's Board of Directors

Meetings	Declared in Annual General Meeting of Members	Declared at the Meeting of the Board
Time of Declaration	It is declared after the end of the financial year after the amount of distributable profit has been computed	It is declared on the basis of provincial financial statements or estimates
Frequency of payment	It can be paid only once in a financial year	It can be paid more than once in a financial year
Source of Payment	Paid out of profit earned in the previous financial year	Paid:- (i) Out of surplus in the profit and loss account (ii) Out of profit of the financial year in which such interim dividend is sought to be declared (iii) Profits generated by the Company till the quarter preceding the date of declaration of interim dividend
Quantum of Dividend	Members cannot declare dividend over and above the amount recommended by the Board	It shall not be declared at a rate higher than the average dividends declared by the Company during the immediately preceding three financial years

4. POWER TO DECLARE DIVIDEND

4.1 FINAL DIVIDEND

- ◆ While approving the financial statements and the appropriation of the profit for the previous financial year, the amount of dividend payable is also determined by the Board of directors of a company who decide how much to be paid to the shareholders and how much to retain in the business.
- ◆ These amounts vary from year to year depending upon the amount of profit earned by the company.
- ◆ The dividend recommended by the board of directors as mentioned in the Directors' Report is declared' at the annual general meeting of the company.
- ◆ This constitutes an item of ordinary business to be transacted at every annual general meeting.
- ◆ It may be noted that the shareholders may declare a dividend which is lesser than the amount recommended by the Board. However, it cannot declare dividend over and above the amount recommended by the Board.

Article 80 of Table F of schedule I states that 'The company in general meeting may declare dividends, but no dividend shall exceed the amount recommended by the Board.

4.2 INTERIM DIVIDEND

- ◆ As per **Section 123(3)**, the **Board of Directors of a company may declare interim dividend during any financial year or at any time during the period from closure of financial year till holding of the annual general meeting.**
- ◆ Out of the surplus in the profit and loss account or out of profits of the financial year for which such interim dividend is sought to be declared or out of profits generated in the financial year till the quarter preceding the date of declaration of the interim dividend.
- ◆ It is also provided in **Article 81 of table F** that Subject to the provisions of section 123, the Board may from time to time pay to the members such interim dividends as appear to it to be justified by the profits of the company.

- ◆ The *declaration of interim dividend is dependent on the provisional financial statements or estimates.*
- ◆ *Therefore, before approving payment of interim dividend, the directors should satisfy themselves that the profit is available for distribution by way of dividend.*

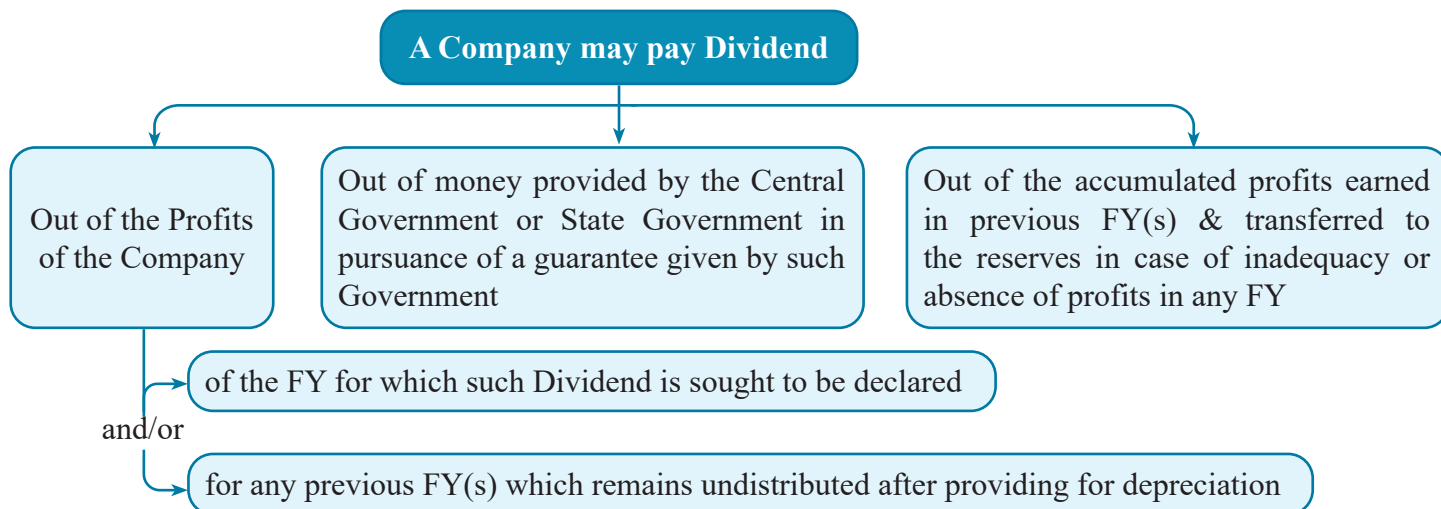
Note:

While Final Dividend is *recommended by the Board and declared by the Members, approval of Members is not required for declaration of Interim Dividend.*

Where a company has an Audit Committee, this *Committee shall consider the financial results* which shall thereafter be submitted to the Board for its consideration and declaration of Interim Dividend.

5. SOURCE OF PAYMENT OF DIVIDEND (SECTION 123)

Section 51 of the Act, states that a company may, if so authorized by its articles, pay dividend in proportion to the amount paid up on each share.



Depreciation shall be provided in accordance with the provisions of Schedule II.

In line with the requirements of ***fifth proviso to sub-section (1) of Section 123*** of the Act, ***no company shall declare Dividend unless carried over previous losses and depreciation*** not provided in the previous year or years are set off against profit of the company for the current year.

6. NON-ELIGIBILITY FOR DECLARATION OF DIVIDEND

A company shall also not declare any Dividend, if it has defaulted in:

- Redemption of debentures or payment of interest thereon or creation of debenture redemption reserve,
- Redemption of preference shares or creation of capital redemption reserve,
- Payment of Dividend declared in the current or previous financial year(s), or
- Repayment of any term loan to a bank or financial institution or interest thereon, till such time the default is subsisting.

- ◆ *No Dividend shall be declared by the company during the extended time, if any, granted by the Tribunal/ Court for repayment of above liabilities.*
- ◆ *No dividend shall be declared or paid by a company from its reserves other than free reserves.*
- ◆ *Dividend shall not be declared out of the Securities Premium Account or the Capital Redemption Reserve or Revaluation Reserve or Amalgamation Reserve or out of profits on re-issue of forfeited shares or out of profits earned prior to incorporation of the company.*

7. FREE RESERVES

Free reserves as defined under section 2(43) of the Companies Act, 2013 means such reserves which, as per the latest audited balance sheet of a company, are available for distribution as dividend:

Provided that the following shall not be treated as free reserves:

- Any amount representing unrealized gains, notional gains or revaluation of assets, whether shown as a reserve or otherwise, or
- Any change in carrying amount of an asset or of a liability recognized in equity, including surplus in profit and loss account on measurement of the asset or the liability at fair value.

Illustration:

In view of the provisions of the Companies Act, 2013 relating to 'securities premium', state whether the amount lying in securities premium account of a company can be used for payment of dividend declared by the company at its general meeting?

Solution: For payment of dividend declared by the company at its general meeting. Securities premium Account since not covered by section 123(1) *cannot be utilized for the purpose of declaring dividend.*

8. TRANSFER OF PROFITS TO RESERVE

- ◆ As per *Second Proviso to sub-section (1) of Section 123* of the Act provides that a company may, before the declaration of any Dividend in any financial year, transfer such percentage of its profits for that financial year as it may consider appropriate to the reserves of the company.
- ◆ Therefore, the transfer of profits to reserves is left to the discretion of the Board of Directors of the Company.
- ◆ A company shall *not declare Dividend on its equity shares* in case of *non-compliance of provisions relating to the acceptance of deposits* under the Act, till such time the deposits accepted have been repaid with interest in accordance with the terms and conditions of the agreement entered with the depositors.

9. DECLARATION OF DIVIDEND IN CASE OF LOSS OR INADEQUACY OF PROFIT

- ◆ *Third proviso to sub-section (1) of section 123* provides that owing to inadequacy or absence of profits in any financial year, if any company proposes to declare dividend out of the accumulated profits earned by it in previous years and transferred by the company to the free reserves, such declaration of dividend shall not be made except in accordance with such rules as prescribed in this behalf.
- ◆ The conditions for the declaration of dividend in case of inadequacy or absence of profits are prescribed in Rule 3 of the Companies (Declaration and Payment of Dividend) Rules, 2014.
- ◆ Rule 3 specifies that in the event of inadequacy or absence of profits in any year, a company may declare dividend out of free reserves subject to the fulfillment of the prescribed conditions.

As per Rule 3, the conditions for declaration of dividend in the event of inadequacy or absence of profits in any year are as follows:

Rate of Dividend	It shall not exceed the average of the rates at which dividend was declared by it in 3 years immediately preceding that year. (This rule shall not apply to a company, which has not declared any dividend in each of the 3 preceding financial year.)
Amount to be drawn	Total amount to be drawn from such accumulated profit shall not exceed 1/10th of the sum of its paid-up share capital and free reserves as appearing in the latest audited financial statement.
Utilisation of the amount	The amount so drawn shall first be utilised to set off the losses incurred in the financial year in which dividend is declared before any dividend in respect of equity shares is declared.
Balance of Reserve	The balance of reserves after such withdrawal shall not fall below 15% of its paid up share capital as appearing in the latest audited financial statement.

Test Yourself

XYZ Ltd., which has inadequacy of profits, proposes to declare Dividend out of general reserves. Following are the facts of the case:

- ◆ 17,500 preference shares of Rs. 100 each fully paid; (Dividend @ 9%)
- ◆ 7,00,000 equity shares of Rs. 10 each
- ◆ General reserves: Rs. 21,00,000
- ◆ Capital reserves: Rs. 3,50,000
- ◆ Securities premium: Rs. 3,50,000
- ◆ Surplus (P&L): Rs. 63,000
- ◆ Net profit for the year: Rs. 3,57,000
- ◆ Average rate of Dividend during the last three years: 15%
- ◆ Board of directors of the company wishes to declare 10% Dividend.
- ◆ Maximum amount that can be withdrawn: Rs. 10,91,300 [1/10 of (Rs. 17,50,000 + Rs. 70,00,000 + Rs. 21,00,000 + 63000)]
- ◆ Permissible withdrawal from the balance of Reserves: Rs. 8,50,500

Calculation

- ◆ 15% of total capital Rs. 87,50,000 to be retained in the Reserves i.e. Rs. 13,12,500
- ◆ General Reserves: [Rs. 21,00,000 + 63000 (Surplus-P&L)]
- ◆ Maximum amount that can be taken from Reserves: Rs. 8,50,500 (Rs. 21,63,000 – Rs. 13,12,500)
- ◆ Available profits: Rs. 2,62,500 (Rs. 63,000 + Rs. 3,57,000 – Rs. 1,57,500); [Rs. 1,57,500 is 9% preference Dividend on 17,500 preference shares of Rs.100 each]

- ◆ Dividend desired to be declared by the Board of the company: Rs. 7,00,000
- ◆ Profit available for declaration of Dividend: Rs. 2,62,500
- ◆ Balance amount that can be withdrawn from Reserves: Rs. 4,37,500 (Rs. 7,00,000 – Rs. 2,62,500).

Hence, company can declare Dividend @ 10%

10. DIVIDEND DISTRIBUTION POLICY

While considering the financial statements for declaration of Dividend, the Board should take into account the Dividend Policy of the company, if any.

The various determinants of the Dividend Policy ordinarily include:

- (a) **Legal and contractual restrictions:** This includes the restrictions/ conditions imposed under the applicable laws or by the financial institutions/banks in the loan agreement;
- (b) **Earnings of the company:** Current earnings provide the best index of what a company can pay;
- (c) **Cash position and liquidity:** The cash position of a company is an important consideration in paying Dividends, the greater the cash availability and overall liquidity the greater is the ability to pay Dividend;
- (d) **Financial needs:** There are many financial needs of a company such as meeting the cost of capital borrowed, non-availability of external capital and making provisions for any expansion or growth plans of the company;
- (e) **Tax considerations:** The tax burden is a determining factor in the formulation of a Dividend Policy.

As per Regulation 43A of SEBI (LODR) Regulations, 2015, the top 1000 listed entities based on market capitalization (calculated as on March 31 of every financial year) shall formulate a dividend distribution policy which shall be disclosed on the website of the listed entity and a web-link shall also be provided in their annual reports.

The dividend distribution policy shall include the following parameters:

- ◆ The circumstances under which the shareholders of the listed entities may or may not expect dividend;
- ◆ The financial parameters that shall be considered while declaring dividend;
- ◆ Internal and external factors that shall be considered for declaration of dividend;
- ◆ Policy as to how the retained earnings shall be utilized; and
- ◆ Parameters that shall be adopted with regard to various classes of shares.

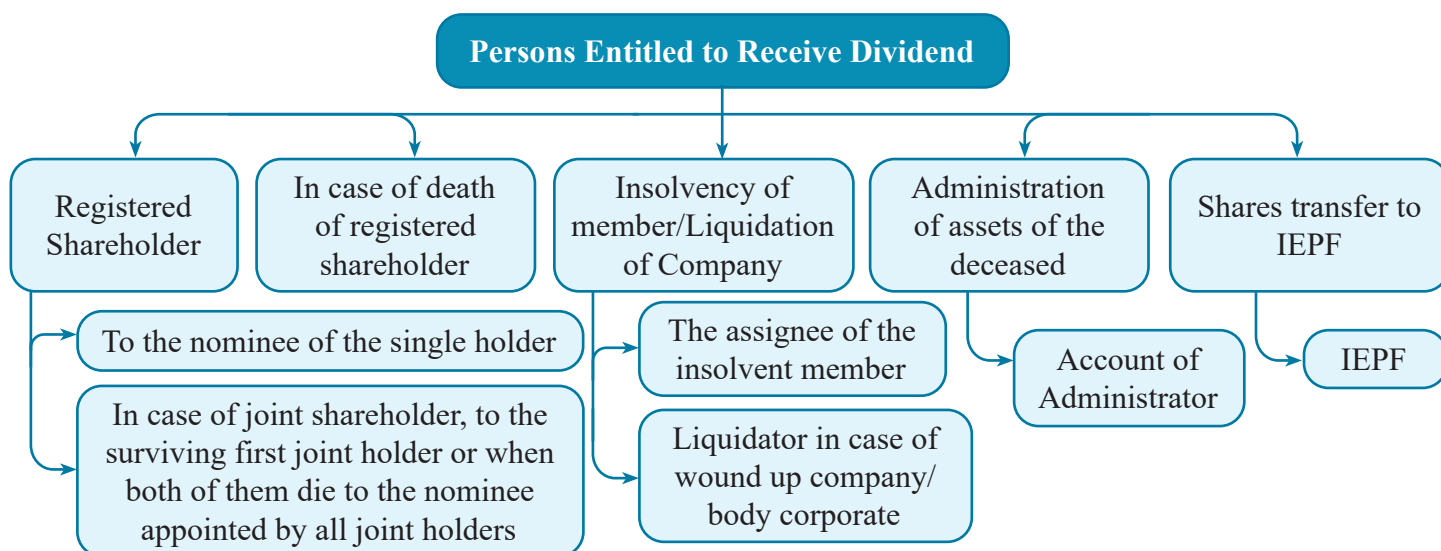
If the listed entity proposes to declare dividend on the basis of parameters in addition to clauses (a) to (e) or proposes to change such additional parameters or the dividend distribution policy contained in any of the parameters, it shall disclose such changes along with the rationale for the same in its annual report and on its website.

The listed entities other than those specified at sub-regulation (1) of this regulation may disclose their dividend distribution policies on a voluntary basis on their websites and provide a web-link in their annual reports.

11. DATE FOR DETERMINING ENTITLEMENT TO DIVIDEND

- ◆ The company may close its registers or fix a record date for deciding the entitlement to receive dividend.
- ◆ **Regulation 60 of SEBI (LODR) Regulations, 2015** provides for fixing of record date for payment of dividend.
- ◆ All shareholders on the record date irrespective of the holding period of shares shall be eligible to receive dividend.
- ◆ In case of unlisted companies, the company may close its register of members by complying with provision of **section 91 of the Act**.

12. PERSONS ENTITLED TO DIVIDEND



13. DIVIDEND ON PREFERENCE SHARES

- ◆ Preference shares carry a preferential right as to Dividend in accordance with the terms of issue. However, this right is subject to the availability of distributable profits. Since the Dividend on preference shares is governed by the terms of issue already approved by the Shareholders, the Board may declare Dividend on such shares in accordance with the terms of issue.
- ◆ The right of Preference Shareholders to receive Dividend is subject to the availability of distributable profits and it may be noted that this right is not to receipt of Dividend but to preferential treatment if and when Dividend is declared.
- ◆ Dividend on preference shares can be paid out of free reserve subject to its declaration.
- ◆ If there are two or more classes of preference shares, the holders of the class which has priority are entitled to their preference dividend before any dividend is paid in respect of the other class, if the terms of issue so provide.

14. DIVIDEND ON EQUITY SHARES WITH DIFFERENTIAL RIGHTS SHARES

- ◆ Where a company issues equity shares with differential rights as to Dividend, the terms of issue of such shares shall govern the rights of each such class of holders as to receipt of Dividend.
- ◆ Subject to the rights of persons, if any, entitled to shares with special rights as to Dividends, all Dividends shall be declared and paid according to the amounts paid or credited as paid on the shares in respect whereof the Dividend is paid, but if and so long as nothing is paid upon any of the shares in the company, Dividends may be declared and paid according to the amounts of the shares.

15. DIVIDEND IN CASE OF BENEFICIAL OWNER

- ◆ As provided under Section 89(9) of the Companies Act, 2013, the obligation of the company of payment of dividend is towards the member and not towards the beneficial owner.
- ◆ However, the dividend may be paid to a beneficial owner where the shareholder instructs the company to do so.
- ◆ Since, sub-section (5) of Section 123 includes payment of dividend to registered shareholder or “to his order”, the company shall pay the dividend according to the instruction given.

16. DECLARATION OF DIVIDEND

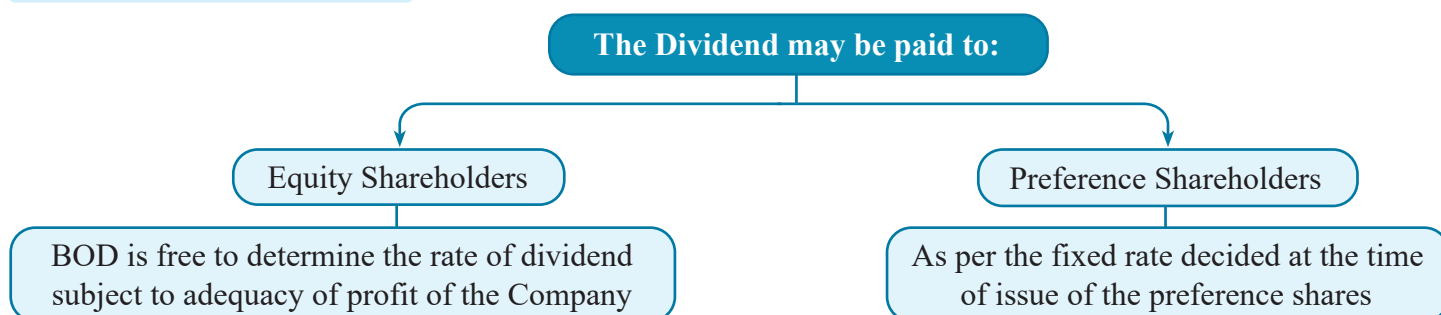
- ◆ Dividend being an important decision and having impact on the financial position of the company should be considered at a meeting of the Board and not at a meeting of a committee of the Board or by way of a Resolution passed by circulation.
- ◆ Unless the Dividend has been recommended by the Board, Members in Annual General Meeting cannot on their own declare any Dividend.
- ◆ Where a company has an Audit Committee, this Committee shall consider the annual financial statements before submission to the Board. Dividend shall be recommended by the Board after consideration and approval of said financial statements.
- ◆ The listed entity shall recommend or declare all dividend and/or cash bonuses at least five working days (excluding the date of intimation and the record date) before the record date fixed for the purpose.

17. DIVIDEND TO BE DEPOSITED IN SEPARATE BANK ACCOUNT

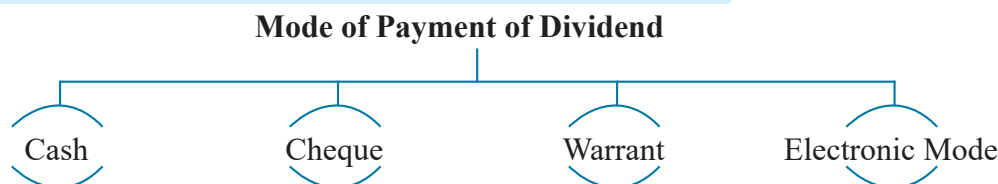
In terms of sub-section (4) of Section 123 of the Act, the amount of Dividend, including Interim Dividend, shall be deposited in a scheduled bank in a separate account within 5 days from the date of declaration of such Dividend. Any amount which remains unpaid or unclaimed after the period of 30 days shall be transferred to the Unpaid Dividend Account to be opened by the company.

SS-3 hereby clarifies that the Dividend shall be deposited in a separate bank account within five days from the date of declaration and shall be paid within thirty days of declaration. The intervening holidays, if any, falling during such period shall be included

18. RATE OF DIVIDEND



19. MODE OF PAYMENT OF DIVIDEND [SECTION 123(5)]



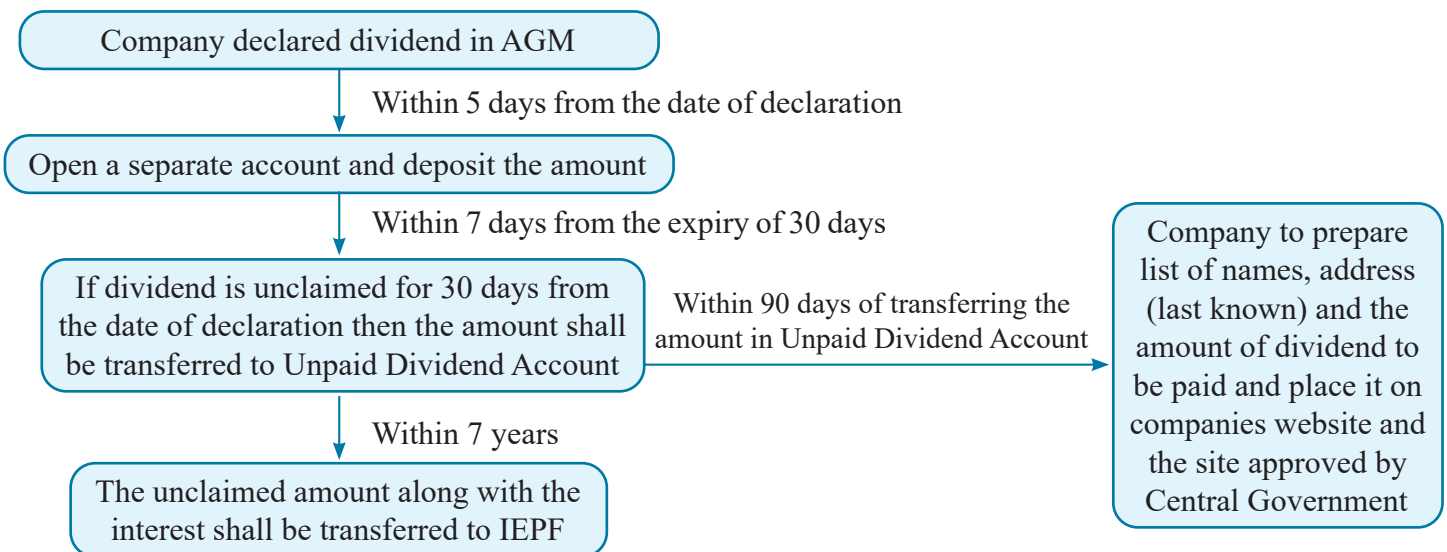
- ◆ Dividend can be paid in cash and not in kind.

Where a company gifts to its shareholders, shares held by it in another company under a scheme, it is nothing but payment of dividend in kind which is expressly prohibited under section 123; hence, such scheme could not have been sanctioned.
- ◆ Dividend payable in cash may be paid through payable at par cheque or warrant or in any electronic mode of payment approved by the Reserve Bank of India.

- ◆ Closely held companies also use the method of purchasing demand drafts on the name of the shareholders. In such situation dividend would be treated as paid on the date of issue of demand draft by bank by debiting dividend account of the company.
- ◆ Where payment of Dividend is not possible through any electronic mode, such Dividend shall be paid by way of cheque payable at par or Dividend warrant.

20. UNPAID DIVIDEND ACCOUNT (SECTION 124)

- ◆ The company is required to deposit the amount of dividend in a separate bank account in a scheduled bank within 5 days from the date of its declaration.
- ◆ In case dividend has been declared by a company but has not been paid to or claimed by any shareholder entitled to the payment of the dividend within 30 days from the date of declaration, the company shall within 7 days from the date of expiry of the said period of 30 days, transfer the total amount of dividend which remains unpaid or unclaimed to a special bank account to be opened by the company in that behalf in any scheduled bank to be called “Unpaid Dividend Account”.
- ◆ The company shall, within a period of 90 days of making any transfer of an amount to the Unpaid Dividend Account, prepare a statement containing the names, their last known addresses and the unpaid dividend to be paid to each person and place it on the web-site of the company, if any, and also on any other web-site approved by the Central Government for this purpose, in such form, manner and other particulars as may be prescribed.
- ◆ Section 124(5) prescribes that, any money transferred to the Unpaid Dividend Account of a company in pursuance of this section which remains unpaid or unclaimed for a period of seven years from the date of such transfer shall be transferred by the company along with interest accrued, if any, thereon to the Investor Education and Protection Fund and the company shall send a statement in the prescribed form of the details of such transfer to the authority which administers the said Fund and that authority shall issue a receipt to the company as evidence of such transfer.



21. THE INVESTOR EDUCATION AND PROTECTION FUND (IEPF) (SECTION 125)

Section 125 of the Act along with various Rules framed from time to time including Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016 deal with the Investor Education and Protection Fund (IEPF). This fund, being established by the Central Government, shall be credited with specified amounts and utilized for refund of unclaimed and unpaid amounts, promotion of investors' awareness and protection of the interests of investors, etc.

The relevant provisions are discussed below:

21.1 CREDIT OF SPECIFIED AMOUNTS TO THE FUND

Following specified amounts shall be credited to the Fund:

- I. Amount given by the Central Government-** The amount given by the Central Government by way of grants after due appropriation made by Parliament;
- II. Donations by the Central Government-** Donations given by the Central Government, State Governments, companies or any other institution for the purposes of the Fund;
- III. Amount lying in the Unpaid Dividend Account-** The amount lying in the Unpaid Dividend Account (UDA) of companies which is transferred by them to the Fund under section 124(5);
- IV. Amount in the General Revenue Account of the Central Government-** The amount in the General Revenue Account of the Central Government which had been transferred to that account under section 205A(5) of the Companies Act, 1956 as it stood immediately before the commencement of the Companies (Amendment) Act, 1999 and remaining unpaid or unclaimed on the commencement of the Act of 2013;
- V. Amount in IEPF-** The amount lying in the Investor Education and Protection Fund under section 205C of the Companies Act, 1956;
- VI. Income from Investments-** The interest or other income received out of investments made from the Fund;
- VII. Amount received through disgorgement or disposal of Securities-** The amount received under section 38(4) i.e., amount received through disgorgement or disposal of securities seized from a person who has been convicted for personation for acquisition of securities as provided in section 38(3);
- VIII. Application Money-** The application money received by companies for allotment of any securities and due for refund (only if such amount has remained unclaimed and unpaid for a period of seven years from the date it became due for payment);
- IX. Matured Deposits-** Matured deposits with companies other than banking companies (only if such amount has remained unclaimed and unpaid for a period of seven years from the date it became due for payment);
- X. Matured Debentures-** Matured debentures with companies (only if such amount has remained unclaimed and unpaid for a period of seven years from the date it became due for payment);
- XI. Interest-** Interest accrued on the amounts referred to in clauses (h) to (j);
- XII. Amount received from Sale Proceeds-** Amount received from sale proceeds of fractional shares arising out of issuance of bonus shares, merger and amalgamation for seven or more years;
- XIII. Redemption Amount-** Redemption amount of preference shares remaining unpaid or unclaimed for seven or more years; and
- XIV. Other Amounts-** Such other amounts as prescribed in Rule 3 of the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016. They are as under:
 - (a) All amounts payable as mentioned in clause (a) to (n) of section 125 (2) of the Act [as stated above];
 - (b) All shares in accordance with section 124 (6) i.e. all those shares in whose case dividends have not been claimed or paid for seven consecutive years or more;
 - (c) All the resultant benefits arising out of shares held by the Authority under clause (b) above;
 - (d) All grants, fees and charges received by the Authority under these rules;
 - (e) All sums received by the Authority from such other sources as may be decided upon by the Central Government;
 - (f) All income earned by the Authority in any year;

- (g) All amounts payable as mentioned in sub-section (3) of section 10B of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970, section 10B of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1980 sub-section (3) of section 38A of the State Bank of India Act, 1955 and section 40A of the State Bank of India (Subsidiary Bank) Act, 1959; and
- (h) All other sums of money collected by the Authority as envisaged in the Act.

Further, according to Rule 3 (3), in case of term deposits and debentures of companies, due unpaid or unclaimed interest shall be transferred to the Fund along with the transfer of the matured amount of such term deposits and debentures.

21.2 UTILIZATION OF THE FUND

According to section 125 (3) the Fund shall be utilized for-

- ◆ Refund of unclaimed dividends, matured deposits, matured debentures, the application money due for refund and interest thereon;
- ◆ Promotion of investors' education, awareness and protection;
- ◆ Distribution of any disgorged amount among eligible and identifiable applicants for shares or debentures, shareholders, debenture-holders or depositors who have suffered losses due to wrong actions by any person, in accordance with the orders made by the Court which had ordered disgorgement;
- ◆ Reimbursement of legal expenses incurred in pursuing class action suits under sections 37 and 245 by members, debenture-holders or depositors as may be sanctioned by the Tribunal; and
- ◆ Any other purpose incidental thereto in accordance with the rules framed under the Investor Education and Protection Fund Authority (Accounting, Audit, Transfer and Refund) Rules, 2016.

Refund of Amount-

A person amounts referred to in clauses (a) to (d) of sub-section (2) of section 205C were ***transferred to IEPF, after the expiry of 7 years*** as per provisions of the Companies Act, 1956, shall be entitled to get refund out of the fund in respect of such claims in accordance with rules made under this section.

21.3 APPLICATION TO THE AUTHORITY FOR PAYMENT

According to section 125 (4), any person claiming to be entitled to the amount referred in section 125 (2) may apply to the Authority constituted under section 125 (5) for the payment of the money claimed.

21.4 OTHER PROVISIONS GOVERNING THE IEPF

Constitution of the Authority for Administration of Fund

In terms of Notification dated 13.01.2016, the Ministry of Corporate Affairs has notified sub-section (5), sub-section (6) (except with respect to the manner of administration of the Fund) and sub-section (7) of section 125 of the Act w.e.f. 13.01.2016. With this Notification, an Authority is being constituted for the administration and maintenance of accounts as well as other relevant records of the Fund.

Further, with the notification of IEPF Authority (Appointment of Chairperson and Members, holding of Meetings and provision for Offices and Officers) Rules, 2016 on 13.01.2016, the Secretary, ***Ministry of Corporate Affairs shall be the ex-officio Chairperson of the Authority.*** In addition, there shall be ***six members (maximum limit seven)*** and a ***Chief Executive Officer who shall be the convenor of the Authority.***

Provision of required Resources by the Central Government for Administration of the Fund

The Central Government may provide to the Authority such offices, officers, employees and other resources in accordance with the IEPF Authority (Appointment of Chairperson and Members, holding of Meetings and provision for Offices and Officers) Rules, 2016.

Authority to Work in Consultation with CAG of India

The Authority shall administer the Fund and maintain separate accounts and other relevant records in relation to the Fund in such form as may be prescribed after consultation with the Comptroller and Auditor- General of India.

Spending of Money

The Authority shall be competent to spend money out of the Fund for carrying out the objects specified in section 125 (3) i.e. purposes for which the fund shall be utilized.

Audit of the Fund

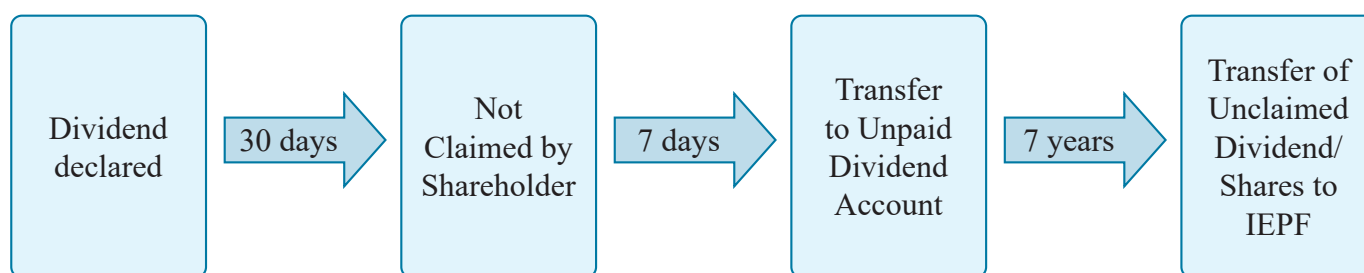
The accounts of the Fund shall be audited by the Comptroller and Auditor-General of India at such intervals as may be specified by him. Such audited accounts together with the audit report thereon shall be forwarded annually by the Authority to the Central Government.

Preparation of Annual Report by the Authority

For each financial year, the Authority shall prepare in the prescribed form and at prescribed time its annual report giving full account of its activities during the financial year and forward a copy thereof to the Central Government. In turn, the Central Government shall cause the annual report and the audit report given by the Comptroller and Auditor General of India to be laid before each House of Parliament.

22. PENALTY FOR DEFAULT IN COMPLYING WITH SECTION 124

Company	Penalty of <i>one lakh rupees</i> and in case of continuing failure, with a further penalty of <i>five hundred rupees</i> for each day after the first during which such failure continues, subject to a <i>maximum of five lakh rupees</i> .
Officer in default	Penalty of <i>twenty-five thousand rupees</i> and in case of continuing failure, with a further penalty of <i>two hundred rupees for each day</i> after the first during which such failure continues, subject to a <i>maximum of one lakh rupees</i> .



23. REVOCATION OF DIVIDEND

Dividend once declared becomes a debt to the company and therefore cannot be revoked once declared.

A Dividend once declared becomes a debt due to the Members and hence cannot be revoked. It gives rise to an enforceable obligation or creates a debt enforceable immediately or in the future

Dividend when proposed does not become a debt. The right of Members to claim Dividend arises only after the Dividend is declared either by the company in an Annual General Meeting or, in the case of Interim Dividend, by the Directors in a Board Meeting.

24. RIGHT TO DIVIDEND, RIGHTS SHARES AND BONUS SHARES TO BE HELD IN ABEYANCE PENDING REGISTRATION OF TRANSFER OF SHARES (SECTION 126)

Section 126 of the Companies Act, 2013 provides that where any instrument of transfer of shares has been delivered to any company for registration and the transfer of such shares has not been registered by the company, it shall, notwithstanding anything contained in any other provision of this Act—

- (a) Transfer the dividend in relation to such shares to the Unpaid Dividend Account referred to in section 124 unless the company is authorized by the registered holder of such shares in writing to pay such dividend to the transferee specified in such instrument of transfer; and
- (b) Keep in abeyance in relation to such shares, any offer of rights shares under clause (a) of sub-section (1) of section 62 and any issue of fully paid-up bonus shares in pursuance of first proviso to sub-section (5) of section 123.

25. PUNISHMENT FOR FAILURE TO DISTRIBUTE DIVIDENDS (SECTION 127)

Default	When a dividend has been declared by a company but has not been paid or the warrant in respect thereof has not been posted within 30 days from the date of declaration.
Punishment	◆ Every director of the company (if he is knowingly a party to the default), be punishable with imprisonment which may extend to two years and with fine which shall not be less than Rs.1000 for every day during which such default continues; and ◆ The company shall be liable to pay simple interest at the rate of 18% per annum during the period for which such default continues.
Circumstances under which no offences under this section is deemed to be committed	No offence under this section shall be deemed to have been committed:- (a) Where the dividend could not be paid by reason of the operation of any law; (b) Where a shareholder has given directions to the company regarding the payment of the dividend and those directions cannot be complied with and the same has been communicated to him; (c) Where there is a dispute regarding the right to receive the dividend; (d) Where the dividend has been lawfully adjusted by the company against any sum due to it from the shareholder; or (e) Where, for any other reason, the failure to pay the dividend or to post the warrant within the period under this section was not due to any default on the part of the company.
In case of Nidhi Company	Section 127 shall apply, subject to the modification that where the dividend payable to a member is one hundred rupees or less, it shall be sufficient compliance of the provisions of the section, if the declaration of dividend is announced in the local language in one local newspaper of wide circulation and announcement of the said declaration is also displayed on the notice board of the Nidhis for at least three months. – <i>Notification dated 5th June, 2015.</i>

26. SECRETARIAL STANDARD ON DIVIDEND (SS-3)

- ◆ The “*Secretarial Standard on Dividend*” (SS-3), formulated by the Secretarial Standards Board (SSB) of the Institute of Company Secretaries of India (ICSI) and issued by the Council of the ICSI, has been effective from 1st January 2018. Adherence to SS-3 is recommendatory.
- ◆ SS-3 prescribes a set of principles in relation to the declaration and payment of Dividend and matters related thereto on equity as well as preference share capital in accordance with the provisions of the Companies Act, 2013 and are in respect of Dividend as it relates to a going concern. These are equally applicable to Final as well as Interim Dividend unless otherwise stated.

- ◆ The principles enunciated in this Standard are in conformity with the provisions of the Companies Act, 2013 (Act). In addition, the provisions of the Securities Contracts (Regulation) Act, 1956 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 are applicable to listed companies.
- ◆ Any specific provision relating to Dividend in the Income tax Act, 1961 or under any other statute shall also be applicable.
- ◆ If due to subsequent changes in the Act or other applicable laws, a particular Standard or any part thereof becomes inconsistent with the Act or other applicable laws, the provisions of the Act or ***such applicable laws shall prevail***.
- ◆ ***SS-3 shall not apply to a company limited by guarantee not having share capital*** and does not deal with Dividend, if any, declared by companies under liquidation.

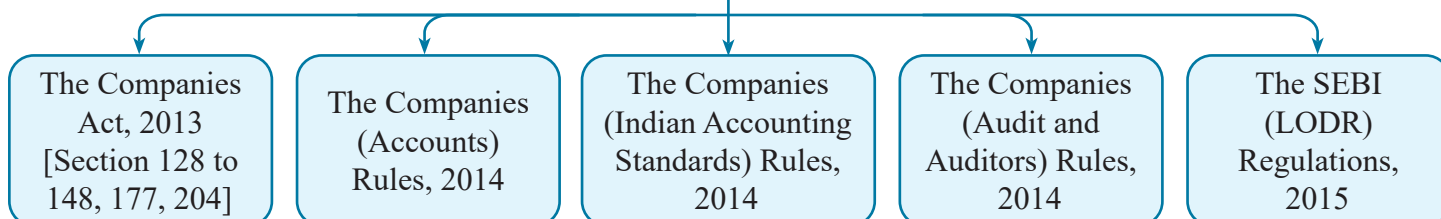
PAST YEAR QUESTIONS

The Board of Directors of Glass Making Ltd. have decided to declare interim dividend @ 18% for the current financial year of 2023-24. The company has incurred a loss of 107 Crore during the current financial year up-to quarter ended on 30th September, 2023. The company has declared dividend in the last four financial years, as below:

1. Examine the decision of the Board of Directors of Glass Making Ltd. as per the provisions of the Companies Act, 2023. **[Dec. 2023 (3 Marks)]**
2. Which parameters shall be included in the Dividend Distribution Policy by the top 500 listed entities as per the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015? **[June 2022 (5 Marks)]**
3. Failure to distribute dividend always attracts punishment. **[Dec. 2022 (5 Marks)]**
4. Lalchand Ltd. proposes to declare dividend in the current year and provides you the following information:
Dividend declared in the past years 2019-2020, 2020-2021, 2021-2022 is 10%, 12% and 14% respectively relevant provisions of the Companies Act, 2013. Assume that no adequate profit was available in the current year for distribution of dividend. **[Dec. 2022 (5 Marks)]**
5. Examine the validity of the following:
XYZ Ltd. wants to declare the dividend out of the current year profit without adjusting the previous year's carry forward losses and depreciation.
Board of Directors of XYZ Ltd. wants to declare interim dividend after the end of financial year. **[Dec. 2021 (3 Marks)]**

ACCOUNTS AND AUDITORS

Regulatory Framework



1. INTRODUCTION

There is a need for disclosing the annual information to the shareholders by the directors about the working and financial position of the company so that the shareholders are aware of the affairs of the company.

The Companies Act, 2013, lays down various provisions related to maintenance of proper books of account of the companies.

2. IMPORTANT DEFINITIONS [SECTION 2]

“Book and paper” and “Book or paper” –

As per *section 2(12)* of the Act, “book and paper” and “book or paper” include books of account, deeds, vouchers, writings, documents, minutes and registers maintained on paper or in electronic form.

“Books of Account”

As per *section 2 (13) of the Act*, “books of account” includes records maintained in respect of-

- All sums of money received and expended by a company and matters in relation to which the receipts and expenditure take place;
- All sales and purchases of goods and services by the company;
- The assets and liabilities of the company;
- And the items of cost as may be prescribed under section 148 of the Act in the case of a company which belongs to any class of companies specified under that section.

“Financial Statement” –

As per *section 2(40)* of the Act, a financial statement in relation to a company includes:

- A balance sheet as at the end of the financial year;
- A profit and loss account, or in the case of a company carrying on any activity not for profit, an income and expenditure account for the financial year;
- Cash flow statement for the financial year;
- A statement of changes in equity, if applicable;
- And any explanatory note annexed to, or forming part of, any document referred to in sub-clause (i) to sub-clause (iv).

“Financial Year” –

According to *section 2(41)* of the Act “**financial year**”, in relation to any company or body corporate, means the *period ending on the 31st day of March every year*, and where it has been incorporated on or after the 1st day of January of a year, the period ending on the 31st day of March of the following year.

“Branch Office” –

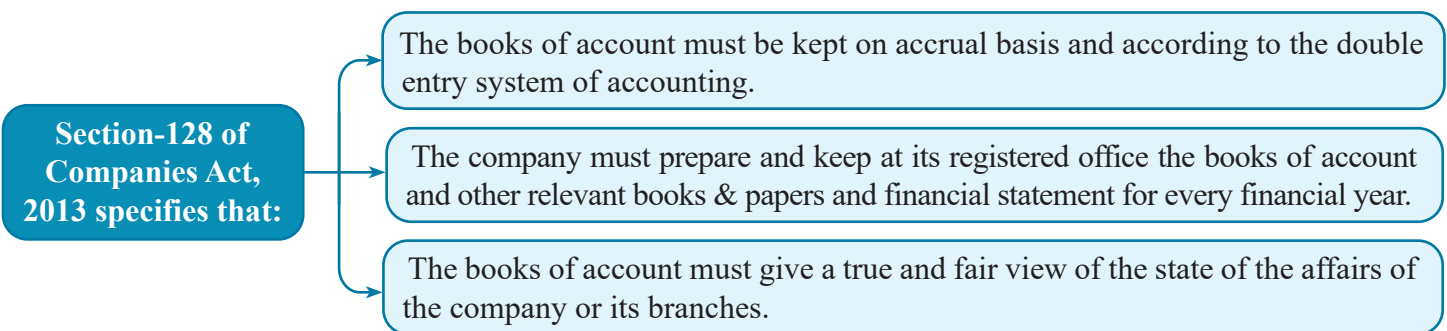
According to *section 2(14)*, a branch office in relation to a company means any establishment described as such by the company.

3. BOOKS OF ACCOUNTS

- ◆ All business establishments and companies are required to keep a record of their *day-to-day business and financial transactions* in order to know the result of their operations.
- ◆ The said record is referred to as “**books of accounts**”. For the preparation of annual accounts, the maintenance of proper books of account is a must.
- ◆ **Section 128** of the Companies Act, 2013 contains the provisions for books of account, etc. to be kept by the company.

3.1 REQUIREMENT OF KEEPING BOOKS OF ACCOUNTS (SECTION 128)

Every company shall prepare and keep at its registered office books of account and other relevant books and papers, and financial statements for every financial year.



3.2 PLACE OF KEEPING BOOKS OF ACCOUNT

Section 128(1) of the Act requires *every company to prepare and keep the books of account* and other relevant books and papers and financial statements *at its registered office*.

However, all or any of the books of accounts may be kept at such *other places in India as the Board of directors may decide*.

When the Board so decides, the company is required *within 7 days* of such decision to file with the Registrar of Companies a notice in writing giving the full address of that other place. Such intimation is to be made in *e-form AOC-5 to the RoC*.

Test Yourself

1. ABC Ltd. is having its branch office in Jodhpur, Udaipur and Bhiwadi. Is maintenance of books required at all the branch offices?

What is required by Registered office regarding maintenance of Books of Account of branch offices?

Ans. As per *section 128* of Companies Act, 2013, *every branch office should maintain proper books of account*. Proper summarized returns periodically are to be sent by the branch office to the Company at its registered office.

3.3 MAINTENANCE OF BOOKS OF ACCOUNT IN ELECTRONIC FORM [RULE 3 OF THE COMPANIES (ACCOUNTS) RULES, 2014]

Books of account and other relevant papers may be **maintained in electronic mode**.

Such **electronic records** must remain **accessible in India at all times** for future reference and usage.

As per the Information Technology Act, 2000:

- ◆ “**Electronic form**” refers to information that is **generated, sent, received, or stored** in magnetic, optical, computer memory, microfilm, or computer-generated microfiche.
- ◆ “**Electronic record**” includes **data, images, sounds, or any record** stored or transmitted electronically.

From April 1, 2023 onwards, companies using accounting software must ensure the software:

- ◆ Has an **audit trail** feature to record **each and every transaction**.
- ◆ Maintains an **edit log** showing **all changes** made to the books of account along with **dates** of such changes.
- ◆ Ensures the **audit trail feature cannot be disabled**.

The records must be:

- ◆ **Preserved in their original format** or in a format that **accurately represents the original data**.
- ◆ **Kept complete and unaltered**, including information received from **branch offices**, which must reflect exactly what was originally received.

The electronic records must be:

- ◆ **Legible** and capable of being **displayed clearly**.
- ◆ Maintained with a **proper system** for **storage, retrieval, display, or printout** as decided by the **Audit Committee or Board of Directors**.

Such electronic records **must not be destroyed** or rendered unusable unless **legally permitted**.

A **daily backup** of the books of account and other papers, including those maintained **outside India**, must be stored on **servers located physically in India**.

At the time of filing the **financial statement each year**, the company must **inform the Registrar** of the following:

- ◆ **Name of the service provider;**
- ◆ **Internet Protocol (IP) address** of the service provider;
- ◆ **Location** of the service provider (if applicable);
- ◆ If using **cloud storage**, the **address provided by the service provider**.

If the **service provider is based outside India**, the company must also disclose the **name and address of the person in control** of the books of account and other records **within India**.

3.4 BOOKS OF ACCOUNT IN RESPECT OF BRANCH OFFICE

- ◆ **Branch offices**, whether located **in India or abroad**, must **maintain books of account** for their transactions **in the same manner** as prescribed under **Section 128(1)** of the Companies Act, 2013.
- ◆ **Books of account and other records** maintained in India must be **available for inspection** at the **registered office** or any other place in India, **during business hours**, by **any director** of the company.
- ◆ In the case of a **subsidiary company**, inspection can only be conducted by a person **authorized by a Board resolution**.
- ◆ **Officers and employees** of the company are required to **cooperate fully** and provide **reasonable assistance** during such inspections.
- ◆ For **books of account maintained outside India**, a **proper, summarized return** must be sent to the **registered office** of the company **on a quarterly basis**.

These summarized returns must be:

- ◆ Maintained at the registered office, and
- ◆ Kept open for inspection by the company's directors.

If a director needs any **other financial information** maintained outside India, they must:

- ◆ Submit a **written request** specifying the **exact details** and **period** of the financial information required.

Upon receiving the request, the company must **provide the information within 15 days** from the date of receipt.

Such a request must be made **personally by the director** and **not through a power of attorney holder, agent, or representative**.

3.5 PRESERVATION OF BOOKS OF ACCOUNTS

The books of account of every company shall be kept in good order for a *period related to not less than eight financial years immediately preceding a financial year*, or where the company had been in existence for a period less than eight years, in respect of all the preceding years along with the vouchers relevant to any entry in such books of account. [Section 128(5)]

However, where an investigation has been ordered in respect of the company, the Central Government may direct that the books of account *may be kept for such a longer period as it may deem fit*.

3.6 PERSONS RESPONSIBLE TO MAINTAIN BOOKS

According to *section 128(6)* of the Act, the following persons are responsible for taking all reasonable steps to secure compliance by the company with the requirement of maintenance of books of accounts etc.

(i) Managing Director;

(ii) Whole-Time Director, in charge of finance;

(iii) Chief Financial Officer; or

(iv) Any other person of a company charged by the Board with duty of complying with provisions of section 128 of the Act.

Penalty

In case the aforementioned persons referred to in *Section 128(6) of the Act* (i.e. MD, WTD, CFO etc.) contravene such provisions, they shall in respect of each offence, be punishable with fine which shall not be less than: *fifty thousand rupees, but which may extend to five lakh rupees*.

4. FINANCIAL STATEMENT [SECTION 129]

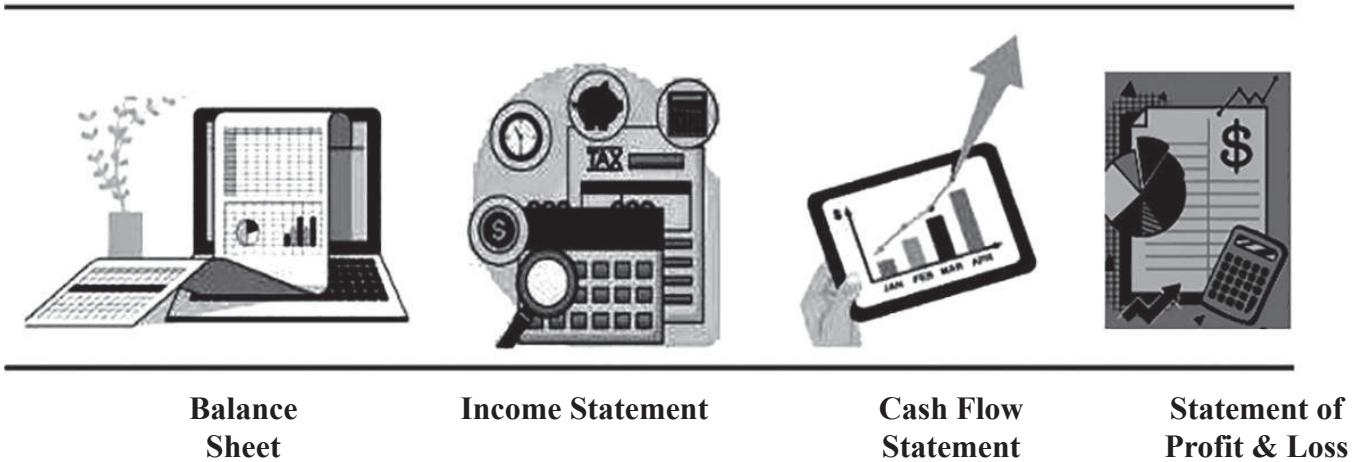
The financial statements shall *give a true and fair view* of the state of affairs of the company or companies in the form as provided for different classes or classes in **Schedule III** and shall comply with accounting standards notified *under section 133* of the Companies Act.

However, insurance companies, banking companies, companies engaged in generation/supply of electricity or any other class of companies shall make financial statements in the form as has been specified in or under the Act governing such class of companies [Proviso to Section 129(1)].

The financial statement shall be laid in the annual general meeting of that financial year [Section 129(2)].

Any reference to the financial statement shall include any notes annexed to or forming part of such financial statement, giving information required to be given and allowed to be given in the form of such notes under the Companies Act, 2013.

Financial Statement Examples



4.1 FINANCIAL STATEMENT MUST GIVE TRUE AND FAIR VIEW

Every **financial statement** of a company must present a **true and fair view** of the **company's financial position** as on the last day of the financial year, in accordance with **Section 129(1) and (2)** of the Companies Act, 2013.

To reflect a **true and fair view**, the financial statement must:

- ◆ **Comply with accounting standards** as notified under **Section 133** of the Act.
- ◆ Be prepared in the **prescribed form** as specified in **Schedule III**, according to the **class of company**.

Companies governed by **specific sectoral laws** (such as insurance, banking, or electricity) are deemed to provide a **true and fair view**, even if they **omit disclosures** not required under their respective statutes. This includes:

- ◆ **Insurance companies** – exempt from disclosing matters not required by the **Insurance Act, 1938** or **IRDAI Act, 1999**.
- ◆ **Banking companies** – exempt from disclosing items not required by the **Banking Regulation Act, 1949**.
- ◆ **Electricity generation/supply companies** – exempt under the **Electricity Act, 2003**.
- ◆ **Other companies governed by separate laws** – exempt from disclosing matters not required under those specific laws.

If a company's **financial statements deviate** from the accounting standards under **Section 129(1)**, the following must be clearly disclosed:

- ◆ The **nature of deviation**;
- ◆ The **reasons** for such deviation; and
- ◆ The **financial impact**, if any, resulting from it.

The **Board of Directors** is required to lay before members at the AGM the company's **financial statements** at every **Annual General Meeting (AGM)** for the relevant financial year

4.2 PERSONS RESPONSIBLE FOR COMPLIANCE

The persons responsible to take all reasonable steps to secure compliance by the company with the requirements of Section 129(7) of the Act, are:

1. Managing director

2. Whole-time director in charge of finance

3. Chief Financial Officer

4. Any other person of a company charged by the Board with the duty of complying with the requirements of section 129.

5. Where any of the aforementioned officers are absent, all the directors shall be responsible and punishable.

4.3 PENALTY

The **Central Government** may, either **suo-motu** or upon an application by a **class or classes of companies**, issue a **notification** to **exempt** such companies from the compliance of provisions under **Section 129** or the related rules.

Such an **exemption** may be granted:

- ◆ **In the public interest;**
- ◆ **Unconditionally or subject to conditions** specified in the notification.

As per **Section 129(7)**, if any **person responsible** fails to ensure compliance or **contravenes the provisions** of Section 129:

- ◆ They shall be **punishable for each offence** with:
 - ☞ **Imprisonment** for a term that may extend up to **one year**, or
 - ☞ A **fine** not less than **₹50,000** but which may extend to **₹5,00,000**, or
 - ☞ **Both imprisonment and fine.**

In the case of a **Government Company**, the provisions of **Section 129** shall **not apply** with respect to **Accounting Standard 17 (Segment Reporting)**, if the company is engaged in **defense production**.

4.4 FORM OF FINANCIAL STATEMENTS (SCHEDULE III)

The financial statements shall be in the form or forms as may be provided for different classes or classes of companies. **Schedule III** contains general instructions for preparation of balance sheet and statement of profit and loss account.

4.5 CONSOLIDATED FINANCIAL STATEMENTS

According to sub-section 3 of section 129 of the Companies Act, 2013, where a company **has one or more subsidiaries or associates**, it shall, in addition to its financial statements for the financial year, **prepare a consolidated financial statement** of the company and of all the subsidiaries and associate companies in the same form and manner as that of its own and in accordance with applicable accounting standard, which shall also be laid before the annual general meeting of the company along with the laying of its financial statement.

The Companies Act, 2013 has made preparation of consolidated accounts mandatory for all companies including unlisted companies and private companies **having one or more subsidiaries or associates or joint ventures**.

The company shall also attach along with its financial statement, a separate statement containing the **salient features of the financial statement** of its subsidiary/ies or associate/s or joint venture/s in **Form AOC-1 [Rule 5 of the Companies (Accounts) Rules, 2014]**.

4.6 MANNER OF CONSOLIDATION OF ACCOUNTS [RULE 6 OF THE COMPANIES (ACCOUNTS) RULES, 2014]

The consolidation of financial statements of the company shall be made in accordance with the provisions of Schedule III of the Act and the applicable accounting standards.

If a company falls under **Section 129(3)** but is **not required** to prepare consolidated financial statements under accounting standards, it will be considered compliant if it adheres to the requirements of **Schedule III** regarding consolidated financial statements.

A company is **exempt from preparing consolidated financial statements** if **all the following conditions** are satisfied:

1. The company is a **wholly-owned subsidiary** or a **partially-owned subsidiary**, and:
 - ☛ **All other members**, including non-voting ones, have been **intimated in writing**, and
 - ☛ **No objections** have been raised, and
 - ☛ The company maintains **proof of delivery** of such intimation.
2. The company's **securities are not listed**, and it is **not in the process of listing** on any stock exchange, **in India or abroad**.
3. The company's **ultimate or intermediate holding company** files its own **consolidated financial statements** with the **Registrar**, which comply with the applicable **accounting standards**.

4.7 PERIODICAL FINANCIAL STATEMENTS (SECTION 129A)

The Central Government may, require such class or classes of unlisted companies, as may be prescribed—

- (a) To prepare the financial results of the company on such a periodical basis and in such form as may be prescribed;
- (b) To obtain approval of the Board of Directors and complete audit or limited review of such periodical financial results in such manner as may be prescribed; and
- (c) File a copy with the Registrar *within a period of 30 days* of completion of the relevant period with such fees as may be prescribed.

5. RE-OPENING OF ACCOUNTS ON COURT'S OR TRIBUNAL'S ORDERS (SECTION 130)

Section 130 of the Act, provides for provisions relating to *re-opening or re-casting of books of accounts of the company*. Accordingly,

A company **cannot re-open its books of account** or **recast its financial statements**, unless permitted by an **order of a court or tribunal** upon application.

An application for such reopening can only be made by:

- ◆ The **Central Government**,
- ◆ The **Income-tax authorities**,
- ◆ The **Securities and Exchange Board of India (SEBI)**,
- ◆ Any other **statutory regulatory authority** or **concerned person**, and
- ◆ A **competent court or tribunal** must pass an order for reopening.

Reopening or recasting of financial statements is allowed **only on the following grounds**:

- ◆ The financial statements were **fraudulently prepared**; or
- ◆ The **company's affairs were mismanaged** during the relevant period, raising **doubts on the reliability** of the financial statements.

Before passing an order, the **Tribunal must issue notice** to:

- ◆ The **Central Government**,
- ◆ The **Income-tax authorities**,
- ◆ The **Securities and Exchange Board of India (SEBI)**,
- ◆ Any other **statutory regulatory authority or concerned person**.

The Tribunal must **consider any representations** made by these parties **before making its decision**.

The **revised or recast financial statements**, once approved under this section, shall be treated as **final**.

No order for reopening can be made for a period **earlier than eight financial years** immediately preceding the **current financial year**.

Exception: If the **Central Government** has directed the company under **Section 128** to maintain books of account for a **longer period**, the reopening may be ordered **within that extended period**.

5.1 VOLUNTARY REVISION OF FINANCIAL STATEMENTS OR BOARD'S REPORT [SECTION 131]

Under **Section 131** of the Companies Act, 2013, the **Board of Directors** may prepare:

- ◆ A **revised financial statement**, or
- ◆ A **revised Board's Report** for **any of the three preceding financial years**, if they believe there has been **non-compliance** with **Section 129** or **Section 134** of the Act.

Such revision is allowed **only after obtaining approval** from the **Tribunal**.

Before granting approval, the **Tribunal** must:

- ◆ Issue **notice** to the **Central Government** and the **Income-tax authorities**, and
- ◆ **Consider any representations** made by them.

A **revised statement or report** can be **prepared or filed only once in a financial year**.

The **Board's Report** for the financial year in which the revision is made must disclose:

- ◆ The **detailed reasons** for such revision.

If copies of the original financial statement or Board's Report have already been:

- ◆ **Circulated to members**,
- ◆ **Delivered to the Registrar**, or
- ◆ **Laid before the general meeting**, then revisions must be limited to:
- ◆ **Corrections necessary for compliance** with Sections 129 or 134, and
- ◆ Any **consequential changes** arising from such corrections.

6. SIGNING OF FINANCIAL STATEMENT [SECTION 134]

The financial statement, including consolidated financial statement, if any, *shall be approved by the Board of Directors before they are signed on behalf of the Board:*

- ◆ *By the chairperson* of the company where he is *authorized by the Board* or
- ◆ *By two directors* out of which *one shall be managing director, if any*, and
- ◆ *The Chief Executive Officer, the Chief Financial Officer and the Company Secretary of the company*, wherever they are appointed. (In the case of *One Person Company*, *only by one director*)

for submission to the auditor for his report thereon.

The auditors' report shall be attached to every financial statement. A report by its Board of Directors shall also be attached to statements laid before a company in general meeting.

7. RIGHT OF MEMBER TO COPIES OF AUDITED FINANCIAL STATEMENT [SECTION 136]

According to **section 136** of the Act, a copy of financial statements including the consolidated financial statement, if any, auditor's report along with every other document required by law to be annexed or attached to the financial statements which are to be laid before a company in its general meeting shall be sent to:

- ◆ Every member of the Company,
 - ◆ Every trustee for the debenture holder and
 - ◆ All other persons who are so entitled,
- Not less than 21 days before the date of the meeting.

Exceptions under Section 136 – Circulation of Financial Statements

I. In case of a Section 8 Company

- ☞ A copy of the financial statements, including consolidated financial statements (if applicable), along with the auditor's report and every other statutory annexure, must be sent to all entitled persons.
- ☞ This includes members, debenture trustees, and any other eligible individuals.
- ☞ These documents must be dispatched at least 14 days prior to the date of the general meeting.
- ☞ This exception is notified via Notification dated 5th June, 2015.

II. In case of a Nidhi Company

- (a) Section 136(1) applies with modifications for members holding either:
 - ❖ Shares with face value up to ₹1,000, or
 - ❖ Not more than 1% of the total paid-up share capital, whichever is lower.
- (b) For such members, it shall be sufficient compliance if:
 - ❖ A public notice is published in a newspaper circulated in the district of the Registered Office,
 - ❖ The notice specifies the date, time, and venue of the Annual General Meeting,
 - ❖ It also states that the financial statements and enclosures are available for inspection at the Registered Office,
 - ❖ Copies of such documents are affixed on the company's Notice Board, and
 - ❖ Members may vote in person or through proxy.

8. OBLIGATION OF LISTED COMPANY

In the case of a company whose shares are listed on a recognized stock exchange, provisions of **section 136** shall be deemed to have been complied with, if the copies of the documents are made available for inspection at its registered office, during working hours, *for a period of twenty-one days* before the date of the meeting and a statement containing the salient features of such documents in the prescribed form [**Form AOC-3**] or copies of the documents, as the company may deem fit, is sent to every member of the company and to every trustee for the holders of any debentures issued by the company not less than twenty-one days before the date of the meeting.

The Companies that are required to comply with the Companies (Indian Accounting Standards) Rules, 2015 shall forward their statement in **Form AOC-3A**.

9. MANNER OF CIRCULATION OF FINANCIAL STATEMENTS IN CERTAIN CASES – RULE 11 OF THE COMPANIES (ACCOUNTS) RULES, 2014

Further in case of all listed companies and such public companies which have a net worth of more than one crore rupees and turnover of more than ten crore rupees, the financial statements may be sent-

- (a) By electronic mode to such members whose shareholding is in dematerialized format and whose email ids are registered with Depository for communication purposes;

- (b) Where shareholding is held otherwise than by dematerialized format, to such members who have positively consented in writing for receiving by electronic mode; and
- (c) By dispatch of physical copies through any recognized mode of delivery as specified under section 20 of the Companies Act, 2013, in all other cases.

10. FINANCIAL STATEMENTS OF SUBSIDIARIES

Every company having a subsidiary or subsidiaries *shall provide a copy of separate audited or unaudited financial statements*, as the case may be, as prepared in respect of each of its subsidiaries to any member of the company who asks for it.

10.1 RIGHT TO INSPECT

Every company shall be under an obligation to allow every member or trustee of the holder of any debentures issued by the company to inspect the financial statements and documents to be attached thereto at its registered office during business hours.

In case if the listed company has sent the salient features of financial statements to members and debenture trustees in prescribed form then copy of financial statements including consolidated financial statement, if any, auditor's report along with every other document required by law to be annexed or attached to the financial statements shall be available for inspection at its registered office during working hours *for a period of 21 days before the date of meeting*.

10.2 PENAL PROVISIONS

If any default is made in complying with the provisions of **Section 136 of the Act**, the company shall be liable to a penalty of-

- (i) *Twenty-five thousand rupees*; and
- (ii) Every officer of the company who is in default shall be liable to a *penalty of five thousand rupees*.

11. COPY OF FINANCIAL STATEMENT TO BE FILED WITH REGISTRAR [SECTION 137]

Section 137 of the Act, requires every company to file the financial statements including the consolidated financial statement together with *Form AOC- 4 and AOC-4 (CFS, only where applicable)* with the Registrar of Companies (ROC) **within 30 days** from the day on which the annual general meeting was held and adopted the financial statements with such fees or additional fee as specified in Companies (Registration Offices and Fees) Rules, 2014.

If the financial statements are **not adopted** at the AGM or **adjourned AGM**, the **unadopted financials**, along with necessary documents, must still be **filed within 30 days** from the date of the AGM.

Such filings shall be **treated as provisional** by the ROC until they are **formally adopted** at the adjourned AGM.

When financial statements are **adopted in an adjourned AGM**, they must be **filed within 30 days** from the **date of the adjourned meeting**, along with **prescribed or additional fees**.

An OPC must file its **adopted financial statements** with the ROC within **180 days from the closure** of the financial year.

The financial statements must include the **accounts of foreign subsidiaries** that are:

- ◆ **Incorporated outside India**, and
- ◆ **Have not established a place of business in India**.

Exception for Unaudited Foreign Subsidiaries

- ◆ If a foreign subsidiary is:
 - ☞ **Not required to be audited** under its home country's laws, and
 - ☞ **Does not undergo an audit**,

- ☞ Then, the Indian holding company may file the **unaudited financial statement** along with a **declaration** to that effect.
- ☞ If the financial statement is in a **language other than English**, an **English-translated copy** must also be submitted.

If AGM is Not Held

- ◆ Where a company **fails to hold an AGM**, the **financial statements**, along with all **required documents**, must still be filed within **30 days from the last date** on which the AGM should have been held.
- ◆ The filing must include a **statement of facts and reasons for not holding the AGM**, and be done in the **prescribed manner** with applicable **fees or additional fees**.

Filing in XBRL Format

- ◆ Certain **classes of companies**, as may be notified by the **Central Government**, are **mandated** to file their financial statements in **Extensible Business Reporting Language (XBRL)** format.
- ◆ The **Central Government** may specify the **manner and procedure** of such filing through relevant **notifications** under **Rule 12(2) of the Companies (Accounts) Rules, 2014**.

12. RULE 3 OF THE COMPANIES (FILING OF DOCUMENTS AND FORMS IN XBRL) RULES, 2015

The following class of companies shall file their financial statements and other documents under **section 137** of the Act with the Registrar in **e-Form AOC-4 XBRL**:

- Companies listed with stock exchanges in India and their Indian subsidiaries;
- Companies having paid up capital of five crore rupees or above;
- Companies having turnover of one hundred crore rupees or above;
- All companies which are required to prepare their financial statements in accordance with Companies (Indian Accounting Standards) Rules, 2015, *irrespective of their capital or turnover*.

Provided that the companies preparing their financial statements under the Companies (Accounting Standards) Rules, 2006, Must file their financial statements using the **Taxonomy provided in Annexure-II of the Companies (Filing of Documents and Forms in XBRL) Rules, 2015**.

Exempted Entities

- ◆ The following entities are **exempt** from filing financial statements under the **XBRL Rules**:
 - ☞ **Non-Banking Financial Companies (NBFCs)**,
 - ☞ **Housing Finance Companies**, and
 - ☞ **Companies in the banking and insurance sector**.
 - ☞ **Power sector companies engaged in generation, transmission, or distribution of electricity**.

Continuation of XBRL Filing – Even if Not Mandated Later

- ◆ Companies that have previously filed financial statements under **Rule 3(1) of the XBRL Rules**,
 - ☞ Must **continue filing** in XBRL format,
 - ☞ Even if they are **no longer covered** under the applicable class of companies in the following years.

Continuation for Companies under 2011 XBRL Rules

- ◆ Companies that filed financial statements under the earlier **Companies (Filing of Documents and Forms in XBRL) Rules, 2011**,
 - ☞ Are also required to **continue filing** under **Rule 3(1)** of the current XBRL Rules,
 - ☞ Regardless of whether they still fall under the prescribed class of companies.

12.1 PENALTY FOR NON-COMPLIANCE

If the company fails to comply with the requirement of submission of a financial statement with RoC:

- ◆ The company shall be liable to a penalty of: **Rs.10,000** and in case of continuing failure, with a further penalty of **Rs.100 for each day** during which such failure continues, subject to a **maximum of Rs. 2 lakhs**, and
- ◆ The Managing Director and the Chief Financial Officer of the company, if any, and, in the absence of the Managing Director and the Chief Financial Officer, any other director who is charged by the Board with the responsibility of complying with the provisions of section 137, and, in the absence of any such director, all the directors of the company, shall be liable to a **penalty of Rs.10,000** and in case of continuing failure, with further penalty of **Rs.100 for each day** after the first during which such failure continues, subject to a **maximum of Rs.50,000**.

13. NATIONAL FINANCIAL REPORTING AUTHORITY (NFRA)

Section 132 of the **Companies Act, 2013** empowered the **Central Government** to establish a new regulatory authority called the **National Financial Reporting Authority (NFRA)**.

NFRA was officially notified on **1st October 2018** as a **regulatory body** with wide powers to **recommend, enforce, and monitor compliance with accounting and auditing standards**.

Under the **Companies Act, 1956**, the government had formed the **National Advisory Committee on Accounting Standards (NACAS)** to advise on accounting standards. This body has now been restructured and renamed as **NFRA**, with **enhanced independence and oversight powers**.

The authority operates through various **prescribed divisions**, enabling effective discharge of its responsibilities.

NFRA is tasked with:

- ◆ **Monitoring and enforcing compliance of auditing and accounting standards;**
- ◆ **Overseeing the quality of professionals involved in these compliances;**
- ◆ **Investigating professional and other misconduct by members and firms of Chartered Accountants.**

The authority also provides for an **appellate mechanism** to hear appeals against its orders.

Recognized as a **quasi-judicial body**, NFRA plays a crucial role in regulating matters concerning **accounting and auditing**.

With the growing importance of **non-financial reporting**, NFRA may evolve into a **National Business Reporting Authority**, overseeing both **financial and non-financial standards** in future.

Although NFRA makes **recommendations** regarding **accounting and auditing standards**, the final authority to **prescribe** such standards lies with the **Central Government**.

13.1 OBJECTIVES OF NFRA

The objectives of the National Financial Reporting Authority inter alia shall be as follows:

Make recommendations to the Central Government on formulation of accounting and auditing policies and standards for adoption by companies, class of companies or their auditors;

Monitor and enforce the compliance with accounting standards, monitor and enforce the compliance with auditing standards;

Oversee the quality of service of professionals associated with ensuring compliance with such standards and suggest measures required for improvement in quality of service, and

Perform such other functions as may be prescribed in relation to aforementioned objectives.

13.2 CONSTITUTION OF NFRA

The constitution of National Financial Reporting Authority (NFRA), which is supposed to be constituted as an oversight regulatory body to recommend accounting and auditing standards, is governed by sub-section and (4) of section 132 of the Act. Accordingly,

- (i) It consists of a chairperson, who shall be a person of eminence & having expertise in accountancy, auditing, finance, or law, to be nominated by Central Government, and such other prescribed members not exceeding 15 consisting of part-time and full-time members as prescribed.
- (ii) Each division of the National Financial Reporting Authority shall be presided over by the Chairperson or a full-time Member authorized by the Chairperson.
- (iii) There shall be an executive body of the National Financial Reporting Authority consisting of the Chairperson and full-time Members of such Authority for efficient discharge of its functions under sub section (2) of Section 132 of the Act [other than clause (a)] and sub-section (4) of Section 132 of the Act. Provided that the terms and conditions and the manner of appointment of the chairperson and members shall be such as prescribed.
- (iv) The chairperson and all members shall make a declaration in prescribed form about no conflict of interest or lack of independence in respect of their appointment. The chairperson and all full-time members shall not be associated with any audit firm or related consultancy firm during the course of their appointment and two years after ceasing to hold such appointment.
- (v) The Central Government may appoint a secretary and such other employees as it may consider necessary for the efficient performance of functions by the National Financial Reporting Authority under the Companies Act, 2013 and the terms and conditions of service of the secretary and employees shall be such as prescribed.
- (vi) The head office of the National Financial Reporting Authority is in New Delhi and it may meet at such other places in India as it deems fit.
- (vii) The National Financial Reporting Authority shall meet at such times and places and shall observe such rules of procedure in regard to the transaction of business at its meetings in such manner as prescribed.

13.3 MAINTENANCE OF BOOKS AND ACCOUNTS

The National Financial Reporting Authority shall maintain such books of account and other books in relation to its accounts in such form and in such manner as the Central Government may, in consultation with the Comptroller and Auditor-General of India, prescribe.

13.4 AUDIT OF NFRA AND ANNUAL REPORT TO CENTRAL GOVERNMENT

The accounts of the National Financial Reporting Authority is required to be *audited by the Comptroller and Auditor General of India* at such intervals as may be specified by him and such accounts as certified by the Comptroller and Auditor General of India together with the audit report thereon shall be forwarded annually to the Central Government by the National Financial Reporting Authority.

The National Financial Reporting Authority shall prepare in such form and at such time for each financial year as may be prescribed its annual report giving a full account of its activities during the financial year and forward a copy thereof to the Central Government and the Central Government shall cause the annual report and the audit report given by the Comptroller and Auditor General of India to be laid before each House of Parliament.

13.5 JURISDICTION, POWERS OF AND IMPOSITION OF PENALTIES BY NFRA

The National Financial Reporting Authority has the power to investigate, either suo moto or on a reference made to it by the Central Government, for such class of body corporates or persons, in such manner as may be prescribed.

Provide that no other institute or body shall initiate or continue any proceedings in such matters of misconduct where the National Financial Reporting Authority has initiated an investigation under Section 132 of the Companies Act, 2013.

Powers of National Financial Reporting Authority:

Power of investigation:

NFRA has the power to investigate either on suo-moto or on reference by Central Government for such class of body corporates or persons as may be prescribed into the matter of professional or other misconduct committed by any member or firm of Chartered Accountants registered under the Chartered Accountants Act, 1949.

Power of the civil court:

The Authority shall have powers as are vested in a civil court under Code of Civil Procedure, 1908 in respect of following matters:

- I. Discovery and production of books of accounts and other documents at such place and at such time as may be specified by the National Financial Reporting Authority;
- II. Summoning and enforcing the attendance of persons and examining them on oath;
- III. Inspection of any books, registers and other documents of any person;
- IV. Issuing commission for examination of witnesses or documents.
- V. Power of imposing a penalty or debarring a member for professional or other misconduct;
- VI. Where professional or other misconduct is proved, the Authority shall have powers to make an order in relation to:

A. Imposing Penalty of

1. **Not less than one lakh rupees which may extend to five times** of the fees received in case of individuals; and
2. **Not less than five lakh rupees which may extend to ten times of the fees** received in case of firms.

B. Debarring Member or the Firm from

1. Being appointed as an auditor or internal auditor or undertaking any audit in respect of financial statements or internal audit of the functions and activities of any company or body corporate; or
2. Performing any *valuation as provided under section 247*;
3. For a **minimum period of six months or such higher period not exceeding ten years** as may be determined by the National Financial Reporting Authority.

13.6 APPEALS AND APPELLATE AUTHORITY

Any person aggrieved by any order of the National Financial Reporting Authority may prefer appeal before the Appellate Tribunal in a prescribed manner and on payment of such fee as prescribed.

14. CENTRAL GOVERNMENT TO PRESCRIBE ACCOUNTING STANDARDS- [SECTION 133]

The Central Government may prescribe the standards of accounting or any addendum thereto, as recommended by the Institute of Chartered Accountants of India, constituted under section 3 of the Chartered Accountants Act, 1949, in consultation with and after examination of the recommendations made by the National Financial Reporting Authority. The Ministry has subsequently clarified that till the Standards of Accounting or any addendum thereto is prescribed by Central Government in consultation and recommendation of the National Financial Reporting Authority, the existing Accounting Standards notified under the Companies Act 1956 shall continue to apply.

On 6th February 2015 the Ministry of Corporate Affairs (MCA), the Central Government, in consultation with the National Advisory Committee on Accounting Standards (NACAS), notified the Companies (Indian Accounting Standards) Rules, 2015. These rules came into force on 1st April 2015. As a result of this notification, notifying the Companies (Indian Accounting Standards) Rules, 2015, there shall be two separate sets of Accounting Standards.

1. Indian Accounting Standards (Ind AS) as specified in the Annexure to Companies (Indian Accounting Standards) Rules, 2015.
2. Accounting standards as specified in Annexure to the Companies (Accounting Standards) Rules, 2006.

14.1 INDIAN ACCOUNTING STANDARDS (IND AS)

Indian Accounting Standards (Ind AS) are the *accounting standards prescribed under Section 133* of the Companies Act, 2013. Indian Accounting Standards (Ind AS) are specified in the Annexure to the Companies (Indian Accounting Standards) Rules, 2015. These accounting standards are converged with corresponding International Financial Reporting Standards.

Auditors- Appointment, Resignation And Procedure Relating To Removal, Qualification And Disqualification

An auditor is a person who is authorized to review and verify the accuracy of financial records and ensure that the financial statements represent a true and fair view of the state of affairs of the company.

The Auditor protects businesses from fraud, points out discrepancies in accounting methods and, on occasion, works on a consultancy basis, helping organizations to spot ways to boost operational efficiency. The Auditors work in various capacities within different industries.

15. APPOINTMENT OF AUDITORS (SECTION-139)

The Board of Directors of a company shall appoint an individual or firm as the first auditor of a company, other than a Government company, *within 30 days from the date of registration of the company*.

In the case of failure of the Board to appoint the first auditor, it shall inform the members of the company, who shall *within 90 days of incorporation at an extraordinary general meeting* appoint such auditor and such auditor shall hold office till the conclusion of the first annual general meeting of the company.

Every company shall, at the first annual general meeting, appoint an individual or a firm as an auditor who shall hold the office from the conclusion of that meeting till the conclusion of the sixth annual general meeting and thereafter till the conclusion of every sixth annual general meeting.

If at any annual general meeting, no auditor is appointed or re-appointed, the existing auditor shall continue to be the auditor of the company.

15.1 MANNER AND PROCEDURE OF SELECTION AND APPOINTMENT OF AUDITORS

The manner and procedure of selection of auditors by the members of the company at AGM has been prescribed under Rule 3 of the Companies (Audit and Auditors) Rules, 2014; tabled and stated below.

Categories of Companies	Competent Authority	Responsibility of The Competent Authority
A company which is required to constitute an Audit Committee under section 177	Audit Committee*	The competent authority shall take into consideration the qualifications and experience of the individual or the firm proposed to be considered for appointment as auditor and such qualifications and experience are commensurate with the size and requirements of the company.
A Company which is not required to constitute an Audit Committee under section 177	Board of Directors	It shall have regard to any order or pending proceeding relating to professional matters of conduct against the proposed auditor before the Institute of Chartered Accountants of India (ICAI) or any competent authority or any Court. It may call for such other information from the proposed auditor as it may deem fit.

Where the competent authority is the audit committee,

The committee shall recommend the name of an individual or a firm as auditor to the Board for consideration; the Board shall consider and recommend an individual or a firm as auditor to the members in the AGM for appointment.

If the **Board agrees** with the recommendation of the Audit Committee - It shall further recommend the appointment of an individual or a firm as auditor to the members in the annual general meeting.

If the **Board disagrees** with the recommendation of the Audit Committee, it shall refer back the recommendation to the committee for reconsideration, citing reasons for such disagreement.

Note:

Companies that require to constitute an audit committee

Section 177 of the Act, read with *Companies (Meetings of Board and its Powers) Rules, 2014* provides Audit Committee shall be constituted by Board of directors in case of:

- ◆ Every **Listed Public Companies** and
- ◆ Unlisted **Public Companies** which having:
- ◆ **Paid up capital of ten crore rupees or more; or**
- ◆ **Turnover of one hundred crore rupees or more; or**
- ◆ Aggregate, **outstanding loans or borrowings or debentures or deposits exceeding fifty crore rupees or more.**

15.2 CONDITIONS FOR APPOINTMENT AND NOTICE TO REGISTRAR [RULE 4 OF THE COMPANIES (AUDIT AND AUDITORS) RULES, 2014]

As per the *second proviso to section 139(1)* of the Act, read with Rule 4 stipulates that written consent of the auditor must be taken before appointment.

The auditor appointed shall submit a certificate that:

- (a) The individual/firm is eligible for appointment and is not disqualified for appointment under the Act, the Chartered Accountants Act, 1949, and the rules or regulations made thereunder;
- (b) The proposed appointment is as per the term provided under the Act;
- (c) The proposed appointment is within the limits laid down by or under the authority of the Act; d) The list of proceedings against the auditor or audit firm or any partner of the audit firm pending with respect to professional matters of conduct, as disclosed in the certificate, is true and correct.

The Certificate shall also indicate whether the auditor satisfies the criteria provided in section 141 of the Act.

The Company shall inform the auditor concerned of his or its appointment and also file a notice of such appointment with the Registrar in Form ADT-1 within 15 days of the meeting in which the auditor is appointed.

15.3 APPOINTMENT OF AUDITOR IN GOVERNMENT COMPANY- SECTION 139(5) & 139(7)

The appointment of auditor in Government Company or government controlled (directly/indirectly) company shall be held in accordance with the following provisions:

The First auditor shall be appointed by the **Comptroller and Auditor General within 60 days from the date of incorporation** and in case of failure to do so, the **Board shall appoint auditor within next 30 days** and on failure to do so by Board of Directors, it shall inform the members, who shall appoint the auditor **within 60 days** at an extraordinary general meeting (EGM), such auditor shall hold office till conclusion of first Annual General Meeting.

In case of subsequent auditor for existing Government Companies, the Comptroller & Auditor General shall appoint the auditor **within a period of 180 days** from the commencement of the financial year and the auditor so appointed shall hold his position till the conclusion of the Annual General Meeting.

15.4 MANDATORY ROTATION OF AUDITORS

The Companies Act, 2013 has introduced the system of rotation of auditors under section 139 (2) of the Act and Rule 5 which is applicable to-

- (i) All **listed companies**;
- (ii) All **unlisted public companies having paid up share capital of rupees 10 crore or more**;
- (iii) All **private limited companies having paid up share capital of rupees 50 crore or more**;
- (iv) All companies having paid up share capital of below threshold limit mentioned in (a) and (b) above, but **having public borrowings from financial institutions, banks or public deposits of rupees 50 crore or more**;

The concept of rotation of auditors shall not apply to one person companies and small companies;

All the companies mentioned above **shall not appoint or re-appoint an individual as an auditor of the company for more than one term of 5 consecutive years**. An individual auditor, who has **completed his term of 5 consecutive years**, **shall not be eligible for re-appointment as auditor in the same company for 5 years from the date of completion**;

All the companies mentioned above **shall not appoint or re-appoint an audit firm as an auditor of the company for more than two terms of 5 consecutive years**. An audit firm which has completed its two terms of 5 consecutive years **shall not be eligible for re-appointment as auditor in the same company for 5 years from the completion of such terms**.

As **on the date of appointment no audit firm having a common partner or partners** to the other audit firm, whose tenure has expired in a company immediately preceding the financial year, shall be appointed as auditor of the same company for a period of five years.

Example:

M/s AD & Associates was auditor of M/s ABC Limited (Listed Company) and has rendered his services for 5 years.

The firm is not eligible for reappointment. Even in case where, Mr. D, partner of M/s AD & Associates is also partner of M/s SD & Co.

Therefore M/s SD & Co. cannot be appointed as auditor of M/s ABC Limited.

The right of the company to remove the auditor or the right of the auditor to resign from such office of the company is not affected by this sub-section. Thus, an auditor can resign or be removed by the shareholders before completion of his term as discussed above. The firm shall include a Limited Liability Partnership incorporated under the Limited Liability Partnership Act, 2008.

15.5 ROTATION OF AUDITORS [SECTION 139(3)]

Members of a company subject to provisions of the Act, can provide for following by passing a resolution:

- (a) In the audit firm appointed by it, the auditing partner and his team shall be rotated at such intervals as may be resolved by members; or
- (b) The audit shall be conducted by more than one auditor.

15.6 ROTATION OF AUDITORS ON EXPIRY OF THEIR TERM [SECTION 139 (4) AND RULE 6 OF THE COMPANIES (AUDIT AND AUDITORS) RULES, 2014]

Rotation of auditors on expiry of the auditor's term, then the same procedure will be followed as required for the appointment of auditors. The procedure is as under:

1. The **Audit Committee** shall **recommend** to the **Board** the name of an **individual auditor** or an **audit firm** to replace the existing auditor upon completion of their term.
2. In companies where an **Audit Committee** is constituted, the **Board** must consider its recommendation. In companies **not required** to form such a committee, the **Board itself** shall consider the matter and recommend a suitable auditor to the **members in the AGM**.

For the purpose of **auditor rotation**, the **tenure of the auditor** before the commencement of the **Companies Act, 2013** shall also be included in calculating the **5-year or 10-year limit**, as applicable.

The **incoming auditor or audit firm** shall be **ineligible** for appointment if it is part of the **same network** as the **outgoing auditor**, which includes:

- ◆ Firms operating under the **same brand name**,
- ◆ Firms using the **same trade name**, or
- ◆ Firms under **common control**, either previously or in the future.

If a **partner**, who was responsible for the audit and **signed the financial statements** of the company, retires and joins another **chartered accountancy firm**, that new firm shall also be **barred from appointment** as auditor of the company for a **period of five years**.

In the case of **joint auditors**, the company may implement the **rotation policy** in a staggered manner so that **both or all joint auditors do not complete their term in the same year**, thereby ensuring continuity.

15.7 RE-APPOINTMENT OF RETIRING AUDITOR [SECTION 139 (9)]

At any annual general meeting, a retiring auditor shall be reappointed as auditor of the company except under the following circumstances:

- (a) He is not qualified for re-appointment;
- (b) He has given the company a notice in writing of his unwillingness to be re-appointed; and
- (c) A special resolution has not been passed at that meeting appointing somebody else instead of him or providing expressly that retiring auditor shall not be re-appointed.

Section 139 (10) lays that where at any annual general meeting, no auditor is appointed or re-appointed, the existing auditor shall continue to be the auditor of the company.

15.8 CASUAL VACANCY IN THE OFFICE OF AUDITOR [SECTION 139 (8)]

The provisions for filling of casual vacancy in the office of the auditor are as follows:

- (a) The Board of the company shall have power to fill the casual vacancy in the **office of auditor within 30 days**.
- (b) In case casual vacancy has occurred due to the resignation of the auditor, such appointment should also be approved by the company in a general meeting convened **within 3 months** of the recommendation of the Board and auditor shall hold the office till the conclusion of the next annual general meeting.
- (c) In case of a company whose accounts are subject to audit by an auditor appointed by the Comptroller and Auditor General of India, such vacancy should be filled by the Comptroller and Auditor General of India **within 30 days**. In case the Comptroller and Auditor General of India does not fill the vacancy within the said period, the Board of Directors shall **fill the vacancy within the next 30 days**.
- (d) Appointment of auditors to fill casual vacancy shall be made after taking into account the recommendation of the audit committee.

Illustrations:

- A. In case of Non-Government Companies: Mr. A is appointed as auditor of M/s XYZ Limited (Non-government Company) on 01st January, 2021. Casual Vacancy is caused due to his resignation on 1st August, 2021. In this case, casual vacancy shall be filled by the Board till 30th September, 2021. The same must be approved by the company within 3 months of the recommendations of the board.
- B. In case of Government Company: Mr. A is appointed as auditor of M/s XYZ Limited (Government Company) on 01st January, 2021. Casual Vacancy is caused due to his resignation on 1st August, 2021. In this case, casual vacancy shall be filled by the Comptroller and Auditor General of India till 30th September, 2021

16. APPOINTMENT OF AUDITOR OTHER THAN RETIRING AUDITOR BY SPECIAL NOTICE [SECTION 140 (4)]

Special notice shall be required from members proposing to move a resolution at the next annual general meeting to appoint a person other than the retiring auditor or to provide that the retiring auditor shall not be re-appointed. Such special notice shall not be required in cases where the retiring auditor has completed a **consecutive tenure of five years** or, as the case may be, ten years, as provided under sub-section (2) of section 139. Following points are relevant for the purpose of special notice:

- (i) Company, on receipt of such special notice for removing auditor, should forthwith send a copy of the same to the retiring auditor.
- (ii) If the auditor makes a representation in writing to the company and requests for its notification to the members, the company shall:
 - (a) State the fact of representation in any notice of resolution, and
 - (b) Send copy of representation to members to whom notice of meeting is sent, whether before or after the receipt of representation by the company,
 - (c) If the copy of the representation is not so sent, copy thereof should be filed with the Registrar.
- (iii) Such representation should be of a reasonable length and not too long.
- (iv) For circulation to members, it should not be received by the company too late.
- (v) The auditor may require the company to read out the representation in the meeting if it is not notified to members because it was too late or because of the company's default.

Provided that if the Tribunal is satisfied on an application either of the company or of any other aggrieved person that the rights conferred by this sub-section are being abused by the auditor, then, the copy of the representation may not be sent and the representation need not be read out at the meeting

16.1 POWERS OF TRIBUNAL [SECTION-140 (5)]

A National Company Law Tribunal (NCLT) can either:



- I. In the case of application being made by the Central Government and the NCLT being satisfied that change of auditor is required, it shall *within 15 days* of the receipt of such application, make an order that the Auditor shall not function as an auditor of the company and the Central Government may appoint another auditor in his place.
- II. This will happen only when an application is made by the Central Government and not by any other person.
- III. Where the auditor, whether individual or firm, against whom the final order as aforementioned is passed by the NCLT under this section, he shall not be eligible to be appointed as an auditor of any company **for a period of 5 years** from the date of passing of such order.
- IV. Further, the auditor shall also be **liable for action under Section 447** of the Act which provides for punishments for frauds.
- V. It has been clarified by way of explanation that in case a firm is appointed as auditor of the company, the liability shall be of the firm and every partner or partners who acted in fraudulent manner or abetted or colluded in any fraud by, or in relation to, the company or its directors or officers shall be liable and not be eligible to be appointed as auditor of any company **for a period of 5 years**.

16.2 REMOVAL OF AUDITOR [SECTION 140 (1)] AND RULE 7 OF THE COMPANIES (AUDIT AND AUDITORS RULES, 2014]

The auditor appointed *under section 139* of the Act **may be removed from his office before the expiry of his term only by a special resolution** of the company, after obtaining the prior approval of the Central Government on that behalf in the manner prescribed in **Rule 7**.

As per Rule 7, the auditor appointed under section 139 of the Act, may be removed from his office before the expiry of the term only by

Obtaining the **prior approval of the Central Government by filling an application in Form ADT-2 within 30 days** of resolution passed by the Board.

The company shall **hold the general meeting within sixty days** of receipt of approval of the Central Government for passing the special resolution.

The auditor concerned shall be given a **reasonable opportunity of being heard**.

16.3 RESIGNATION OF AUDITOR [SECTION 140(2), 140 (3) AND RULE 8 OF THE COMPANIES (AUDIT AND AUDITORS) RULES, 2014]

The auditor who has resigned from the company shall **file a statement in Form ADT-3** indicating the reasons and other facts as may be relevant with regard to his resignation as follows:

- I. In case of other than Government Company, the auditor shall **within 30 days** from the date of resignation, file such statement to the company and the Registrar.
- II. In case of Government Company or government controlled company, the auditor shall **within 30 days from the resignation**, file such a statement to the company and the Registrar and also file the statement with the Comptroller and Auditor General of India (CAG).

If the auditor **does not comply with the provisions of section 140(2)** of the Act, he or it shall be liable to a penalty of:

- (a) **fifty thousand rupees or,**
- (b) **An amount equal to the remuneration of the auditor, whichever is less.**

In case of continuing failure, with further penalty of **five hundred rupees for each day** after the first during which such failure continues, subject to **a maximum of two lakh rupees**.

17. REMUNERATION OF AUDITOR (SECTION 142)

Section 142 of the Act prescribed that the remuneration of the auditor of a company **shall be fixed in its general meeting** or in such manner as may be determined therein. The Board may fix remuneration of the first auditor appointed by it. The remuneration will be in addition to the out of pocket expenses incurred by the auditor in connection with the audit of the company but does not include any remuneration paid to him for any other service rendered by him at the request of the company.

18. AUDITOR NOT TO RENDER CERTAIN SERVICES (PROHIBITED SERVICES) [SECTION 144]

An auditor shall provide to the company only such other services as are approved by the Board of Directors/ the audit committee, but which shall not include any of the following services (whether such services are rendered directly or indirectly to the company or its holding company or subsidiary company, namely:

- (i) Accounting and bookkeeping services;
- (ii) Internal audit;
- (iii) Design and implementation of any financial information system;
- (iv) Actuarial services; investment advisory services;

- (v) Investment banking services;
- (vi) Rendering of outsourced financial services;
- (vii) Management services; and
- (viii) Any other kind of services as may be prescribed.

19. ELIGIBILITY & QUALIFICATIONS OF AUDITOR

Section 141 (1) & (2) of the Act prescribed the following eligibility and qualifications of auditor which are as under:

- (i) Only a Chartered Accountant (individual) or a firm where majority of partners practicing in India are Chartered Accountants can be appointed as auditor.
- (ii) Where a firm including a Limited Liability Partnership (LLP) is appointed as an auditor of a company, only the partners who are chartered accountants shall be authorized to act and sign on behalf of the firm.

20. DISQUALIFICATIONS OF AUDITOR

Section 141 (3) of the Act read with Rule 10 prescribed the following persons shall not be eligible for appointment as an auditor of a company, namely:

- I. A body corporate, except LLP;
- II. An officer or employee of the company;
- III. A person who is a partner, or who is in the employment, of an officer or employee of the company;
- IV. A person who himself or his relative/partner is holding any security or interest in the company, or its subsidiary, or of its holding or associate company or a subsidiary of such holding company ;
- V. However, the relative may hold security or interest in the company of face value not exceeding rupees one lakh. This shall wherever relevant be also applicable in the case of a company not having share capital or other securities.
- VI. In the event of acquiring any security or interest by a relative, above the threshold prescribed, the corrective action to maintain the limits as specified above shall be taken by the auditor within sixty days of such acquisition or interest.
- VII. A person who or whose relative or partner is indebted to the company or its subsidiary or its holding or associate company or a subsidiary of such holding company, in excess of rupees five lakh shall not be eligible for appointment.
- VIII. A person who or whose relative or partner has given a guarantee or provided any security in connection with the indebtedness of any third person to the company, or its subsidiary, or its holding or associate company or a subsidiary of such holding company, in excess of one lakh rupees shall not be eligible for appointment.
- IX. A person or a firm who, whether directly or indirectly, has “business relationship” with the company, or its subsidiary, or its holding or associate company;

Important

The term “**business relationship**” shall be construed as any transaction entered into for a commercial purpose, except-

Commercial transactions which are in the nature of professional services permitted to be rendered by an auditor or audit firm under the Act and the Chartered Accountants Act, 1949 and the rules or the regulations made under those Acts;

Commercial transactions which are in the ordinary course of business of the company at arm's length price-like sale of products or services to the auditor, as customer, in the ordinary course of business, by companies engaged in the business of telecommunications, airlines, hospitals, hotels and such other similar businesses.

A person whose relative is a director or is in the employment of the company as a director or KMP;

A person who is in full time employment elsewhere or a person or a partner of a firm holding appointment as its auditor, if such persons or partner is at the date of such appointment or reappointment holding appointment as auditor of more than twenty companies;

- X. In case of private company a person is ineligible to be appointed as an auditor, if such person or partner is at the date of such appointment or reappointment holding appointment as auditor of more than twenty companies other than one person companies, dormant companies, small companies and private companies having paid-up share capital less than one hundred crore rupee.
- XI. A person who has been convicted by a court of an offence involving fraud and a period of ten years has not elapsed from the date of such conviction;
- XII. A person who, directly or indirectly, renders any service referred to in section 144 to the company or its holding company or its subsidiary company. The term “directly or indirectly” shall include rendering of services by the auditor,
- XIII. In case of auditor being an individual, either himself or through his relative or any other person connected or associated with such individual or through any other entity, whatsoever, in which such individual has significant influence or control, or whose name or trade mark or brand is used by such individual;
- XIV. In case of auditor being a firm, either itself or through any of its partners or through its parent, subsidiary or associate entity or through any other entity, whatsoever, in which the firm or any partner of the firm has significant influence or control, or whose name or trade mark or brand is used by the firm or any of its partners.

According to section 141 (4) of the Act where a person appointed as an auditor of a company incurs any of the disqualifications mentioned above after his appointment, he shall vacate his office as such auditor and such vacation shall be deemed to be a casual vacancy in the office of the auditor.

21. AUDITORS – RIGHTS, DUTIES AND LIABILITIES

21.1 AUDITOR'S RIGHT TO ATTEND GENERAL MEETING

According to **section 146 of the Act**, notice of all the general meetings shall also be forwarded to the auditor of the company and he ***must attend any general meeting either by himself or through his authorized representative*** (qualified to be an auditor) and shall have right to be heard at such meeting on any part of the business which concerns him as the auditor.

21.2 POWERS AND DUTIES OF AUDITORS

Section 143(1) of the Act provides that every auditor can access at all times to the books of accounts, vouchers and seek such information and explanation from the company and enquire such matters as he considers necessary, including the matters specified in sub-Clauses (a) to (f). It is the duty of every auditor to make a proper enquiry regarding these matters, besides other matters and if he is satisfied, it is not necessary to disclose this fact in his report. However, on enquiry, if he finds some adverse features, it is his duty to report the same. Specific enquiries to be made by the auditor under this sub-section are as under:

(a) Loans and Advances made by the Company

The auditor shall inquire into “whether loans and advances made by the company on the basis of security have been properly secured and whether the terms on which they have been made are not prejudicial to the interest of the company or its members.”

It is applicable to all loans and advances made on the basis of security. The auditor should verify that the security held against the loans and advances made by the company is legally enforceable and also ascertain the valuation of securities to see whether the loan is fully secured or partly secured.

(b) Transactions represented by book entries

The auditor is required to inquire “whether the transactions of the company which are represented merely by book entries are not prejudicial to the interests of the company”. He should verify all book entry transactions and determine whether such transactions have actually taken place and are not prejudicial to the interest of the company.

(c) Sale of investments

The auditor should inquire, “whether so much of the assets of the company (except an investment company or a banking company) as consists of shares, debentures and other securities, have been sold at a price less than that at which they were purchased by the company”. The auditor must verify the cases where securities are sold at a price less than their cost of acquisition and if he finds that such sale is bona fide and the price realized is considered to be reasonable, having regard to the circumstances of each case, no further reporting is required.

(d) Loans and Advances shown as deposits

The auditor must verify “whether loans and advances made by the company have been shown as deposits”. The auditor must inquire in respect of all the deposits shown by the company and satisfy himself that the loans and advances have not been shown as deposits.

(e) Charging of Personal expenses to revenue account

The auditor should inquire as to “whether personal expenses have been charged to the revenue account”. Auditors must ensure that no personal expenses of directors and officers of the company have been charged to the revenue account.

(f) Allotment of shares for cash

The auditor should inquire as to “whether cash has actually been received in respect of shares stated to have been allotted for cash and if no cash has actually been so received, whether the position as stated in the account books and balance sheet is correct, regular and not misleading”. In this connection, the auditor must ensure, in respect of shares allotted in cash by the company, that cash has actually been received in respect of such allotment by the company.

He should verify and report the cases where cash was not received and that the position, as stated in books of accounts and the balance sheet, is correct, regular, and not misleading.

The auditor will have access to books of accounts and vouchers, not only to those kept at the registered office of the company but also to those kept at any other place. Such access shall be available at all times. Also, the auditor of a holding company shall have access to the books of all of its subsidiary and associate companies for the purpose of the consolidation of financial statements of holding company and its subsidiaries and associate companies.

22. POWERS OF COMPTROLLER AND AUDITOR GENERAL OF INDIA IN CASE OF GOVERNMENT COMPANY [SECTION 143 (5) TO 143 (7)]

In the case of a Government company or any other company owned or controlled, directly or indirectly, by the Central Government, or by any State Government or Government, or partly by the Central Government and partly by one or more State Government, the Comptroller and Auditor General of India shall appoint the auditor under sub-section (5) or sub-section (7) of section 139 of the Act, and direct such auditor the manner in which the accounts of the company are required to be audited and thereupon the auditor so appointed shall submit a copy of the audit report to the Comptroller and Auditor General of India which, among other things, include the directions, if any, issued by the Comptroller and Auditor General of India, the action taken thereon and its impact on the accounts and financial statement of the company.

The CAG shall have the right to conduct a supplementary audit of the financial statement of the company and comment upon or supplement such audit report **within 60 days** from the date of receipt of the audit report u/s 143 (5). Any comments given by the CAG upon, or supplement to, the audit report shall be sent by the company to every person entitled to copies of audited financial statements u/s 136 (1) and also be placed before the annual general meeting of the company at the same time and in the same manner as the audit report.

The CAG may, by an order, cause test audit to be conducted of the accounts of company covered u/s 139 (5) or 139 (7) and the provisions of section 19A of the Comptroller and Auditor General's (Duties, Powers and Conditions of Service) Act, 1971, shall apply to the report of such test audit.

The National Company Law Appellate Tribunal (NCLAT) held that the auditor cannot be debarred for 5 years under the Companies Act, 2013 in the absence of evidence supporting fraudulent intentions, in the matter of Mukesh Maneklal Choksi v. Union of India, Company Appeal (AT) No. 89 of 2019, dated February 17, 2020.

23. AUDIT AND AUDITOR'S REPORT

Section 143(2) of the Act provides that the auditor shall make a report to the members of the company on the accounts examined by him and on every financial statement which is required to be laid in the general meeting of the company. The Audit report should take into consideration the provisions of this Act, the Accounting and Auditing standards and matters which are required under this Act or rules made thereunder or under any order made u/s 143(11) of the Act.

The ***Audit report should state that to the best of his information and knowledge***, the said accounts and financial statements give a true and fair view of the state of the company's affair as at the end of the financial year and the profit or loss and the cash flow for the year and such other matters as may be prescribed.

Section 143(3) of the Act, lays down that the auditor's report shall also state other details which are as under:

- I. Whether he has sought and obtained all the information and explanations which were necessary and if not, the details thereof and the effect of such information on the financial statements;
- II. Whether, in his opinion, proper books of account as required by law have been kept by the company so far as appears from his examination of those books and proper returns adequate for the purposes of his audit have been received from branches not visited by him;
- III. Whether the branch audit report prepared by a person other than the company's auditor has been sent to him;
- IV. Whether the company's balance sheet and profit and loss account dealt with in the report are in agreement with the books of account and returns;
- V. Whether, in his opinion, the financial statements comply with the accounting standards;
- VI. The observations or comments of the auditors on financial transactions or matters which have any adverse effect on the functioning of the company;
- VII. Whether any director is disqualified from being appointed as a director under section 164 (2);
- VIII. Any qualification, reservation, or adverse remark relating to the maintenance of accounts and other matters connected therewith;
- IX. Whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls;

Clause (i) of Sub-Section (3) of Section 143 related to internal financial controls shall not apply to a private company: I Which is an one person company or a small company; or I Which has turnover of less than Rs. 50 crores as per the latest audited financial statement and which has aggregate borrowings of less than Rs. 25 crores, from banks, financial institutions, or anybody corporate, at any point of time during the preceding financial year.

Further, Rule 11 of the Companies (Audit and Auditors) Rules, 2014 prescribed that Auditor's Report shall also include the views and comments of the Auditors on the following matters, namely:

- I. Whether the company has disclosed the impact, if any, of pending litigations on its financial position in its financial statement;
- II. Whether the company has made provision, as required under any law or accounting standards, for material foreseeable losses, if any, on long-term contracts, including derivative contracts;
- III. Whether there has been any delay in transferring amounts required to be transferred to the Investor Education and Protection Fund by the company;
- IV. Verification of management representation:
 - (a) Whether any funds have been advanced, loaned, or invested by the company to or in any entities (including foreign entities), with an understanding that such funds will be passed on to ultimate beneficiaries, either directly or indirectly.
 - (b) Whether the company has received any funds from other entities with an understanding (written or otherwise) that the company will act on behalf of such funding parties to benefit any ultimate beneficiaries.
 - (c) Based on the audit procedures performed, whether there is any material misstatement in the above representations.

Compliance with Section 123 regarding dividend declaration and payment during the financial year.

Whether, for financial years beginning on or after April 1, 2022, the company has:

- ◆ Used accounting software that supports an audit trail (edit log),
- ◆ Ensured that this feature was enabled and functional throughout the year,
- ◆ Maintained the audit trail without tampering, and
- ◆ Preserved the audit logs as per statutory record-keeping requirements.

24. COMPANIES (AUDITOR'S REPORT) ORDER, 2020

Ministry of Corporate Affairs '**MCA' notified Companies (Auditor's Report) Order, 2020** (CARO 2020) which is applicable for audit of financial statements of eligible companies for the financial years commencing on or after the 1st April, 2021. ***CARO 2020 will be applicable to all the companies, including foreign companies, except banking companies, insurance companies, section 8 companies, OPC [section 2(62)], small companies [section 2(85)], and certain private limited companies.***

This order stated that every report of the **auditor under Section 143** of Companies Act, 2013 must contain the matters stated in 21 clauses as specified under paragraphs 3 and accord reasons for unfavorable or qualified answers as stated in paragraph 4 of CARO 2020. CARO 2020 will not be applied with respect to auditor's report on Consolidated Financial Statements except clause (xxi) of paragraph 3 (Reporting requirements on qualifications or adverse remarks by the auditors in the CARO reports). The order 2020 elaborated on all the matters which are to be included in the auditor's report. Wherein, the following details of the subject matter are described:

Whether the company is maintaining proper records showing full particulars such as:

1. The quantitative detail and situation of property, plant, and equipment, Physical verification of the property, plant, and equipment by the management at reasonable intervals, The details of the title deeds of the immovable properties held in the name of company, Revaluation of the property, plant, and equipment or intangible assets or both and if there is **more than 10%** of the change in the property, plant, and equipment or intangible assets,
2. Details of proceedings against the company on the holding of **any Benami property**.
3. Physical verifications of inventory by the management at reasonable intervals and proper treatment of any **discrepancies of 10% or more found**.

4. Quarterly returns or statements filed by companies having working capital **limit more than 5 crore rupees** with such banks or financial institutions.
5. Details of the investments made by the company (except companies dealing in loans), security or guarantee given by the company.
6. Details of the payment pertaining to the undisputed statutory dues such as GST, provident Funds, Custom Duty, etc.
7. Details of any default done by the company in making the repayment of the loan.
8. Details of the funds raised by a company by the way of the Initial public offer.
9. Details of fraud done by the company, and many more.
10. The Auditor's Report Order 2020 of any company is supposed to state the reasons for unfavorable or qualified answers.

25. COST AUDIT [RULE 6 OF THE COMPANIES (COST RECORDS AND AUDIT) RULES, 2014]

A company engaged in production, processing, manufacturing or mining activity is also required to maintain particulars relating to the utilization of material, labour or other items of cost as the Central Government may prescribe for such a class of companies. These are known as cost records.

In a case the Central Government is of the opinion, that it is necessary to do so, it may, by order, direct that the audit of cost records of class of companies, which are covered under **sub-section (1) of Section 148 of the Act** and which have a net worth of such amount as prescribed or a turnover of such amount as prescribed, shall be conducted in the manner specified in the order.

25.1 APPOINTMENT OF COST AUDITOR

The category of **companies specified in Rule 3** and the threshold limits laid down in Rule 4, shall **within 180 days** of the commencement of **every financial year, appoint a cost auditor.**

Further, before such appointment is made, the **written consent of the cost auditor** to such appointment, and a Certificate from him or it is required to be obtained.

The cost auditor appointed shall submit a certificate that-

- (a) The individual or the firm, as the case may be, is eligible for appointment and is not disqualified for appointment under the Act, the Cost and Works Accountants Act, 1959 and the rules or regulations made thereunder;
- (b) The individual or the firm, as the case may be, satisfies the criteria provided in section 141 of the Act, so far as may be applicable;
- (c) The proposed appointment is within the limits laid down by or under the authority of the Act; and
- (d) The list of proceedings against the cost auditor or audit firm or any partner of the audit firm pending with respect to professional matters of conduct, as disclosed in the certificate, is true and correct.

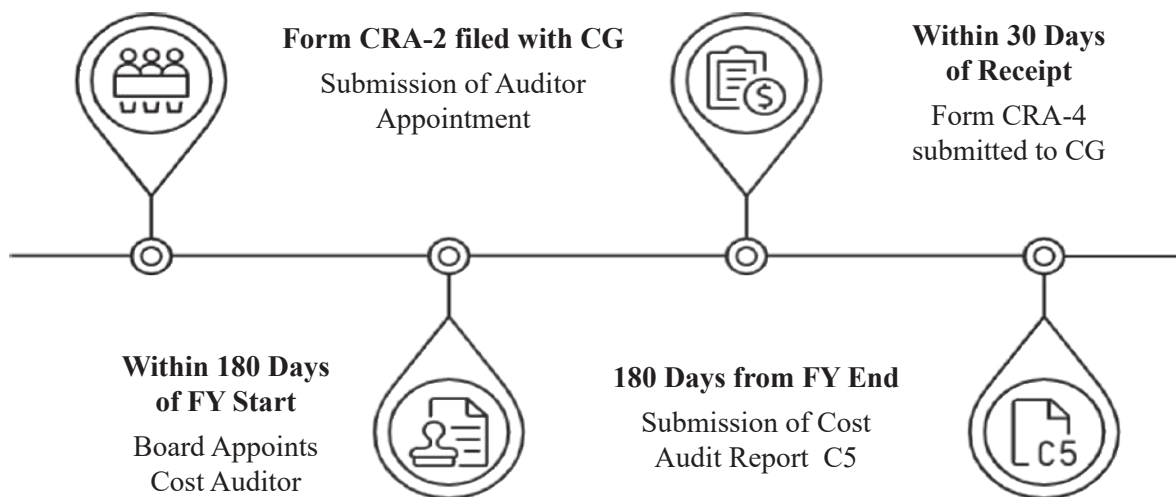
Every company referred to in sub-rule (1) shall inform the cost auditor concerned of his or its appointment as such and file a notice of such appointment with the Central Government within a **period of 30 days of the Board meeting** in which such appointment is made or **within a period of 180 days** of the commencement of the financial year, whichever is earlier, through electronic mode, in **Form CRA-2**, along with the fee as specified in the Companies (Registration Offices and Fees) Rules, 2014.

Every cost auditor appointed as such shall continue in such capacity till the expiry of 180 days from the closure of the financial year or till he submits the cost audit report, for the financial year for which he has been appointed.

Every cost auditor, who conducts an audit of the cost records of a company, shall submit the cost audit report along with his or its reservations or qualifications or observations or suggestions, if any, in Form CRA-3.

- (a) The cost auditor shall forward his duly signed report to the Board of Directors of the company **within a period of 180 days** from the closure of the financial year to which the report relates and the Board of Directors shall consider and examine such report particularly any reservation or qualification contained therein.
- (b) Every company covered under these rules shall, **within a period of 30 days** from the date of receipt of a copy of the cost audit report, furnish the Central Government with such report along with full information and explanation on every reservation or qualification contained therein, in **Form CRA-4** in Extensible Business Reporting Language format in the manner as specified in the Companies (Filing of Documents and Forms in Extensible Business Reporting language) Rules, 2015 along with fees specified in the Companies (Registration Offices and Fees) Rules, 2014.
- (c) The Companies that have got an extension of time to hold Annual General Meetings under section 96 of the Companies Act, 2013, may **file Form CRA-4** within the resultant extended period of filing financial statements under section 137 of the Companies Act, 2013.

Cost Auditor Appointment and Filing Timeline



25.2 REMOVAL OF COST AUDITOR/CASUAL VACANCY

The cost auditor appointed under the Companies (Cost Records & Audit) Rules 2014, may be removed from his office before the expiry of his term, through a board resolution after giving a reasonable opportunity of being heard to the Cost Auditor and recording the reasons for such removal in writing.

Further, **Form CRA-2** is required to be filed with the Central Government for intimating the appointment of another cost auditor and the relevant Board Resolution to the effect shall be enclosed. However it shall not prejudice the right of the cost auditor to resign from such office of the company.

Any casual vacancy in the office of a cost auditor, whether due to resignation, death or removal, shall be filled by the Board of Directors within thirty days of the occurrence of such vacancy and the company shall inform the Central Government in Form CRA-2 within thirty days of such appointment of cost auditor.

25.3 APPROVAL OF COST AUDIT REPORT

The cost statements, including other statements to be annexed to the cost audit report, shall be approved by the Board of Directors before they are signed on behalf of the Board by any of the directors authorized by the Board, for submission to the cost auditor to report thereon.

25.4 REMUNERATION OF THE COST AUDITOR [RULE 14 OF COMPANIES (AUDIT & AUDITORS), RULES, 2014]

- (a) In the case of companies that are required to constitute an audit committee-
 - (i) The Board shall appoint an individual who is a cost accountant, or a firm of cost accountants in practice, as cost auditor on the recommendations of the Audit committee, which shall also recommend remuneration for such cost auditor;
 - (ii) The remuneration recommended by the Audit Committee under clause shall be considered and approved by the Board of Directors and ratified subsequently by the shareholders;
- (b) In the case of other companies which are not required to constitute an audit committee, the Board shall appoint an individual who is a cost accountant or a firm of cost accountants in practice as cost auditor and the remuneration of such cost auditor shall be ratified by shareholders subsequently.

26. INTERNAL AUDIT [SECTION 138]

26.1 APPLICABILITY OF INTERNAL AUDIT

The following class of companies shall be required to appoint an internal auditor which may be either an individual or a partnership firm or a body corporate namely:-

- (a) Every **listed company**;
- (b) Every **unlisted public company having**
 - ➡ Paid up share capital of **fifty crore rupees or more** during the preceding financial year; or
 - ➡ Turnover of **two hundred crore rupees or more** during the preceding financial year; or
 - ➡ Outstanding loans or borrowings from banks or public financial institutions **exceeding one hundred crore rupees or more** at any point of time during the preceding financial year; or
 - ➡ **Outstanding deposits of twenty five crore rupees or more** at any point of time during the preceding financial year; and
- ➡ Every **private company having**
 - ➡ Turnover of **two hundred crore rupees or more** during the preceding financial year; or
 - ➡ Outstanding loans or borrowings from banks or public financial institutions **exceeding one hundred crore rupees or more** at any point of time during the preceding financial year.

The Audit Committee of the company or the Board shall, in consultation with the Internal Auditor, formulate the scope, functioning, periodicity and methodology for conducting the internal audit.

Exceptions:

In case of Specified IFSC Public Company / Specified IFSC Private Company - Section 138 shall apply if the articles of the company provide for the same. - Notification Dated 4th January 2017.

26.2 WHO CAN BE AN INTERNAL AUDITOR?

- (a) A Chartered Accountant or;
- (b) A Cost Accountant or;
- (c) Such other professionals may be decided by the Board to conduct an internal audit of the functions and activities of the Company.

For this sub-section, Chartered Accountant means a Chartered Accountant, who is a member of the Institute of Chartered Accountants of India and Cost Accountant means a member of the Institute of Cost Accountants of India as the case may be, whether engaged in practice or not.

- (d) Other professionals, as may be decided by the company's board, may also be appointed as an internal auditor at any point of time during the preceding financial year.

*Appointment of internal auditor is mandatory for every producer company irrespective of any criterion. Further, the proviso provides that any existing company which is covered under any of the above criteria shall comply with the requirements of **section 138 and rule 13 within six months of commencement of such a section.***

27. SECRETARIAL AUDIT

Secretarial Audit is a compliance audit and it is a part of total compliance management in an organization. The Secretarial Audit is an effective tool for corporate compliance management. It helps to detect non-compliance and to take corrective measures.

Secretarial Audit is a process to check compliance with the provisions of various laws and rules/regulations/procedures, maintenance of books, records, etc., by an independent professional to ensure that the company has complied with the legal and procedural requirements and also followed the due process. It is essentially a mechanism to monitor compliance with the requirements of stated laws.

Considering the increasing importance of Corporate Governance, Section 204 of the Companies Act, 2013 mandates every listed company and such other class of prescribed companies to **annex a Secretarial Audit Report**, given by a company secretary in practice with its Board's report.

Secretarial Audit is an independent, objective assurance intended to add value and improve an organization's operations. It helps to accomplish the organization's objectives by bringing a systematic, disciplined approach to evaluate and improve effectiveness of risk management, control, and governance processes.

27.1 LEGAL FRAMEWORK GOVERNING SECRETARIAL AUDIT UNDER THE COMPANIES ACT, 2013

As per the provision of **section 204(1) of the Companies Act, 2013 read with Rule 9** of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014:

- ◆ Every listed company;
- ◆ Every public company having a paid-up share capital of 50 crore rupees or more; or
- ◆ Every public company having a turnover of 250 crore rupees or more; or
- ◆ Every company has outstanding loans or borrowings from banks or public financial institutions of 100 crore rupees or more.

Requirement to annex with its Board's Report made in terms of **Section 134(3)** of the Companies Act, 2013, a Secretarial Audit Report, given by a Company Secretary in practice, in **Form MR- 3**.

MCA has clarified that the paid-up share capital, turnover, or outstanding loans or borrowings, as the case may be, existing on the last date of the latest audited financial statement shall be taken into account.

27.2 APPLICABILITY OF SECRETARIAL AUDIT TO A PRIVATE COMPANY WHICH IS A SUBSIDIARY OF A PUBLIC COMPANY

According to the provisions of **section 2(71)** of the Companies Act, 2013, "**public company**" means a company which is not a private company and has a minimum paid-up share capital as may be prescribed.

However, the proviso to the aforesaid definition provides that, "a company which is a subsidiary of a company, not being a private company, shall be deemed to be public company for the purposes of the Companies Act, 2013 even where such subsidiary company continues to be a private company in its articles".

Hence, it is clear from above proviso that **Secretarial Audit is also applicable to a private company which is a subsidiary of a public company** and which falls under the aforesaid prescribed class of companies.

27.3 SECRETARIAL AUDIT UNDER SEBI REGULATIONS

The Committee on Corporate Governance, constituted under the **Chairmanship of Shri Uday Kotak**, in its report dated October 05, 2017, recommended the following in view of the criticality of secretarial functions to efficient board functioning:

- (a) Secretarial Audit to be made compulsory for all listed entities under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“LODR Regulations”), in line with the provisions of the Companies Act, 2013.
- (b) Secretarial Audit to be extended to all material unlisted Indian subsidiaries. This is in line with the theme of strengthening group oversight and improving compliance at a group level for listed entities.

The aforesaid recommendations were accepted by SEBI and in order to implement the same, the **SEBI (LODR) Regulations, 2015** have been amended vide Notification dated May 09, 2018 to include Regulation 24A.

Accordingly, as per **Regulation 24A of the SEBI (LODR) Regulations, 2015**, every listed entity and its material unlisted subsidiaries incorporated in India shall undertake secretarial audit and shall annex a secretarial audit report given by a company secretary in practice, in such form as specified, with the annual report of the listed entity.

Every listed entity shall submit a secretarial compliance report in such form as specified to stock exchanges, **within sixty days from end of each financial year**. (Amended by the SEBI (Listing Obligations and Disclosure Requirements) (Second Amendment) Regulations, 2021 w.e.f. 5.5.2021). SEBI vide its Circular dated February 08, 2019, notified the formats for Annual Secretarial Audit Report and Annual Secretarial Compliance Report for listed entities and their material subsidiaries, effective from the financial year ended March 31, 2019. Thus, vide above mentioned circular, the following key points regarding the same has been clarified:

Annual Secretarial Audit Report:

The listed entity and its unlisted material subsidiaries shall continue to use the same Form No. MR-3 for (secretarial audit report) as required under the Companies Act, 2013 and the rules made thereunder for the purpose of compliance with Regulation 24A of the SEBI (LODR) Regulations, 2015 as well.

Annual Secretarial Compliance Report:

While the annual secretarial audit covers a broad check on compliance with all laws applicable to the entity, listed entities additionally, on an annual basis, require a **check by the PCS** on compliance of all applicable SEBI Regulations and circulars/ guidelines issued thereunder, consequent to which, the PCS need to submit annual secretarial compliance report to the listed entity in the format prescribed under said SEBI circular.

It shall be the duty of the company to give all assistance and facilities to the company secretary in practice, for auditing the secretarial and related records of the company.

The Board of Directors, in their report, shall explain in full any qualification or observation or other remarks made in the Secretarial Audit Report. The companies that are not covered under section 204 of the Act **may obtain a Secretarial Audit Report voluntarily**, as it provides an independent assurance of the compliances of the applicable laws of the company.

27.4 THE OBJECTIVES OF SECRETARIAL AUDIT

The objectives of Secretarial Audit may be summarized as under:

To check & report on compliances of applicable laws and Secretarial Standards;

To point out non-compliances and inadequate compliances;

To protect the interest of various stakeholders i.e. the customers, employees, society etc.;

To avoid any unwarranted legal actions/penalties by law enforcing agencies and other persons as well.

27.5 NEED FOR SECRETARIAL AUDIT

Secretarial Audit is the process of independent verification, examination of level of compliance of applicable Corporate Laws to a company. The audit process, if properly devised, ensures timely compliance and eliminates any un-intended non-compliance of various applicable rules and regulations. An action plan of the Corporate

Secretarial Department is to be designed so as to ensure that all event based and time based compliances are considered and acted upon. Secretarial Audit is to be on the principle of “Prevention is better than cure” rather than post mortem exercise and to find faults. Broadly, the need for Secretarial Audit is:

- I. Effective mechanism to ensure that the legal and procedural requirements are duly complied with.
- II. Provides a level of confidence to the directors & Key Managerial Personnel etc.
- III. Directors can concentrate on important business matters as Secretarial Audit ensures legal and procedural requirements.
- IV. Strengthen the image and goodwill of a company in the minds of regulators and stakeholders.
- V. Secretarial Audit is an effective governance and compliance risk management tool.
- VI. It helps the investor in analyzing the compliance level of companies, thereby increasing the reputation.

27.6 APPOINTMENT OF SECRETARIAL AUDITOR

As per Rule 8 of the Companies (Meetings of Board and its Powers) Rules, 2014, read with Section 179 of the Companies Act, 2013, secretarial auditor is required to be appointed by means of a resolution at a duly convened board meeting.

27.7 ROLE OF COMPANY SECRETARY

Company secretary in practice has been exclusively recognized for conducting secretarial audits. The **section 204** further provides that the Secretarial Audit Report is to be submitted in a format prescribed under rules.

As per sub-rule (2) of Rule 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, the format of the Secretarial Audit Report shall be in **Form MR-3**.

Section 134 and Sub-section (3) of Section 204 provides that the Board of Directors, in its report, shall explain in full any qualification or observation or other remarks made by the company secretary in practice in the secretarial audit report.

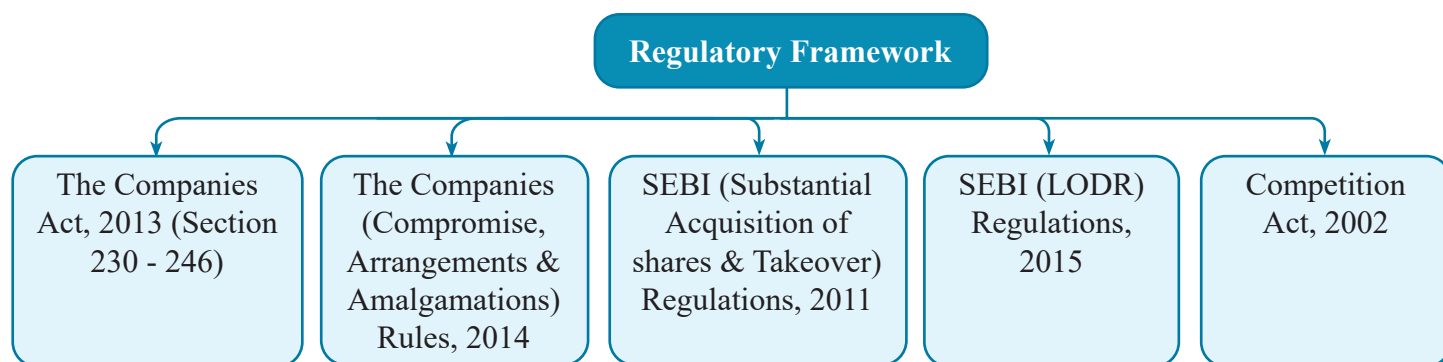
If a company or any officer of the company or the company secretary in practice, contravenes the provisions of section 204, the company, every officer of the company or the company secretary in practice, who is in default, shall be liable to a penalty of two lakh rupees.

PAST YEAR QUESTIONS

1. The Board of Directors of Green Stone Limited (the company) consists of 8 executive directors and 2 non executive directors, 4 executive directors in collusion with the auditor of the company manipulated the accounts of the company in their own interest. Knowing of the conspiracy, the other directors decided to file an application before the Nation Company Law Tribunal (the Tribunal) to pass the order for the removal of the auditor. In view of the given facts and referring to the provisions of the Companies Act, 2013 advise the applicant directors:
 - (i) Whether the Tribunal is a competent authority to entertain the application of a few directors for removal of the auditor of the company?
 - (ii) Will the auditor of Green Stone Limited be eligible to be appointed as an auditor of another company, if he is removed by the order of the Tribunal? **[June 2024 (3 + 2 = 5 Marks)]**
2. State, whether the following persons are eligible to be appointed as auditor of a company under the provisions of the Companies Act, 2013:
 - (i) Directors of MNO Ltd. (the company) want to appoint Keshav, a fellow member of ICAI and practicing Chartered Accountant as an auditor of the company. Naveen, one of the partners of Keshav's CA firm, has given guarantee for ₹1.10 lakhs only in connection with indebtedness of any third person to a subsidiary of the company.

- (ii) Directors of DEF Ltd. want to appoint Aryaman, a practicing Chartered Accountant as an auditor of the company. Aryaman is indebted to the company for ₹ 4,95,000.
- (iii) Manju is working as purchase manager in RST Ltd. directors RST Ltd. want to appoint Vaibhav, husband of Manju as an auditor of the company. **[June 2024 (2 + 2 + 1 = 5 Marks)]**
3. Fine Industry Ltd. is registered under the Companies Act, 2013 having registered office at New Delhi. The company is engaged in manufacturing various household products. The main manufacturing unit of the company is located in Singrauli District of Madhya Pradesh. The Board of Directors (BOD) has decided to keep books of account of the company at its Singrauli manufacturing unit. The Company Secretary of the company objected and stated that the books of account of the company can be kept at its registered office only. Referring to the provisions of the Companies Act, 2023, examine whether the objection of the Company Secretary is valid? **[Dec. 2023 (3 Marks)]**
4. Mithi Sugar Limited has on its Board, four directors viz A, B, C and D. In addition, the company has Mr. R as the Managing Director. The company also has a full time Company Secretary, Mr. Anupam, on its rolls. The financial statements of the company for the year ended 31st March, 2023 were authenticated by two of the directors, Mr. A and Mr. B under their signatures. Referring to the provisions of the Companies Act, 2023:
- (i) Examine the validity of the authentication of the Financial Statement including Balance Sheet and Statement of Profit & Loss etc. and the Boards Report.
- (ii) What would be your answer in case the company is a One Person Company (OPC) and has only one Director, who has authenticated the Financial Statement including Balance Sheet and Statement of Profit & Loss and the Board's Report? **[Dec. 2023 (3 + 3 = 6 Marks)]**
5. ABC Ltd. has not satisfied any conditions Specified as per section 137 of the Companies Act for the current financial year. The company has filed financial statements as per XBRL Taxonomy for the previous financial year. Is ABC Ltd. still required to file financial statements as per XBRL Taxonomy for the current financial year? **[Dec. 2021 (3 Marks)]**

COMPROMISE, ARRANGEMENT AND AMALGAMATION



1. INTRODUCTION

Chapter XV (Sections 230 to 240) of the *Companies Act, 2013* deals with **Compromise, Arrangements, and Amalgamations**. The chapter encompasses various corporate restructuring mechanisms, such as:

- ◆ **Compromises or arrangements**
- ◆ **Mergers and amalgamations**
- ◆ **Corporate debt restructuring**
- ◆ **Demerger of companies**
- ◆ **Fast-track mergers** for small companies
- ◆ **Cross-border mergers**
- ◆ **Takeovers**
- ◆ **Amalgamations in public interest, etc.**

The **procedural framework**, including the **application format** to the Tribunal, **notices**, and other steps involved, is governed by the **Rules** framed under **Chapter XV** of the Act.

Compromise and arrangement are forms of **corporate restructuring**, an **inorganic business strategy** aimed at:

- ◆ Improving **commercial efficiency**
- ◆ Managing **market competition**
- ◆ Driving **accelerated growth**
- ◆ Ensuring **effective utilization of resources**
- ◆ Fulfilling **stakeholders' expectations**

This strategy may serve **different purposes** for different companies at **different times**, and can take **varied forms**.

Compromise

- ◆ A **compromise** is an **amicable agreement** where parties make **mutual concessions** to resolve disputes.
- ◆ Though not **explicitly defined** in the *Companies Act, 2013*, it implies the **settlement of conflict** either by **mutual consent** or through a **scheme of compromise**.
- ◆ Hence, **some form of conflict** is essential in a **compromise**.

Situations where a company may propose a scheme of compromise:

- ◆ **Inability to fully pay creditors** in the ordinary course of business
- ◆ **Subsidiaries or units** incurring **continuous losses**

Arrangement

- ◆ The term ‘**arrangement**’ is **defined under Section 230(1)** of the *Companies Act, 2013*.
- ◆ It has a **wider scope** than compromise and refers to the **reorganization of the rights and liabilities** of stakeholders, **without any underlying dispute**.
- ◆ A company may adopt an **arrangement** scheme to **avoid winding-up proceedings**.

Situations where a company may propose a scheme of arrangement:

- ◆ **Variation in property**
- ◆ **Conversion of one class of shares into another**

2. PROVISIONS OF THE COMPANIES ACT, 2013

2.1 POWER TO COMPROMISE OR MAKE ARRANGEMENTS WITH MEMBERS OR CREDITORS

Section 230(1) states that when a compromise or arrangement is proposed-

- Between a company and its creditors or any class of them; or
- Between a company and its members or any class of them,

The Tribunal may, on the application of the (i) company, or (ii) any creditor or (iii) member of the company, or (iv) in the case of a company which is being wound up, of the liquidator, appointed under the Companies Act, 2013 or under Insolvency and Bankruptcy Code, 2016, as the case may be, order a meeting of the creditors or class of creditors, or of the members or class of members, as the case may be, to be called, held and conducted in such manner as the Tribunal directs.

2.2 AFFIDAVIT BY THE APPLICANT TO DISCLOSE CERTAIN MATERIAL FACTS

As per **Section 230(2)** of the *Companies Act, 2013*, a company or any other person making an application under sub-section (1) shall **disclose to the Tribunal** by way of an **affidavit** the following:

All material facts relating to the company, such as the latest financial position of the company, the latest auditor's report on the accounts of the company, and the pendency of any investigation or proceedings against the company;

Case Law:

In *Morepen Laboratories Ltd. vs. Regional Director, Company Appeal (AT) No.136 of 2018*, NCLT Chandigarh held that where the company failed to disclose the investigation by SFIO and pending criminal proceedings while seeking sanction of a scheme with fixed deposit holders, the application was **dismissed** for non-disclosure of material facts

- ◆ **Reduction of share capital**, if included in the compromise or arrangement
- ◆ **Any corporate debt restructuring (CDR) scheme** consented to by not less than **75% of the secured creditors in value**, along with the following:
 1. **Creditors' Responsibility Statement in Form CAA-1**
 2. **Safeguards** for protecting other secured and unsecured creditors
 3. **Auditor's report** confirming that post-restructuring fund requirements meet the **liquidity test**
 4. A **statement** if the company proposes to adopt **RBI's corporate debt restructuring guidelines**
 5. **Valuation report** by a **registered valuer** for shares, tangible and intangible, movable and immovable assets.

2.3 NOTICE OF THE MEETING [SECTION 230(3)]

When a meeting is to be held as per the Tribunal's order under *Section 230(1)*, notice of the meeting shall be sent to:

- ◆ All creditors or a class of creditors
- ◆ All members or a class of members
- ◆ Debenture-holders

Mode of Sending Notice

- ◆ Sent **individually** to the **registered address** of each person
- ◆ Shall include:
 - ☞ **Statement** detailing the **compromise or arrangement**
 - ☞ **Valuation report** (if any)
 - ☞ **Explanation of the effect** on creditors, **KMPs**, promoters, non-promoter members, and debenture-holders
 - ☞ **Impact** on the **material interests** of directors or debenture trustees
 - ☞ Any **other prescribed matters**

The Notice Shall be in Form No. CAA.2 and May be Sent by

- ◆ **Chairperson** appointed for the meeting
- ◆ **Company or its liquidator**, or any person as directed by the Tribunal
- ◆ Through **registered post, speed post, courier, e-mail, hand delivery**, or other **Tribunal-approved modes**
- ◆ Sent **at least 1 month** prior to the meeting

Other Requirements

- ◆ The notice must be **accompanied by a copy of the scheme**
- ◆ Notice and documents must be placed on the **company's website** (if any)
- ◆ For **listed companies**, documents to be sent to:
 - ☞ **SEBI**
 - ☞ **Concerned Stock Exchange**
 - ☞ To be **published on their websites**

When issued by advertisement, the notice must also mention the **time limit** within which copies of the scheme can be obtained **free of charge** from the registered office.

Advertisement Must be

- ◆ In **Form No. CAA.2**
- ◆ In **at least one English newspaper and one vernacular newspaper** having wide circulation in the state of the registered office
- ◆ Published **not less than 30 days** before the meeting date
- ◆ Placed on the websites of **the company, SEBI, and the relevant stock exchange**
- ◆ A **joint advertisement** may be issued where separate meetings for different classes are required
- ◆ [Rule 6 & 7 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016]

2.4 VOTING AT THE MEETING [SECTION 230(4)]

The **notice under Section 230(3)** shall also provide that the persons may **vote**:

- ◆ **In person**
- ◆ **Through proxy**
- ◆ **By postal ballot**

The vote must be cast **within one month** from the date of **receipt of the notice**.

Who can Object to the Scheme?

Objections can be raised only by:

- ◆ Members holding **not less than 10%** of the total shareholding, or
- ◆ Creditors having **outstanding debt of not less than 5%** of the total outstanding debt, as per the **latest audited financial statements**

2.5 NOTICE TO REGULATORS SEEKING THEIR REPRESENTATIONS [SECTION 230(5)]

A copy of the notice *under Section 230(3)*, along with **Form CAA-3** and supporting documents, shall also be sent to

- ◆ **Mandatory authorities:**
 - ☛ Central Government
 - ☛ Registrar of Companies (RoC)
 - ☛ Income-tax authorities
- ◆ **If applicable:**
 - ☛ Reserve Bank of India (RBI)
 - ☛ SEBI
 - ☛ Stock Exchanges
 - ☛ Official Liquidator
 - ☛ Competition Commission of India (CCI)
 - ☛ Other sectoral regulators or authorities likely to be affected

These authorities must send **representations, if any**, within **30 days** from the **receipt of the notice**. If no response is received, it will be **presumed** that they have **no objection**.

2.6 AFFIDAVIT OF SERVICE

As per **Rule 12** of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016:

- ◆ The **chairperson** appointed for the meeting or the **person directed** to issue the advertisement and notices must file an **affidavit** before the Tribunal **not less than seven days** before the date fixed for the meeting (or first of the meetings).
- ◆ The affidavit must state that all **Tribunal directions regarding notice and advertisement** have been complied with.
- ◆ **In case of default**, the application, along with the last Tribunal order, shall be posted before the Tribunal for **further orders**.

2.7 VOTING ON THE SCHEME

The person receiving the notice may vote:

- (i) **In person**
- (ii) **Through electronic means**
- (iii) **By postal ballot**
- (iv) Within **one month** from the date of receipt of notice

Explanation under Rule 13:

- ◆ “**Shareholding**” refers to members of the class **entitled to vote**
- ◆ “**Outstanding debt**” means all debt owed to creditors **as per the latest audited financial statements**, or **provisional statements** (not older than 6 months prior to application)
- ◆ Voting at meetings shall be:

- (a) By **poll** or **electronic means**
- (b) The **report** of voting results (in **Form CAA.4**) must state:
 - ☛ Number of members/creditors present
 - ☛ Voting by **proxy**, **in person**, or by **electronic means**
 - ☛ **Value of votes** and **how each person voted**

2.8 COPY OF SCHEME TO BE FURNISHED

As per **Rule 11**, every **creditor or member** entitled to attend the meeting shall be:

- ◆ Furnished **free of charge**, within **one day of requisition**, with:
 - (i) A copy of the **proposed scheme**
 - (ii) The **statement** is required under **Section 230**

2.9 APPROVAL AND SANCTION OF SCHEME – SECTION 230(6)

- ◆ If at the meeting, **three-fourths in value** of creditors or members (or their class), **vote in favor** of the scheme, and
- ◆ The scheme is **sanctioned by the Tribunal**; it becomes **binding on**:
 - (i) The company
 - (ii) All creditors or members (or class thereof)
 - (iii) In winding-up cases, the **liquidator** and **contributories**

2.10 ORDER OF THE TRIBUNAL – SECTION 230(7)

The Tribunal's sanctioning order may include the following:

Conversion of preference shares into equity:

- ◆ Option to preference shareholders to receive **arrears of dividend** in **cash** or **equity shares** of equivalent value

Accounting Standards Compliance

- ◆ **Proviso to Section 230(7):**
- ◆ Tribunal shall **not sanction** a compromise or arrangement unless a **certificate from the auditor** is filed, certifying that the **accounting treatment** is **in conformity with Accounting Standards** under **Section 133**.

Filing of Tribunal's Order – Section 230(8)

- ◆ The **company** must file the Tribunal's order with the **Registrar** within **30 days** of receipt.

2.11 DISPENSING WITH CREDITOR MEETINGS – SECTION 230(9)

Tribunal may **dispense with meetings of creditors** if:

- ◆ At least **90% in value** of the creditors or class of creditors provide **written consent via affidavit**

Buy-back through Compromise or Arrangement – Section 230(10)

- ◆ Any **buy-back** of securities under a scheme must comply with the provisions of **Section 68**.

2.12 COMPROMISE INCLUDES TAKEOVER – SECTION 230(11)

A scheme may include a **takeover offer**, in the manner **prescribed**.

For **listed companies**, a takeover must be as per **SEBI Regulations**.

2.13 APPLICATION BY AGGRIEVED PARTY – SECTION 230(12)

An **aggrieved party** (in case of companies **other than listed**) may approach the **Tribunal** regarding **grievances with a takeover offer**.

An application may be made in **Form NCLT-1** and shall be accompanied by the prescribed documents.

Tribunal may pass such an order as it deems fit.

Reduction of Share Capital under the Scheme

- ◆ **Section 66** shall **not apply** to the reduction of share capital effected as per the **Tribunal's order under Section 230**.

3. POWER OF THE TRIBUNAL TO ENFORCE COMPROMISE OR ARRANGEMENT

As per **Section 231(1)**, when the **Tribunal** makes an order under **Section 230** sanctioning a **compromise or arrangement** in respect of a company, it—

- Shall have the power* to **supervise the implementation** of the compromise or arrangement; and
- May*, at the time of making such order or **at any time thereafter**, give such **directions** in regard to any matter or make such **modifications** in the compromise or arrangement as it may consider **necessary for the proper implementation** of the compromise or arrangement.

Section 231(2):

- ◆ If the Tribunal is satisfied that the **compromise or arrangement sanctioned under section 230 cannot be implemented satisfactorily**, with or without modifications, and the company is **unable to pay its debts** as per the scheme, it **may make an order for winding up** the company. Such an order shall be **deemed to be an order made under Section 273**.

In case of a Government Company – In Section 231, for the word “Tribunal”, the words “Central Government” shall be substituted.

Case Law: Joint Commissioner of Income Tax (OSD) vs. Reliance Jio Infocomm Ltd. & Ors.

Held by NCLAT:

- ◆ The **mere fact** that a Scheme of Arrangement **may result in reduction of tax liability** does **not furnish a basis** for challenging the validity of the same.
- ◆ The **Income Tax Department** had not **placed evidence** or **substantiated allegations** of tax avoidance before the Tribunal.
- ◆ The **NCLT, Ahmedabad Bench**, while approving the Composite Scheme of Arrangement, had **granted liberty** to the Income Tax Department to **inquire into the matter**, if any part of the scheme amounts to tax avoidance.
- ◆ The **NCLAT upheld the decision** of the NCLT and **dismissed the appeals filed**, affirming that **liberty was already granted** to the IT Department to take action if required.

4. MERGER AND AMALGAMATION OF COMPANIES

- ◆ **Merger and Amalgamation of Companies**
- ◆ The terms **Merger** and **Amalgamation** are **not defined** under the **Companies Act, 2013**, but are **commonly used interchangeably**. However, there exists a thin line of difference between the two.

Merger

- ◆ A **Merger** is the **fusion of two or more companies**, where the **identity of one or more companies is lost**, resulting in a **single company**.

- ◆ It is a **legal consolidation** which can occur by:
 - ☞ **Amalgamation**
 - ☞ **Absorption**
 - ☞ **Formation of a new company**
- ◆ **Post-merger:**
 - ☞ The **acquired company ceases to exist**.
 - ☞ The company becomes a part of the **acquiring company**.
 - ☞ The **Board of Directors** of both companies **approves the combination** and seeks **shareholders' approval**.

Amalgamation

- ◆ **Amalgamation** is a **legal process** where:
 - (a) **Two or more companies join** to form a **new entity**; or
 - (b) **One or more companies are absorbed or blended** with another.
- ◆ The **amalgamating company loses its existence**, and its **shareholders become shareholders** of the **amalgamated company**.
- ◆ It involves the **transfer of property, assets, and liabilities** to an **existing or new company**.
- ◆ The **essence of amalgamation** is to unite two or more undertakings under **one company**.

Definition under Income Tax Act, 1961 (Section 2(1B)):

“**Amalgamation**, in relation to companies, means the **merger** of one or more companies with another company or the **merger of two or more companies** to form one company (the company or companies which so merge being referred to as the **amalgamating company** or companies and the company with which they merge or which is formed as a result of the merger, as the **amalgamated company**) in such a manner that:

1. **All the property** of the amalgamating company/companies **becomes the property** of the amalgamated company **by virtue of the amalgamation**.
2. **All the liabilities** of the amalgamating company/companies **become the liabilities** of the amalgamated company **by virtue of the amalgamation**.
3. **Shareholders holding not less than three-fourths in value** of the shares in the amalgamating company/companies (excluding shares already held by the amalgamated company or its subsidiary) **become shareholders** of the amalgamated company by virtue of the amalgamation;

4.1 TRIBUNAL'S POWER TO CALL MEETING OF CREDITORS OR MEMBERS, WITH RESPECT TO MERGER OR AMALGAMATION OF COMPANIES

Section 232(1) states that when an application is made to the Tribunal under section 230 for the sanctioning of a compromise or an arrangement proposed between a company and any such persons as are mentioned in that section, and it is shown to the Tribunal-

- (a) That the compromise or arrangement has been proposed for the purposes of, or in connection with, a scheme for the reconstruction of the company or companies involving merger or the amalgamation of any two or more companies; and
- (b) That under the scheme, the whole or any part of the undertaking, property or liabilities of any company (hereinafter referred to as the transferor company) is required to be transferred to another company (hereinafter referred to as the transferee company), or is proposed to be divided among and transferred to two or more companies,

Tribunal's Power:

- ◆ On an application, the Tribunal may order a meeting of creditors or class of creditors, or members or class of members, to be called, held, and conducted as it may direct.
- ◆ Provisions of **Section 230(3) to (6)** shall apply *mutatis mutandis*.

Rule 18 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016:

- ◆ Applicable where a compromise/arrangement is proposed for the reconstruction or amalgamation of companies.
- ◆ If matters involved cannot be adequately dealt with on the petition for sanction of compromise/arrangement, a separate application shall be made under **Section 232**.
- ◆ Such an application must be made by **notice of admission supported by an affidavit**, seeking the Tribunal's directions.
- ◆ **Notice of admission** shall be given in such manner and to such persons as the Tribunal may direct.

4.2 CIRCULATION OF DOCUMENTS FOR MEMBERS'/CREDITORS' MEETING

Section 232(2) states that when an order has been made by the Tribunal under sub-section (1), merging companies or the companies in respect of which a division is proposed, shall also be required to circulate the following for the meeting so ordered by the Tribunal, namely:—

- (a) The draft of the proposed terms of the scheme was drawn up and adopted by the directors of the merging company.
- (b) Confirmation that a copy of the draft scheme has been filed with the Registrar;
- (c) A report adopted by the directors of the merging companies explaining the effect of the compromise on each class of shareholders, key managerial personnel, promoters, and non-promoter shareholders, laying out in particular the share exchange ratio, specifying any special valuation difficulties;
- (d) The report of the expert with regard to valuation, if any;
- (e) A supplementary accounting statement if the last annual accounts of any of the merging companies relate to a financial year ending *more than six months* before the first meeting of the company summoned for the purposes of approving the scheme.

4.3 SANCTIONING OF SCHEME BY TRIBUNAL

The Tribunal, after being satisfied that the procedure *under sub-sections (1) and (2)* has been complied with, may by order sanction the compromise or arrangement and provide for the following matters:

(a) Transfer of assets and liabilities:

- ☞ Transfer of the whole or part of the undertaking, property, or liabilities of the transferor company to the transferee company, from a date decided by the parties (unless the Tribunal orders otherwise with reasons recorded).

(b) Allotment of instruments:

- ☞ Allotment/appropriation by the transferee company of shares, debentures, policies, or other instruments to persons as per the scheme.

(c) Restriction on self-holding:

- ☞ The transferee company shall not hold its own shares in its name or in the name of any trust, subsidiary, or associate company.
- ☞ Such shares shall be cancelled or extinguished.

(d) Legal proceedings:

- ☞ Continuation of legal proceedings by or against the transferee company, which were pending against the transferor company on the date of transfer.

(e) Dissolution of the transferor company:

- ☞ Dissolution without winding-up of any transferor company.

(f) Dissenting persons:

- ☞ Provision to be made for persons dissenting from the compromise or arrangement, within the time and manner directed by the Tribunal.

(g) Non-resident shareholders:

- ☞ Allotment of shares to non-resident shareholders shall comply with FDI norms, Central Government guidelines, or applicable laws.

(h) Employees:

- ☞ Transfer of employees from the transferor company to the transferee company.

(i) Listened to the unlisted scenario:

- ☞ If the transferor is a listed company and the transferee is unlisted:
 - ❖ The transferee company shall remain unlisted until it becomes listed.
 - ❖ Dissenting shareholders of the transferor company may opt out and receive payment for their shares or other benefits, as per a pre-determined formula or valuation.
 - ❖ Such payment shall not be less than the value prescribed under SEBI regulations.

(j) Adjustment of fees:

- ☞ Fees paid by the transferor company on its authorised capital shall be set off against fees payable by the transferee company on its authorised capital after amalgamation.

(k) Other matters:

- ☞ Any incidental, consequential, or supplemental matters as deemed necessary to ensure that the merger/ amalgamation is fully and effectively carried out.

4.4 AUDITOR'S CERTIFICATE AS TO CONFORMITY WITH ACCOUNTING STANDARDS

No compromise or arrangement shall be sanctioned by the Tribunal unless a certificate by the company's auditor has been filed with the Tribunal to the effect that the accounting treatment, if any, proposed in the scheme of compromise or arrangement is in conformity with the accounting standards prescribed under section 133.

4.5 TRANSFER OF PROPERTY OR LIABILITIES

- ◆ Property/liabilities shall vest in the transferee company by virtue of the Tribunal's order.
- ◆ Charges on assets may cease if the Tribunal so directs.

4.6 CERTIFIED COPY OF THE ORDER TO BE FILED WITH THE REGISTRAR

Section 232(5) states that every company in relation to which the order is made shall cause a certified copy of the order to be *filed with the Registrar* for registration *within thirty days* of the receipt of a certified copy of the order in **Form CAA.7**.

4.7 EFFECTIVE DATE OF THE SCHEME

Section 232(6) states that the scheme under this section shall clearly indicate an appointed date from which it shall be effective, and the scheme shall be deemed to be effective from such date and not at a date subsequent to the appointed date.

4.8 ANNUAL STATEMENT CERTIFIED BY CA/CS/CWA TO BE FILED WITH REGISTRAR EVERY YEAR UNTIL THE COMPLETION OF THE SCHEME

For the purpose of section 232(7) of the Act, every company in relation to which an order is made under subsection (3) of section 232 of the Act shall, until the scheme is fully implemented, file with the Registrar of Companies the statement in **Form No.CAA.8**, along with such fees as specified in the Companies (Registration Offices and Fees) Rules, 2014, *within two hundred and ten days* from the end of each financial year.

4.9 PENALTY FOR NON-COMPLIANCE

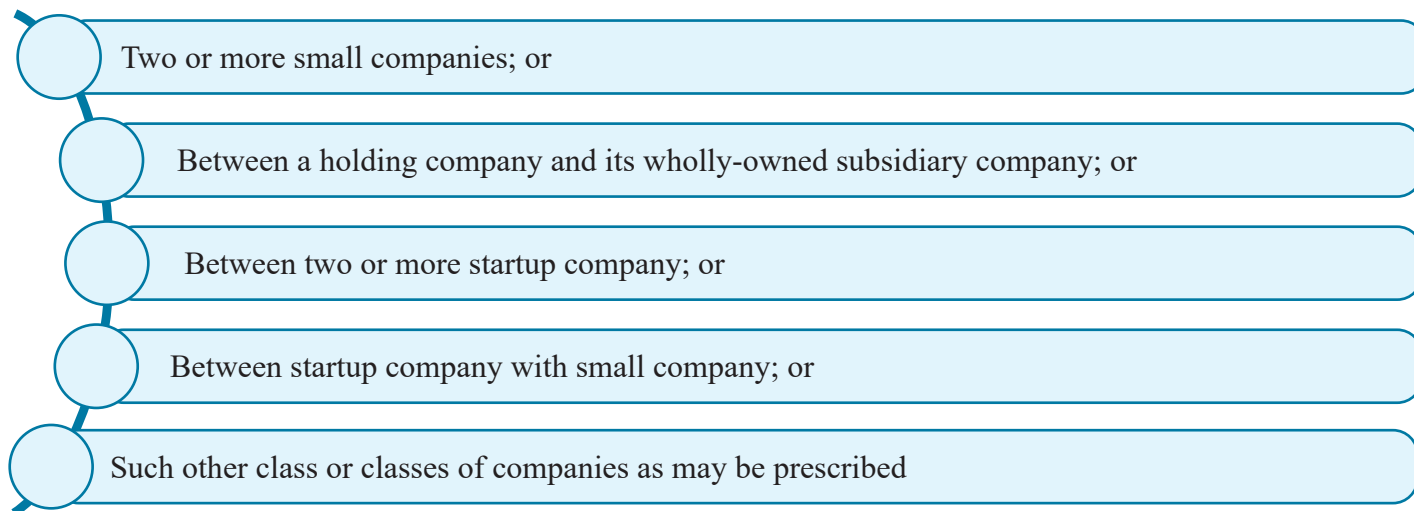
Section 232(8) states that if a company fails to comply with provisions of section 232 (5) i.e.failure to file Certified copy of the order with the Registrar, the company and every officer of the company who is in default shall be liable to a penalty of **twenty thousand rupees**, and where the failure is a continuing one, with a further penalty of **one thousand rupees for each day** after the first during which such failure continues, subject to a maximum of **three lakh rupees**.

Explanation under Section 232

- ◆ **Merger by absorption:** Transfer to **existing company**.
- ◆ **Merger by formation:** Transfer to **new company**.
- ◆ **Division:** Transfer to two or more existing/new companies.
- ◆ **“Property”** includes **assets, rights, interests**; **“Liabilities”** include **debts and obligations**.

5. MERGER AND AMALGAMATION OF CERTAIN COMPANIES

Section 233 prescribes a simplified procedure for the Merger or amalgamation of-



5.1 MERGER OF SMALL COMPANIES/HOLDING AND SUBSIDIARY COMPANIES

1. Proposal & Notice [Sec 233(1)(a)]

- 🔑 **Joint scheme** of merger/amalgamation proposed.
- 🔑 **Notice inviting objections/suggestions to:**
 - ❖ **Registrar of Companies (ROC)**
 - ❖ **Official Liquidator (OL)**
 - ❖ **Persons affected by the scheme**
- 🔑 Objections/suggestions to be made in **Form CAA-9**, within **30 days**.

5.2 APPROVAL REQUIREMENTS

(a) Members' Approval [Sec 233(1)(b)]

- At least **90% in number of shareholders** must approve the scheme.

(b) Declaration of Solvency [Sec 233(1)(c)]

- Filed by each company in **Form CAA-10**.
- Must be filed **before convening meetings** of members/creditors.

(c) Creditors' Approval [Sec 233(1)(d)]

- The scheme must be approved by:
 - ❖ **90% of the value of creditors**
 - ❖ Either at a meeting (21-day notice) or in writing.

Documents sent to members/creditors include:

- Statement under Sec 230(3)
- CAA-10 (Declaration of solvency)
- Scheme of merger

5.3 FILING WITH CENTRAL GOVERNMENT [SEC 233(2)]

◆ Transferee company files:

- Scheme (as approved)
- Report of members'/creditors' meetings in **Form CAA-11**

◆ File with:

- Central Government (MCA)**
- ROC (via Form GNL-1)**
- Official Liquidator** (via hand/registered/speed post)

5.4 ACTION BY CENTRAL GOVERNMENT [SEC 233(3)-(6)]

If no objections from ROC/OL:

- ◆ The Central Government issues a confirmation order in **Form CAA-12** within:
 - At **15 days** after the 30-day objection period ends
 - Or deemed approval after **60 days**

If objections are received [Sec 233(4)]:

- ◆ ROC/OL must file objections in writing within **30 days**.
- ◆ Central Government:
 - At May **still approve** the scheme if objections are not valid
 - At Or refer the scheme to **NCLT under Section 232** via **Form CAA-13**

Tribunal's Power [Sec 233(6)]

- ◆ NCLT can:
 - At Review scheme under Section 232
 - At Or pass suitable orders if it finds the scheme acceptable

5.5 REGISTRAR'S ROLE POST APPROVAL [SEC 233(7)]

- ◆ Scheme confirmation filed with the **ROC** having jurisdiction over the **transferee company**.
- ◆ ROC registers scheme and communicates with other ROCs
- ◆ Must file confirmation in **Form INC-28** within **30 days**

5.6 LEGAL EFFECTS OF REGISTRATION [SEC 233(8)–(10)]

Once the scheme is registered:

- The transferor company is dissolved without winding up**
- Assets & liabilities vest in the **transferee company**
- Existing **charges enforceable** against the transferee
- Pending legal proceedings** continue with the transferee
- Any **buyout amounts due** to dissenting shareholders become the transferee's liability
- Transferee cannot hold its own shares** (or via trust) – they must be **cancelled**

5.7 POST-MERGER FILINGS [SEC 233(11)]

- ◆ **Transferee must file:**
 - Application with ROC
 - Revised **authorised capital**
 - Pay the prescribed fee (adjusting for the fee paid by the transferor company)

5.8 EXTENSION OF PROVISION [SEC 233(12)]

- ◆ Provisions apply **mutatis mutandis** to:
 - ☛ Schemes under Section 230
 - ☛ Division/transfer under Section 232(1)(b)
- ◆ *Companies have an option to proceed under Section 232 even if eligible under Section 233.*

Form No.	Purpose
CAA-9	Objections/suggestions by ROC/OL/persons
CAA-10	Declaration of solvency
CAA-11	Filing scheme with the Central Govt
CAA-12	Confirmation order
CAA-13	Application to Tribunal (if objections)
GNL-1	Scheme filing with ROC
INC-28	Filing confirmation with ROC

6. MERGER OR AMALGAMATION OF A COMPANY WITH A FOREIGN COMPANY

Section 234(2) provides that, **subject to other applicable laws**, a **foreign company** may merge into an Indian company or **vice versa**, **with prior approval of the Reserve Bank of India**.

The **scheme of merger** may provide for payment of consideration:

- ◆ In **cash**, or
- ◆ In **Depository Receipts**, or
- ◆ **Partly in cash and partly in Depository Receipts**.

A “foreign company” means any company or body corporate incorporated outside India, whether having a place of business in India or not.

- ◆ **Section 234(1)** states that the provisions of this Chapter shall apply **mutatis mutandis** to mergers/amalgamations between:
 - (a) Companies registered under the Companies Act, and
 - (b) Companies incorporated in **jurisdictions notified by the Central Government**, subject to any other applicable law.
- ◆ The **Central Government**, in **consultation with the RBI**, may make rules for mergers/amalgamations under this section.

6.1 RULE 25A – COMPANIES (COMPROMISES, ARRANGEMENTS AND AMALGAMATIONS) RULES, 2016

1. A **foreign company** may merge with an Indian company:
 - ☛ **After obtaining RBI approval**, and
 - ☛ **Complying with Sections 230 to 232** and relevant rules.
2. An Indian company may merge with a **foreign company**:
 - ☛ Incorporated in a jurisdiction specified in **Annexure B**,
 - ☛ With **prior RBI approval**, and
 - ☛ After complying with **Sections 230 to 232** and these rules.
 - (a) The **transferee company** must ensure that:
 - ◆ **Valuation is done by valuers** who are **members of a recognised professional body** in that jurisdiction, and
 - ◆ Such valuation is in accordance with **internationally accepted accounting and valuation principles**.
 - ◆ A **declaration** to this effect must be attached to the application to the RBI.
3. After obtaining RBI approval as above, the company shall **file an application before the Tribunal** under Sections 230 to 232.
4. In case of compromise/arrangement/merger/demerger with a **company incorporated in a country sharing a land border with India**, a **declaration in Form No. CAA-16** must be submitted at the application stage under Section 230.

7. POWER TO ACQUIRE SHARES OF SHAREHOLDERS DISSENTING FROM SCHEME OR CONTRACT APPROVED BY MAJORITY [SECTION 235]

Offer to Dissenting Shareholders [Section 235(1)]

- ◆ Where a scheme or contract for the **transfer of shares** from a **transferor company** to a **transferee company**:
 - (a) Is approved by **90% in value of the shareholders** (excluding shares already held by the transferee or its nominee/subsidiary).
 - (b) Within **4 months** from the offer,
 - (c) The transferee company may, within **2 months after expiry** of the 4 months, **give notice** to any **dissenting shareholder** that it desires to **acquire his shares**.
- ◆ The notice to dissenting shareholders shall be sent in **Form No. CAA.14** at their **last intimated address**.

Meaning of Dissenting Shareholders

- ◆ As per Explanation to Section 235, a dissenting shareholder includes:
 - ☛ A shareholder who **has not assented** to the scheme, and
 - ☛ A shareholder who has **failed or refused to transfer** his shares as per the scheme.

7.1 ACQUISITION OF SHARES OF DISSENTING SHAREHOLDERS [SECTION 235(2)]

After the notice *under section 235(1) of the Act*, the transferee company shall, unless on an application made by the dissenting shareholder to the Tribunal, **within one month** from the date on which the notice was given and the Tribunal thinks fit to order otherwise, be entitled to and bound to acquire those shares on the terms on which, under the scheme or contract, the shares of the approving shareholders are to be transferred to the transferee company.

7.2 PROCESS OF ACQUISITION OF SHARES FROM DISSENTING SHAREHOLDERS [SECTION 235(3)]

After **one month**, or after the Tribunal's decision (if any application is pending), the transferee company must:

- ◆ Send a **copy of the notice** to the transferor company,
- ◆ Along with an **instrument of transfer**, executed:
 - (a) On behalf of the dissenting shareholder by a **person appointed by the transferor company**, and
 - (b) On behalf of itself (transferee company),
- ◆ And **pay or transfer the consideration** to the transferor company.
- ◆ The transferor company shall:
 - (a) **Register the transferee company as the holder** of such shares, and
 - (b) **Inform the dissenting shareholders** within **one month** of registration and receipt of consideration.

7.3 UTILIZATION OF FUNDS [SECTION 235(4)]

- ◆ Any **sum received** by the transferor company from the transferee shall be:
 - ☞ **Deposited in a separate bank account**, and
 - ☞ **Held in trust** for the entitled shareholders.
- ◆ Such funds must be **disbursed to the shareholders within 60 days**.

8. PURCHASE OF MINORITY SHAREHOLDING – SECTION 236

Who can acquire?

If an **acquirer** or **person acting in concert** becomes the **registered holder of 90% or more** of the issued equity share capital of a company, through:

- ◆ Amalgamation
- ◆ Share exchange
- ◆ Conversion of securities
- ◆ Or any other reason,

Then they **must notify the company** of their intention to **purchase the remaining (minority) shares**.

Key Definitions (as per SEBI Takeover Regulations, 2011):

- ◆ **Acquirer:** Any person acquiring shares/voting rights/control over a company.
- ◆ **Person acting in concert (PAC):** Persons acting with a **common objective** of acquiring control or shares.

PAC includes:

- ◆ Company, its holding/subsidiary/same management companies
- ◆ Directors, promoters, relatives, mutual funds, merchant bankers, portfolio managers, etc.

8.1 OFFER TO BUY MINORITY SHARES

- ◆ The acquirer must **offer to buy the remaining shares** from minority shareholders.
- ◆ The **price must be determined** by a **registered valuer**, based on prescribed rules.

Pricing Rules

- ◆ **Listed companies:** Price as per SEBI regulations + valuation report by a registered valuer.
- ◆ **Unlisted/private companies:**
 - ☞ Highest price paid by acquirer in the last 12 months.
 - ☞ Fair value (based on book value, earnings, PE multiple, etc.)

8.2 OBLIGATIONS OF MAJORITY SHAREHOLDERS

- ◆ **Deposit the entire consideration** amount in a separate bank account (held by the company) for at least **1 year**.
- ◆ **Disburse payments** to minority shareholders within **60 days**.
- ◆ Payments can still be claimed for up to **1 year**.

8.3 OTHER PROVISIONS

- ◆ **The company acts as a transfer agent**, facilitating transfers and payments.
- ◆ If physical shares aren't delivered on time, shares are deemed cancelled, and new ones are issued.
- ◆ In case of **deceased shareholders** or those without transmission records, their **rights stay valid for 3 years**.
- ◆ If the **majority shareholders sell at a higher price**, they must **share the extra compensation** with the former minority holders **on a pro-rata basis**.
- ◆ If the full acquisition is not completed, the **section still applies** to the remaining minority shareholders even if:
 - ☞ Shares are delisted
 - ☞ 1 year has passed

9. POWER OF CENTRAL GOVERNMENT TO PROVIDE FOR AMALGAMATION OF COMPANIES IN PUBLIC INTEREST [SECTION 237]

Central Government Power:

If the **Central Government is satisfied** that it is **essential in the public interest**, it may **order the amalgamation** of two or more companies.

This can include:

- ◆ Constitution of the new company
- ◆ Transfer of property, rights, and liabilities
- ◆ Legal proceedings continuation
- ◆ Compensation to members/creditors if their rights are affected

9.1 RIGHTS OF MEMBERS/CREDITORS

- ◆ They must retain the **same rights** in the transferee company.
- ◆ If their rights are reduced, they must be **compensated**, as assessed by a prescribed authority.
- ◆ Compensation details are published in the **Official Gazette**.

Appeal Process:

- ◆ Any aggrieved party can **appeal to the Tribunal** within **30 days** of the compensation assessment.

9.2 CONDITIONS FOR GOVERNMENT ORDER

1. Draft of the proposed order sent to all companies involved.
2. Time for appeal expired or appeal resolved.
3. Central Govt. must consider and allow suggestions/objections (minimum 2 months).

Post-Order Requirement:

- ♦ A copy of every order passed under this section must be **laid before Parliament**.

10. REGISTRATION OF OFFER OF SCHEMES INVOLVING TRANSFER OF SHARES [SECTION 238]

Applicable Situation: When there is an offer/scheme involving the **transfer of shares** (or any class of shares) from the **transferor company** to the **transferee company** under **Section 235**.

I. Circular to Members:

- ☞ Every circular containing such an offer, along with the **recommendation of the directors** of the transferor company to accept the offer, must:
 - (a) Include the information as prescribed under **Rule 28** of the **Companies (Compromises, Arrangements and Amalgamations) Rules, 2016**.
 - (b) Be **accompanied by Form No. CAA.15**.
 - (c) Be **presented to the Registrar** for registration.

II. Cash Availability Statement:

- ☞ Every such offer must include a **statement by or on behalf of the transferee company**, disclosing the **steps taken to ensure the availability of necessary cash** for the transaction.

III. Registrar's Role:

- ☞ No such circular shall be issued until it is **registered by the Registrar**.
- ☞ The **Registrar may refuse** to register a circular if:
 - (a) It **lacks the required information** under clause (a), or
 - (b) It **presents information in a misleading manner**.
- ☞ Refusal must be **recorded in writing**, and the decision **communicated within 30 days**.

IV. Appeal Mechanism:

- ☞ An **appeal lies to the Tribunal** against the Registrar's refusal to register the circular.
- ☞ Such an appeal must be:
 - (a) In **Form No. NCLT.9**, and
 - (b) Supported by an **affidavit in Form No. NCLT.6**, as per the **National Company Law Tribunal Rules, 2016**.

Penalty:

Any **director issuing an unregistered circular** is liable to a **penalty of ₹1,00,000**.

11. PRESERVATION OF BOOKS AND PAPERS OF AMALGAMATED COMPANIES [SECTION 239]

Books and papers of a company that has been:

- ♦ **Amalgamated**, or
- ♦ **Whose shares have been acquired** under this Chapter,

Shall not be disposed of without prior permission of the Central Government.

- ◆ Before granting such permission, the Central Government may:
- ◆ **Appoint a person** to examine the books/papers to determine whether they contain **evidence of any offence** related to:
 - ☞ Promotion or formation of the company,
 - ☞ Management of the company's affairs,
 - ☞ Amalgamation process, or
 - ☞ Acquisition of shares.

12. LIABILITY OF OFFICERS IN RESPECT OF OFFENCES COMMITTED PRIOR TO MERGER, AMALGAMATION, ETC. [SECTION 240]

Notwithstanding anything in any other law in force:

- ◆ **Liability of officers in default** of the transferor company for **offences committed under this Act prior to merger, amalgamation, or acquisition** shall:

Continue to exist even after the merger, amalgamation, or acquisition has taken place.

13. "MAJORITY RULE AND MINORITY RIGHTS"

Principle of Non-Interference – Rule in Foss v. Harbottle

- ◆ In company law, **all members of the same class hold equal rights**. For smooth functioning, these rights must remain balanced.
- ◆ In case of **disagreements among members**, issues are resolved through **majority voting**.
- ◆ Since the **majority** controls the company's affairs, the **minority shareholders often face oppression**.
- ◆ Company law provides **remedies to protect minority rights**, but such protection is **not available** when:
 - (a) The **majority exercises powers in internal administration**, and
 - (b) The **directors act within the authority** given by the **Articles of Association**.
- ◆ Thus, the **Articles serve as a protective shield for majority shareholders**, who dominate the Board and may act at the cost of the minority.
- ◆ The principle of **judicial non-interference in internal management** was established in the landmark case **Foss v. Harbottle (1843)**, which held:
 - (a) No shareholder can sue directors for a wrong against the company.
 - (b) The **company itself** is the proper plaintiff in such cases.

Case Law

Foss v. Harbottle (1843)

Facts:

Two shareholders (Foss and Turton) alleged that directors and the solicitor had caused loss of company property through illegal transactions and that the Board was unqualified. They sought damages.

Held:

Minority shareholders **cannot sue**; only the company can initiate such action.

The **majority decides** whether or not to sue the directors.

The reasoning:

- ◆ If the act complained of is something the **majority is entitled to do**,
- ◆ Or something done **irregularly but capable of being done regularly**,
- ◆ Or something done **illegally but capable of being done legally by the majority**,
- ◆ Then litigation is useless because the **majority's will ultimately prevails**. (*MacDougall v. Gardiner*, 1875).

Rajahmundry Electric Supply Co. v. Nageshwara Rao (1956 SC)

The Supreme Court held:

- ◆ Courts will **not intervene in internal management** when directors act **within powers under the Articles**.
- ◆ If directors are supported by the **majority**, the **minority cannot prevent their actions**.

Core Principle

- ◆ Since a company is a **separate legal entity**, distinct from its members,
- ◆ **The company itself is the proper person to bring an action** for wrongs committed against it, not individual shareholders.

13.1 ADVANTAGES OF THE RULE IN FOSS V. HARBOTTLE

1. **Recognition of Separate Legal Personality**

If injury is done to the company, it is the **company itself** that should seek redress, not individual members.

2. **Preservation of Majority Rights**

The rule upholds the right of the **majority to decide how the company's affairs shall be conducted**.

3. **Avoidance of Multiplicity of Suits**

If every shareholder could sue, there would be as many suits as shareholders → **unnecessary litigation, wastage of time and money**.

4. **Futility of Minority Suits**

If an irregularity can be **ratified by the majority**, it is futile for the minority to bring litigation without majority consent.

13.2 EXCEPTIONS TO THE RULE IN FOSS V. HARBOTTLE

The rule is **not absolute**. Minority shareholders are protected under:

- (a) **Common Law**, and
- (b) **Provisions of the Companies Act**.

In such cases, minority shareholders may sue for:

- (i) **A declaration** that a resolution is void, or
- (ii) **Injunction** to restrain its passing/implementation.

Key Exceptions

1. **Oppression and Mismanagement**

◆ Minorities may approach the Tribunal to prevent acts of **oppression or mismanagement**.

◆ **Case Reference:** *Bennet Coleman & Co. v. Union of India* (1977) –

- (i) Sections 397 & 398 (now 241 & 242, Companies Act, 2013) aim to **avoid winding up** while protecting minority from **oppression/mismanagement**.
- (ii) Courts have **wide powers**: they can appoint an administrator, special officer, or committee to manage affairs.

2. **Ultra Vires or Illegal Acts** – Acts beyond the company's powers cannot be ratified by the majority.

3. **Fraud on Minority** – If directors/majority commit fraud for personal gain, the minority may sue.

4. **Violation of Shareholders' Personal Rights** – e.g., right to vote, right to receive dividends, or right to inspect records.

5. **Matters Requiring Special Majority** – Where the law mandates a special resolution but it is bypassed, the minority can challenge.

6. **Breach of Fiduciary Duty by Directors** – Misapplication of funds or property gives the minority a cause of action.

PAST YEAR QUESTIONS

1. ABC Ltd. and PQR Ltd. are both registered under the Companies Act, 2013. ABC Ltd. is a wholly owned subsidiary of PQR Ltd. ABC Ltd. and PQR Ltd. are both engaged in the business of manufacturing steel. The Board of Directors of both companies unanimously decided to merge ABC Ltd. into PQR Ltd. to get the benefit of market synergy, as both are engaged in the same business area and will increase their market size. BOD of PQR Ltd. dispensed with the meeting of equity shareholders, secured and unsecured creditors, as the rights of the equity shareholders of the company are not being affected. The Company Secretary of the company objected that in the case of corporate reorganization meeting of the equity shareholders, and the secured and unsecured creditors cannot be dispensed with. Examine the validity of the objection of the Company Secretary with reference to the provisions of the Companies Act, 2013.

[Dec. 2023 (5 Marks)]

2. P Limited (the company) is a wholly owned subsidiary of Q Limited. The company P Limited wants to make an application for the merger of Holding and Subsidiary companies under section 232, read with section 230 of the Companies Act, 2013. The Company Secretary of Q Limited is of the opinion that the company cannot apply for a merger as per section 232 of the Act, and it shall be mandatory for the company to apply for a merger as per section 233 of the Act, i.e., Fast Track Merger. Is the contention of the Company Secretary tenable as per the Act?

[June 2024 (3 Marks)]

3. Mercury Limited is incorporated in the USA and has its registered office in Los Angeles. The Board of Directors of Mercury Limited has taken a decision to merge Mercury Limited with Mars Limited, a company incorporated in India having its registered office in New Delhi. Referring to the provisions of the Companies Act, 2013, advise the Board of Directors of Mercury Limited on the Merger.

[June 2023 (4 Marks)]

4. The period of 10 years is over from taking over X Ltd. (the transferor company) by Y Ltd. (the transferee company) by acquiring its shares and hence, a Board resolution has been passed by the transferee company in the meeting held in June, 2023 to destroy the books and papers (the record) of the transferor company considering the provisions relating to preservation of books of account of the company for 8 years. Referring to the provisions of the Companies Act, 2013, decide the validity of the decision of the Board of the transferee company.

[Dec. 2023 (5 Marks)]

5. Ajit, a minority shareholder in PQR Ltd., filed a suit against the Directors on the ground that they sold a property of the company for Rs. 24,50,000 whereas its real value was over Rs. 41,00,000. Is the action of Ajit justified?

[June 2022 (5 Marks)]

DORMANT COMPANY

Regulatory Framework

The Companies Act, 2013 [Section 455]

The Companies (Miscellaneous) Rules, 2014

1. INTRODUCTION

- ◆ A dormant company means a company which is *inactive or inoperative* i.e., not carrying out any business activity, and has applied to the Registrar of Companies (“ROC”) to change its status in the Register of Companies maintained by the said Registrar of Companies from “*Active Company*” to “*Dormant Company*”.
- ◆ A company may become dormant immediately after its registration or after a few years of its incorporation.
- ◆ There are many reasons as to why a company may change its status from “active” to “dormant”.
- ◆ The major reason for such a change is that it gives the company the *liberty to start its business activities after a few years* rather than incorporating a new company at that time, thus providing cost and time advantage to the company.
- ◆ A company may also choose to *temporarily shut down its operations due to adverse market conditions* and decide to *commence its operations at a future date*.
- ◆ In all such cases, a company may make an application to the ROC to change its status from “active” to “dormant”.
- ◆ *Dormant companies are also known as inactive companies.*

2. DEFINITION

Section 455 of the Companies Act, 2013, read with Companies (Miscellaneous) Rules, 2014 stipulates the provisions pertaining to “Dormant Company”.

Where a company is *formed and registered under this Act for a future project or to hold an asset or intellectual property without having any significant accounting transaction, such a company or an inactive company may make an application to the ROC* in such a manner as may be prescribed for obtaining the status of a dormant company.

A dormant company may be either a public company or a private company or a one-person company (OPC).

For the above purposes, ‘inactive company’ means a company which:

- (a) Has not been carrying on any business or operation; or
- (b) Has *not made any significant accounting transaction during last two financial years; or*
- (c) Has *not filed financial statements and annual returns during the last two financial years.*

‘Significant Accounting Transaction’ means any transaction made by the company except transactions mentioned below:

- ◆ Payment of fees by a company to the Registrar.
- ◆ Payments made by the company to fulfil the requirements of this Act or any other law;
- ◆ Allotment of shares to fulfil the requirements of this Act; and
- ◆ Payments for maintenance of its office and records.
- ◆ All the transactions, apart from the above mentioned transactions, will be considered as significant accounting transactions.
- ◆ If a company has made only the above mentioned transactions in the last two financial years, then that company will fall under the definition of ‘Inactive Company’.

3. ADVANTAGES OF DORMANT COMPANIES UNDER COMPANIES ACT, 2013

Dormant Companies offer a number of advantages to their promoters. Some of the main advantages are listed below:

- (a) It helps in preserving the domain name and hence a company may be founded to prepare for a future undertaking.
- (b) A Dormant Company offers excellent advantage to the promoters who want to hold an asset or intellectual property under the corporate shield for its usage at a later stage. A Trademark of a company Name is among the intellectual property owned by a dormant company.
- (c) It assists the company in projecting a more positive image to potential consumers and/or lenders.
- (d) Once a company is registered as a dormant company, the annual return for the company can be filed using a simplified **Form MSC-3**. Also, the number of Board Meetings to be conducted by the Company is reduced. The compliance burden of the company is also reduced.
- (e) Dormant Company is not liable to pay any Taxes until it is reactive.
- (f) Dormant Company is not required to include the statement of cash flow in its financial statement.
- (g) The provision of rotation of auditors is not applicable in case of a dormant company.
- (h) Dormant companies enjoy the advantages of lower statutory compliance cost as there are few statutory compliances applicable to dormant company as compared to active company, for example, a dormant company need not hold Annual General Meeting every year and no need to hold and convene four (4) Board Meetings in a year, etc.
- (i) It is easier for dormant companies to reacquire its active status and it also reduces the cost of incorporation of a new company.

For instance: If a promoter wants to buy land now for its future project at a comparatively lesser price, he may do the same through dormant company so that he can use the land for its future project.

The Registrar, on consideration of the application, shall grant the status of a dormant company to the applicant and issue a certificate allowing the status of a Dormant Company to the applicant and the Registrar shall also maintain a register of dormant companies.

4. COMPLIANCES FOR DORMANT COMPANY

There are certain compliances that need to be fulfilled by the dormant company. These are mentioned below:

(1) Company needs to have **minimum number director** as required by Companies Act, 2013 i.e. **at least 3 Directors in case of a Public Company, 2 for Private Company and 1 for OPC.**



(2) The company shall continue to file the returns of allotment and change in directors, whenever the company allots any security to any person or there is any change in the directors of the company.



(3) The Dormant Company is required to hold at least one meeting of the Board of Directors in every half year. The gap between two meetings shall **not be more than 90 days.**



(4) The maximum tenure for which a company can **remain dormant is 5 consecutive financial years.** If a company remains dormant for **more than 5 years**, the Registrar strike off the name of the company from the Records, i.e. the company will be removed.



(5) A dormant company is required to file a “Return of Dormant Company” in **Form MSC-3** annually, inter-alia, indicating financial position duly audited by a Chartered Accountant in Practice along with such annual fee **within a period of thirty days** from the end of each financial year.



(6) **No need to enclose cash flow statements** in its annual accounts.



(7) The provisions of the Act in relation to the **rotation of auditors are not applicable** to dormant companies.

Illustration:

A Limited Company wants to start its operations after three years. For the business purpose, the company needs to acquire land. The land prices will be very high after the period of three years.

Hence, in this case, the company will acquire the land at current price which is much cheaper as compared to land prices after three years by incorporating the company and applying the dormant status afterwards.

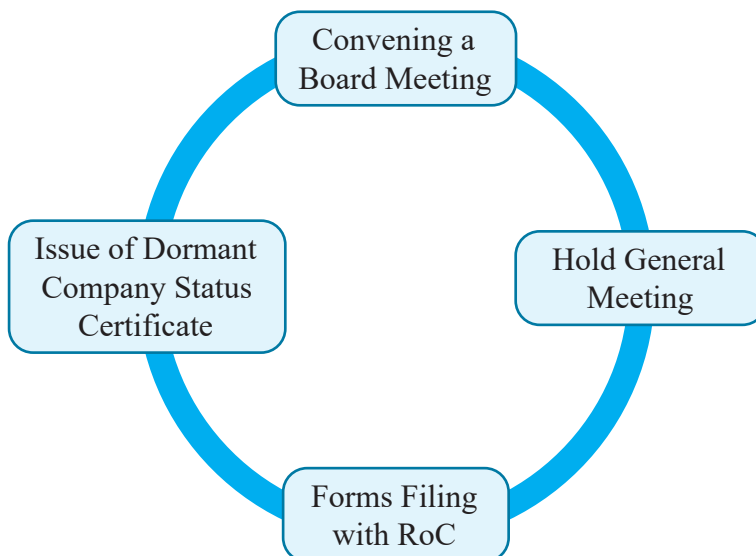
5. PROCEDURE TO OBTAIN THE STATUS OF A DORMANT COMPANY

A Company can obtain its status as a Dormant Company suo-moto, or the ROC may declare a company as Dormant.

5.1 SUO-MOTO APPLICATION

A company which meets the above criteria can apply suo-moto to ROC for the status of a “Dormant company” in **Form MSC-1** along with such fee as provided in the Companies (Registration Offices and Fees) Rules, 2014 after complying with the provision of Rule 3 of the Companies (Miscellaneous) Rules, 2014.

Step-by-step procedure for obtaining the status of a Dormant Company:



- (1) The company shall call a Board meeting to fix day, date, time and venue for General Meeting of the members of the company to pass resolution for making application to the ROC to obtain status of a dormant company.
- (2) The company shall obtain Statement of affairs from the Auditor of the company.
- (3) The company shall pass a Special Resolution in the General Meeting for obtaining the status of a dormant company and authorizing the director(s) to make application to ROC and After issuing a notice to all the shareholders of the company for this purpose and obtaining consent of **at least 3/4th shareholders** (in value).
- (4) After passing the Special Resolution, the company shall file e-form MGT-14 with ROC for filings Special Resolution alongwith explanatory statement within 30 Days from the passing of the said Special Resolution.
- (5) After filling of form MGT-14, the company shall file an application in Form MCS-1 with the ROC within 30 days of Passing Special Resolution along with the copy of the special resolution. Copy of statement of affairs, declarations by the directors and other necessary documents.
- (6) On being satisfied with the merits of the application, the ROC shall issue certificate in **Form MSC-2** on confirming the application allowing the status of a Dormant Company to the applicant.

Attachments to be filed with Form MSC-1

Following attachments need to be filed along with ***e-form MSC-1***:

- ◆ Certified true ***copy of board resolution*** authorizing making application.
- ◆ Certified true ***copy of special resolution*** authorizing for obtaining dormant status.
- ◆ ***Statement of affairs duly certified by the Chartered Accountant*** or auditor of company.
- ◆ ***Latest financial statement and annual return*** of the company.
- ◆ ***Copy of approval or no objection certificate from the regulatory authority*** in case company is regulated by such authority.

5.2 DORMANT BY ROC

In case of a company that has ***not filed financial statements or annual returns for two consecutive financial years***, the ROC shall issue a notice to the company and enter the name of such company in the register maintained for dormant companies.

Hence, it is not always the company that applies for the status of a dormant company; even the ROC is empowered suo-moto to change the status of a company into a dormant company. The Registrar shall initiate the process of striking off the name of the company if the company remains as a dormant company ***for a period of five consecutive years***.

The maximum period for which the company can be in dormant status is five consecutive years. Before the completion of five years as a dormant company, such a company may apply for activation or strike off.

Where a ***company fails to comply with the requirements of Section 455*** of the Companies Act, 2013, read with the Companies (Miscellaneous) Rules, 2014, the Registrar can strike off the name of a dormant company from the Register of dormant companies.

6. PRE-REQUISITES FOR OBTAINING THE STATUS OF DORMANT COMPANY

As per rule 3 of the Companies (Miscellaneous) Rules, 2014, the Registrar shall not grant the status of a dormant company if:

- (i) Any inspection, inquiry or investigation has been ordered or taken up or carried out against the company.
- (ii) Any prosecution has been initiated and pending against the company under any law.
- (iii) There are public deposits which are outstanding or the company is in default in payment thereof or interest thereon.
- (iv) There is any outstanding loan, whether secured or unsecured. In case the company has any outstanding unsecured loan, the company may apply for the status of a dormant company after obtaining the concurrence of the lender.
- (v) There are outstanding statutory taxes, dues, duties, etc., payable to the Central Government or any State Government or local authorities etc.
- (vi) There is default in payment of its workmen's dues.
- (vii) The Company is a listed company within or outside India.

7. PROCEDURE TO OBTAIN THE STATUS OF ACTIVE COMPANY FROM DORMANT COMPANY

Section 455 of the Companies Act, 2013, read with Rule 8 of the Companies (Miscellaneous) Rule, 2014, lays down the provisions for seeking the status of an active company from a dormant company.

*An application shall be made in Form MSC-4 for obtaining the status of an **active company from a dormant company before the end of five consecutive years** from the date of becoming a dormant company.*

*In case the said **application is not made before the said period of five consecutive years**, the **name of the company may be removed from the Register of Companies** maintained by the ROC.*

*Moreover, **if any company has contravened** any of the conditions mentioned in the grounds of application for obtaining the status of dormant company, the directors should, **within seven days of such contravention, file an application for obtaining the status of an active company.***

The Registrar can take action to remove the company from the list of dormant companies if it is observed that the company has contravened the conditions for granting the dormant company status, after carrying out an enquiry and after giving a notice and a **reasonable opportunity of being heard**.

The dormant company shall follow the procedure below for obtaining the status of an active company on its own:

1. **Hold Board Meeting:** The Company shall prepare notice of board meeting along with draft resolutions to be passed in the board meeting. Send the notice of board meeting to all the directors at least 7 days before the date of board meeting. The following resolutions needs to be passed at the board meeting:

To make an application with the Registrar of Companies for obtaining status of dormant company as an active company.

To authorize a director to make an application and sign the documents or forms and to complete all the formalities relating to the application.

2. **Prepare return in Form MSC- 3:** The return in form MSC-3 shall be prepared in respect of the financial year in which the application for obtaining the status of an active company is being filed.

3. **File e-Form MSC- 4:** An application for obtaining the status of an active company is required to be made in Form MSC-4 along with fees as provided.

4. **Certificate for active company:** The ROC after considering the application filed for obtaining the status of the active company from dormant company shall issue a certificate in Form MSC-5 allowing the status of an active company to the applicant.

8. WHEN ROC SHALL CHANGE THE STATUS OF THE DORMANT COMPANY TO ACTIVE COMPANY?

The Registrar of Company shall in the following cases, change the status of the dormant company to active company:

- (a) Where a dormant company does or omits to do any act mentioned in the grounds in the application made for obtaining status of a dormant company and such act or omission affects its status of dormant company, the directors of such a company are required to file an application within seven days from such event for obtaining the status of an active company.



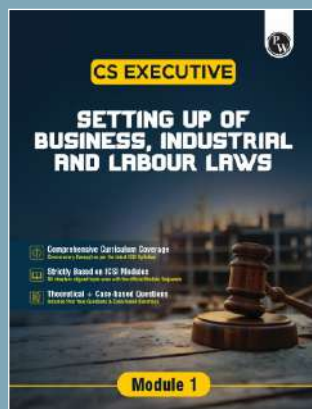
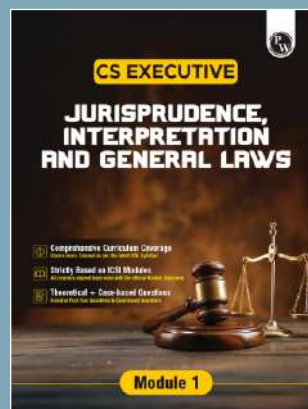
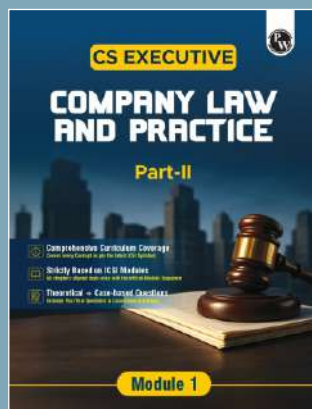
- (b) Where the Registrar has reasonable cause to believe that any company registered as 'dormant company' under his jurisdiction has been functioning in any manner, directly or indirectly affecting the status of dormant company,

Registrar can initiate the proceedings for enquiry under section 206 of the Companies Act 2013 and if, after giving a reasonable opportunity of being heard to the company in this regard, it is found that the company has actually been functioning, the Registrar can remove the name of such company from register of dormant companies and treat it as an active company.

PAST YEAR QUESTIONS

1. What do you mean by an 'Inactive Company'? **[June 2023 (3 Marks)]**
2. Cute Garments Ltd., not carrying out any business activity, wants to apply to ROC to change its status from Active Company to Dormant Company. Board of directors seeks your advice about the procedure to obtain the status of Dormant Company. **[June 2022 (3 Marks)]**
3. What is the procedure to be followed by a Dormant Company for obtaining the status of an Active Company? **[June 2023 (3 Marks)]**
4. Sanjay Diagnostic Limited (the Company) was registered in Bihar under the provisions of the Companies Act, 2013. Its future project is to diversify into other profitable business, which is unique and provide sustainable business growth. Due to the recession in the industry and excessive competition from the seasoned player, the Company has no significant accounting transaction and business activities during the last two financial years. However, the Company has been regular in filing its financial statements and annual returns with the Registrar of Companies, Patna by making payment of applicable filing fees. The Company decided to file the application for obtaining the status of dormant company in line with the relevant provision of the Companies Act, 2013. The Company instead of passing a special resolution to this effect in the general meeting of the Company issued notice to all the shareholders of the Company for this purpose and obtained consent of 82% of shareholders in value.
Referring the provisions of the Companies Act, 2013 and Rules made there under answer the following:
 - (i) Explain the term "Dormant Company".
 - (ii) Whether the payment of applicable filing fees to the Registrar of Companies (ROC) could be considered as significant accounting transaction under the Companies Act, 2013.
 - (iii) Whether the application made by Sanjay Diagnostic Limited is in order, in the absence of passing a special resolution? **[Dec. 2023 (5 Marks)]**
5. Krishna Private Ltd., having 3 directors has obtained status of Dormant Company in year 2019. The Board of Directors seeks your advice about the compliances needs to be done in respect of each of the following:
 - (i) One of the Director who is also shareholder holding 15% shares in Company wants to retire from post of directorship of the Company and also wants to transfer his entire shares.
 - (ii) Minimum number of Directors
 - (iii) Rotation of Auditors **[Dec. 2021 (3 Marks)]**

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